ENGROSSED SENATE
BILL NO. 2184 By: Howard of the Senate

and

Duel of the House

An Act relating to multiple versions of statutes; amending, merging, consolidating, and repealing multiple versions of statutes; amending 3 O.S. 2021, Section 65.1, as amended by Section 1, Chapter 135, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.1); repealing 3 O.S. 2021, Section 65.1, as amended by Section 1, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.1); repealing 3 O.S. 2021, Section 65.2, as amended by Section 2, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.2); repealing 3 O.S. 2021, Section 65.4, as amended by Section 3, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.4); repealing 3 O.S. 2021, Section 65.5, as amended by Section 4, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.5); repealing 3 O.S. 2021, Section 65.7, as amended by Section 6, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.7); repealing 3 O.S. 2021, Section 65.8, as amended by Section 7, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.8); repealing 3 O.S. 2021, Section 65.10, as amended by Section 8, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.10); repealing 3 O.S. 2021, Section 65.12, as amended by Section 9, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.12); repealing 3 O.S. 2021, Section 65.15, as amended by Section 10, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.15); repealing 3 O.S. 2021, Section 65.16, as amended by Section 11, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.16); repealing 3 O.S. 2021, Section 65.17, as amended by Section 12, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.17); repealing 3 O.S. 2021, Section 82, as last amended by Section 13, Chapter 135, O.S.L. 2024 (3 O.S. Supp. 2025, Section 82); amending 3 O.S. 2021, Section 85, as last amended by Section 1, Chapter 164, O.S.L. 2025 (3 O.S. Supp. 2025, Section 85); repealing 3 O.S. 2021, Section 85, as last amended by Section 14, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 85); repealing 3 O.S. 2021, Section 85, as last amended by Section 14, Chapter 135, O.S.L. 2024 (3 O.S. Supp. 2025, Section 85); repealing 3 O.S. 2021, Section 421, as last amended by Section 15, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 421); amending 10 O.S. 2021, Section 1116.2, as amended by Section 7, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025, Section 1116.2); repealing 10 O.S. 2021, Section 1116.2, as amended by Section 1, Chapter 237, O.S.L. 2024 (10 O.S. Supp. 2025, Section 1116.2); amending 10 O.S. 2021, Section 1116.6, as amended by Section 9, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025, Section 1116.6); repealing 10 O.S. 2021, Section 1116.6, as amended by Section 2, Chapter 237, O.S.L. 2024 (10 O.S. Supp. 2025, Section 1116.6); amending 10A O.S. 2021, Section 1-1-105, as amended by Section 1, Chapter 375, O.S.L. 2025 (10A O.S. Supp. 2025, Section 1-1-105); repealing 10A O.S. 2021, Section 1-1-105, as amended by Section 1, Chapter 149, O.S.L. 2025 (10A O.S. Supp. 2025, Section 1-1-105); amending 15 O.S. 2021, Section 141.13, as amended by Section 7, Chapter 225, O.S.L. 2024 (15 O.S. Supp. 2025, Section 141.13); repealing 15 O.S. 2021, Section 141.13, as amended by Section 1, Chapter 72, O.S.L. 2016; amending 18 O.S. 2021, Section 1006, as amended by Section 10, Chapter 120, O.S.L. 2024 (18 O.S. Supp. 2025, Section 1006); repealing 18 O.S. 2021, Section 1006, as amended by Section 1, Chapter 121, O.S.L. 2024 (18 O.S. Supp. 2025, Section 1006); amending 19 O.S. 2021, Section 1505, as last amended by Section 2, Chapter 85, O.S.L. 2025 (19 O.S. Supp. 2025, Section 1505); repealing 19 O.S. 2021, Section 1505, as last amended by Section 1, Chapter 66, O.S.L. 2025 (19 O.S. Supp. 2025, Section 1505); amending 22 O.S. 2021, Section 60.4, as last amended by Section 704, Chapter 486, O.S.L. 2025 (22 O.S. Supp. 2025, Section 60.4); repealing 22 O.S. 2021, Section 60.4, as last amended by Section 1, Chapter 40, O.S.L. 2025 (22 O.S. Supp. 2025, Section 60.4); amending 22 O.S. 2021, Section 60.6, as amended by Section 474, Chapter 486, O.S.L. 2025 (22 O.S. Supp. 2025, Section 60.6); repealing 22 O.S. 2021, Section 60.6, as amended by Section 2, Chapter 145, O.S.L. 2025 (22 O.S. Supp. 2025, Section 60.6); amending 22 O.S. 2021, Section 152, as last amended by Section 1, Chapter 115, O.S.L. 2025 (22 O.S. Supp. 2025, Section 152); repealing 22 O.S. 2021, Section 152, as last amended by Section 1, Chapter 310, O.S.L. 2024 (22 O.S. Supp. 2025, Section 152); amending 47 O.S. 2021, Section 6-101, as last amended by Section 3, Chapter 330, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-101); repealing 47 O.S. 2021, Section 6-101, as last amended by Section 13, Chapter 310, O.S.L. 2023 (47 O.S. Supp. 2025, Section 6-101); repealing 47 O.S. 2021, Section 6-101, as last amended by Section 2, Chapter 11, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-101); repealing 47 O.S. 2021, Section 6-101, as last amended by Section 3, Chapter 171, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-101); amending 47 O.S. 2021, Section 6-102, as last amended by Section 1, Chapter 450, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-102); repealing 47 O.S. 2021, Section 6-102, as last amended by Section 1, Chapter 123, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-102); amending 47 O.S. 2021, Section 6-105, as last amended by Section 38, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105); repealing 47 O.S. 2021, Section 6-105, as last amended by Section 2, Chapter 450, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105); repealing 47 O.S. 2021, Section 6-105, as last amended by Section 3, Chapter 11, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105); amending 47 O.S. 2021, Section 6-105.3, as last amended by Section 4, Chapter 330, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-105.3); repealing 47 O.S. 2021, Section 6-105.3, as last amended by Section 4, Chapter 11, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105.3); repealing 47 O.S. 2021, Section 6-105.3, as last amended by Section 1, Chapter 101, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105.3); repealing 47 O.S. 2021, Section 6-105.3, as last amended by Section 3, Chapter 315, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105.3); amending 47 O.S. 2021, Section 6-110, as last amended by Section 4, Chapter 450, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-110); repealing 47 O.S. 2021, Section 6-110, as last amended by Section 44, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-110); repealing 47 O.S. 2021, Section 6-110, as last amended by Section 6, Chapter 11, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-110); amending 47 O.S. 2021, Section 6-111, as last amended by Section 2, Chapter 310, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-111); repealing 47 O.S. 2021, Section 6-111, as last amended by Section 5, Chapter 330, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-111); amending 47 O.S. 2021, Section 6-301, as last amended by Section 3, Chapter 38, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-301); repealing 47 O.S. 2021, Section 6-301, as last amended by Section 516, Chapter 486, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-301); amending 47 O.S. 2021, Section 563, as last amended by Section 3, Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025, Section 563); repealing 47 O.S. 2021, Section 563, as last amended by Section 3, Chapter 236, O.S.L. 2024 (47 O.S. Supp. 2025, Section 563); amending 47 O.S. 2021, Section 564, as last amended by Section 4, Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025, Section 564); repealing 47 O.S. 2021, Section 564, as last amended by Section 2, Chapter 119, O.S.L. 2025 (47 O.S. Supp. 2025, Section 564); amending 47 O.S. 2021, Section 565, as last amended by Section 6, Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025, Section 565); repealing 47 O.S. 2021, Section 565, as last amended by Section 4, Chapter 119, O.S.L. 2025 (47 O.S. Supp. 2025, Section 565); amending 47 O.S. 2021, Section 752, as last amended by Section 13, Chapter 330, O.S.L. 2025 (47 O.S. Supp. 2025, Section 752); repealing 47 O.S. 2021, Section 752, as last amended by Section 4, Chapter 172, O.S.L. 2025 (47 O.S. Supp. 2025, Section 752); repealing 47 O.S. 2021, Section 1102, as last amended by Section 60, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1102); amending 47 O.S. 2021, Section 1110, as last amended by Section 1, Chapter 403, O.S.L. 2025 (47 O.S. Supp. 2025, Section 1110); repealing 47 O.S. 2021, Section 1110, as last amended by Section 1, Chapter 323, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1110); amending 47 O.S. 2021, Section 1113, as last amended by Section 72, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1113); repealing 47 O.S. 2021, Section 1113, as last amended by Section 8, Chapter 236, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1113); amending 47 O.S. 2021, Section 1132, as last amended by Section 10, Chapter 236, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1132); repealing 47 O.S. 2021, Section 1132, as last amended by Section 75, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1132); repealing 51 O.S. 2021, Section 6, as amended by

Section 1, Chapter 303, O.S.L. 2025 (51 O.S. Supp. 2025, Section 6); amending 51 O.S. 2021, Section 24A.5, as last amended by Section 2, Chapter 404, O.S.L. 2025 (51 O.S. Supp. 2025, Section 24A.5); repealing 51 O.S. 2021, Section 24A.5, as last amended by Section 14, Chapter 11, O.S.L. 2024 (51 O.S. Supp. 2025, Section 24A.5); amending 51 O.S. 2021, Section 154, as amended by Section 2, Chapter 314, O.S.L. 2025 (51 O.S. Supp. 2025, Section 154); repealing 51 O.S. 2021, Section 154, as amended by Section 2, Chapter 292, O.S.L. 2025 (51 O.S. Supp. 2025, Section 154); amending 57 O.S. 2021, Section 37, as amended by Section 9, Chapter 187, O.S.L. 2025 (57 O.S. Supp. 2025, Section 37); repealing 57 O.S. 2021, Section 37, as amended by Section 11, Chapter 11, O.S.L. 2025 (57 O.S. Supp. 2025, Section 37); repealing 57 O.S. 2021, Section 138, as amended by Section 38, Chapter 59, O.S.L. 2024 (57 O.S. Supp. 2025, Section 138); repealing 57 O.S. 2021, Section 571, as last amended by Section 40, Chapter 59, O.S.L. 2024 (57 O.S. Supp. 2025, Section 571); amending 59 O.S. 2021, Section 46.4, as last amended by Section 2, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.4); repealing 59 O.S. 2021, Section 46.4, as last amended by Section 4, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.4); amending 59 O.S. 2021, Section 46.7, as amended by Section 5, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.7); repealing 59 O.S. 2021, Section 46.7, as amended by Section 3, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.7); amending 59 O.S. 2021, Section 46.9, as amended by Section 6, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.9); repealing 59 O.S. 2021, Section 46.9, as amended by Section 4, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.9); amending 59 O.S. 2021, Section 46.10, as amended by Section 5, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.10); repealing 59 O.S. 2021, Section 46.10, as amended by Section 7, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.10); amending 59 O.S. 2021, Section 46.21, as amended by Section 15, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.21); repealing 59 O.S. 2021, Section 46.21, as amended by Section 6, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.21); amending 59 O.S. 2021, Section 46.21b, as amended by Section 1, Chapter 208, O.S.L. 2025 (59

O.S. Supp. 2025, Section 46.21b); repealing 59 O.S. 2021, Section 46.21b, as amended by Section 7, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.21b); amending 59 O.S. 2021, Section 46.38, as amended by Section 22, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.38); repealing 59 O.S. 2021, Section 46.38, as amended by Section 8, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.38); repealing 59 O.S. 2021, Section 328.49, as amended by Section 530, Chapter 486, O.S.L. 2025 (59 O.S. Supp. 2025, Section 328.49); amending 59 O.S. 2021, Section 353.1, as last amended by Section 5, Chapter 340, O.S.L. 2025 (59 O.S. Supp. 2025, Section 353.1); repealing 59 O.S. 2021, Section 353.1, as last amended by Section 1, Chapter 343, O.S.L. 2025 (59 O.S. Supp. 2025, Section 353.1); amending 59 O.S. 2021, Section 356.2, as last amended by Section 2, Chapter 300, O.S.L. 2025 (59 O.S. Supp. 2025, Section 356.2); repealing 59 O.S. 2021, Section 356.2, as last amended by Section 1, Chapter 414, O.S.L. 2025 (59 O.S. Supp. 2025, Section 356.2); amending 59 O.S. 2021, Section 357, as last amended by Section 2, Chapter 414, O.S.L. 2025 (59 O.S. Supp. 2025, Section 357); repealing 59 O.S. 2021, Section 357, as last amended by Section 6, Chapter 300, O.S.L. 2025 (59 O.S. Supp. 2025, Section 357); amending 59 O.S. 2021, Section 360, as last amended by Section 3, Chapter 414, O.S.L. 2025 (59 O.S. Supp. 2025, Section 360); repealing 59 O.S. 2021, Section 360, as last amended by Section 8, Chapter 300, O.S.L. 2025 (59 O.S. Supp. 2025, Section 360); amending 59 O.S. 2021, Section 481, as amended by Section 1, Chapter 227, O.S.L. 2024 (59 O.S. Supp. 2025, Section 481); repealing 59 O.S. 2021, Section 481, as last amended by Section 1, Chapter 14, O.S.L. 2025 (59 O.S. Supp. 2025, Section 481); amending 59 O.S. 2021, Section 493.2, as amended by Section 1, Chapter 61, O.S.L. 2025 (59 O.S. Supp. 2025, Section 493.2); repealing 59 O.S. 2021, Section 493.2, as amended by Section 3, Chapter 350, O.S.L. 2025 (59 O.S. Supp. 2025, Section 493.2); repealing 59 O.S. 2021, Section 1000.2, as amended by Section 1, Chapter 292, O.S.L. 2013; amending 59 O.S. 2021, Section 1873, as last amended by Section 1, Chapter 235, O.S.L. 2025 (59 O.S. Supp. 2025, Section 1873); repealing 59 O.S. 2021, Section 1873, as last amended by Section 1, Chapter 266, O.S.L. 2025 (59 O.S. Supp. 2025, Section 1873); amending 63 O.S.

2021, Section 1-106, as last amended by Section 3, Chapter 377, O.S.L. 2025 (63 O.S. Supp. 2025, Section 1-106); repealing 63 O.S. 2021, Section 1-106, as last amended by Section 13, Chapter 215, O.S.L. 2025 (63 O.S. Supp. 2025, Section 1-106); amending 63 O.S. 2021, Section 2-312, as last amended by Section 10, Chapter 340, O.S.L. 2025 (63 O.S. Supp. 2025, Section 2-312); repealing 63 O.S. 2021, Section 2-312, as last amended by Section 9, Chapter 343, O.S.L. 2025 (63 O.S. Supp. 2025, Section 2-312); amending 63 O.S. 2021, Section 427.17, as last amended by Section 4, Chapter 447, O.S.L. 2024 (63 O.S. Supp. 2025, Section 427.17); repealing 63 O.S. 2021, Section 427.17, as last amended by Section 142, Chapter 452, O.S.L. 2024 (63 O.S. Supp. 2025, Section 427.17); amending 66 O.S. 2021, Section 304, as amended by Section 1, Chapter 31, O.S.L. 2025 (66 O.S. Supp. 2025, Section 304); repealing 66 O.S. 2021, Section 304, as amended by Section 556, Chapter 486, O.S.L. 2025 (66 O.S. Supp. 2025, Section 304); amending 68 O.S. 2021, Section 1353, as last amended by Section 4, Chapter 441, O.S.L. 2024 (68 O.S. Supp. 2025, Section 1353); repealing 68 O.S. 2021, Section 1353, as amended by Section 1, Chapter 240, O.S.L. 2022 (68 O.S. Supp. 2025, Section 1353); amending 68 O.S. 2021, Section 1356, as last amended by Section 1, Chapter 392, O.S.L. 2025 (68 O.S. Supp. 2025, Section 1356); repealing 68 O.S. 2021, Section 1356, as last amended by Section 1, Chapter 444, O.S.L. 2024 (68 O.S. Supp. 2025, Section 1356); amending 68 O.S. 2021, Section 1357, as last amended by Section 1, Chapter 391, O.S.L. 2025 (68 O.S. Supp. 2025, Section 1357); repealing 68 O.S. 2021, Section 1357, as amended by Section 10, Chapter 229, O.S.L. 2017; repealing 68 O.S. 2021, Section 1357, as amended by Section 1, Chapter 68, O.S.L. 2021; repealing 68 O.S. 2021, Section 1357, as last amended by Section 1, Chapter 193, O.S.L. 2023 (68 O.S. Supp. 2025, Section 1357); repealing 68 O.S. 2021, Section 1357, as amended by Section 1, Chapter 44, 1st Extraordinary Session, O.S.L. 2023 (68 O.S. Supp. 2025, Section 1357); amending 68 O.S. 2021, Section 2357.22, as last amended by Section 1, Chapter 143, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2357.22); repealing 68 O.S. 2021, Section 2357.22, as last amended by Section 153, Chapter 452, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2357.22); amending 68 O.S. 2021, Section

2358, as last amended by Section 155, Chapter 452, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2358); repealing 68 O.S. 2021, Section 2358, as last amended by Section 1, Chapter 166, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2358); repealing 68 O.S. 2021, Section 2358, as last amended by Section 2, Chapter 277, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2358); amending 68 O.S. 2021, Section 2902, as last amended by Section 1, Chapter 411, O.S.L. 2025 (68 O.S. Supp. 2025, Section 2902); repealing 68 O.S. 2021, Section 2902, as last amended by Section 1, Chapter 204, O.S.L. 2025 (68 O.S. Supp. 2025, Section 2902); amending 70 O.S. 2021, Section 6-194, as last amended by Section 5, Chapter 101, O.S.L. 2025 (70 O.S. Supp. 2025, Section 6-194); repealing 70 O.S. 2021, Section 6-194, as last amended by Section 1, Chapter 277, O.S.L. 2025 (70 O.S. Supp. 2025, Section 6-194); amendatory 70 O.S. 2021, Section 1210.163, as last amended by Section 3, Chapter 260, O.S.L. 2025 (70 O.S. Supp. 2025, Section 1210.163); repealing 70 O.S. 2021, Section 1210.163, as last amended by Section 6, Chapter 101, O.S.L. 2025 (70 O.S. Supp. 2025, Section 1210.163); amendatory 70 O.S. 2021, Section 2403, as amended by Section 3, Chapter 482, O.S.L. 2025 (70 O.S. Supp. 2025, Section 2403); repealing 70 O.S. 2021, Section 2403, as amended by Section 6, Chapter 277, O.S.L. 2025 (70 O.S. Supp. 2025, Section 2403); amending 74 O.S. 2021, Section 62.3, as amended by Section 1, Chapter 384, O.S.L. 2025 (74 O.S. Supp. 2025, Section 62.3); repealing 74 O.S. 2021, Section 62.3, as amended by Section 6, Chapter 199, O.S.L. 2025 (74 O.S. Supp. 2025, Section 62.3); repealing 74 O.S. 2021, Section 85.58A, as amended by Section 4, Chapter 245, O.S.L. 2024 (74 O.S. Supp. 2025, Section 85.58A); amending 74 O.S. 2021, Section 902, as last amended by Section 1, Chapter 139, O.S.L. 2024 (74 O.S. Supp. 2025, Section 902); repealing 74 O.S. 2021, Section 902, as last amended by Section 1, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025, Section 902); amending 74 O.S. 2021, Section 915, as amended by Section 2, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025, Section 915); repealing 74 O.S. 2021, Section 915, as amended by Section 2, Chapter 139, O.S.L. 2024 (74 O.S. Supp. 2025, Section 915); amending 74 O.S. 2021, Section 916.3, as amended by Section 3, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025, Section 916.3); repealing 74 O.S. 2021, Section 916.3, as amended by Section 3, Chapter 139, O.S.L. 2024 (74 O.S. Supp. 2025, Section 916.3); amending 74 O.S. 2021, Section 919.1, as amended by Section 4, Chapter 139, O.S.L. 2024 (74 O.S. Supp. 2025, Section 919.1); repealing 74 O.S. 2021, Section 919.1, as amended by Section 4, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025, Section 919.1); amending 74 O.S. 2021, Section 1321, as last amended by Section 29, Chapter 379, O.S.L. 2025 (74 O.S. Supp. 2025, Section 1321); repealing 74 O.S. 2021, Section 1321, as amended by Section 5, Chapter 123, O.S.L. 2024 (74 O.S. Supp. 2025, Section 1321); amending 75 O.S. 2021, Section 250.3, as last amended by Section 5, Chapter 258, O.S.L. 2025 (75 O.S. Supp. 2025, Section 250.3); repealing 75 O.S. 2021, Section 250.3, as last amended by Section 1, Chapter 420, O.S.L. 2025 (75 O.S. Supp. 2025, Section 250.3); amending 75 O.S. 2021, Section 303, as amended by Section 7, Chapter 258, O.S.L. 2025 (75 O.S. Supp. 2025, Section 303); repealing 75 O.S. 2021, Section 303, as amended by Section 1, Chapter 267, O.S.L. 2025 (75 O.S. Supp. 2025, Section 303); amending 75 O.S. 2021, Section 308, as last amended by Section 8, Chapter 258, O.S.L. 2025 (75 O.S. Supp. 2025, Section 308); repealing 75 O.S. 2021, Section 308, as last amended by Section 2, Chapter 420, O.S.L. 2025 (75 O.S. Supp. 2025, Section 308); amending 85A O.S. 2021, Section 2, as amended by Section 1, Chapter 135, O.S.L. 2025 (85A O.S. Supp. 2025, Section 2); repealing 85A O.S. 2021, Section 2, as amended by Section 1, Chapter 67, O.S.L. 2025 (85A O.S. Supp. 2025, Section 2); and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 3 O.S. 2021, Section 65.1, as amended by Section 1, Chapter 135, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.1), is amended to read as follows:

Section 65.1. As used in the Municipal Airports Act, unless the text otherwise requires:

1. "Airport" means an area on land or water that is used, or intended to be used, for the landing and taking off of aircraft, and includes its buildings and facilities, if any;

2. "Air navigation facility" means any facility - other than one owned and operated by the United States - used in, available for use in, or designed for use in, aid of air navigation, including any structures, mechanisms, lights, beacons, markers, communicating systems, or other instrumentalities, or devices used or useful as an aid, or constituting an advantage or convenience, to the safe taking off, navigation, and landing of aircraft, or the safe and efficient operation or maintenance of an airport, and any combination of any or all of such facilities;

3. "Airport hazard" means any structure, object of natural growth, or use of land which obstructs the airspace required for the flight of aircraft in landing or taking off at an airport <u>or vertiport</u> or is otherwise hazardous to such landing or taking off of aircraft;

4. "Helipad" means a small designated area, usually with a prepared surface, on a heliport, airport, landing or takeoff area, apron or ramp, or movement area used for takeoff, landing or parking of helicopters;

5. "Heliport" means an area of land, water or structure used or intended to be used for the landing and takeoff of helicopters and includes its buildings and facilities, if any;

6. "Municipality" means any county, city, ~~or~~ town, or political subdivision of this state. "Municipal" means pertaining to a municipality as herein defined;

7. "Person" means any individual, firm, partnership, corporation, company, association, joint stock association, or body politic; and includes any trustee, receiver, assignee or other similar representative thereof;

8. "Vertiport" means an area of land, water, or structure used or intended to be used for the landing and takeoff of VTOL aircraft; and

9. "VTOL aircraft" means an aircraft which has vertical takeoff and landing capability.

SECTION 2. REPEALER 3 O.S. 2021, Section 65.1, as amended by Section 1, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.1), is hereby repealed.

SECTION 3. REPEALER 3 O.S. 2021, Section 65.2, as amended by Section 2, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.2), is hereby repealed.

SECTION 4. REPEALER 3 O.S. 2021, Section 65.4, as amended by Section 3, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.4), is hereby repealed.

SECTION 5. REPEALER 3 O.S. 2021, Section 65.5, as amended by Section 4, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.5), is hereby repealed.

SECTION 6. REPEALER 3 O.S. 2021, Section 65.7, as amended by Section 6, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.7), is hereby repealed.

SECTION 7. REPEALER 3 O.S. 2021, Section 65.8, as amended by Section 7, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.8), is hereby repealed.

SECTION 8. REPEALER 3 O.S. 2021, Section 65.10, as amended by Section 8, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.10), is hereby repealed.

SECTION 9. REPEALER 3 O.S. 2021, Section 65.12, as amended by Section 9, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.12), is hereby repealed.

SECTION 10. REPEALER 3 O.S. 2021, Section 65.15, as amended by Section 10, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.15), is hereby repealed.

SECTION 11. REPEALER 3 O.S. 2021, Section 65.16, as amended by Section 11, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.16), is hereby repealed.

SECTION 12. REPEALER 3 O.S. 2021, Section 65.17, as amended by Section 12, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 65.17), is hereby repealed.

SECTION 13. REPEALER 3 O.S. 2021, Section 82, as last amended by Section 13, Chapter 135, O.S.L. 2024 (3 O.S. Supp. 2025, Section 82), is hereby repealed.

SECTION 14. AMENDATORY 3 O.S. 2021, Section 85, as last amended by Section 1, Chapter 164, O.S.L. 2025 (3 O.S. Supp. 2025, Section 85), is amended to read as follows:

Section 85. A. The Oklahoma Department of Aerospace and Aeronautics and its <u>Executive</u> Director acting under its authority is empowered and directed to encourage, foster, and assist in the development of aerospace and aeronautics in this state and to encourage the establishment of airports<u>, vertiports,</u> and air navigation facilities. It shall cooperate with and assist the federal government, the municipalities of this state, and other persons in the development of aerospace and aeronautics, and shall seek to coordinate the aeronautical activities of these bodies and persons. Municipalities are authorized to cooperate with the Department in the development of aeronautics and aeronautical facilities in this state.

B. The Department may organize and administer an aerospace and aviation education program in cooperation with the schools, colleges, and for the general public, and may prepare and conduct voluntary flight clinics for airmen and issue such bulletins and publications as may be required. This program shall be known and may be cited as the “AeroSPACE Program” or “Aero Student Pathways for Aerospace Careers and Education”. This program shall be a partnership with primary, secondary, career technology, and higher education providers to respond to the workforce needs of the aviation and aerospace industry by promoting and organizing quality curriculum, enhanced classroom instruction, and research-based educational programs. The AeroSPACE Program shall collaborate with industry and act as the facilitator for the collection and sharing of information, development and implementation of activities, and the dissemination of resources concerning aerospace education with the primary goal being to establish a common statewide strategy for implementing aerospace educational curriculum initiatives to better prepare students for an aviation and aerospace career. The Oklahoma Aeronautics Commission may employ established program processes or contract with other qualified entities to operate the AeroSPACE Program. The Oklahoma Aeronautics Commission may accept funding that includes, but is not limited to, donations, contractual arrangements, in-kind services, federal or state appropriations, and grants.

C. The Department shall assist in all aeronautical matters related to emergency management actions in conformance with federal directions and with the Emergency Operations Plan of the state.

D. The Department may establish air markers throughout the state.

E. The Department may purchase and install roadside signs directing highway traffic to airports, subject to approval of the State Transportation Commission.

F. The Department shall:

1. Draft and recommend necessary legislation to advance the interests of the state in aerospace and aeronautics;

2. Represent the state in aeronautical matters before federal agencies and other state agencies; and

3. Participate as party plaintiff or defendant or as intervener on behalf of the state or any municipality or citizen thereof in any proceeding which involves the interest of the state in aerospace or aeronautics.

G. 1. The Department shall develop and adopt a five-year Airport Construction Program on an annual basis which lists federal and state funding that the Department has available for the development of airport infrastructure. In addition, the Department shall adopt a statewide airport system plan on a regular basis which details the twenty-year planning horizon for publicly owned, public-use airports and sets the service level, role, and functional classification of airports within the Oklahoma Airport System. The system plan will be made available to the public and shall serve as the Department's official document which guides the programming of public funds for airport infrastructure. An airport must be included in the system plan to be eligible for funding.

2. The development of the five-year Airport Construction Program shall begin with supporting and achieving the goals laid out in the statewide airport system plan and will be guided by the air transportation needs and priorities of airports within the system.

The basic goals within the system plan include, but are not limited to, airport safety, security, infrastructure preservation and sustainment, economic enhancement, capacity, meeting Federal Aviation Administration (FAA) or Department standards, and pro-growth development.

3. The Department shall involve public input during the development of the five-year Airport Construction Program each year and coordinate and receive input from the airports within the statewide airport system plan.

4. The Department shall set realistic project delivery schedules across the five-year window of the Airport Construction Program to maintain the integrity of the Program and to minimize air transportation disruptions.

H. 1. The Department may, insofar as is reasonably possible, make available its engineering and other technical services to any municipality or person desiring them in connection with the planning, acquisition, construction, improvement, maintenance, or operation of airports, vertiports, or air navigation facilities.

2. The Department may render financial assistance by grant or loan or both to any municipality or municipalities acting jointly in the planning, acquisition, construction, improvement, maintenance, or operation of an airport, vertiport, or air navigation facility owned or controlled, or to be owned or controlled, by such municipality or municipalities, out of appropriations or other

monies made available by the Legislature for such purposes. Such financial assistance may be furnished in connection with federal or other financial aid for the same purposes. A project must have been included in the five-year Airport Construction Program and be at an airport that is included in the most current version of the statewide airport system plan to receive financial assistance.

3. The Department shall be designated as the agent of this state or any political subdivision of this state for the purpose of applying for, receiving, administering, and disbursing federal funds and other public monies for the benefit of general aviation airports, except reliever airports, as may be available under applicable federal law or other laws. If requested by a political subdivision, the Department may act as its or their agent in contracting for and supervising such planning, acquisition, construction, improvement, maintenance, or operation; and all political subdivisions are authorized to designate the Department as their agent for the foregoing purposes. The Department, as principal on behalf of the state, may enter into any contracts with the United States or with any person, which may be required in connection with a grant or loan of federal monies for municipal airport, vertiport, or air navigation facility purposes. All federal monies accepted under this section shall be accepted and transferred or expended by the Department upon such terms and conditions as are prescribed by the United States. All monies

received by the Department pursuant to this section shall be deposited in the Oklahoma Department of Aerospace and Aeronautics Revolving Fund in the State Treasury and shall be paid out by the Department in accordance with the terms and conditions of any agreement entered into under the provisions of this section.

I. 1. The Department is authorized on behalf of and in the name of the state, out of appropriations and other monies made available for such purposes, to plan, zone, establish, construct, enlarge, improve, maintain, equip, operate, regulate, protect, and police airports<u>, vertiports,</u> and air navigation facilities, either within or without the state, including the construction, installation, equipping, maintenance, and operation at such airports of buildings and other facilities for the servicing of aircraft or for the comfort and accommodation of air travelers. However, the regulatory authority shall not extend to any airman employed by, nor to any aeronautics facility or aircraft under the exclusive possession, operation, or control of, a person holding a certificate of public convenience and necessity issued by any agency of the United States to operate as a common carrier by air of persons and/or property in interstate commerce. For such purposes the Department may, by purchase, gift, devise, or lease, acquire property, real or personal, or any interest therein including easements in aeronautical hazards or land outside the boundaries of an airport or airport site, as are necessary to permit safe and efficient operation of the state airports or to permit the removal, elimination, obstruction-marking or obstruction-lighting of airport hazards, or to prevent the establishment of airport hazards. In like manner, the Department may acquire existing airports, vertiports, and air navigation facilities. However, the Department shall not acquire or take over any airport, vertiport, or air navigation facility owned or controlled by a municipality of this or any other state without the consent of such municipality. The Department may, by sale, lease, or otherwise, dispose of any such property, airport, vertiport, air navigation facility, or portion thereof or interest therein. The disposal, by sale, lease, or otherwise, shall be in accordance with the laws of this state governing the disposition of other property of the state, except that, in the case of disposals to any municipality or state government or the United States for aeronautical purposes incident thereto, the sale, lease, or other disposal may be effected in such manner and upon such terms as the Department may deem in the best interest of the state.

2. All airports owned by the state shall be within the primary jurisdiction of the Oklahoma Department of Aerospace and Aeronautics for purposes of design, development, and operation; provided, that airports owned and operated by the Oklahoma Space Industry Development Authority shall be exempt from such provisions, and during the time of a national emergency, the Air National Guard

shall be exempt from such provisions, and provided further, that any airport owned by the state may be leased by the Department to a public or private agency, as it may deem fit.

3. Nothing contained in the Oklahoma Department of Aerospace and Aeronautics Act shall be construed to limit any right, power, or authority of the state or a municipality to regulate airport hazards by zoning.

4. The Department may exercise any powers granted by this section jointly with any municipalities or with the United States.

5. a. In operating an airport, vertiport, or air navigation facility owned or controlled by the state, the Department may enter into contracts, leases, and other arrangements for a term not exceeding twenty-five (25) years with any persons granting the privilege of using or improving such airport, vertiport, or air navigation facility or any portion or facility thereof or space therein for commercial purposes; conferring the privilege of supplying goods, commodities, things, services, or facilities at such airport, vertiport, or air navigation facility; or making available services to be furnished by the Department or its agents at such airport or air navigation facility.

In each such case, the Department may establish the terms and conditions and fix the charges, rentals, or fees for the privileges or services, which shall be reasonable and uniform for the same class of privileges or services and shall be established with due regard to the property and improvements used and the expenses of operation to the state; provided, that in no case shall the public be deprived of its rightful, equal, and uniform use of the airport, <u>vertiport,</u> air navigation facility or portion or facility thereof.

b. The Department may by contract, lease, or other arrangement, upon a consideration fixed by it, grant to any qualified person for a term not to exceed twenty-five (25) years the privilege of operating, as <u>an</u> agent of the state or otherwise, any airport<u>, vertiport, or air navigation facility</u> owned or controlled by the state; provided, that no such person shall be granted any authority to operate the airport<u>, vertiport, or air navigation facility</u> other than as a public airport<u>, vertiport, or air navigation facility</u> or to enter into any contracts, leases, or other arrangements in connection with the operation of the airport<u>, vertiport, or air navigation facility</u> which the Department might not have undertaken under subparagraph a of this paragraph.

c. To enforce the payment of any charges for repairs to, or improvements, storage, or care of, any personal property made or furnished by the Department or its agents in connection with the operation of an airport, vertiport, or air navigation facility owned or operated by the state, the state shall have liens on such property, which shall be enforceable by the Department as provided by law.

6. In accepting federal monies under this section, the Department shall have the same authority to enter into contracts on behalf of the state as is granted to the Department under paragraph 3 of subsection H of this section with respect to federal monies accepted on behalf of municipalities. All monies received by the Department pursuant to this section shall be deposited in the Oklahoma Department of Aerospace and Aeronautics Revolving Fund in the State Treasury and shall be paid out of the Department Fund in accordance with the terms and conditions of any agreement entered into under the provisions of this section.

7. The Department shall grant no exclusive right for the use of any airport, vertiport, or air navigation facility under its jurisdiction. This shall not be construed to prevent the making of contracts, leases, and other arrangements pursuant to paragraph 5 of this subsection.

J. The Department may enter into any contracts necessary ~~to~~ <u>for</u> the execution of the powers granted it by the Oklahoma Department of Aerospace and Aeronautics Act. All contracts made by the Department, either as the agent of the state or as the agent of any municipality, shall be made pursuant to the laws of the state governing the making of like contracts. When the planning, acquisition, construction, improvement, maintenance, or operation of any airport<u>, vertiport,</u> or air navigation facility is financed wholly or partially with federal monies, the Department as agent of the state or of any municipality may let contracts in the manner prescribed by the federal authorities acting under the laws of the United States and any rules or regulations made thereunder.

K. 1. The <u>Oklahoma Aerospace and Aeronautics</u> Commission, the <u>Executive</u> Director, or any officer or employee of the Department designated by it shall have the power to hold investigations, inquiries, and hearings concerning matters covered by the provisions of the Oklahoma Department of Aerospace and Aeronautics Act and the rules, regulations, and orders of the Department. Hearings shall be open to the public and shall be held upon such call or notice as the Commission shall deem advisable. Each member of the Commission, the Director, and every officer or employee of the Department designated by it to hold any inquiry, investigation, or hearing shall have the power to administer oaths and affirmations, certify to all official acts, issue subpoenas, and order the attendance and testimony of witnesses and the production of papers, books, and documents. In case of the failure of any person to comply with any subpoena or order issued under the authority of this subsection, or on the refusal of any witness to testify to any matters regarding which he <u>or she</u> may be lawfully interrogated, it shall be the duty of the district court of any county or of the judge thereof, on application of the Department or its authorized representative, to compel obedience by proceedings for contempt, as in the case of disobedience of the requirements of a subpoena issued from such court or a refusal to testify therein.

2. In order to facilitate the making of investigations by the Department in the interest of public safety and promotion of aeronautics the public interest requires, and it is therefore provided, that the reports of investigations or hearings, or any part thereof, shall not be admitted in evidence or used for any purpose in any suit, action, or proceeding growing out of any matter referred to in the investigation, hearing, or report thereof, except in case of any suit, action, or proceeding, civil or criminal, instituted by or in behalf of the Department or in the name of the state under the provisions of the Oklahoma Department of Aerospace and Aeronautics Act or other laws of the state relating to aeronautics; nor shall any member of the Commission, or the <u>Executive</u> Director, or any officer or employee of the Department be required to testify to any facts ascertained in, or information

gained by reason of, such person’s official capacity, or be required to testify as an expert witness in any suit, action, or proceeding involving any aircraft. Subject to the foregoing provisions, the Department may in its discretion make available to appropriate federal, state and municipal agencies information and material developed in the course of its investigations and hearings.

L. 1. The Department is authorized to confer with or to hold joint hearings with any agency of the United States in connection with any matter arising under the Oklahoma Department of Aerospace and Aeronautics Act or relating to the sound development of aerospace and aeronautics.

2. The Department is authorized to avail itself of the cooperation, services, records, and facilities of the agencies of the United States as fully as may be practicable in the administration and enforcement of the Oklahoma Department of Aerospace and Aeronautics Act. The Department shall furnish to the agencies of the United States its cooperation, services, records, and facilities, insofar as may be practicable.

3. The Department shall report to the appropriate agency of the United States all accidents in aeronautics in this state of which it is informed and shall, insofar as is practicable, preserve, protect, and prevent the removal of the component parts of any aircraft involved in an accident being investigated by it until the federal agency institutes an investigation.

M. The Department may organize and administer an aerospace education program in cooperation with universities, colleges and schools for the general public. The Department may also plan and act jointly in a cooperative aviation research or high technology program. As part of these programs, the Department may issue aviation communication films and publications.

N. The Department shall administer an airport inspection program for all public-use airports within this state. The inspection program shall occur on a three-year cycle and shall be administered by the Oklahoma Department of Aerospace and Aeronautics. Airport owners, including individuals and municipalities, shall provide access to airport facilities for conducting the inspections. The Department shall provide a written report to each public-use airport detailing the findings of such inspections.

SECTION 15. REPEALER 3 O.S. 2021, Section 85, as last amended by Section 14, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 85), is hereby repealed.

SECTION 16. REPEALER 3 O.S. 2021, Section 85, as last amended by Section 14, Chapter 135, O.S.L. 2024 (3 O.S. Supp. 2025, Section 85), is hereby repealed.

SECTION 17. REPEALER 3 O.S. 2021, Section 421, as last amended by Section 15, Chapter 18, O.S.L. 2024 (3 O.S. Supp. 2025, Section 421), is hereby repealed.

SECTION 18. AMENDATORY 10 O.S. 2021, Section 1116.2, as amended by Section 7, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025, Section 1116.2), is amended to read as follows:

Section 1116.2. A. There is hereby established a postadjudication review board in each judicial district in the state. Members and alternate members of the postadjudication review boards shall be residents of or employed within the judicial district in which the board serves and shall be appointed by the Director of the Oklahoma Commission on Children and Youth after consultation with judges in the judicial district having juvenile docket responsibility. In the event of a conflict of interest or for any reason when circumstances dictate, the Director may transfer the appointment decision to the Commission whose decision shall be final. An aggrieved candidate may appeal a decision of the Director denying appointment within five (5) days to the Commission, whose decision shall be final. The Commission may establish additional postadjudication review boards as needed for each county within a judicial district.

B. A postadjudication review board for each judicial district shall consist of at least five (5) members. Alternate review board members may be appointed to serve in the absence of ~~a~~ regularly appointed board ~~member~~ members. Alternate board members shall be appointed in the same manner as regularly appointed board members.

C. Board members shall be appointed for a term of five (5) years. Members shall serve after the expiration of their terms until their respective successors shall have been appointed. Vacancies shall be filled for the duration of unexpired terms. The review board members shall be appointed as follows:

1. One member shall be a person who has training or experience in issues concerning child welfare, or a person who has demonstrated an interest in children through voluntary community service or professional activities;

2. Whenever possible, at least one member of the board shall be an individual who has served as a foster parent, provided that no person on the review board shall participate as a board member in any review hearing in which the person is a party; and

3. No more than one person employed by any child welfare agency or juvenile court may be appointed to a board at the same time, provided such person shall not participate in any review hearing in which the person is professionally involved.

D. Each review board shall annually elect a chair and shall provide the Commission with the contact information of the chair. A list of the members of each local board and its officers shall be filed with the Presiding Judge of the judicial district and each judge within the district having juvenile docket responsibility.

E. There shall be a rebuttable presumption that a person participating in a judicial proceeding as a postadjudication review board member, a member of the State Postadjudication Review Advisory Board created in Section 1116.6 of this title, or postadjudication review board staff is acting in good faith. When acting in good faith, a participant shall be immune from any civil liability that might otherwise be incurred or imposed. Each review board shall meet as often as is necessary at a place it designates to carry out the duties of the board established by Section 1116.3 of this title. The review board shall meet at least twice annually. ~~Each review board shall be subject to the provisions of the Oklahoma Open Meeting Act, except that the actual case reviews shall be held in executive session.~~ Upon request, members or prospective members of other review boards, students or researchers may observe, but not participate in, board meetings subject to conditions imposed by the board. Further, members and staff of the State Postadjudication Review Advisory Board who are exercising their oversight responsibilities pursuant to state law may observe, but not participate in, board meetings. All parties shall maintain confidentiality, and the names of the children in placement shall not be published. Temporary ad hoc review boards may be created in counties in which there is no active review board. The Director of the Oklahoma Commission on Children and Youth may appoint active or alternate members of existing review boards to serve as members of local boards that are unable to meet quorum requirements and to temporarily constitute members of a new board where no current board exists. A member appointed to temporary service shall be fully qualified as provided by law, and such service shall terminate when the basis for the appointment is remedied or upon the order of the Director.

F. As a condition of service, members and alternates of a postadjudication review board shall attend the next available orientation program after appointment to the board. Failure to attend an orientation program, at the discretion of the Commission, may result in the removal of the board member. Members shall receive additional training as required by the Commission.

G. Members of postadjudication review boards shall serve without compensation, but shall be reimbursed for travel and training expenses from monies appropriated by the Legislature for such purposes, as provided by the State Travel Reimbursement Act. The Commission shall provide members of postadjudication review boards with necessary operating supplies or members shall be reimbursed for these expenses.

H. The Commission on Children and Youth shall be responsible for developing procedures for the removal of a member from a postadjudication review board. The grounds for removal shall include but not be limited to:

1. Failure to attend board meetings as required by the Commission;

2. Engaging in illegal conduct involving moral turpitude;

3. Engaging in conduct involving dishonesty, fraud, deceit, or misrepresentation; or

4. Wrongful disclosure of information as provided by Section 1116.4 of this title.

I. Necessary staff assistance required by the postadjudication review boards may be provided by the bailiff or bailiffs, or other person designated by the court, of the judges with juvenile docket responsibility in the judicial district. Upon the request of the presiding judge, the Chief Justice of the Supreme Court may authorize additional staff to be paid from local court funds to assist the review board.

The Administrative Director of the Courts may include such additional funding requests in the annual budget for the courts as are necessary to provide staff and administrative support for the review boards.

SECTION 19. REPEALER 10 O.S. 2021, Section 1116.2, as amended by Section 1, Chapter 237, O.S.L. 2024 (10 O.S. Supp. 2025, Section 1116.2), is hereby repealed.

SECTION 20. AMENDATORY 10 O.S. 2021, Section 1116.6, as amended by Section 9, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025, Section 1116.6), is amended to read as follows:

Section 1116.6. A. There is hereby created a State Postadjudication Review Advisory Board which shall meet at least twice each calendar year. The Advisory Board shall have the duty of overseeing implementation of the postadjudication review program in coordination with the Oklahoma Commission on Children and Youth.

B. The Advisory Board shall consist of twenty-one (21) members appointed by the Governor as follows:

1. Eight of the members shall be members of the various review boards throughout the state;

2. Five of the members shall be judges of the district court;

3. Five of the members shall represent the general public and may be foster parents;

4. One of the members shall be a foster parent representing foster parents who have a current contract with the Department of Human Services to provide foster care services;

5. One of the members shall be a foster parent representing child-placing agencies which have current contracts with the Department to provide foster care services; and

6. One of the members shall be a foster parent nominated by any local or statewide foster parent association.

The members shall serve at the pleasure of the Governor. The administrative heads of the divisions which have foster care responsibilities within the Department of Human Services and the Office of Juvenile Affairs or their designees shall serve as ex officio members of the Board.

C. The Director of the Oklahoma Commission on Children and Youth shall make staff support available to the Advisory Board.

The Advisory Board shall have the duty to:

1. Assist in the training of the members of the review boards;

2. Serve, in coordination with the Commission, as a clearinghouse for information concerning the review boards as they relate to the foster care system;

3. Make recommendations to the courts, the Commission, the Governor, the Legislature, the Department of Human Services, the Office of Juvenile Affairs, and other state agencies providing services to children regarding proposed statutory revisions and amendments to court rules and procedures, and review and make recommendations on permanency planning, foster care and child welfare service delivery policies, guidelines, and procedures;

4. Work with both public and private foster care and adoption agencies to inform the public of the need for temporary and permanent homes and other services for deprived children; and

5. Review and make recommendations specifically related to foster care and permanency planning and on any other aspect of the child welfare system it deems necessary.

D. The Commission, with the assistance of the Advisory Board, shall be responsible for developing and providing the necessary training for members of the postadjudication review boards.

E. The Advisory Board shall submit a report of the activities, findings and recommendations of the review boards to the Commission on or before May 1 of each year. The report shall include, but not be limited to, the following:

1. The location of each review board;

2. The names of the members of each board;

3. The number of cases reviewed by each board; and

4. The recommendation categories made by each board.

F. The Commission shall incorporate, as appropriate, the activities and recommendations of the review boards in the annual report required by Section 601.5 of this title.

SECTION 21. REPEALER 10 O.S. 2021, Section 1116.6, as amended by Section 2, Chapter 237, O.S.L. 2024 (10 O.S. Supp. 2025, Section 1116.6), is hereby repealed.

SECTION 22. AMENDATORY 10A O.S. 2021, Section 1-1-105, as amended by Section 1, Chapter 375, O.S.L. 2025 (10A O.S. Supp. 2025, Section 1-1-105), is amended to read as follows:

Section 1-1-105. When used in the Oklahoma Children's Code, unless the context otherwise requires:

1. "Abandonment" means:

a. the willful intent by words, actions, or omissions not to return for a child,

b. the failure to maintain a significant parental relationship with a child through visitation or communication in which incidental or token visits or communication are not considered significant, or

c. the failure to respond to notice of deprived proceedings;

2. "Abuse" means harm or threatened harm to the health, safety, or welfare of a child by a person responsible for the child's health, safety, or welfare, including, but not limited to, nonaccidental physical or mental injury, sexual abuse, or sexual exploitation. Provided, however, that nothing contained in the Oklahoma Children's Code shall prohibit any parent from using ordinary force as a means of discipline including, but not limited to, spanking, switching, or paddling.

a. "Harm or threatened harm to the health, safety, or welfare of a child" means any real or threatened physical, mental, or emotional injury or damage to the body or mind that is not accidental including, but not limited to, sexual abuse, sexual exploitation, neglect, or dependency.

b. "Sexual abuse" includes but is not limited to rape, incest, and lewd or indecent acts or proposals made to a child, as defined by law, by a person responsible for the health, safety, or welfare of the child.

c. "Sexual exploitation" includes but is not limited to allowing, permitting, encouraging, or forcing a child to engage in prostitution, as defined by law, by any person eighteen (18) years of age or older or by a person responsible for the health, safety, or welfare of a child, or allowing, permitting, encouraging, or engaging in the lewd, obscene, or pornographic, as defined by law, photographing, filming, or depicting of a child in those acts by a person responsible for the health, safety, and welfare of the child;

3. "Adjudication" means a finding by the court that the allegations in a petition alleging that a child is deprived are supported by a preponderance of the evidence;

4. "Adjudicatory hearing" means a hearing by the court as provided by Section 1-4-601 of this title;

5. "Age-appropriate or developmentally appropriate" means:

a. activities or items that are generally accepted as suitable for children of the same age or level of maturity or that are determined to be developmentally appropriate for a child, based on the development of cognitive, emotional, physical, and behavioral capacities that are typical for an age or age group, and

b. in the case of a specific child, activities or items that are suitable for that child based on the developmental stages attained by the child with respect to the cognitive, emotional, physical, and behavioral capacities of the specific child.

In the event that any age-related activities have implications relative to the academic curriculum of a child, nothing in this paragraph shall be construed to authorize an officer or employee of the federal government to mandate, direct, or control a state or local educational agency, or the specific instructional content, academic achievement standards and assessments, curriculum, or program of instruction of a school;

6. "Assessment" means a comprehensive review of child safety and evaluation of family functioning and protective capacities that is conducted in response to a child abuse or neglect referral that does not allege a serious and immediate safety threat to a child;

7. "Behavioral health" means mental health, substance abuse, or co-occurring mental health and substance abuse diagnoses, and the continuum of mental health, substance abuse, or co-occurring mental health and substance abuse treatment;

8. "Child" means any unmarried person under eighteen (18) years of age;

9. "Child advocacy center" means a center and the multidisciplinary child abuse team of which it is a member that is accredited by the National Children's Alliance or that is completing a sixth year of reaccreditation. Child advocacy centers shall be classified, based on the child population of a district attorney's district, as follows:

a. nonurban centers in districts with child populations that are less than sixty thousand (60,000), and

b. mid-level nonurban centers in districts with child populations equal to or greater than sixty thousand (60,000), but not including Oklahoma and Tulsa Counties;

10. "Child with a disability" means any child who has a physical or mental impairment which substantially limits one or more of the major life activities of the child, or who is regarded as having such an impairment by a competent medical professional;

11. "Child-placing agency" means an agency that arranges for or places a child in a foster family home, family-style living program, group home, adoptive home, or a successful adulthood program;

12. "Children's emergency resource center" means a community-based program that may provide emergency care and a safe and structured homelike environment or a host home for children providing food, clothing, shelter and hygiene products to each child served; after-school tutoring; counseling services; life-skills training; transition services; assessments; family reunification; respite care; transportation to or from school, doctors' appointments, visitations and other social, school, court or other activities when necessary; and a stable environment for children in crisis who are in custody of the Department of Human Services if permitted under the Department's policies and regulations, or who

have been voluntarily placed by a parent or custodian during a temporary crisis;

13. "Community-based services" or "community-based programs" means services or programs which maintain community participation or supervision in their planning, operation, and evaluation. Community-based services and programs may include, but are not limited to, emergency shelter, crisis intervention, group work, case supervision, job placement, recruitment and training of volunteers, consultation, medical, educational, home-based services, vocational, social, preventive and psychological guidance, training, counseling, early intervention and diversionary substance abuse treatment, sexual abuse treatment, transitional living, independent living, and other related services and programs;

14. "Concurrent permanency planning" means, when indicated, the implementation of two plans for a child entering foster care. One plan focuses on reuniting the parent and child; the other seeks to find a permanent out-of-home placement for the child with both plans being pursued simultaneously;

15. "Court-appointed special advocate" or "CASA" means a responsible adult volunteer who has been trained and is supervised by a court-appointed special advocate program recognized by the court, and when appointed by the court, serves as an officer of the court in the capacity as a guardian ad litem;

16. “Court-appointed special advocate program” means an organized program, administered by either an independent, not-for-profit corporation, a dependent project of an independent, not-for-profit corporation or a unit of local government, which recruits, screens, trains, assigns, supervises and supports volunteers to be available for appointment by the court as guardians ad litem;

17. “Custodian” means an individual other than a parent, legal guardian or Indian custodian, to whom legal custody of the child has been awarded by the court. As used in this title, the term custodian shall not mean the Department of Human Services;

18. “Day treatment” means a nonresidential program which provides intensive services to a child who resides in the child’s own home, the home of a relative, a group home, a foster home, or a residential child care facility. Day treatment programs include, but are not limited to, educational services;

19. “Department” means the Department of Human Services;

20. “Dependency” means a child who is homeless or without proper care or guardianship through no fault of his or her parent, legal guardian, or custodian;

21. “Deprived child” means a child:

a. who is for any reason destitute, homeless, or abandoned,

b. who does not have the proper parental care or guardianship,

c. who has been abused or neglected or is dependent,

d. whose home is an unfit place for the child by reason of depravity on the part of the parent or legal guardian of the child, or other person responsible for the health or welfare of the child,

e. who is a child in need of special care and treatment because of the child's physical or mental condition, and the child's parents, legal guardian, or other custodian is unable or willfully fails to provide such special care and treatment. As used in this paragraph, a child in need of special care and treatment includes, but is not limited to, a child who at birth tests positive for alcohol or a controlled dangerous substance and who, pursuant to a drug or alcohol screen of the child and an assessment of the parent, is determined to be at risk of harm or threatened harm to the health, safety, or welfare of a child,

f. who is a child with a disability deprived of the nutrition necessary to sustain life or of the medical treatment necessary to remedy or relieve a life-threatening medical condition in order to cause or allow the death of the child if such nutrition or medical treatment is generally provided to similarly situated children without a disability or children with disabilities; provided that no medical treatment shall be necessary if, in the reasonable medical judgment of the attending physician, such treatment would be futile in saving the life of the child,

g. who, due to improper parental care and guardianship, is absent from school as specified in Section 10-106 of Title 70 of the Oklahoma Statutes, if the child is subject to compulsory school attendance,

h. whose parent, legal guardian or custodian for good cause desires to be relieved of custody,

i. who has been born to a parent whose parental rights to another child have been involuntarily terminated by the court and the conditions which led to the making of the finding, which resulted in the termination of the parental rights of the parent to the other child, have not been corrected, or

j. whose parent, legal guardian, or custodian has subjected another child to abuse or neglect or has allowed another child to be subjected to abuse or neglect and is currently a respondent in a deprived proceeding.

Nothing in the Oklahoma Children's Code shall be construed to mean a child is deprived for the sole reason the parent, legal guardian, or person having custody or control of a child, in good faith, selects and depends upon spiritual means alone through prayer, in accordance with the tenets and practice of a recognized church or religious denomination, for the treatment or cure of disease or remedial care of such child.

Evidence of material, educational or cultural disadvantage as compared to other children shall not be sufficient to prove that a child is deprived; the state shall prove that the child is deprived as defined pursuant to this title.

Nothing contained in this paragraph shall prevent a court from immediately assuming custody of a child and ordering whatever action may be necessary, including medical treatment, to protect the child’s health or welfare;

22. “Dispositional hearing” means a hearing by the court as provided by Section 1-4-706 of this title;

23. “Drug-endangered child” means a child who is at risk of suffering physical, psychological or sexual harm as a result of the use, possession, distribution, manufacture or cultivation of controlled substances, or the attempt of any of these acts, by a person responsible for the health, safety or welfare of the child, as defined in this section. This term includes circumstances wherein the substance abuse of the person responsible for the health, safety or welfare of the child interferes with that person’s

ability to parent and provide a safe and nurturing environment for the child;

24. "Emergency custody" means the custody of a child prior to adjudication of the child following issuance of an order of the district court pursuant to Section 1-4-201 of this title or following issuance of an order of the district court pursuant to an emergency custody hearing, as specified by Section 1-4-203 of this title;

25. "Facility" means a place, an institution, a building or part thereof, a set of buildings, or an area whether or not enclosing a building or set of buildings used for the lawful custody and treatment of children;

26. "Failure to protect" means failure to take reasonable action to remedy or prevent child abuse or neglect, and includes the conduct of a nonabusing parent or guardian who knows the identity of the abuser or the person neglecting the child, but lies, conceals or fails to report the child abuse or neglect or otherwise take reasonable action to end the abuse or neglect;

27. "Family-style living program" means a residential program providing sustained care and supervision to residents in a homelike environment not located in a building used for commercial activity;

28. "Foster care" or "foster care services" means continuous twenty-four-hour care and supportive services provided for a child in foster placement including, but not limited to, the care,

supervision, guidance, and rearing of a foster child by the foster parent;

29. "Foster family home" means the private residence of a foster parent who provides foster care services to a child. Such term shall include a nonkinship foster family home, a therapeutic foster family home, or the home of a relative or other kinship care home;

30. "Foster parent eligibility assessment" includes a criminal background investigation including, but not limited to, a national criminal history records search based upon the submission of fingerprints, home assessments, and any other assessment required by the Department of Human Services, the Office of Juvenile Affairs, or any child-placing agency pursuant to the provisions of the Oklahoma Child Care Facilities Licensing Act;

31. "Guardian ad litem" means a person appointed by the court pursuant to the provisions of Section 1-4-306 of this title having those duties and responsibilities as set forth in that section. The term guardian ad litem shall refer to a court-appointed special advocate as well as to any other person appointed pursuant to the provisions of Section 1-4-306 of this title to serve as a guardian ad litem;

32. "Guardian ad litem of the estate of the child" means a person appointed by the court to protect the property interests of a child pursuant to Section 1-8-108 of this title;

33. “Group home” means a residential facility licensed by the Department to provide full-time care and community-based services for more than five but fewer than thirteen children;

34. “Harm or threatened harm to the health or safety of a child” means any real or threatened physical, mental, or emotional injury or damage to the body or mind that is not accidental including, but not limited to, sexual abuse, sexual exploitation, neglect, or dependency;

35. “Heinous and shocking abuse” includes, but is not limited to, aggravated physical abuse that results in serious bodily, mental, or emotional injury. “Serious bodily injury” means injury that involves:

a. a substantial risk of death,

b. extreme physical pain,

c. protracted disfigurement,

d. a loss or impairment of the function of a body member, organ, or mental faculty,

e. an injury to an internal or external organ or the body,

f. a bone fracture,

g. sexual abuse or sexual exploitation,

h. chronic abuse including, but not limited to, physical, emotional, or sexual abuse, or sexual exploitation which is repeated or continuing,

i. torture that includes, but is not limited to, inflicting, participating in or assisting in inflicting intense physical or emotional pain upon a child repeatedly over a period of time for the purpose of coercing or terrorizing a child or for the purpose of satisfying the craven, cruel, or prurient desires of the perpetrator or another person, or

j. any other similar aggravated circumstance;

36. "Heinous and shocking neglect" includes, but is not limited to:

a. chronic neglect that includes, but is not limited to, a persistent pattern of family functioning in which the caregiver has not met or sustained the basic needs of a child which results in harm to the child,

b. neglect that has resulted in a diagnosis of the child as a failure to thrive,

c. an act or failure to act by a parent that results in the death or near death of a child or sibling, serious physical or emotional harm, sexual abuse, or sexual exploitation, or presents an imminent risk of serious harm to a child, or

d. any other similar aggravating circumstance;

37. "Individualized service plan" means a document written pursuant to Section 1-4-704 of this title that has the same meaning

as "service plan" or "treatment plan" where those terms are used in the Oklahoma Children's Code;

38. "Infant" means a child who is twelve (12) months of age or younger;

39. "Institution" means a residential facility offering care and treatment for more than twenty residents;

40. a. "Investigation" means a response to an allegation of abuse or neglect that involves a serious and immediate threat to the safety of the child, making it necessary to determine:

(1) the current safety of a child and the risk of subsequent abuse or neglect, and

(2) whether child abuse or neglect occurred and whether the family needs prevention- and intervention-related services.

b. Investigation results in a written response stating one of the following findings:

(1) "substantiated" means the Department has determined, after an investigation of a report of child abuse or neglect and based upon some credible evidence, that child abuse or neglect has occurred. When child abuse or neglect is substantiated, the Department may recommend:

(a) court intervention if the Department finds the health, safety, or welfare of the child is threatened, or

(b) child abuse and neglect prevention- and intervention-related services for the child, parents or persons responsible for the care of the child if court intervention is not determined to be necessary,

(2) "unsubstantiated" means the Department has determined, after an investigation of a report of child abuse or neglect, that insufficient evidence exists to fully determine whether child abuse or neglect has occurred. If child abuse or neglect is unsubstantiated, the Department may recommend, when determined to be necessary, that the parents or persons responsible for the care of the child obtain child abuse and neglect prevention- and intervention-related services, or

(3) "ruled out" means a report in which a child protective services specialist has determined, after an investigation of a report of child abuse or neglect, that no child abuse or neglect has occurred;

41. “Kinship care” means full-time care of a child by a kinship relation;

42. “Kinship guardianship” means a permanent guardianship as defined in this section;

43. “Kinship relation” or “kinship relationship” means relatives, stepparents, or other responsible adults who have a bond or tie with a child or to whom has been ascribed a family relationship role with the child’s parents or the child; provided, however, in cases where the Indian Child Welfare Act applies, the definitions contained in 25 U.S.C., Section 1903 shall control;

44. “Mental health facility” means a mental health or substance abuse treatment facility as defined by the Inpatient Mental Health and Substance Abuse Treatment of Minors Act;

45. “Minor” means the same as the term child as defined in this section;

46. “Minor in need of treatment” means a child in need of mental health or substance abuse treatment as defined by the Inpatient Mental Health and Substance Abuse Treatment of Minors Act;

47. “Multidisciplinary child abuse team” means any team established pursuant to Section 1-9-102 of this title of three or more persons who are trained in the prevention, identification, investigation, prosecution, and treatment of physical and sexual child abuse and who are qualified to facilitate a broad range of prevention- and intervention-related services and services related

to child abuse. For purposes of this definition, “freestanding” means a team not used by a child advocacy center for its accreditation;

48. “Near death” means a child is in serious or critical condition, as certified by a physician, as a result of abuse or neglect;

49. a. “Neglect” means:

(1) the failure or omission to provide any of the following:

(a) adequate nurturance and affection, food, clothing, shelter, sanitation, hygiene, or appropriate education,

(b) medical, dental, or behavioral health care,

(c) supervision or appropriate caretakers to protect the child from harm or threatened harm of which any reasonable and prudent person responsible for the child’s health, safety or welfare would be aware, or

(d) special care made necessary for the child’s health and safety by the physical or mental condition of the child,

(2) the failure or omission to protect a child from exposure to any of the following:

(a) the use, possession, sale, or manufacture of illegal drugs,

(b) illegal activities, or

(c) sexual acts or materials that are not age-appropriate, or

(3) abandonment.

b. Neglect shall not mean a child who engages in independent activities, except if the person responsible for the child’s health, safety or welfare willfully disregards any harm or threatened harm to the child, given the child’s level of maturity, physical condition or mental abilities. Such independent activities include but are not limited to:

(1) traveling to and from school including by walking, running or bicycling,

(2) traveling to and from nearby commercial or recreational facilities,

(3) engaging in outdoor play,

(4) remaining at home unattended for a reasonable amount of time,

(5) remaining in a vehicle if the temperature inside the vehicle is not or will not become dangerously hot or cold, except under the conditions

described in Section 11-1119 of Title 47 of the Oklahoma Statutes, or

(6) engaging in similar activities alone or with other children.

Nothing in this paragraph shall be construed to mean a child is abused or neglected for the sole reason the parent, legal guardian or person having custody or control of a child, in good faith, selects and depends upon spiritual means alone through prayer, in accordance with the tenets and practice of a recognized church or religious denomination, for the treatment or cure of disease or remedial care of such child. Nothing contained in this paragraph shall prevent a court from immediately assuming custody of a child, pursuant to the Oklahoma Children's Code, and ordering whatever action may be necessary, including medical treatment, to protect the child's health or welfare;

50. "Permanency hearing" means a hearing by the court pursuant to Section 1-4-811 of this title;

51. "Permanent custody" means the court-ordered custody of an adjudicated deprived child when a parent-child relationship no longer exists due to termination of parental rights or due to the death of a parent or parents;

52. "Permanent guardianship" means a judicially created relationship between a child, a kinship relation of the child, or

other adult established pursuant to the provisions of Section 1-4-709 of this title;

53. “Person responsible for a child’s health, safety, or welfare” includes a parent; a legal guardian; custodian; a foster parent; a person eighteen (18) years of age or older with whom the child’s parent cohabitates or any other adult residing in the home of the child; an agent or employee of a public or private residential home, institution, facility or day treatment program as defined in Section 175.20 of Title 10 of the Oklahoma Statutes; or an owner, operator, or employee of a child care facility as defined by Section 402 of Title 10 of the Oklahoma Statutes;

54. “Plan of safe care” means a plan developed for an infant with Neonatal Abstinence Syndrome or a Fetal Alcohol Spectrum Disorder upon release from the care of a health care provider that addresses the health and substance use treatment needs of the infant and mother or caregiver;

55. “Protective custody” means custody of a child taken by a law enforcement officer or designated employee of the court without a court order;

56. “Putative father” means an alleged father as that term is defined in Section 7700-102 of Title 10 of the Oklahoma Statutes;

57. “Qualified residential treatment program” means a program that:

a. has a trauma-informed treatment model that is designed to address the needs including clinical needs as appropriate, of children with serious emotional or behavioral disorders or disturbances and, with respect to a child, is able to implement the treatment identified for the child from a required assessment,

b. has registered or licensed nursing staff and other licensed clinical staff who:

(1) provide care within the scope of their practice as defined by the laws of this state,

(2) are on-site according to the treatment model referred to in subparagraph a of this paragraph, and

(3) are available twenty-four (24) hours a day and seven (7) days a week,

c. to the extent appropriate, and in accordance with the child's best interest, facilitates participation of family members in the child's treatment program,

d. facilitates outreach to the family members of the child including siblings, documents how the outreach is made including contact information, and maintains contact information for any known biological family of the child,

e. documents how family members are integrated into the treatment process for the child including post-discharge, and how sibling connections are maintained,

f. provides discharge planning and family-based aftercare support for at least six (6) months post-discharge, and

g. is licensed and accredited by any of the following independent, not-for-profit organizations:

(1) the Commission on Accreditation of Rehabilitation Facilities (CARF),

(2) the Joint Commission,

(3) the Council on Accreditation (COA), or

(4) any other federally approved independent, not-for-profit accrediting organization;

58. "Reasonable and prudent parent standard" means the standard characterized by careful and sensible parental decisions that maintain the health, safety, and best interests of a child while at the same time encouraging the emotional and developmental growth of the child. This standard shall be used by the child's caregiver when determining whether to allow a child to participate in extracurricular, enrichment, cultural, and social activities. For purposes of this definition, the term "caregiver" means a foster parent with whom a child in foster care has been placed, a representative of a group home where a child has been placed or a

designated official for a residential child care facility where a child in foster care has been placed;

59. “Relative” means a grandparent, great-grandparent, brother or sister of whole or half blood, aunt, uncle or any other person related to the child;

60. “Residential child care facility” means a twenty-four-hour residential facility where children live together with or are supervised by adults who are not their parents or relatives;

61. “Review hearing” means a hearing by the court pursuant to Section 1-4-807 of this title;

62. “Risk” means the likelihood that an incident of child abuse or neglect will occur in the future;

63. “Safety threat” means the threat of serious harm due to child abuse or neglect occurring in the present or in the very near future and without the intervention of another person, a child would likely or in all probability sustain severe or permanent disability or injury, illness, or death;

64. “Safety analysis” means action taken by the Department in response to a report of alleged child abuse or neglect that may include an assessment or investigation based upon an analysis of the information received according to priority guidelines and other criteria adopted by the Department;

65. “Safety evaluation” means evaluation of a child’s situation by the Department using a structured, evidence-based tool to determine if the child is subject to a safety threat;

66. “Secure facility” means a facility which is designed and operated to ensure that all entrances and exits from the facility are subject to the exclusive control of the staff of the facility, whether or not the juvenile being detained has freedom of movement within the perimeter of the facility, or a facility which relies on locked rooms and buildings, fences, or physical restraint in order to control behavior of its residents;

67. “Sibling” means a biologically or legally related brother or sister of a child. This includes an individual who satisfies at least one of the following conditions with respect to a child:

a. the individual is considered by state law to be a sibling of the child, or

b. the individual would have been considered a sibling under state law but for a termination or other disruption of parental rights, such as the death of a parent;

68. “Specialized foster care” means foster care provided to a child in a foster home or agency-contracted home which:

a. has been certified by the Developmental Disabilities Services Division of the Department of Human Services,

b. is monitored by the Division, and

c. is funded through the Home and Community-Based Waiver Services Program administered by the Division;

69. "Successful adulthood program" means a program specifically designed to assist a child to enhance those skills and abilities necessary for successful adult living. A successful adulthood program may include, but shall not be limited to, such features as minimal direct staff supervision, and the provision of supportive services to assist children with activities necessary for finding an appropriate place of residence, completing an education or vocational training, obtaining employment, or obtaining other similar services;

70. "Temporary custody" means court-ordered custody of an adjudicated deprived child;

71. "Therapeutic foster family home" means a foster family home which provides specific treatment services, pursuant to a therapeutic foster care contract, which are designed to remedy social and behavioral problems of a foster child residing in the home;

72. "Third party" means any nonkin individual who is not related to the child by blood, marriage, or legal adoption;

73. "Time-limited reunification services" means reunification services provided only during the period of fifteen (15) months that begins on the date the child is considered to have entered foster care;

~~73.~~ 74. "Trafficking in persons" means sex trafficking or severe forms of trafficking in persons as described in Section 7102 of Title 22 of the United States Code:

a. "sex trafficking" means the recruitment, harboring, transportation, provision, obtaining, patronizing or soliciting of a person for the purpose of a commercial sex act, and

b. "severe forms of trafficking in persons" means:

(1) sex trafficking in which a commercial sex act is induced by force, fraud, or coercion, or in which the person induced to perform such act has not attained eighteen (18) years of age, or

(2) the recruitment, harboring, transportation, provision, obtaining, patronizing or soliciting of a person for labor or services, through the use of force, fraud, or coercion for the purpose of subjection to involuntary servitude, peonage, debt bondage, or slavery;

~~74.~~ 75. "Transitional living program" means a residential program that may be attached to an existing facility or operated solely for the purpose of assisting children to develop the skills and abilities necessary for successful adult living. The program may include, but shall not be limited to, reduced staff supervision, vocational training, educational services, employment and employment training, and other appropriate independent living skills training as a part of the transitional living program; and

~~75.~~ 76. "Voluntary foster care placement" means the temporary placement of a child by the parent, legal guardian or custodian of the child in foster care pursuant to a signed placement agreement between the Department or a child-placing agency and the child's parent, legal guardian or custodian.

SECTION 23. REPEALER 10A O.S. 2021, Section 1-1-105, as amended by Section 1, Chapter 149, O.S.L. 2025 (10A O.S. Supp. 2025, Section 1-1-105), is hereby repealed.

SECTION 24. AMENDATORY 15 O.S. 2021, Section 141.13, as amended by Section 7, Chapter 225, O.S.L. 2024 (15 O.S. Supp. 2025, Section 141.13), is amended to read as follows:

Section 141.13. A. No service warranty form or related form shall be issued or used in this state unless the form has been filed with the Insurance Commissioner. Service warranty forms shall not be subject to prior approval and shall be filed with the Insurance Commissioner for informational purposes only.

B. Each service warranty contract shall contain a cancelation provision. In the event the contract is canceled by the warranty holder, return of the provider fee shall be based upon ninety percent (90%) of the unearned pro rata provider fee less the actual cost of any service provided under the service warranty contract. In the event the contract is canceled by the association, return of premium shall be based upon one hundred percent (100%) of unearned pro rata provider fee less the actual cost of any service provided under the service warranty contract.

C. Service warranties shall state the name ~~and~~, address and license number of the service warranty association and shall identify any administrator if different from the service warranty association, the service warranty seller and the service warranty holder to the extent that the name of the service warranty holder has been furnished by the service warranty holder. For service warranties issued on and after July 1, 2017, the identity of the service warranty association and its license number shall be preprinted on the service warranty or added at the time of sale so consumers can clearly identify the obligor of the service warranty. Information to be printed at the time of sale shall be indicated as such at the time the service warranty is filed and a "Jane Doe" specimen shall accompany the service warranty illustrating how the service warranty will look after printing.

Each person and service warranty association shall electronically submit, in the form and manner prescribed by the Commissioner, any change of legal business name, "doing business as" or assumed name, address, or contact email address within thirty (30) days after the change occurred, and any fees deemed necessary by the Commissioner. Any submission of a change under this paragraph received more than thirty (30) days after the change occurs shall be accompanied by a fee of Fifty Dollars ($50.00).

D. The Commissioner shall have the authority to immediately order a service warranty association to stop using any service warranty contract if the Commissioner determines that the form:

1. Violates the Service Warranty Act;

2. Is misleading in any respect; or

3. Is reproduced so that any material provision is substantially illegible.

E. The Insurance Commissioner may, by order, exempt from the requirements of this section for so long as he or she deems proper any document or form or type thereof as specified in such order, to which, in his or her discretion, this section may not practicably be applied, or the filing of which is, in his or her opinion, not desirable or necessary for the protection of the public.

SECTION 25. REPEALER 15 O.S. 2021, Section 141.13, as amended by Section 1, Chapter 72, O.S.L. 2016, is hereby repealed.

SECTION 26. AMENDATORY 18 O.S. 2021, Section 1006, as amended by Section 10, Chapter 120, O.S.L. 2024 (18 O.S. Supp. 2025, Section 1006), is amended to read as follows:

Section 1006.

CERTIFICATE OF INCORPORATION; CONTENTS

A. The certificate of incorporation shall set forth:

1. The name of the corporation which shall contain one of the words “association”, “company”, “corporation”, “club”, “foundation”, “fund”, “incorporated”, “institute”, “society”, “union”, “syndicate”, or “limited” or abbreviations thereof, with or without punctuation, or words or abbreviations thereof, with or without punctuation, of like import of foreign countries or jurisdictions; provided that such abbreviations are written in Roman characters or letters, and which shall be such as to distinguish it upon the records in the Office of the Secretary of State from:

a. names of other corporations, whether domestic or foreign, then existing or which existed at any time during the preceding three (3) years,

b. names of partnerships whether general or limited, or domestic or foreign, then in good standing or registered or which were in good standing or registered at any time during the preceding three (3) years,

c. names of limited liability companies, whether domestic or foreign, then in good standing or registered or which were in good standing or registered at any time during the preceding three (3) years,

d. names of registered series of a limited liability company,

e. trade names or fictitious names filed with the Secretary of State, or

~~c. corporate, limited liability company or limited partnership names~~

f. names of corporations, limited liability companies, limited partnerships, or registered series of limited liability companies reserved with the Secretary of State;

2. The address including the street, number, city and postal code of the corporation's registered office in this state, and the name of the corporation's registered agent at such address;

3. The nature of the business or purposes to be conducted or promoted. It shall be sufficient to state, either alone or with other businesses or purposes, that the purpose of the corporation is to engage in any lawful act or activity for which corporations may be organized under the general corporation law of this state, and by such statement all lawful acts and activities shall be within the purposes of the corporation, except for express limitations, if any;

4. If the corporation is to be authorized to issue only one class of stock, the total number of shares of stock which the corporation shall have authority to issue and the par value of each of such shares, or a statement that all such shares are to be without par value. If the corporation is to be authorized to issue more than one class of stock, the certificate of incorporation shall

set forth the total number of shares of all classes of stock which the corporation shall have authority to issue and the number of shares of each class, and shall specify each class the shares of which are to be without par value and each class the shares of which are to have par value and the par value of the shares of each such class. The provisions of this paragraph shall not apply to corporations which are not organized for profit and which are not to have authority to issue capital stock. In the case of such corporations, the fact that they are not to have authority to issue capital stock shall be stated in the certificate of incorporation. The provisions of this paragraph shall not apply to nonstock corporations. In the case of nonstock corporations, the fact that they are not authorized to issue capital stock shall be stated in the certificate of incorporation. The conditions of membership, or other criteria for identifying members, of nonstock corporations shall likewise be stated in the certificate of incorporation or the bylaws. Nonstock corporations shall have members, but the failure to have members shall not affect otherwise valid corporate acts or work a forfeiture or dissolution of the corporation. Nonstock corporations may provide for classes or groups of members having relative rights, powers and duties, and may make provision for the future creation of additional classes or groups of members having such relative rights, powers and duties as may from time to time be established, including rights, powers and duties senior to existing classes and groups of members. Except as otherwise provided in the Oklahoma General Corporation Act, nonstock corporations may also provide that any member or class or group of members shall have full, limited, or no voting rights or powers, including that any member or class or group of members shall have the right to vote on a specified transaction even if that member or class or group of members does not have the right to vote for the election of members of the governing body of the corporation. Voting by members of a nonstock corporation may be on a per capita, number, financial interest, class, group, or any other basis set forth. The provisions referred to in the three preceding sentences may be set forth in the certificate of incorporation or the bylaws. If neither the certificate of incorporation nor the bylaws of a nonstock corporation state the conditions of membership, or other criteria for identifying members, the members of the corporation shall be deemed to be those entitled to vote for the election of the members of the governing body pursuant to the certificate of incorporation or bylaws of such corporation or otherwise until thereafter otherwise provided by the certificate of incorporation or the bylaws;

5. The name and mailing address of the incorporator or incorporators;

6. If the powers of the incorporator or incorporators are to terminate upon the filing of the certificate of incorporation, the

names and mailing addresses of the persons who are to serve as directors until the first annual meeting of shareholders or until their successors are elected and qualify;

7. If the corporation is not for profit:

a. that the corporation does not afford pecuniary gain, incidentally or otherwise, to its members as such,

b. the name and mailing address of each member of the governing body,

c. the number of members of the governing body to be elected at the first meeting, and

d. in the event the corporation is a church, the street address of the location of the church.

The restriction on affording pecuniary gain to members shall not prevent a not-for-profit corporation operating as a cooperative from rebating excess revenues to patrons who may also be members; and

8. If the corporation is a charitable nonstock and does not otherwise provide in its certificate of incorporation:

a. that the corporation is organized exclusively for charitable, religious, educational, and scientific purposes including, for such purposes, the making of distributions to organizations that qualify as exempt organizations under Section 501(c)(3) of the Internal Revenue Code, or the corresponding section of any future federal tax code,

b. that upon the dissolution of the corporation, its assets shall be distributed for one or more exempt purposes within the meaning of Section 501(c)(3) of the Internal Revenue Code, or the corresponding section of any future federal tax code, for a public purpose, and

c. that the corporation complies with the requirements in paragraph 7 of this subsection.

B. In addition to the matters required to be set forth in the certificate of incorporation pursuant to the provisions of subsection A of this section, the certificate of incorporation may also contain any or all of the following matters:

1. Any provision for the management of the business and for the conduct of the affairs of the corporation, and any provision creating, defining, limiting and regulating the powers of the corporation, the directors, and the shareholders, or any class of the shareholders, or the governing body, the members, or any class or group of the members of a nonstock corporation, if such provisions are not contrary to the laws of this state. Any provision which is required or permitted by any provision of the Oklahoma General Corporation Act to be stated in the bylaws may instead be stated in the certificate of incorporation;

2. The following provisions, in substantially the following form:

a. for a corporation, other than a nonstock corporation: "Whenever a compromise or arrangement is proposed between this corporation and its creditors or any class of them and/or between this corporation and its shareholders or any class of them, any court of equitable jurisdiction within this state, on the application in a summary way of this corporation or of any creditor or shareholder thereof or on the application of any receiver or receivers appointed for this corporation under the provisions of Section 1106 of this title or on the application of trustees in dissolution or of any receiver or receivers appointed for this corporation under the provisions of Section 1100 of this title, may order a meeting of the creditors or class of creditors, and/or of the shareholders or class of shareholders of this corporation, as the case may be, to be summoned in such manner as the court directs. If a majority in number representing three-fourths (3/4) in value of the creditors or class of creditors, and/or of the shareholders or class of shareholders of this corporation, as the case may be, agree to any compromise or arrangement and to any reorganization of this corporation as a consequence of such compromise or arrangement, the compromise or arrangement and the reorganization, if sanctioned by the court to which the application has been made, shall be binding on all the creditors or class of creditors, and/or on all the shareholders or class of shareholders, of this corporation, as the case may be, and also on this corporation", and

b. for a nonstock corporation:

"Whenever a compromise or arrangement is proposed between this corporation and its creditors or any class of them and/or between this corporation and its members or any class of them, any court of equitable jurisdiction within this state may, on the application in a summary way of this corporation or of any creditor or member thereof or on the application of any receiver or receivers appointed for this corporation under the provisions of Section 1106 of this title or on the application of trustees in dissolution or of any receiver or receivers appointed for this corporation under the provisions of Section 1100 of this title, order a meeting of the creditors or class of creditors, and/or of the members or class of members of this corporation, as the case may be, to be summoned in such manner as the court directs. If a majority in number representing three-fourths (3/4) in value of the creditors or class of creditors, and/or of the members or class of members of this corporation, as the case may be, agree to any compromise or arrangement and to any reorganization of this corporation as a consequence of such compromise or arrangement, the compromise or arrangement and the reorganization, if sanctioned by the court to which the application has been made, shall be binding on all the creditors or class of creditors, and/or on all the members or class of members, of this corporation, as the case may be, and also on this corporation";

3. Such provisions as may be desired granting to the holders of the stock of the corporation, or the holders of any class or series of a class thereof, the preemptive right to subscribe to any or all additional issues of stock of the corporation of any or all classes or series thereof, or to any securities of the corporation convertible into such stock. No shareholder shall have any preemptive right to subscribe to an additional issue of stock or to any security convertible into such stock unless, and except to the extent that, such right is expressly granted to him in the certificate of incorporation. Preemptive rights, if granted, shall not extend to fractional shares;

4. Provisions requiring, for any corporate action, the vote of a larger portion of the stock or of any class or series thereof, or of any other securities having voting power, or a larger number of the directors, than is required by the provisions of the Oklahoma General Corporation Act;

5. A provision limiting the duration of the corporation’s existence to a specified date; otherwise, the corporation shall have perpetual existence;

6. A provision imposing personal liability for the debts of the corporation on its shareholders to a specified extent and upon specified conditions; otherwise, the shareholders of a corporation shall not be personally liable for the payment of the corporation’s debts, except as they may be liable by reason of their own conduct or acts; or

7. A provision eliminating or limiting the personal liability of a director or officer to the corporation or its shareholders for monetary damages for breach of fiduciary duty as a director or officer, provided that such provision shall not eliminate or limit the liability of:

a. a director or officer for any breach of the director’s or officer’s duty of loyalty to the corporation or its shareholders,

b. a director or officer for acts or omissions not in good faith or which involve intentional misconduct or a knowing violation of law,

c. a director under Section 1053 of this title,

d. a director or officer for any transaction from which the director or officer derived an improper personal benefit, or

e. an officer in any action by or in the right of the corporation.

No such provision shall eliminate or limit the liability of a director or officer for any act or omission occurring before the date when such provision becomes effective. An amendment, repeal, or elimination of such provision shall not affect its application with respect to an act or omission by a director or officer occurring before the amendment, repeal, or elimination of the provision unless the provision provides otherwise at the time of the act or omission.

Any reference in this subsection to a director shall be deemed to refer to such other persons who, under a provision of the certificate of incorporation in accordance with subsection A of Section 1027 of this title, exercises or performs any of the powers or duties otherwise conferred or imposed upon the board of directors under this title.

C. It shall not be necessary to set forth in the certificate of incorporation any of the powers conferred on corporations by the provisions of the Oklahoma General Corporation Act.

D. Except for provisions included under paragraphs 1, 2, 5, 6 and 7 of subsection A of this section and paragraphs 2, 5 and 7 of subsection B of this section, and provisions included under paragraph 4 of subsection A of this section specifying the classes, number of shares and par value of shares a corporation other than a nonstock corporation is authorized to issue, any provision of the certificate of incorporation may be made dependent upon facts ascertainable outside the instrument, provided that the manner in which the facts shall operate upon the provision is clearly and explicitly set forth therein. As used in this subsection, the term "facts" includes but is not limited to the occurrence of any event including a determination or action by any person or body, including the corporation.

SECTION 27. REPEALER 18 O.S. 2021, Section 1006, as amended by Section 1, Chapter 121, O.S.L. 2024 (18 O.S. Supp. 2025, Section 1006), is hereby repealed.

SECTION 28. AMENDATORY 19 O.S. 2021, Section 1505, as last amended by Section 2, Chapter 85, O.S.L. 2025 (19 O.S. Supp. 2025, Section 1505), is amended to read as follows:

Section 1505. The following procedures shall be used by counties for the requisition, purchase, lease-purchase, rental, and receipt of supplies, materials, road and bridge construction services, equipment, and other services, except for professional services as defined in Section 803 of Title 18 of the Oklahoma Statutes, for the maintenance, operation, and capital expenditures of county government unless otherwise provided for by law.

A. The procedure for requisitioning items for county offices shall be as follows:

1. The requesting department shall prepare a requisition form in triplicate. The requisition shall contain any specifications for an item as deemed necessary by the requesting department. The form shall be prescribed by the State Auditor and Inspector;

2. The requesting department shall retain a copy of the requisition and forward the original requisition and a copy to the county purchasing agent; and

3. Upon receipt of the requisition, the county purchasing agent, within two (2) working days, shall begin the bidding and purchasing process as provided for in this section. Nothing in this section shall prohibit the transfer of supplies, materials, or equipment between county departments upon a written agreement between county officers.

B. The bid procedure for selecting a vendor for the purchase, lease-purchase, or rental of supplies, materials, equipment, and services used by a county shall be as follows:

1. The county purchasing agent shall request written recommendations from all county officers pertaining to needed or commonly used supplies, materials, road and bridge construction services, equipment, and services. From such recommendations and available requisition, purchase, or inventory records, the county purchasing agent shall prepare a list of items needed or commonly used by county officers. The county purchasing agent shall request from the Purchasing Division or from the Information Services Division in the case of information technology and telecommunication goods and services of the Office of Management and Enterprise Services all contracts quoting the price the state is paying for the items. The county purchasing agent shall either request the Purchasing Division or the Information Services Division of the Office of Management and Enterprise Services, as applicable, to make the purchase for the county or the county purchasing agent shall solicit bids for unit prices on the items for periods of not to exceed twelve (12) months in the manner described in paragraph 2 of this subsection. If the county purchasing agent receives a requisition for an item for which the county purchasing agent does not have a current bid, the county purchasing agent shall request from the Purchasing Division or the Information Services Division of the Office of Management and Enterprise Services, as applicable, all contracts quoting the price the state is paying for the item. The county purchasing agent shall either request the Purchasing Division

or the Information Services Division of the Office of Management and Enterprise Services, as applicable, to make the purchase for the county or the county purchasing agent shall solicit bids in the manner described in paragraph 2 of this subsection. Nothing in this paragraph shall prohibit bids from being taken on an item currently on a twelve-month bid list, at any time deemed necessary by the county purchasing agent. Whenever the county purchasing agent deems it necessary to take a bid on an item currently on a twelve-month bid list, the reason for the bid shall be entered into the minutes of the board of county commissioners;

2. Bids shall be solicited by mailing or emailing a notice to all persons or firms who have made a written request of the county purchasing agent that they be notified of such bid solicitation and to all other persons or firms who might reasonably be expected to submit bids. Notice of solicitation of bids shall also be published one time in a newspaper of general circulation in the county. Notices shall be mailed and published at least ten (10) days prior to the date on which the bids are opened. Proof of the mailing or emailing shall be made by the affidavit of the person mailing or emailing the request for bids and shall be made a part of the official records of the county purchasing agent. The notice shall specify whether the county will consider written bids, electronic bids, or both; the decision to exclusively consider either written bids or electronic bids shall be determined pursuant to an

affirmative vote of the board of county commissioners. Whenever any prospective supplier or vendor dealing in or listing for sale any particular item or article required to be purchased or acquired by sealed bids fails to enter or offer a sealed bid for three successive bid solicitations, the name of the supplier or vendor may be dropped from the mailing lists of the board of county commissioners;

3. The sealed bids received from vendors and the state contract price received from the applicable division of the Office of Management and Enterprise Services shall be given to the county clerk by the county purchasing agent. The county clerk shall forward the sealed bids and state contract price, if any, to the board of county commissioners;

4. The board of county commissioners, in an open meeting, shall open the sealed bids and compare them to the state contract price. The board of county commissioners shall select the lowest and best bid based upon, if applicable, the availability of material and transportation cost to the job site within thirty (30) days of the meeting. For any special item not included on the list of needed or commonly used items, the requisitioning official shall review the bids and submit a written recommendation to the board before final approval. The board of county commissioners shall keep a written record of the meeting as required by law, and any time the lowest bid was not considered to be the lowest and best bid, the reason for

such conclusion shall be recorded. Whenever the board of county commissioners rejects the written recommendation of the requisitioning official pertaining to a special item, the reasons for the rejection shall be entered in their minutes and stated in a letter to the requisitioning official and county purchasing agent;

5. The county purchasing agent shall notify the successful bidders and shall maintain a copy of the notification. The county purchasing agent shall prepare and maintain a vendors list specifying the successful bidders and shall notify each county officer of the list. The county purchasing agent may remove any vendor from such list who refuses to provide goods or services as provided by contract if the removal is authorized by the board of county commissioners. The county purchasing agent may make purchases from the remaining bidders for a price at or below the bid price; and

6. When bids have been solicited as provided for by law and no bids have been received, the procedure shall be as follows:

a. the county purchasing agent shall determine if potential vendors are willing to commit to a firm price for a reduced period of time, and, if such is the case, the bid procedure described in this subsection shall be followed,

b. if vendors are not willing to commit to a firm price for a reduced period, the purchasing agent shall solicit and record at least three (3) quotes of current prices available to the county and authorize the purchase of goods or services based on the lowest and best quote as it becomes necessary to acquire such goods or services. The quotes shall be recorded on a form prescribed by the State Auditor and Inspector and shall be attached to the purchase order and filed with the county clerk's copy of the purchase order. Any time the lowest quote was not considered to be the lowest and best quote, the reason for this conclusion shall be recorded by the county purchasing agent and transmitted to the county clerk, or

c. if three quotes are not available, a memorandum to the county clerk from the county purchasing agent shall describe the basis upon which a purchase is authorized. The memorandum shall state the reasons why the price for such a purchase is the lowest and best under the circumstances. The county clerk shall then attach the memorandum to the county clerk's copy of the purchase order and file both in the office of the county clerk.

C. After selection of a vendor, the procedure for the purchase, lease-purchase, or rental of supplies, materials, road and bridge construction services, equipment, and services used by a county shall be as follows:

1. The county purchasing agent shall prepare a purchase order in quadruplicate and submit it with a copy of the requisition to the county clerk;

2. The county clerk shall then encumber the amount stated on the purchase order and assign a sequential number to the purchase order;

3. If there is an unencumbered balance in the appropriation made for that purpose by the county excise board, the county clerk shall so certify in the following form:

"I hereby certify that the amount of this encumbrance has been entered against the designated appropriation accounts and that this encumbrance is within the authorized available balance of the appropriation.

Dated this ________ day of ________, 20__.

____

County Clerk/Deputy

of _____________________ County".

In instances where it is impossible to ascertain the exact amount of the indebtedness sought to be incurred at the time of recording the encumbrance, an estimated amount may be used. No purchase order shall be valid unless signed by the county purchasing agent and certified by the county clerk; and

4. The county clerk shall file the original purchase order and return three (3) copies to the county purchasing agent who shall file a copy, retain a copy for the county road and bridge inventory officer if the purchase order is for the purchase of equipment, supplies, or materials for the construction or maintenance of roads and bridges, and submit the other copy to the receiving officer of the requesting department.

D. 1. The procedure for the purchase of supplies, materials, equipment, and services at public auction or by sealed bid to be used by a county shall be as follows:

a. the county purchasing agent shall prepare a purchase order in quadruplicate and submit it with a copy of the requisition to the county clerk,

b. the county clerk shall then encumber the amount stated on the purchase order and assign a sequential number to the purchase order,

c. if there is an unencumbered balance in the appropriation made for that purpose by the county excise board, the county clerk shall so certify in the following form:

"I hereby certify that the amount of this encumbrance has been entered against the designated appropriation accounts and that this encumbrance is within the authorized available balance of the appropriation.

Dated this ________ day of ________, 20__.

____

County Clerk/Deputy

of _____________________ County".

In instances where it is impossible to ascertain the exact amount of the indebtedness sought to be incurred at the time of recording the encumbrance, an estimated amount may be used. No purchase order shall be valid unless signed by the county purchasing agent and certified by the county clerk, and

d. the county clerk shall file the original purchase order and return three (3) copies to the county purchasing agent who shall file a copy, retain a copy for the county road and bridge inventory officer if the purchase order is for the purchase of equipment, supplies, or materials for the construction or maintenance of roads and bridges, and submit the other copy to the receiving officer of the requesting department.

2. The procedure for the purchase of supplies, materials, and equipment at a public auction when the purchase will be made with the proceeds from the sale of county property at the same public auction is as follows:

a. the purchasing agent shall cause such items being sold to be appraised in the manner determined in Section 421.1 of this title,

b. the county purchasing agent shall prepare a purchase order in quadruplicate and submit it with a copy of the requisition to the county clerk,

c. the county clerk shall then encumber the amount of the appraised value and any additional funds obligated by the county on the purchase order and assign a sequential number to the purchase order,

d. the county clerk shall certify that the amount of the encumbrance is equal to the appraised value of the item being sold plus any additional funds obligated by the county. In effect, the recording of the encumbrance is an estimate that is authorized by law. No purchase order shall be valid unless signed by the county purchasing agent and certified by the county clerk,

e. the county clerk shall file the original purchase order and return three (3) copies to the county purchasing agent who shall file a copy, retain a copy for the county road and bridge inventory officer if the purchase order is for the purchase of equipment, supplies, or materials for the construction or maintenance of roads and bridges, and submit the other copy to the receiving officer of the requesting department, and

f. a purchase shall not be bid until such time that the appraised item or items are sold. Any item or items purchased shall not exceed the appraised value plus any additional funds obligated by the county or the actual selling price of the item or items, whichever is the lesser amount.

E. The procedure for the receipt of items shall be as follows:

1. A receiving officer for the requesting department shall be responsible for receiving all items delivered to that department;

2. Upon the delivery of an item, the receiving officer shall determine if a purchase order exists for the item being delivered;

3. If no such purchase order has been provided, the receiving officer shall refuse delivery of the item;

4. If a purchase order is on file, the receiving officer shall obtain a delivery ticket, bill of lading, or other delivery document and compare it with the purchase order. If any item is back-ordered, the back order and estimated date of delivery shall be noted in the receiving report;

5. The receiving officer shall complete a receiving report in quadruplicate which shall state the quantity and quality of goods delivered. The receiving report form shall be prescribed by the

State Auditor and Inspector. The person delivering the goods shall acknowledge the delivery by signature, noting the date and time;

6. The receiving officer shall file the original receiving report and submit:

a. a copy of the purchase order and a copy of the receiving report to the county purchasing agent, and

b. a copy of the receiving report with the delivery documentation to the county clerk;

7. The county purchasing agent shall file a copy of the purchase order and a copy of the receiving report;

8. Upon receipt of the original receiving report and the delivery documentation, the county clerk shall maintain a file until such time as an invoice is received from the vendor;

9. The invoice shall state the name and address of the vendor and must be sufficiently itemized to clearly describe each item purchased, the unit price when applicable, the number or volume of each item purchased, the total price, the total purchase price, and the date of the purchase;

10. Upon receipt of an invoice, the county clerk shall compare the following documents:

a. requisition,

b. purchase order,

c. invoice with noncollusion affidavit as required by law,

d. receiving report, and

e. delivery document.

The documents shall be available for public inspection during regular business hours; and

11. If the documents conform as to the quantity and quality of the items, the county clerk shall prepare a warrant for payment according to procedures provided for by law.

F. The following procedures are for the processing of purchase orders:

1. The purchasing agent shall be allowed up to three (3) days to process purchase orders to be presented to the board of county commissioners for consideration and payment. Nothing herein shall prevent the purchasing agent from processing or the board of county commissioners from consideration and payment of utilities, travel claims, and payroll claims;

2. The board of county commissioners shall consider the purchase orders so presented and act upon the purchase orders, by allowing in full or in part or by holding for further information or disallowing the same. The disposition of purchase orders shall be indicated by the board of county commissioners, showing the amounts allowed or disallowed, and shall be signed by at least two members of the board of county commissioners. Any claim held over for further information shall be acted upon by allowing or disallowing same at any future meeting of the board held within seventy-five

(75) days from the date of filing of the purchase order. Any purchase order not acted upon within the seventy-five (75) days from the date of filing shall be deemed to have been disallowed, but such disallowance shall not prevent the refiling of the purchase order at the proper time; and

3. Whenever any allowance, either in whole or in part, is made upon any purchase order presented to the board of county commissioners and is accepted by the person making the claim, such allowance shall be a full settlement of the entire purchase order and provided that the cashing of warrant shall be considered as acceptance by the claimant.

G. The procedure upon consumption or disposal of supplies, materials, or equipment shall be as follows:

1. For consumable road or bridge items or materials, a quarterly report of the road and bridge projects completed during such period shall be prepared and kept on file by the consuming department. The quarterly report may be prepared and kept electronically by the consuming department. The report shall contain a record of the date, the place, and the purpose for the use of the road or bridge items or materials. For purposes of identifying county bridges, the board of county commissioners shall number each bridge subject to its jurisdiction; and

2. For disposal of all equipment and information technology and telecommunication goods which originally cost more than Five Hundred

Dollars ($500.00), resolution of disposal shall be submitted by the officer on a form prescribed by the Office of the State Auditor and Inspector to the board of county commissioners. The approval of the resolution of disposal shall be entered into the minutes of the board.

H. Inventory forms and reports shall be retained for not less than two (2) years after all audit requirements for the state and federal government have been fulfilled and after any pending litigation involving the forms and reports has been resolved.

I. The procedures provided for in this section shall not apply when a county officer certifies that an emergency exists requiring an immediate expenditure of funds. Such an expenditure of funds shall not exceed Five Thousand Dollars ($5,000.00). The county officer shall give the county purchasing agent a written explanation of the emergency. The county purchasing agent shall attach the written explanation to the purchase order. The purchases shall be paid by attaching a properly itemized invoice, as described in this section, to a purchase order which has been prepared by the county purchasing agent and submitting them to the county clerk for filing, encumbering, and consideration for payment by the board of county commissioners.

J. The county purchasing agent may authorize county purchasing officers to make acquisitions through the state purchase card program as authorized by the State Purchasing Director in accordance with Section 85.5 of Title 74 of the Oklahoma Statutes and defined in Section 85.2 of Title 74 of the Oklahoma Statutes. A purchase cardholder shall sign a purchase card agreement prior to becoming a cardholder and attend purchase card procedure training as required by the State Purchasing Director. Complete descriptions of purchases made by county government entities shall be published as warrants required to be published pursuant to Sections 444 and 445 of this title.

K. Nothing in this section shall prohibit counties from providing material and/or services bids on the twelve-month bid list to all road and bridge projects and contracts. All non-road and bridge related construction contracts shall refer to subsection A of Section 103 of Title 61 of the Oklahoma Statutes.

<u>L. Nothing in this section or under Section 103 of Title 61 of the Oklahoma Statutes shall prohibit counties from requesting and entering into interlocal agreements pursuant to the Interlocal Cooperation Act for services offered by Circuit Engineering Districts created under Section 687.1 of Title 69 of the Oklahoma Statutes.</u>

SECTION 29. REPEALER 19 O.S. 2021, Section 1505, as last amended by Section 1, Chapter 66, O.S.L. 2025 (19 O.S. Supp. 2025, Section 1505), is hereby repealed.

SECTION 30. AMENDATORY 22 O.S. 2021, Section 60.4, as last amended by Section 704, Chapter 486, O.S.L. 2025 (22 O.S. Supp. 2025, Section 60.4), is amended to read as follows:

Section 60.4. A. 1. A copy of a petition for a protective order, any notice of hearing and a copy of any emergency temporary order or emergency ex parte order issued by the court shall be served upon the defendant in the same manner as a bench warrant. In addition, if the service is to be in another county, the court clerk may issue service to the sheriff by facsimile or other electronic transmission for service by the sheriff and receive the return of service from the sheriff in the same manner. Any fee for service of a petition for protective order, notice of hearing, and emergency ex parte order shall only be charged pursuant to subsection C of Section 60.2 of this title and, if charged, shall be the same as the sheriff's service fee plus mileage expenses.

2. Emergency temporary orders, emergency ex parte orders and notice of hearings shall be given priority for service and can be served twenty-four (24) hours a day when the location of the defendant is known, including service to the county jail if the defendant is currently in custody. The initial attempt at service shall be made within twenty-four (24) hours of the issuance of the order. When service cannot be made upon the defendant by the sheriff, the sheriff may contact another law enforcement officer or

a private investigator or private process server to serve the defendant.

3. An emergency temporary order, emergency ex parte order, a petition for protective order, and a notice of hearing shall have statewide validity and may be transferred to any law enforcement jurisdiction to effect service upon the defendant. The sheriff may transmit the document by electronic means.

4. The return of service shall be submitted to the sheriff's office or court clerk in the court where the petition, notice of hearing or order was issued.

5. When the defendant is a minor child who is ordered removed from the residence of the victim, in addition to those documents served upon the defendant, a copy of the petition, notice of hearing and a copy of any temporary order or ex parte order issued by the court shall be delivered with the child to the caretaker of the place where such child is taken pursuant to Section 2-2-101 of Title 10A of the Oklahoma Statutes.

B. 1. Within fourteen (14) days of the filing of the petition for a protective order, the court shall schedule a full hearing on the petition, if the court finds sufficient grounds within the scope of the Protection from Domestic Abuse Act stated in the petition to hold such a hearing, regardless of whether an emergency temporary order or ex parte order has been previously issued, requested or denied. Provided, however, when the defendant is a minor child who has been removed from the residence pursuant to Section 2-2-101 of Title 10A of the Oklahoma Statutes, the court shall schedule a full hearing on the petition within seventy-two (72) hours, regardless of whether an emergency temporary order or ex parte order has been previously issued, requested or denied.

2. The court may schedule a full hearing on the petition for a protective order within seventy-two (72) hours when the court issues an emergency temporary order or ex parte order suspending child visitation rights due to physical violence or threat of abuse.

3. If service has not been made on the defendant at the time of the hearing, the court shall, at the request of the petitioner, issue a new emergency order reflecting a new hearing date and direct service to issue.

4. A petition for a protective order shall, upon the request of the petitioner, renew every fourteen (14) days with a new hearing date assigned until the defendant is served. A petition for a protective order shall not expire unless the petitioner fails to appear at the hearing or fails to request a new order. A petitioner may move to dismiss the petition and emergency or final order at any time; however, a protective order must be dismissed by court order.

5. Failure to serve the defendant shall not be grounds for dismissal of a petition or an ex parte order unless the victim requests dismissal or fails to appear for the hearing thereon.

6. A final protective order shall be granted or denied within six (6) months of service on the defendant unless all parties agree that a temporary protective order remain in effect; provided, a victim shall have the right to request a final protective order hearing at any time after the passage of six (6) months.

C. 1. At the hearing, the court may impose any terms and conditions in the protective order that the court reasonably believes are necessary to bring about the cessation of domestic abuse against the victim or stalking or harassment of the victim or the immediate family of the victim but shall not impose any term and condition that may compromise the safety of the victim including, but not limited to, mediation, couples counseling, family counseling, parenting classes or joint victim-offender counseling sessions. The court may order the defendant to obtain domestic abuse counseling or treatment in a program certified by the Attorney General at the expense of the defendant pursuant to Section 644 of Title 21 of the Oklahoma Statutes.

2. If the court grants a protective order and the defendant is a minor child, the court shall order a preliminary inquiry in a juvenile proceeding to determine whether further court action pursuant to the Oklahoma Juvenile Code should be taken against a juvenile defendant.

D. Final protective orders authorized by this section shall be on a standard form developed by the Administrative Office of the Courts.

E. 1. After notice and hearing, protective orders authorized by this section may require the defendant to undergo treatment or participate in the court-approved counseling services necessary to bring about cessation of domestic abuse against the victim pursuant to Section 644 of Title 21 of the Oklahoma Statutes but shall not order any treatment or counseling that may compromise the safety of the victim including, but not limited to, mediation, couples counseling, family counseling, parenting classes or joint victim-offender counseling sessions.

2. The defendant may be required to pay all or any part of the cost of such treatment or counseling services. The court shall not be responsible for such cost.

3. Should the plaintiff choose to undergo treatment or participate in court-approved counseling services for victims of domestic abuse, the court may order the defendant to pay all or any part of the cost of such treatment or counseling services if the court determines that payment by the defendant is appropriate.

F. When necessary to protect the victim and when authorized by the court, protective orders granted pursuant to the provisions of this section may be served upon the defendant by a peace officer, sheriff, constable, or policeman or other officer whose duty it is to preserve the peace, as defined by Section 99 of Title 21 of the Oklahoma Statutes.

G. 1. Any protective order issued on or after November 1, 2012, pursuant to subsection C of this section shall be:

a. for a fixed period not to exceed a period of five (5) years unless extended, modified, vacated or rescinded upon motion by either party or if the court approves any consent agreement entered into by the plaintiff and defendant; provided, if the defendant is incarcerated, the protective order shall remain in full force and effect during the period of incarceration. The period of incarceration, in any jurisdiction, shall not be included in the calculation of the five-year time limitation, or

b. continuous upon a specific finding by the court of one of the following:

(1) the person has a history of violating the orders of any court or governmental entity,

(2) the person has previously been convicted of a violent felony offense,

(3) the person has a previous felony conviction for stalking as provided in Section 1173 of Title 21 of the Oklahoma Statutes,

(4) a court order for a final Victim Protection Order has previously been issued against the person in this state or another state, or

(5) the victim provides proof that a continuous protective order is necessary for his or her protection.

Further, the court may take into consideration whether the person has a history of domestic violence or a history of other violent acts. The protective order shall remain in effect until modified, vacated or rescinded upon motion by either party or if the court approves any consent agreement entered into by the plaintiff and defendant. If the defendant is incarcerated, the protective order shall remain in full force and effect during the period of incarceration.

2. The court shall notify the parties at the time of the issuance of the protective order of the duration of the protective order.

3. Upon the filing of a motion by either party to modify, extend, or vacate a protective order, a hearing shall be scheduled and notice given to the parties. At the hearing, the issuing court may take such action as is necessary under the circumstances.

4. If a child has been removed from the residence of a parent or custodial adult because of domestic abuse committed by the child, the parent or custodial adult may refuse the return of such child to

the residence unless, upon further consideration by the court in a juvenile proceeding, it is determined that the child is no longer a threat and should be allowed to return to the residence.

H. 1. It shall be unlawful for any person to knowingly and willfully seek a protective order against a spouse or ex-spouse pursuant to the Protection from Domestic Abuse Act for purposes of harassment, undue advantage, intimidation, or limitation of child visitation rights in any divorce proceeding or separation action without justifiable cause.

2. The violator shall, upon conviction thereof, be guilty of a misdemeanor punishable by imprisonment in the county jail for a period not exceeding one (1) year or by a fine not to exceed Five Thousand Dollars ($5,000.00), or by both such fine and imprisonment.

3. A second or subsequent conviction under this subsection shall be a Class D3 felony offense punishable by imprisonment as provided for in subsections B through F of Section 20P of Title 21 of the Oklahoma Statutes, or by a fine not to exceed Ten Thousand Dollars ($10,000.00), or by both such fine and imprisonment.

I. 1. A protective order issued under the Protection from Domestic Abuse Act shall not in any manner affect title to real property, purport to grant to the parties a divorce or otherwise purport to determine the issues between the parties as to child custody, visitation or visitation schedules, child support or division of property or any other like relief obtainable pursuant to

Title 43 of the Oklahoma Statutes, except child visitation orders may be temporarily suspended or modified to protect from threats of abuse or physical violence by the defendant or a threat to violate a custody order. Orders not affecting title may be entered for good cause found to protect an animal owned by either of the parties or any child living in the household.

2. When granting any protective order for the protection of a minor child from violence or threats of abuse, the court shall allow visitation only under conditions that provide adequate supervision and protection to the child while maintaining the integrity of a divorce decree or temporary order.

J. 1. In order to ensure that a petitioner can maintain an existing wireless telephone number or household utility account, the court, after providing notice and a hearing, may issue an order directing a wireless service provider or public utility provider to transfer the billing responsibility for and rights to the wireless telephone number or numbers of any minor children in the care of the petitioning party or household utility account to the petitioner if the petitioner is not the wireless service or public utility account holder.

2. The order transferring billing responsibility for and rights to the wireless telephone number or numbers or household utility account to the petitioner shall list the name and billing telephone number of the account holder, the name and contact information of

the person to whom the telephone number or numbers or household utility account will be transferred and each telephone number or household utility to be transferred to that person. The court shall ensure that the contact information of the petitioner is not provided to the account holder in proceedings held under this subsection.

3. Upon issuance, a copy of the final order of protection shall be transmitted, either electronically or by certified mail, to the registered agent of the wireless service provider or public utility provider listed with the Secretary of State or Corporation Commission of Oklahoma or electronically to the email address provided by the wireless service provider or public utility provider. Such transmittal shall constitute adequate notice for the wireless service provider or public utility provider.

4. If the wireless service provider or public utility provider cannot operationally or technically effectuate the order due to certain circumstances, the wireless service provider or public utility provider shall notify the petitioner. Such circumstances shall include, but not be limited to, the following:

a. the account holder has already terminated the account,

b. the differences in network technology prevent the functionality of a mobile device on the network, or

c. there are geographic or other limitations on network or service availability.

5. Upon transfer of billing responsibility for and rights to a wireless telephone number or numbers or household utility account to the petitioner under the provisions of this subsection by a wireless service provider or public utility provider, the petitioner shall assume all financial responsibility for the transferred wireless telephone number or numbers or household utility account, monthly service and utility billing costs and costs for any mobile device associated with the wireless telephone number or numbers. The wireless service provider or public utility provider shall have the right to pursue the original account holder for purposes of collecting any past due amounts owed to the wireless service provider or public utility provider.

6. The provisions of this subsection shall not preclude a wireless service provider or public utility provider from applying any routine and customary requirements for account establishment to the petitioner as part of this transfer of billing responsibility for a household utility account or for a wireless telephone number or numbers and any mobile devices attached to that number including, but not limited to, identification, financial information and customer preferences.

7. The provisions of this subsection shall not affect the ability of the court to apportion the assets and debts of the parties as provided for in law or the ability to determine the temporary use, possession and control of personal property.

8. No cause of action shall lie against any wireless service provider or public utility provider, its officers, employees or agents for actions taken in accordance with the terms of a court order issued under the provisions of this subsection.

9. As used in this subsection:

a. "wireless service provider" means a provider of commercial mobile service under Section 332(d) of the federal Telecommunications Act of 1996,

b. "public utility provider" means every corporation organized or doing business in this state that owns, operates or manages any plant or equipment for the manufacture, production, transmission, transportation, delivery or furnishing of water, heat or light with gas or electric current for heat, light or power, for public use in this state, and

c. "household utility account" shall include utility services for water, heat, light, power or gas that are provided by a public utility provider.

K. 1. A court shall not issue any mutual protective orders.

2. If both parties allege domestic abuse by the other party, the parties shall do so by separate petitions. The court shall review each petition separately in an individual or a consolidated hearing and grant or deny each petition on its individual merits. If the court finds cause to grant both motions, the court shall do

so by separate orders and with specific findings justifying the issuance of each order.

3. The court may only consolidate a hearing if:

a. the court makes specific findings that:

(1) sufficient evidence exists of domestic abuse, stalking, harassment or rape against each party, and

(2) each party acted primarily as aggressors,

b. the defendant filed a petition with the court for a protective order no less than three (3) days, not including weekends or holidays, prior to the first scheduled full hearing on the petition filed by the plaintiff, and

c. the defendant had no less than forty-eight (48) hours of notice prior to the full hearing on the petition filed by the plaintiff.

L. The court may allow a plaintiff or victim to be accompanied by a victim support person at court proceedings. A victim support person shall not make legal arguments; however, a victim support person who is not a licensed attorney may offer the plaintiff or victim comfort or support and may remain in close proximity to the plaintiff or victim.

SECTION 31. REPEALER 22 O.S. 2021, Section 60.4, as last amended by Section 1, Chapter 40, O.S.L. 2025 (22 O.S. Supp. 2025, Section 60.4), is hereby repealed.

SECTION 32. AMENDATORY 22 O.S. 2021, Section 60.6, as amended by Section 474, Chapter 486, O.S.L. 2025 (22 O.S. Supp. 2025, Section 60.6), is amended to read as follows:

Section 60.6. A. Except as otherwise provided by this section, any person who:

1. Has been served with an emergency temporary, ex parte or final protective order or foreign protective order and is in violation of such protective order, upon conviction, shall be guilty of a misdemeanor and shall be punished by a fine of not more than One Thousand Dollars ($1,000.00) or by a term of imprisonment in the county jail of not more than one (1) year, or by both such fine and imprisonment; and

2. After a previous conviction of a violation of a protective order, is convicted of a second or subsequent offense pursuant to the provisions of this section shall, upon conviction, be guilty of a Class D1 felony offense and shall be punished by a term of imprisonment as provided for in subsections B through F of Section 20N of Title 21 of the Oklahoma Statutes, or by a fine of not less than Two Thousand Dollars ($2,000.00) nor more than Ten Thousand Dollars ($10,000.00), or by both such fine and imprisonment.

B. 1. Any person who has been served with an emergency temporary, ex parte or final protective order or foreign protective order who violates the protective order and causes physical injury or physical impairment to the plaintiff or to any other person named in said protective order shall, upon conviction, be guilty of a misdemeanor and shall be punished by a term of imprisonment in the county jail for not less than twenty (20) days nor more than one (1) year. In addition to the term of imprisonment, the person may be punished by a fine not to exceed Five Thousand Dollars ($5,000.00).

2. Any person who is convicted of a second or subsequent violation of a protective order which causes physical injury or physical impairment to a plaintiff or to any other person named in the protective order shall be guilty of a Class D1 felony offense and shall be punished by a term of imprisonment in the custody of the Department of Corrections of not less than one (1) year nor more than five (5) years, or by a fine of not less than Three Thousand Dollars ($3,000.00) nor more than Ten Thousand Dollars ($10,000.00), or by both such fine and imprisonment.

3. In determining the term of imprisonment required by this section, the jury or sentencing judge shall consider the degree of physical injury or physical impairment to the victim.

4. The provisions of this subsection shall not affect the applicability of Sections 644, 645, 647 and 652 of Title 21 of the Oklahoma Statutes.

C. The minimum sentence of imprisonment issued pursuant to the provisions of paragraph 2 of subsection A and paragraph 2 of subsection B of this section shall not be subject to statutory provisions for suspended sentences, deferred sentences or probation, provided the court may subject any remaining penalty under the jurisdiction of the court to the statutory provisions for suspended sentences, deferred sentences or probation.

D. In addition to any other penalty specified by this section, the court shall require a defendant to undergo the treatment or participate in the counseling services necessary to bring about the cessation of domestic abuse against the victim or to bring about the cessation of stalking or harassment of the victim. For every conviction of violation of a protective order:

1. The court shall specifically order as a condition of a suspended sentence or probation that a defendant participate in counseling or undergo treatment to bring about the cessation of domestic abuse as specified in paragraph 2 of this subsection;

2. a. The court shall require the defendant to participate in counseling or undergo treatment for domestic abuse by an individual licensed practitioner or a domestic abuse treatment program certified by the Attorney General. If the defendant is ordered to participate in a domestic abuse counseling or treatment program, the order shall require the defendant to attend the

program for a minimum of fifty-two (52) weeks, complete the program, and be evaluated before and after attendance of the program by a program counselor or a private counselor.

b. A program for anger management, couples counseling, or family and marital counseling shall not solely qualify for the counseling or treatment requirement for domestic abuse pursuant to this subsection. The counseling may be ordered in addition to counseling specifically for the treatment of domestic abuse or per evaluation as set forth below. If, after sufficient evaluation and attendance at required counseling sessions, the domestic violence treatment program or licensed professional determines that the defendant does not evaluate as a perpetrator of domestic violence or does evaluate as a perpetrator of domestic violence and should complete other programs of treatment simultaneously or prior to domestic violence treatment, including but not limited to programs related to the mental health, apparent substance or alcohol abuse or inability or refusal to manage anger, the defendant shall be ordered to complete the counseling as per the recommendations of the domestic violence treatment program or licensed professional;

3. a. The court shall set a review hearing no more than one hundred twenty (120) days after the defendant is ordered to participate in a domestic abuse counseling program or undergo treatment for domestic abuse to assure the attendance and compliance of the defendant with the provisions of this subsection and the domestic abuse counseling or treatment requirements.

b. The court shall set a second review hearing after the completion of the counseling or treatment to assure the attendance and compliance of the defendant with the provisions of this subsection and the domestic abuse counseling or treatment requirements. The court may suspend sentencing of the defendant until the defendant has presented proof to the court of enrollment in a program of treatment for domestic abuse by an individual licensed practitioner or a domestic abuse treatment program certified by the Attorney General and attendance at weekly sessions of such program. Such proof shall be presented to the court by the defendant no later than one hundred twenty (120) days after the defendant is ordered to such counseling or treatment. At such time, the court may complete sentencing, beginning the period of the sentence from the date that proof of enrollment is presented to the court, and schedule reviews as required by subparagraphs a and b of this paragraph and paragraphs 4 and 5 of this subsection. The court shall retain continuing jurisdiction over the defendant during the course of ordered counseling through the final review hearing;

4. The court may set subsequent or other review hearings as the court determines necessary to assure the defendant attends and fully complies with the provisions of this subsection and the domestic abuse counseling or treatment requirements;

5. At any review hearing, if the defendant is not satisfactorily attending individual counseling or a domestic abuse counseling or treatment program or is not in compliance with any domestic abuse counseling or treatment requirements, the court may order the defendant to further or continue counseling, treatment, or other necessary services. The court may revoke all or any part of a suspended sentence, deferred sentence, or probation pursuant to Section 991b of this title and subject the defendant to any or all remaining portions of the original sentence;

6. At the first review hearing, the court shall require the defendant to appear in court. Thereafter, for any subsequent review hearings, the court may accept a report on the progress of the

defendant from individual counseling, domestic abuse counseling, or the treatment program. There shall be no requirement for the victim to attend review hearings; and

7. If funding is available, a referee may be appointed and assigned by the presiding judge of the district court to hear designated cases set for review under this subsection. Reasonable compensation for the referees shall be fixed by the presiding judge. The referee shall meet the requirements and perform all duties in the same manner and procedure as set forth in Sections 1-8-103 and 2-2-702 of Title 10A of the Oklahoma Statutes pertaining to referees appointed in juvenile proceedings.

E. Emergency temporary, ex parte and final protective orders shall include notice of these penalties.

F. When a minor child violates the provisions of any protective order, the violation shall be heard in a juvenile proceeding and the court may order the child and the parent or parents of the child to participate in family counseling services necessary to bring about the cessation of domestic abuse against the victim and may order community service hours to be performed in lieu of any fine or imprisonment authorized by this section.

G. Any district court of this state and any judge thereof shall be immune from any liability or prosecution for issuing an order that requires a defendant to:

1. Attend a treatment program for domestic abusers certified by the Attorney General;

2. Attend counseling or treatment services ordered as part of any final protective order or for any violation of a protective order; and

3. Attend, complete, and be evaluated before and after attendance by a treatment program for domestic abusers certified by the Attorney General.

H. At no time, under any proceeding, may a person protected by a protective order be held to be in violation of that protective order. Only a defendant against whom a protective order has been issued may be held to have violated the order.

I. In addition to any other penalty specified by this section, the court may order a defendant to use an active, real-time, twenty-four-hour Global Positioning System (GPS) monitoring device as a condition of a sentence. The court may further order the defendant to pay costs and expenses related to the GPS device and monitoring.

J. Any pleas of guilty or nolo contendere or finding of guilt to a violation of any provision of this section shall constitute a conviction of the offense for the purpose of any subsection of this section under which the existence of a prior conviction is relevant for a period of ten (10) years following the completion of any sentence or court imposed probationary term.

SECTION 33. REPEALER 22 O.S. 2021, Section 60.6, as amended by Section 2, Chapter 145, O.S.L. 2025 (22 O.S. Supp. 2025, Section 60.6), is hereby repealed.

SECTION 34. AMENDATORY 22 O.S. 2021, Section 152, as last amended by Section 1, Chapter 115, O.S.L. 2025 (22 O.S. Supp. 2025, Section 152), is amended to read as follows:

Section 152. A. Prosecutions for the crimes of bribery, embezzlement of public money, bonds, securities, assets or property of the state or any county, school district, municipality or other subdivision thereof, or of any misappropriation of public money, bonds, securities, assets or property of the state or any county, school district, municipality or other subdivision thereof, falsification of public records of the state or any county, school district, municipality or other subdivision thereof, and conspiracy to defraud the State of Oklahoma or any county, school district, municipality or other subdivision thereof in any manner or for any purpose shall be commenced within seven (7) years after the discovery of the crime; provided, however, prosecutions for the crimes of embezzlement or misappropriation of public money, bonds, securities, assets or property of any school district, including those relating to student activity funds, or the crime of falsification of public records of any independent school district, the crime of criminal conspiracy, the crime of embezzlement pursuant to Sections 1451 through 1461 of Title 21 of the Oklahoma Statutes, the crime of False Personation or Identity Theft pursuant to Sections 1531 through 1533.3 of Title 21 of the Oklahoma Statutes, the financial exploitation of a vulnerable adult pursuant to Sections 843.1, 843.3 and 843.4 of Title 21 of the Oklahoma Statutes, or Medicaid fraud pursuant to Section 1005 of Title 56 of the Oklahoma Statutes, shall be commenced within five (5) years after the discovery of the crime.

B. Prosecutions for criminal violations of any state income tax laws shall be commenced within five (5) years after the commission of such violation.

C. 1. Prosecutions for sexual crimes against children, specifically rape or forcible sodomy, sodomy, lewd or indecent proposals or acts against children, involving minors in pornography pursuant to Section 886, 888, 1111, 1111.1, 1113, 1114, 1021.2, 1021.3, 1040.12a or 1123 of Title 21 of the Oklahoma Statutes, any offense prohibited by Section 843.5 of Title 21 of the Oklahoma Statutes, sexual abuse of a vulnerable adult pursuant to Section 843.1 of Title 21 of the Oklahoma Statutes, child trafficking pursuant to Section 866 of Title 21 of the Oklahoma Statutes, nonconsensual dissemination of private sexual images pursuant to Section 1040.13b of Title 21, and failure to report abuse or neglect pursuant to Section 1-2-101 of Title 10A of the Oklahoma Statutes shall be commenced by the forty-fifth birthday of the alleged victim. Prosecutions for such crimes committed against victims eighteen (18) years of age or older, and sexual abuse of a vulnerable adult pursuant to Section 843.1 of Title 21 of the Oklahoma Statutes, shall be commenced within twenty (20) years after the discovery of the crime. As used in this paragraph, "discovery" means the date that a physical or sexually related crime involving a victim eighteen (18) years of age or older is reported to a law enforcement agency. Any offense for which the prosecution is not time-barred upon the effective date of this act shall be retroactively subject to the provisions of this subsection.

2. However, prosecutions for the crimes listed in paragraph 1 of this subsection may be commenced at any time after the commission of the offense if:

a. physical evidence is collected and preserved that is capable of being tested to obtain a profile from deoxyribonucleic acid (DNA), and

b. probable cause as to the identity of the offender is subsequently established through the use of a DNA profile using evidence listed in subparagraph a of this paragraph, or

c. the accused person has provided a confession or admission related to the crime.

3. No prosecution under this subsection shall be based upon the memory of the victim that has been recovered through psychotherapy unless there is some evidence independent of such repressed memory.

4. Any person who knowingly and willfully makes a false claim pursuant to this subsection or a claim that the person knows lacks factual foundation may be reported to local law enforcement for criminal investigation and, upon conviction, shall be guilty of a felony.

D. Prosecutions for criminal violations of any provision of the Oklahoma Wildlife Conservation Code shall be commenced within three (3) years after the commission of such offense.

E. Prosecutions for the crime of criminal fraud or workers' compensation fraud pursuant to Section 1541.1, 1541.2, 1662 or 1663 of Title 21 of the Oklahoma Statutes shall commence within three (3) years after the discovery of the crime, but in no event greater than seven (7) years after the commission of the crime.

F. Prosecution for the crime of false or bogus check pursuant to Section 1541.1, 1541.2, 1541.3 or 1541.4 of Title 21 of the Oklahoma Statutes shall be commenced within five (5) years after the commission of such offense.

G. Prosecution for the crime of solicitation for murder in the first degree pursuant to Section 701.16 of Title 21 of the Oklahoma Statutes shall be commenced within seven (7) years after the discovery of the crime. For purposes of this subsection, "discovery" means the date upon which the crime is made known to anyone other than a person involved in the solicitation.

H. In all other cases a prosecution for a public offense must be commenced within three (3) years after its commission.

I. Prosecution for the crime of accessory after the fact must be commenced within the same statute of limitations as that of the felony for which the person acted as an accessory.

J. Prosecution for the crime of arson pursuant to Section 1401, 1402, 1403, 1404 or 1405 of Title 21 of the Oklahoma Statutes shall be commenced within seven (7) years after the commission of the crime.

K. Prosecutions for criminal violations in which a deadly weapon is used to commit a felony or prosecutions for criminal violations in which a deadly weapon is used in an attempt to commit a felony shall be commenced within seven (7) years after the commission of the crime.

L. Prosecutions for the crime of human trafficking pursuant to Section 748 of Title 21 of the Oklahoma Statutes shall be commenced within three (3) years after discovery of the crime. For purposes of this subsection, “discovery” means the date upon which the crime is reported to a law enforcement agency.

SECTION 35. REPEALER 22 O.S. 2021, Section 152, as last amended by Section 1, Chapter 310, O.S.L. 2024 (22 O.S. Supp. 2025, Section 152), is hereby repealed.

SECTION 36. AMENDATORY 47 O.S. 2021, Section 6-101, as last amended by Section 3, Chapter 330, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-101), is amended to read as follows:

Section 6-101. A. No person, except those hereinafter expressly exempted in Sections 6-102 and 6-102.1 of this title, shall operate any motor vehicle upon a highway in this state unless the person has a valid Oklahoma driver license for the class of vehicle being operated under the provisions of this title. No person shall be permitted to possess more than one valid license at any time, except as provided in paragraph 4 of subsection F of this section.

B. 1. No person shall operate a Class A commercial motor vehicle unless the person is eighteen (18) years of age or older and holds a valid Class A commercial license, except as provided in paragraph 5 of this subsection and subsection F of this section. Any person holding a valid Class A commercial license shall be permitted to operate motor vehicles in Classes A, B, C and D, except as provided for in paragraph 4 of this subsection.

2. No person shall operate a Class B commercial motor vehicle unless the person is eighteen (18) years of age or older and holds a valid Class B commercial license, except as provided in paragraph 5 of subsection F of this section. Any person holding a valid Class B commercial license shall be permitted to operate motor vehicles in

Classes B, C and D, except as provided for in paragraph 4 of this subsection.

3. No person shall operate a Class C commercial motor vehicle unless the person is eighteen (18) years of age or older and holds a valid Class C commercial license, except as provided in subsection F of this section. Any person holding a valid Class C commercial license shall be permitted to operate motor vehicles in Classes C and D, except as provided for in paragraph 4 of this subsection.

4. No person under twenty-one (21) years of age shall be licensed to operate any motor vehicle which is required to be placarded for hazardous materials pursuant to 49 C.F.R., Part 172, subpart F, except as provided in subsection F of this section; provided, a person eighteen (18) years of age or older may be licensed to operate a farm vehicle which is required to be placarded for hazardous materials pursuant to 49 C.F.R., Part 172, subpart F, except as provided in subsection F of this section.

5. A person at least seventeen (17) years of age who successfully completes all examinations required by law may be issued by Service Oklahoma:

a. a restricted Class A commercial license which shall grant to the licensee the privilege to operate a Class A or Class B commercial motor vehicle for harvest purposes or a Class D motor vehicle, or

b. a restricted Class B commercial license which shall grant to the licensee the privilege to operate a Class B commercial motor vehicle for harvest purposes or a Class D motor vehicle.

6. No person shall operate a Class D motor vehicle unless the person is sixteen (16) years of age or older and holds a valid Class D license, except as provided for in Section 6-102 or 6-105 of this title. Any person holding a valid Class D license shall be permitted to operate motor vehicles in Class D only.

C. Any person issued a driver license pursuant to this section may exercise the privilege thereby granted upon all streets and highways in this state.

D. No person shall operate a motorcycle or motor-driven cycle without having a valid Class A, B, C or D license with a motorcycle endorsement. Except as otherwise provided by law, any new applicant for an original driver license shall be required to successfully complete a written examination, vision examination and driving examination for a motorcycle as prescribed by the Department of Public Safety, in conjunction with Service Oklahoma, and a certified state-approved motorcycle basic rider course approved by the Department, in conjunction with Service Oklahoma, if the applicant is seventeen (17) years of age or younger to be eligible for a motorcycle endorsement thereon. The written examination and driving examination for a motorcycle shall be waived by Service Oklahoma upon verification that the person has successfully completed a certified Motorcycle Safety Foundation rider course approved by the Department, in conjunction with Service Oklahoma.

E. Except as otherwise provided by law, any person who lawfully possesses a valid Oklahoma driver license which is eligible for renewal shall be required to successfully complete a written examination~~, vision examination~~ and driving examination for a motorcycle as prescribed by the Department, in conjunction with Service Oklahoma, and a certified state-approved motorcycle basic rider course approved by the Department, in conjunction with Service Oklahoma, if the person is seventeen (17) years of age or younger to be eligible for a motorcycle endorsement. The written examination and driving examination for a motorcycle shall be waived by Service Oklahoma upon verification that the person has successfully completed a certified Motorcycle Safety Foundation rider course approved by the Department, in conjunction with Service Oklahoma.

F. 1. Any person eighteen (18) years of age or older may apply for a restricted Class A, B or C commercial learner permit. Service Oklahoma, after the applicant has passed all parts of the examination for a Class D license and has successfully passed all parts of the examination for a Class A, B or C commercial license other than the driving examination, may issue to the applicant a commercial learner permit which shall entitle the person having immediate lawful possession of the commercial learner permit and a valid Oklahoma driver license or provisional driver license pursuant to Section 6-212 of this title to operate a Class A, B or C commercial motor vehicle upon the public highways solely for the purpose of behind-the-wheel training in accordance with rules promulgated by the Department.

2. This commercial learner permit shall be issued for a period as provided in Section 6-115 of this title of one (1) year; provided, such commercial learner permit may be suspended, revoked, canceled, denied or disqualified at the discretion of the Department, with notice to Service Oklahoma, for violation of the restrictions, for failing to give the required or correct information on the application or for violation of any traffic laws of this state pertaining to the operation of a motor vehicle. Except as otherwise provided, the lawful possessor of a commercial learner permit who has been issued a commercial learner permit for a minimum of fourteen (14) days may have the restriction requiring an accompanying driver removed by satisfactorily completing a driver's examination; provided, the removal of a restriction shall not authorize the operation of a Class A, B or C commercial motor vehicle if such operation is otherwise prohibited by law.

3. No person shall apply for and Service Oklahoma shall not issue an original Class A, B or C driver license until the person has been issued a commercial learner permit and held the permit for at least fourteen (14) days. Any person who currently holds a Class

B or C license and who wishes to apply for another class of commercial driver license shall be required to apply for a commercial learner permit and to hold the permit for at least fourteen (14) days before applying for the Class A or B license, as applicable. Any person who currently holds a Class A, B or C license and who wishes to add an endorsement or remove a restriction for which a skills examination is required shall be required to apply for a commercial learner permit and to hold the permit for at least fourteen (14) days before applying for the endorsement.

4. A commercial learner permit shall be issued by Service Oklahoma as a separate and unique document which shall be valid only in conjunction with a valid Oklahoma driver license or provisional driver license pursuant to Section 6-212 of this title, both of which shall be in the possession of the person to whom they have been issued whenever that person is operating a commercial motor vehicle as provided in this subsection.

5. ~~After one renewal of a commercial learner permit, as provided in paragraph 2 of this subsection, a commercial permit shall not be renewed again.~~ Any person who has held a commercial learner permit for the initial issuance period ~~and one renewal period~~ shall not be eligible for and Service Oklahoma shall not issue ~~another~~ renewal of the permit; provided, the person may reapply for a new commercial learner permit, as provided for in this subsection.

G. 1. For purposes of this title:

a. "REAL ID Compliant Driver License" or "Identification Card" means a driver license or identification card issued by this state that has been certified by the United States Department of Homeland Security (USDHS) as compliant with the requirements of the REAL ID Act of 2005, Public Law No. 109-13. A REAL ID Compliant Driver License or Identification Card and the process through which it is issued incorporate a variety of security measures designed to protect the integrity and trustworthiness of the license or card. A REAL ID Compliant Driver License or Identification Card will be clearly marked on the face indicating that it is a compliant document, and

b. "REAL ID Noncompliant Driver License" or "Identification Card" means a driver license or identification card issued by this state that has not been certified by the United States Department of Homeland Security (USDHS) as being compliant with the requirements of the REAL ID Act of 2005. A REAL ID Noncompliant Driver License or Identification Card will be clearly marked on the face indicating that it is not compliant with the federal REAL ID Act of 2005 and is not acceptable for official federal purposes.

The driver license or identification card will have a unique design or color indicator that clearly distinguishes it from a compliant license or card.

2. Original Driver License and Identification Card Issuance:

a. Application for an original REAL ID Compliant or REAL ID Noncompliant Driver License or Identification Card shall be made to Service Oklahoma or a licensed operator provided such licensed operator is authorized to process application for REAL ID Compliant Driver Licenses and Identification Cards. Application for a REAL ID Noncompliant Driver License or Identification Card shall be made to Service Oklahoma.

b. Service Oklahoma employees or authorized licensed operators shall perform all document recognition and other requirements needed for approval of an original REAL ID Compliant Driver License or Identification Card application. Service Oklahoma employees shall perform all document recognition and other requirements needed for approval of a REAL ID Noncompliant Driver License or Identification Card application.

c. Upon approval of an original REAL ID Compliant or REAL ID Noncompliant Driver License or Identification Card application, the applicant may take the approved application document to a licensed operator to receive a temporary driver license or identification card.

d. The licensed operator shall process the approved REAL ID Compliant or REAL ID Noncompliant Driver License or Identification Card application and upon payment shall provide the applicant a temporary driver license or identification card. A temporary driver license or identification card shall afford the holder the privileges otherwise granted by the specific class of driver license or identification card for the period of time listed on the temporary driver license or identification card or the period of time prior to the applicant receiving a REAL ID Compliant or REAL ID Noncompliant Driver License or Identification Card, whichever time period is shorter.

3. REAL ID Compliant Driver License and Identification Card Renewal and Replacement:

a. Application for renewal or replacement of a REAL ID Compliant Driver License or Identification Card may be made to Service Oklahoma or to a licensed operator; provided, such licensed operator is authorized to process application for REAL ID Compliant Driver Licenses and Identification Cards. A licensed operator may process the voluntary downgrade of a REAL

ID Compliant Commercial Driver License to any lower class license upon request of the licensee; provided, no additional endorsements or restrictions are placed on the license.

b. Service Oklahoma employees or authorized licensed operators shall perform all document recognition and other requirements needed for approval of a renewal or replacement REAL ID Compliant Driver License or Identification Card application.

c. Upon approval of a renewal or replacement REAL ID Compliant Driver License or Identification Card application, the applicant may receive a temporary driver license or identification card from Service Oklahoma or an authorized licensed operator.

d. A temporary driver license or identification card acquired under the provisions of this paragraph shall afford the holder the privileges otherwise granted by the specific class of driver license or identification card being renewed or replaced for the period of time listed on the temporary driver license or identification card or the period of time prior to the applicant receiving a REAL ID Compliant Driver License or Identification Card, whichever time period is shorter.

e. For purposes of this title, an application for a REAL ID Compliant Driver License or Identification Card by an individual with a valid Oklahoma-issued driver license or identification card shall be considered a renewal of a REAL ID Compliant Driver License or Identification Card.

4. REAL ID Noncompliant Driver License and Identification Card Renewal and Replacement:

a. Application for renewal or replacement of a REAL ID Noncompliant Driver License or Identification Card may be made to Service Oklahoma or to a licensed operator. A licensed operator may process the voluntary downgrade of a REAL ID Noncompliant Commercial Driver License to any lower class license upon request of the licensee; provided, no additional endorsements or restrictions are added to the license.

b. Service Oklahoma employees or licensed operators shall perform all document recognition and other requirements needed for approval of a renewal or replacement REAL ID Noncompliant Driver License or Identification Card application.

c. Upon approval of a renewal or replacement REAL ID Noncompliant Driver License or Identification Card application, the applicant may receive a temporary driver license or identification card from Service Oklahoma or a licensed operator.

d. A temporary driver license or identification card acquired under the provisions of this paragraph shall afford the holder the privileges otherwise granted by the specific class of driver license or identification card being renewed or replaced for the period of time listed on the temporary driver license or identification card or the period of time prior to the applicant receiving a REAL ID Noncompliant Driver License or Identification Card, whichever time period is shorter.

H. 1. The fee charged for an approved application for an original Oklahoma REAL ID Compliant or REAL ID Noncompliant Driver License or an approved application for the addition of an endorsement to a current valid Oklahoma REAL ID Compliant or REAL ID Noncompliant Driver License shall be assessed in accordance with the following schedule:

Class A Commercial Learner Permit	$25.00
Class A Commercial License	$25.00
Class B Commercial Learner Permit	$15.00
Class B Commercial License	$15.00

Class C Commercial Learner Permit	$15.00
Class C Commercial License	$15.00
Class D License	$ 4.00
Motorcycle Endorsement	$ 4.00

2. Notwithstanding the provisions of Section 1104 of this title, all monies collected from the fees charged for Class A, B and C commercial licenses pursuant to the provisions of this subsection shall be deposited by Service Oklahoma in the General Revenue Fund of this state.

I. The fee charged for any failed examination shall be Four Dollars ($4.00) for any license classification. Notwithstanding the provisions of Section 1104 of this title, all monies collected from such examination fees pursuant to the provisions of this subsection shall be deposited in the General Revenue Fund of this state.

J. In addition to any fee charged pursuant to the provisions of subsection H of this section, the fee charged for the issuance or renewal of a REAL ID Noncompliant Driver License shall be in accordance with the following schedule; provided, that any applicant who has a CDL Learner Permit shall be charged only the replacement fee for the issuance of the license:

License Class	4-year	8-year
Class A Commercial Learner Permit	$56.50	$113.00

Class A Commercial License	$56.50	$113.00
Class B Commercial Learner Permit	$56.50	$113.00
Class B Commercial License	$56.50	$113.00
Class C Commercial Learner Permit	$46.50	$93.00
Class C Commercial License	$46.50	$93.00
Class D License	$38.50	$77.00

K. In addition to any fee charged pursuant to the provisions of subsection H of this section, the fee charged for the issuance or renewal of a REAL ID Compliant Driver License shall be in accordance with the following schedule; provided, that any applicant who has a CDL Learner Permit shall be charged only the replacement fee for the issuance of the license:

License Class	4-year	8-year
REAL ID Compliant Class A Commercial Learner Permit	$56.50	$113.00
REAL ID Compliant Class A Commercial License	$56.50	$113.00
REAL ID Compliant Class B Commercial Learner Permit	$56.50	$113.00
REAL ID Compliant Class B Commercial License	$56.50	$113.00

REAL ID Compliant Class C Commercial Learner Permit	$46.50	$93.00
REAL ID Compliant Class C Commercial License	$46.50	$93.00
REAL ID Compliant Class D License	$38.50	$77.00

L. A commercial learner permit may not be renewed ~~one time for a period of one hundred eighty (180) days. The cost for the renewed permit shall be the same as for the original permit~~.

M. Notwithstanding the provisions of Section 1104 of this title, of each fee charged pursuant to the provisions of subsections J, K and L of this section shall be apportioned by Service Oklahoma as follows:

1. Five Dollars and fifty cents ($5.50) of a 4-year license or Eleven Dollars ($11.00) of an 8-year license shall be deposited to the Trauma Care Assistance Revolving Fund created in Section 1-2530.9 of Title 63 of the Oklahoma Statutes;

2. Six Dollars and seventy-five cents ($6.75) of a 4-year license or Thirteen Dollars and fifty cents ($13.50) of an 8-year license shall be deposited to the Department of Public Safety Computer Imaging System Revolving Fund to be used solely for the purpose of administration and maintenance of the computerized imaging system of the Department through October 31, 2022. Beginning November 1, 2022, Six Dollars and seventy-five cents

($6.75) of a 4-year license or Thirteen Dollars and fifty cents ($13.50) of an 8-year license shall be deposited to the Service Oklahoma Computer Imaging System Revolving Fund to be used solely for the purpose of administration and maintenance of the computerized imaging system of Service Oklahoma;

3. Ten Dollars ($10.00) of a 4-year license or Twenty Dollars ($20.00) of an 8-year license shall be deposited to the Department of Public Safety Revolving Fund for all original or renewal issuances of licenses through October 31, 2022. Beginning November 1, 2022, Ten Dollars ($10.00) of a 4-year license or Twenty Dollars ($20.00) of an 8-year license shall be deposited to the Service Oklahoma Revolving Fund for all original or renewal issuances of licenses; and

4. Five Dollars ($5.00) of a 4-year license or Six Dollars ($6.00) of an 8-year license shall be deposited to the State Public Safety Fund created in Section 2-147 of this title.

N. All original and renewal driver licenses shall expire as provided in Section 6-115 of this title.

O. 1. Through May 31, 2025, any person sixty-two (62) to sixty-four (64) years of age during the calendar year of issuance or renewal of a Class D license or motorcycle endorsement shall be charged the following prorated fee:

	4-year	8-year
Age 62	$21.25	$42.50

Age 63	$17.50	$35.00
Age 64	$13.75	$27.50

2. Any person sixty-five (65) years of age or older during the calendar year of issuance or renewal of a Class D license or motorcycle endorsement shall not be charged a fee.

P. No person who has been honorably discharged from active service in any branch of the Armed Forces of the United States or Oklahoma National Guard and who has been certified by the United States Department of Veterans Affairs, its successor or the Armed Forces of the United States to be a disabled veteran in receipt of compensation at the one-hundred-percent rate for a permanent disability sustained through military action or accident resulting from disease contracted while in such active service and registered with the veterans registry created by the Oklahoma Department of Veterans Affairs shall be charged a fee for the issuance, replacement or renewal of an Oklahoma driver license; provided, that if a veteran has been previously exempt from a fee pursuant to this subsection, no registration with the veterans registry shall be required.

Q. In accordance with the provisions of subsection G of this section, Service Oklahoma is authorized to promulgate rules for the issuance and renewal of driver licenses authorized pursuant to the provisions of Sections 6-101 through 6-309 of this title; provided, that no such rules applicable to the issuance or renewal of REAL ID

Noncompliant Driver Licenses shall create more stringent standards than such rules applicable as of January 1, 2017, unless directly related to a specific change in statutory law concerning standards for REAL ID Noncompliant Driver Licenses. Applications, upon forms approved by Service Oklahoma, for such licenses shall be handled, in accordance with the provisions of subsection G of this section, by the licensed operator; provided, Service Oklahoma is authorized to assume these duties in any county of this state. ~~Each licensed operator accepting applications for driver licenses shall receive Six Dollars ($6.00) for a 4-year REAL ID Noncompliant Driver License or Twelve Dollars ($12.00) for an 8-year REAL ID Noncompliant Driver License or Ten Dollars ($10.00) for a 4-year REAL ID Compliant Driver License or Twenty Dollars ($20.00) for an 8-year REAL ID Compliant Driver License to be deducted from the total collected for each license or renewal application accepted through June 30, 2023. Beginning July 1, 2022, and ending on June 30, 2023, each motor license agent or licensed operator accepting applications for driver licenses for individuals over the age of sixty-five (65) years or for applications for drivers pursuant to subsection P of this section shall receive Six Dollars ($6.00) for a 4-year driver license or Twelve Dollars ($12.00) for an 8-year driver license to be deducted daily by the motor license agent or licensed operator receipts. Beginning July 1, 2023, these fees shall be retained by the licensed operator pursuant to subsection E of Section 1141.1 of~~

~~this title. The fees received by the licensed operator, authorized by this subsection, shall be used for operating expenses.~~ The amount retained pursuant to this subsection shall not be retained by any state agency. The fees received by the licensed operator, authorized by this subsection, shall be used for operating expenses. For purposes of this subsection, "licensed operator" shall mean an individual who obtains a license from the Service Oklahoma Operator Board to operate a designated Service Oklahoma location and offers third-party fulfillment of designated services to be rendered by Service Oklahoma.

R. Notwithstanding the provisions of Section 1104 of this title and subsection Q of this section and except as provided in subsections H and M of this section, the first Sixty Thousand Dollars ($60,000.00) of all monies collected pursuant to this section shall be paid by ~~the Oklahoma Tax Commission~~ Service Oklahoma to the State Treasurer to be deposited in the General Revenue Fund of the State Treasury.

The next Five Hundred Thousand Dollars ($500,000.00) of monies collected pursuant to this section shall be paid by ~~the Tax Commission~~ Service Oklahoma to the State Treasurer to be deposited each fiscal year under the provisions of this section to the credit of the Department of Public Safety Restricted Revolving Fund for the purpose of the Oklahoma Law Enforcement Telecommunications System. All other monies collected in excess of Five Hundred Sixty Thousand

Dollars ($560,000.00) each fiscal year shall be apportioned as provided in Section 1104 of this title, except as otherwise provided in this section.

S. Service Oklahoma shall retain the images displayed on licenses and identification cards issued pursuant to the provisions of Sections 6-101 through 6-309 of this title which may be used only:

1. By a law enforcement agency for purposes of criminal investigations, missing person investigations or any law enforcement purpose which is deemed necessary by the Commissioner of Public Safety;

2. By the driver licensing agency of another state for its official purpose; and

3. As provided in Section 2-110 of this title.

All agencies approved by the Oklahoma Law Enforcement Telecommunications System (OLETS) or the National Law Enforcement Telecommunications System (NLETS) to receive photographs or computerized images may obtain them through OLETS or through NLETS. Photographs or computerized images may be obtained by law enforcement one inquiry at a time.

The computer system and related equipment acquired for this purpose must conform to industry standards for interoperability and open architecture. The Department of Public Safety may promulgate rules to implement the provisions of this subsection.

T. No person may hold more than one state-issued or territory-issued driver license or identification card from Oklahoma or any other state or territory. Service Oklahoma shall not issue a driver license to a person who has been previously issued a driver license or identification card until such license or identification card has been surrendered to Service Oklahoma by the applicant. Provided, any person who holds both a driver license and identification card from Oklahoma as of November 1, 2025, may continue to possess both credentials until the first expiration of either credential. At that time, the person shall be allowed to retain, replace, or renew either the driver license or identification card and shall surrender the second credential to Service Oklahoma. Service Oklahoma may promulgate rules related to the issuance of replacement REAL ID Compliant Driver Licenses in the event of loss or theft.

~~U. Beginning May 24, 2021, and ending on June 30, 2023, in addition to the amounts provided in subsection Q of this section, a licensed operator shall receive Five Dollars ($5.00) for each processed application for a REAL ID Compliant 4-year Driver License and Ten Dollars ($10.00) for each processed application for a REAL ID Compliant 8-year Driver License. Any additional amounts provided pursuant to this subsection shall not be retained by Service Oklahoma.~~

SECTION 37. REPEALER 47 O.S. 2021, Section 6-101, as last amended by Section 13, Chapter 310, O.S.L. 2023 (47 O.S. Supp. 2025, Section 6-101), is hereby repealed.

SECTION 38. REPEALER 47 O.S. 2021, Section 6-101, as last amended by Section 2, Chapter 11, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-101), is hereby repealed.

SECTION 39. REPEALER 47 O.S. 2021, Section 6-101, as last amended by Section 3, Chapter 171, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-101), is hereby repealed.

SECTION 40. AMENDATORY 47 O.S. 2021, Section 6-102, as last amended by Section 1, Chapter 450, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-102), is amended to read as follows:

Section 6-102. A. A nonresident who is sixteen (16) years of age or older may operate a motor vehicle in this state as authorized by the class, restrictions, and endorsements specified on the license, if the nonresident is:

1. Properly licensed in the home state or country to operate a commercial or noncommercial motor vehicle and who has immediate possession of a valid driver license issued by the home state or country; or

2. A member of the Armed Forces of the United States or the spouse or dependent of such member who has been issued and is in possession of a valid driver license issued by an overseas component of the Armed Forces of the United States.

B. A resident who is at least fifteen (15) years of age may operate a vehicle in this state without a driver license, if the resident is:

1. Operating a vehicle pursuant to subsection B of Section 6-105 of this title; or

2. Taking the driving skills examination as required by Section 6-110 of this title, when accompanied by a driver license examiner of Service Oklahoma or by a designated examiner approved and certified by Service Oklahoma.

C. A resident who is at least thirteen and one-half (13 1/2) years of age who will qualify for the permit to operate farm vehicles as provided for in Section 6-105 of this title may operate a vehicle in this state without a driver license, if the resident is:

1. Operating a vehicle pursuant to subsection B of Section 6-105 of this title; or

2. Taking the driving skills examination as required by Section 6-110 of this title, when accompanied by a driver license examiner of Service Oklahoma or by a designated examiner approved and certified by Service Oklahoma.

D. Any person, while in the performance of official duties, may operate any class of motor vehicle if the person possesses any class of valid Oklahoma driver license or a valid driver license issued by another state, if the person is:

1. A member of the Armed Forces of the United States who is on active duty;

2. A member of the military reserves, not including United States reserve technicians;

3. A member of the National Guard who is on active duty, including National Guard military technicians;

4. A member of the National Guard who is on part-time National Guard training, including National Guard military technicians; or

5. A member of the United States Coast Guard who is on active duty.

E. 1. The Executive Director of Service Oklahoma is hereby authorized to adopt rules as may be necessary to enter into reciprocity agreements with foreign countries. The rules shall specify that the driver license standards of the foreign country shall be comparable to those of this state. The rules shall also require foreign drivers, who are operating a motor vehicle in Oklahoma under such a reciprocity agreement, to comply with the compulsory motor vehicle liability insurance and financial responsibility laws of this state.

2. Service Oklahoma shall enter into a reciprocity agreement for driver licenses with the country of Ireland.

F. When an automated driving system, as defined by Section 1701 of this title, installed on a motor vehicle is engaged, the following shall apply:

1. The automated driving system is considered the driver or operator, for the purpose of assessing compliance with applicable traffic or motor vehicle laws, and shall be deemed to satisfy electronically all physical acts required by a driver or operator of the vehicle; and

2. The automated driving system is considered to be licensed to operate the vehicle.

SECTION 41. REPEALER 47 O.S. 2021, Section 6-102, as last amended by Section 1, Chapter 123, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-102), is hereby repealed.

SECTION 42. AMENDATORY 47 O.S. 2021, Section 6-105, as last amended by Section 38, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105), is amended to read as follows:

Section 6-105. A. Unless a legal custodial parent or legal guardian has filed an objection to licensure pursuant to Section 6-103.1 of this title, any person under eighteen (18) years of age may be permitted to operate:

1. A Class D motor vehicle under the graduated driver license provisions prescribed in subsections B through E of this section;

2. A motorcycle under the provisions prescribed in subsection H of this section; or

3. A farm vehicle under the provisions prescribed in subsection I of this section.

B. Any person who is at least thirteen and one-half (13 1/2) years of age who will qualify for the permit to operate farm vehicles as provided for in subsection I of this section or fifteen (15) years of age may drive during a session in which the driver is being instructed in a driver education course, as set out in subparagraphs a, b, c, d and e of paragraph 1 of subsection C of this section, by a certified driver education instructor who is seated in the right front seat of the motor vehicle.

C. Any person:

1. Who is at least fifteen ~~and one-half (15 1/2)~~ (15) years of age and is currently receiving instruction in or has successfully completed driver education. For purposes of this section, the term "driver education" shall mean:

a. a prescribed secondary school driver education course, as provided for in Sections 19-113 through ~~19-121~~ 19-123 of Title 70 of the Oklahoma Statutes,

b. a driver education course, certified by Service Oklahoma, from a parochial, private, or other nonpublic secondary school,

c. a commercial driver training course, as defined by Sections 801 through 808 of this title,

d. a parent-taught driver education course, certified by Service Oklahoma, in conjunction with the Department of Public Safety. Service Oklahoma shall promulgate rules for any parent-taught driver education course, or

e. a driver education course certified by a state other than Oklahoma; or

2. Who is at least sixteen (16) years of age,

may, upon successfully passing all parts of the driver license examination administered by Service Oklahoma, or an approved written examination proctor, except the driving examination, be issued a learner permit which will grant the permittee the privilege to operate a Class D motor vehicle upon the public highways only between the hours of 5:00 a.m. and 10:00 p.m. and while accompanied by a licensed driver who is at least twenty-one (21) years of age and who is actually occupying a seat beside the permittee; provided, the written examination for a learner permit may be waived by Service Oklahoma upon verification that the person has successfully completed driver education.

D. 1. Any person:

a. who has applied for, been issued, and has possessed a learner permit for a minimum of one hundred eighty (180) days,

b. whose custodial legal parent or legal guardian certifies to Service Oklahoma by sworn affidavit that the person has received a minimum of fifty (50) hours of actual behind-the-wheel training, of which at least ten (10) hours of such training ~~was~~ were at night, from a licensed driver who was at least twenty-one (21) years of age and who was properly licensed to operate a Class D motor vehicle for a minimum of two (2) years, ~~and~~

c. who has completed a free course approved by the ~~Oklahoma~~ Department of Transportation on teen driver work zone and first responder safety, and

d. who is at least sixteen (16) years of age,

may be issued an intermediate Class D license upon successfully passing all parts of the driver license examinations administered by Service Oklahoma; provided, the written examination, if it has not previously been administered or waived, may be waived by Service Oklahoma upon verification that the person has successfully completed driver education or the driving examination may be waived by Service Oklahoma upon successful passage of the examination administered by a certified designated examiner, as provided for in Section 6-110 of this title. However, notwithstanding the date of issuance of the learner permit, if the person has been convicted of a traffic offense which is reported on the driving record of that person, the time period specified in subparagraph a of this paragraph shall be recalculated to begin from the date of conviction for the traffic offense, and must elapse before that person may be issued an intermediate Class D license. If the person has been convicted of more than one traffic offense which is reported on the driving record of that person, the time period specified in subparagraph a of this paragraph shall be recalculated to begin from the most recent date of conviction, and must elapse before that person may be issued an intermediate Class D license.

2. A person who has been issued an intermediate Class D license under the provisions of this subsection:

a. shall be granted the privilege to operate a Class D motor vehicle upon the public highways:

(1) only between the hours of 5:00 a.m. and 10:00 p.m., except for driving to and from work, school, school activities, and church activities, or

(2) at any time, if a licensed driver who is at least twenty-one (21) years of age is actually occupying a seat beside the intermediate Class D licensee, or if the intermediate Class D licensee is a farm or ranch resident, and is operating a motor vehicle while engaged in farming or ranching operations outside the limits of a municipality, or driving to and from work, school, school activities, or church activities, and

b. shall not operate a motor vehicle with more than one passenger unless:

(1) all passengers live in the same household as the custodial legal parent or legal guardian, or

(2) a licensed driver at least twenty-one (21) years of age is actually occupying a seat beside the intermediate Class D licensee.

E. Any person who has been issued an intermediate Class D license for a minimum of:

1. One (1) year; or

2. One hundred eighty (180) days, if the person has completed both the driver education and the parent-certified behind-the-wheel training provisions of subparagraph b of paragraph 1 of subsection D of this section,

may be issued a Class D license. However, notwithstanding the date of issuance of the Class D license, if the person has been convicted of a traffic offense which is reported on the driving record of that person, the time periods specified in paragraph 1 or 2 of this subsection, as applicable, shall be recalculated to begin from the date of conviction for the traffic offense, and must elapse before that person may be issued a Class D license. If the person has been convicted of more than one traffic offense which is reported on the driving record of that person, the time periods specified in paragraph 1 or 2 of this subsection, as applicable, shall be recalculated to begin from the most recent date of conviction, and must elapse before that person may be issued a Class D license.

F. Learner permits and intermediate Class D licenses shall be issued for the same period as all other driver licenses. The licenses may be suspended or canceled at the discretion of ~~the Department, with notice to~~ Service Oklahoma for violation of restrictions, for failing to give the required or correct information on the application, for knowingly giving false or inaccurate information on the application or any subsequent documentation related to the granting of driving privileges, for using a hand-held electronic device while operating a motor vehicle for non-life-threatening emergency purposes or for violation of any traffic laws of this state pertaining to the operation of a motor vehicle.

G. Service Oklahoma shall promulgate rules establishing procedures for removal of learner permit and intermediate Class D license restrictions from the permit or license upon the permittee or licensee qualifying for a less restricted or an unrestricted license.

H. Any person fourteen (14) years of age or older may apply for a restricted Class D license with a motorcycle-only restriction. After the person has successfully passed all parts of the motorcycle examination other than the driving examination, has successfully completed a certified state-approved motorcycle basic rider course approved by the Department of Public Safety, in conjunction with Service Oklahoma, and has met all requirements provided for in the rules of the Department and Service Oklahoma, Service Oklahoma shall issue to the person a restricted Class D license with a motorcycle-only restriction which shall grant to the person, while having the license in the person's immediate possession, the privilege to operate a motorcycle or motor-driven cycle:

1. With a piston displacement not to exceed three hundred cubic centimeters (300 cc) or a sixteen and eight-tenths (16.8) kilowatt electric power source;

2. Between the hours of 4:30 a.m. to 9:00 p.m. only;

3. While wearing approved protective headgear; and

4. While accompanied by and receiving instruction from any person who is at least twenty-one (21) years of age and who is properly licensed pursuant to the laws of this state to operate a motorcycle or motor-driven cycle, and who has visual contact with the restricted licensee.

The restricted licensee may apply on or after thirty (30) days from date of issuance of the restricted Class D license with a motorcycle-only restriction to have the restriction of being accompanied by a licensed driver removed by successfully completing the driving portion of an examination.

The written examination and driving examination for a restricted Class D license with a motorcycle-only endorsement shall be waived by Service Oklahoma upon verification that the person has successfully completed a certified state-approved motorcycle basic rider course approved by the Department and Service Oklahoma.

I. 1. Any person who is less than seventeen (17) years of age but is at least fourteen (14) years of age and who resides upon a farm in this state or is employed for compensation upon a farm in this state may apply to Service Oklahoma for a farm permit authorizing such person, while possessing the permit, to operate any Class D motor vehicle.

2. a. A farm permit shall entitle the licensee, who is at least fourteen (14) years of age but less than sixteen (16) years of age, to operate the appropriate motor vehicles at any time:

(1) while going to or from or in connection with any farm job, employment, or other farm-related work,

(2) on days while school is in session, over the most direct and accessible route between the licensee’s residence and school of enrollment for the purpose of school attendance; provided, that the privilege shall only extend to those licensees who reside on a farm and commute directly from their place of residence to the school in which they are enrolled, or

(3) when the licensee is operating a passenger car at any time when accompanied by an adult who is the holder of a valid commercial driver license, Class A, B, C, or D driver license and who is actually occupying a seat beside the driver.

b. For a period of six (6) months, a farm permit shall entitle the licensee who is at least sixteen (16) years of age to operate the appropriate motor vehicles at any time:

(1) from 5:00 a.m. to 9:00 p.m.,

(2) while going to or from or in connection with any farm job, employment, or other farm-related work,

(3) while going to or from authorized school activities,

(4) while going directly to or from any religious worship service held by a religious organization, or

(5) while the licensee is operating a passenger car at any time while accompanied by an adult who is the holder of a valid commercial driver license, Class A, B, or C driver license, and who is actually occupying a seat beside the driver.

After such six-month period, if the licensee has complied with the provisions of this subsection, such farm permit shall entitle the licensee to operate the appropriate motor vehicles at any time without the restrictions required by this subsection.

3. A farm permit shall be issued only if:

a. the applicant can prove that such applicant resides or works on a farm by submitting the signed affidavit of either a parent or guardian stating that the applicant lives on a farm,

b. the applicant has successfully completed the examination requirements in Section 6-110 of this title, and

c. the applicant does not live on a farm but works on a farm and the applicant submits the signed affidavit of the applicant's employer and parent or guardian attesting to such employment.

4. Any licensee issued a farm permit under this subsection:

a. who is less than sixteen (16) years of age shall not operate any motor vehicle with nonsibling minor passengers,

b. who is at least sixteen (16) years of age, for a period of six (6) months after reaching sixteen (16) years of age, shall not operate any motor vehicle with more than one passenger who is less than eighteen (18) years of age and who is not a member of the licensee's immediate family, or

c. who is at least fourteen (14) years of age, but less than sixteen (16) years of age, shall not operate any motor vehicle on interstate or turnpike highway systems, nor shall a licensee operate a motor vehicle within the limits of a city with a population in excess of one hundred thousand (100,000) persons according to the latest Federal Decennial Census.

Any conviction for violating this paragraph shall be construed as a moving traffic violation. Service Oklahoma may, in its discretion, suspend the permit of an individual for violation of this paragraph.

5. Any licensee issued a farm permit under this subsection shall not operate a wireless communication device while driving a motor vehicle, except that a licensee may operate a wireless communication device while driving a motor vehicle to report illegal activity or to summon medical or other emergency help.

6. As used in this subsection, "farm" means any parcel of land for which the owner has an agricultural exemption permit issued by the Oklahoma Tax Commission.

7. a. A farm permit issued under this subsection is subject to suspension or revocation in the same manner as any other driver license.

b. A farm permit may be suspended in accordance with Section 6-113 of this title for any violation of restrictions under this subsection.

c. Service Oklahoma shall suspend the farm permit upon receiving satisfactory evidence that the licensee has been involved in two or more accidents chargeable to the licensee and such suspended license shall not be reinstated for one (1) year.

8. Any licensee issued a farm permit under this subsection shall provide, prior to reaching sixteen (16) years of age, a signed affidavit of either a parent or guardian stating that the applicant has completed at least fifty (50) hours of adult-supervised driving with at least ten (10) of those hours being at night. The adult-supervised driving required by this paragraph shall be conducted by an adult who is at least twenty-one (21) years of age and is the holder of a valid commercial driver license, Class A, B, C, or D driver license. Evidence of failure of any licensee who was required to complete the fifty (50) hours of adult-supervised driving under this subsection shall not be admissible in any action for the purpose of determining any aspect of comparative negligence or mitigation of damages.

9. Any licensee issued a farm permit under this subsection who:

a. is under sixteen (16) years of age and is convicted of two or more moving traffic violations committed on separate occasions shall not be eligible to receive a driver license which is not restricted, in accordance with the provisions of subparagraph a of paragraph 2 of this subsection, until the person reaches seventeen (17) years of age,

b. is at least sixteen (16) years of age but less than seventeen (17) years of age and is convicted of two or more moving traffic violations committed on separate occasions shall not be eligible to receive a driver license which is not restricted, in accordance with the provisions of subparagraph b of paragraph 2 of this subsection, until the person reaches eighteen (18) years of age, or

c. fails to provide the affidavit required under paragraph 8 of this subsection shall not be eligible to receive a driver license which is not restricted, in accordance with the provisions of subparagraph a of paragraph 2 of this subsection, until the person provides such affidavit to Service Oklahoma or the person reaches seventeen (17) years of age, whichever occurs first.

J. As used in this section:

1. ~~"Hand-held~~ "Handheld electronic device" means a mobile telephone or electronic device with which a user engages in a telephone call, plays or stores media, including but not limited to music and video, or sends or reads a text message while requiring the use of at least one hand; and

2. "Using a ~~hand-held~~ handheld electronic device" means engaging any function on an electronic device.

K. All driver education courses provided for in paragraph 1 of subsection C of this section shall include education regarding the dangers of texting while driving and the effects of being under the influence of alcohol or other intoxicating substance while driving.

SECTION 43. REPEALER 47 O.S. 2021, Section 6-105, as last amended by Section 2, Chapter 450, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105), is hereby repealed.

SECTION 44. REPEALER 47 O.S. 2021, Section 6-105, as last amended by Section 3, Chapter 11, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105), is hereby repealed.

SECTION 45. AMENDATORY 47 O.S. 2021, Section 6-105.3, as last amended by Section 4, Chapter 330, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-105.3), is amended to read as follows:

Section 6-105.3. A. In addition to the licenses to operate motor vehicles, Service Oklahoma may issue cards to Oklahoma residents for purposes of identification only. The identification cards shall be issued, renewed, replaced, canceled and denied in the same manner as driver licenses in this state. Provided, any person who holds both a driver license and identification card from Oklahoma as of November 1, 2025, may continue to possess both credentials until the first expiration of either credential. At that time, the person shall be allowed to retain, replace, or renew either the driver license or identification card and shall surrender the second credential to Service Oklahoma. A licensee whose record reflects a notation of the person's proof of legal presence, verified by the U.S. Department of Homeland Security, or proof of U.S. citizenship, may obtain a REAL ID Compliant Identification Card or a Noncompliant Identification Card from a licensed operator or Service Oklahoma, regardless of the status of the license held by the licensee. Provided, the licensee must comply with all REAL ID documentation requirements to obtain a REAL ID Compliant Identification Card. A person shall not apply for or possess more than one state-issued or territory-issued REAL ID Compliant Identification Card pursuant to the provisions of Section 6-101 of this title.

The application for an identification card by any person under the age of eighteen (18) years shall be signed and verified by a custodial legal parent or legal guardian, either in person before a person authorized to administer oaths or electronically if completing an online application, or a notarized affidavit signed by a custodial legal parent or legal guardian submitted before a person authorized to administer oaths by the person under the age of eighteen (18) years with the application. <u>Provided, that persons under eighteen (18) years of age who are homeless children and youth, as defined in Section 600 of Title 10 of the Oklahoma Statutes and verified as such through the process established in</u>

Section 601.6d of Title 10 of the Oklahoma Statutes, shall be allowed to apply for a REAL ID Noncompliant Identification Card, which shall be valid for a period of four (4) years from the month of issuance, without signature of their parent or legal guardian. Except as otherwise provided in this section, the identification cards shall be valid for a period of either four (4) years from the month of issuance or eight (8) years from the month of issuance; however, the REAL ID Noncompliant identification cards issued to persons sixty-five (65) years of age or older shall be valid indefinitely from the month of issuance.

B. 1. The Department of Corrections shall coordinate with Service Oklahoma to provide REAL ID Noncompliant Identification Cards to all inmates who do not have a current state-issued identification card or driver license upon their release from custody. The identification cards shall be issued, replaced, canceled and denied in the same manner as driver licenses in this state.

2. Service Oklahoma shall allow the use of a ~~certified~~ copy of a birth certificate coupled with a Department of Corrections-issued consolidated record card to serve as a valid form of photo identification documentation to obtain a REAL ID Noncompliant Identification Card.

3. REAL ID Noncompliant Identification Cards issued with a consolidated record card from the Department of Corrections for

inmates shall be valid for a period of four (4) years from the month of issuance for an allowable fee to be determined by Service Oklahoma and are nonrenewable and nontransferable.

4. The fee charged for the issuance or replacement of a REAL ID Noncompliant Identification Card pursuant to this subsection shall be deposited in the Department of Public Safety Revolving Fund through October 31, 2022. Beginning November 1, 2022, this fee shall be deposited in the Service Oklahoma Revolving Fund. Provided, however, REAL ID Noncompliant Identification Cards issued to individuals required to register pursuant to the Sex Offenders Registration Act shall only be valid for a period of one (1) year. No person sixty-five (65) years of age or older shall be charged a fee for a REAL ID Noncompliant Identification Card.

5. Service Oklahoma is authorized to promulgate rules and procedures to implement the provisions of this subsection.

C. No person shall hold more than one state-issued or territory-issued driver license or identification card, as defined in subsection G of Section 6-101 of this title. Service Oklahoma shall not issue an identification card to any applicant who has been previously issued a driver license or identification card unless such license or identification card has been surrendered to Service Oklahoma by the applicant. Provided, any person who holds both a driver license and identification card from Oklahoma as of November 1, 2025, may continue to possess both credentials until the first expiration of either credential. At that time, the person shall be allowed to retain, replace, or renew either the driver license or identification card and shall surrender the second credential to Service Oklahoma. Service Oklahoma may promulgate rules related to the issuance of replacement REAL ID Compliant Identification Cards in the event of loss or theft.

D. The fee charged for the issuance or renewal of a REAL ID Compliant Identification Card shall be Twenty-five Dollars ($25.00) for a 4-year card and Fifty Dollars ($50.00) for an 8-year card. The fee charged for the issuance or renewal of a REAL ID Noncompliant Identification Card pursuant to this section shall be Twenty-five Dollars ($25.00) for a 4-year card and Fifty Dollars ($50.00) for an 8-year card; however, no person sixty-five (65) years of age or older, ~~or~~ one hundred percent (100%) disabled veteran described in subsection P of Section 6-101 of this title, or persons who are homeless children and youth as defined in Section 600 of Title 10 of the Oklahoma Statutes and verified through the process established in Section 601.6d of Title 10 of the Oklahoma Statutes shall be charged a fee for an identification card. Of each fee charged pursuant to the provisions of this subsection:

1. Seven Dollars ($7.00) of a 4-year card and Fourteen Dollars ($14.00) of an 8-year card shall be apportioned as provided in Section 1104 of this title;

2. Three Dollars ($3.00) of a 4-year card and Six Dollars ($6.00) of an 8-year card shall be credited to the Department of Public Safety Computer Imaging System Revolving Fund to be used solely for the purpose of the administration and maintenance of the computerized imaging system of the Department through October 31, 2022. Beginning November 1, 2022, Three Dollars ($3.00) of a 4-year card and Six Dollars ($6.00) of an 8-year card shall be credited to the Service Oklahoma Computer Imaging System Revolving Fund to be used solely for the purpose of administration and maintenance of the computerized imaging system of Service Oklahoma;

3. Ten Dollars ($10.00) of a 4-year card and Twenty Dollars ($20.00) of an 8-year card shall be deposited in the Department of Public Safety Revolving Fund through October 31, 2022. Beginning November 1, 2022, this fee shall be deposited in the Service Oklahoma Revolving Fund;

4. Three Dollars ($3.00) of a 4-year card and Six Dollars ($6.00) of an 8-year card shall be deposited to the State Public Safety Fund created in Section 2-147 of this title; and

5. Two Dollars ($2.00) for a 4-year card and Four Dollars ($4.00) for an 8-year card of the fee authorized by this subsection related to the issuance or renewal of an identification card by a licensed operator that does process approved applications or renewals for REAL ID Compliant and REAL ID Noncompliant Driver Licenses or Identification Cards shall be retained by the licensed

operator through June 30, 2023. Beginning July 1, 2023, these monies shall be retained by the licensed operator pursuant to subsection E of Section 1141.1 of this title.

E. The fee charged for replacement of a REAL ID Compliant Identification Card, or REAL ID Noncompliant Identification Card, shall be Twenty-five Dollars ($25.00); however, no person sixty-five (65) years of age or older shall be charged a fee for an identification card replacement. Of each fee charged pursuant to the provisions of this subsection:

1. Seven Dollars ($7.00) shall be apportioned as provided in Section 1104 of this title;

2. Three Dollars ($3.00) shall be credited to the Department of Public Safety Computer Imaging System Revolving Fund to be used solely for the purpose of the administration and maintenance of the computerized imaging system of the Department through October 31, 2022. Beginning November 1, 2022, Three Dollars ($3.00) shall be credited to the Service Oklahoma Computer Imaging System Revolving Fund to be used solely for the purpose of administration and maintenance of the computerized imaging system of Service Oklahoma;

3. Ten Dollars ($10.00) shall be deposited in the Department of Public Safety Revolving Fund through October 31, 2022. Beginning November 1, 2022, this fee shall be deposited in the Service Oklahoma Revolving Fund;

4. Three Dollars ($3.00) shall be deposited to the State Public Safety Fund created in Section 2-147 of this title; and

5. Two Dollars ($2.00) of the fee authorized by this subsection related to the replacement of an identification card by a licensed operator that does process approved applications or renewals for REAL ID Compliant or REAL ID Noncompliant Driver Licenses or Identification Cards shall be retained by the licensed operator through June 30, 2023. Beginning July 1, 2023, these monies shall be retained by the licensed operator pursuant to subsection E of Section 1141.1 of this title.

F. The Oklahoma Tax Commission is hereby authorized to reimburse, from funds available to that agency, each licensed operator issuing an identification card to a person sixty-five (65) years of age or older, an amount not to exceed One Dollar ($1.00) for each card or driver license so issued through June 30, 2023. The Tax Commission shall develop procedures for claims for reimbursement.

G. Notwithstanding any other provision of law, when a person makes application for a new identification card, or makes application to renew an identification card, and the person has been convicted of, or received a deferred judgment for, any offense required to register pursuant to the Sex Offenders Registration Act, the identification card shall be valid for a period of one (1) year from the month of issuance, but may be renewed yearly during the time the person is subject to registration on the Sex Offender Registry. The cost for such identification card shall be the same as for other identification cards and renewals.

H. Nothing in this section requires or authorizes ~~the Department of Public Safety~~ Service Oklahoma to issue a REAL ID Noncompliant Identification Card without the documentation required by the provisions of paragraph 9 of subsection A of Section 6-103 of this title.

SECTION 46. REPEALER 47 O.S. 2021, Section 6-105.3, as last amended by Section 4, Chapter 11, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105.3), is hereby repealed.

SECTION 47. REPEALER 47 O.S. 2021, Section 6-105.3, as last amended by Section 1, Chapter 101, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105.3), is hereby repealed.

SECTION 48. REPEALER 47 O.S. 2021, Section 6-105.3, as last amended by Section 3, Chapter 315, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-105.3), is hereby repealed.

SECTION 49. AMENDATORY 47 O.S. 2021, Section 6-110, as last amended by Section 4, Chapter 450, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-110), is amended to read as follows:

Section 6-110. A. 1. Service Oklahoma shall establish procedures to ensure every applicant for an original Class A, B, C or D license and for any endorsements thereon is examined by Service Oklahoma, or an approved written examination proctor, except as otherwise provided in Section 6-101 et seq. of this title or as provided in paragraph 2 of this subsection or in subsections D and E of this section. Service Oklahoma is authorized to approve and enter into agreements with third parties including, but not limited to, public school districts, technology center districts overseen by the Oklahoma Department of Career and Technology Education, institutions of higher education, or commercial driver training schools, to act as approved written examination proctors with regard to any written examination required by this section. The examination shall include a test of the applicant's:

a. eyesight,

b. ability to read and understand highway signs regulating, warning and directing traffic,

c. knowledge of the traffic laws of this state including a portion on bicycle and motorcycle safety, and

d. ability, by actual demonstration, to exercise ordinary and reasonable control in the operation of a motor vehicle. The actual demonstration shall be conducted in the type of motor vehicle for the class of driver license being applied for.

The Department of Public Safety, in conjunction with Service Oklahoma, may create a knowledge test that may be taken on the Internet by an applicant applying for a Class D license.

Any licensee seeking to apply for a driver license of another class which is not covered by the licensee's current driver license shall be considered an applicant for an original license for that class.

2. Service Oklahoma shall have the authority to waive the requirement of any part of the examination required in paragraph 1 of this subsection for those applicants whose driving record meets the standards set by the Department of Public Safety and surrender either of the following:

a. a valid unexpired driver license issued by any state or country for the same type or types of vehicles, or

b. an expired driver license that:

(1) is not expired more than six (6) months past the expiration date listed on the driver license, and

(2) is not a Class A, B or C commercial driver license or commercial driver license permit.

3. Service Oklahoma shall accept skills test results from another state for Class A, B or C license applicants who have successfully completed commercial motor vehicle driver training in that state and successfully passed the skills test in that state; provided, Service Oklahoma shall not accept skills test results from another state when the applicant has not successfully completed commercial motor vehicle driver training in that state. Nothing in this section shall be construed to prohibit Service Oklahoma from

administering the skills test to any applicant who has successfully completed commercial vehicle driver training in another state.

4. All applicants requiring a hazardous materials endorsement shall be required, for the renewal of the endorsement, to successfully complete the examination and to submit to a security threat assessment performed by the Transportation Security Administration of the Department of Homeland Security as required by and pursuant to 49 C.F.R., Part 1572, which shall be used to determine whether the applicant is eligible for renewal of the endorsement pursuant to federal law and regulation.

5. Service Oklahoma, or an approved written examination proctor, shall give the complete examination as provided for in this section within thirty (30) days from the date the application is received, and the examination shall be given at a location within one hundred (100) miles of the residence of the applicant. Service Oklahoma shall make every effort to make the examination locations and times convenient for applicants. Service Oklahoma shall consider giving the examination at any public or private site, if economically feasible and practicable, and if Service Oklahoma and the owner or the governing body agree.

B. Any person holding a valid Oklahoma Class D license or provisional driver license pursuant to Section 6-212 of this title and applying for a Class A, B or C commercial license shall be required to successfully complete all examinations as required for the specified class. Failure to submit to Service Oklahoma federally required medical certification information pursuant to 49 C.F.R., Part 391.41 et seq. shall result in an automatic downgrade of a commercial license to a Class D license. Provided, however, once the required medical certification information has been received by Service Oklahoma, the license shall be reinstated to the classification of the commercial license prior to the downgrade and the holder of such a license shall not be required to reapply.

C. Except as provided in subsection E of Section 6-101 of this title, any person holding a valid Oklahoma Class A, B or C commercial license shall, upon time for renewal thereof, be entitled to a Class D license without any type of testing or examination, except for any endorsements thereon as otherwise provided for by Section 6-110.1 of this title.

D. 1. Any certified driver education instructor who is currently an operator or an employee of a commercial driver training school in this state ~~or~~, any driver education instructor employed by any school district in this state, or any licensed operator or an employee of a licensed operator shall be eligible to apply to be a designated examiner of Service Oklahoma for the purposes of administering the Class D driving skills portion of the Oklahoma driving examination to any person who is eligible to take the Oklahoma driving examination including, but not limited to, a person who has been issued a learner permit or farm permit. Service

Oklahoma shall to the maximum extent possible accept electronic signatures for all applications to be a designated examiner.

2. The Department of Public Safety, in conjunction with Service Oklahoma, shall adopt a curriculum of required courses and training to be offered to applicants who are qualified to apply to be a designated examiner. The courses and training for certification shall meet the same standards as required for driver examiners of Service Oklahoma. Within thirty (30) days of the effective date of this act, and by October 1 of each subsequent year, Service Oklahoma shall publish a schedule for the subsequent calendar year of courses and trainings which shall occur no less than twice per calendar year. Service Oklahoma may schedule additional courses and trainings based on demand. Service Oklahoma shall disclose how many slots are available for each course or training and any restrictions on how those slots may be allocated at the time of publishing the schedule.

3. Each person applying to be a designated examiner shall be required to pay an initial designated examiner certification fee of One Thousand Dollars ($1,000.00). Upon successful completion of training prescribed by paragraph 2 of this subsection, the person shall be required to pay an annual designated examiner certification fee of Five Hundred Dollars ($500.00). If an applicant for the designated examiner program is employed by an Oklahoma public school system that offers driver education, and he or she administers the

skills test only to students enrolled in a public school driver education program, the certification fee may be waived by Service Oklahoma. Each designated examiner certification shall expire on the last day of the calendar year and may be renewed upon application to Service Oklahoma. The designated examiner certification fees collected by Service Oklahoma pursuant to this subsection shall be deposited to the credit of the Department of Public Safety Restricted Revolving Fund to be used for the purposes of this subsection, through October 31, 2022. Beginning November 1, 2022, the designated examiner certification fees collected by Service Oklahoma pursuant to this subsection shall be deposited to the credit of the Service Oklahoma Revolving Fund. No designated examiner certification fee shall be refunded in the event that certification is denied, suspended or revoked.

4. A designated examiner may charge a fee for each Class D driving skills examination given, whether the person being examined passes or fails the examination.

5. Service Oklahoma shall ~~conduct an annual complete nationwide criminal history background check on~~ require each designated examiner ~~and a complete nationwide criminal history background check on each designated examiner applicant~~ and driver education instructor applicant to submit to an electronic national criminal history record check pursuant to Section 150.9 of Title 74 of the Oklahoma Statutes. The fees for the ~~background~~ record check shall

be borne by the designated examiner ~~or~~, designated examiner applicant, driver education instructor, or driver education instructor applicant.

6. The Department of Public Safety, in conjunction with Service Oklahoma, shall promulgate rules to implement and administer the provisions of this subsection.

E. 1. Upon application and approval of Service Oklahoma, any public or private commercial truck driving school that has or maintains a program instructing students for a Class A, B or C license, public transit agency, state, county or municipal government agency in this state, such as local school districts, the Oklahoma Department of Career and Technology Education, or institutions of higher education, or a private entity, shall be authorized to hire or employ designated examiners approved by Service Oklahoma to be third-party examiners of the Class A, B or C driving skills portion and/or knowledge written portion, pursuant to subsection A of this section, of the Oklahoma driving examination. All designated examiners must successfully have completed the courses and training as outlined in paragraph 2 of this subsection. Service Oklahoma shall be required to approve at least one public transit agency that has or maintains a program instructing students for a Class A, B or C license to hire or employ third-party examiners pursuant to this section. It shall be permissible for any public transit agency operating in this state to utilize the third-party examiners hired or employed by a public transit agency approved by Service Oklahoma.

2. The Department of Public Safety, in conjunction with Service Oklahoma, shall adopt a curriculum of required courses and training to be offered to third-party examiners. The courses and training for certification shall meet the same standards as required for commercial driver examiners of Service Oklahoma.

3. Service Oklahoma shall require each third-party examiner applicant and commercial school driver education instructor applicant to submit to an electronic national criminal history record check pursuant to Section 150.9 of Title 74 of the Oklahoma Statutes. On or before December 1, 2022, Service Oklahoma shall require each third-party examiner or commercial school driver education instructor to submit to an electronic national criminal history record check pursuant to Section 150.9 of Title 74 of the Oklahoma Statutes. The fees for the background check shall be borne by the third-party examiner, third-party examiner applicant, commercial school driver education instructor or commercial school driver education instructor applicant.

F. Service Oklahoma shall promulgate rules to:

1. Implement and administer the provisions of this section based on requirements set forth in Section 383.75 of Title 49 of the Code of Federal Regulations;

2. Establish a process to inform any school, public transit agency, examiner, or state, county or municipal government agency, who has been denied, within forty-five (45) days from the denial;

3. Create an appeal process for any school, public transit agency, examiner, or state, county or municipal government agency denied; and

4. If the initial application for approval was denied, limit the number of times an individual school, public transit agency, individual examiner applicant, or state, county or municipal government agency may reapply in a calendar year to two reapplications.

SECTION 50. REPEALER 47 O.S. 2021, Section 6-110, as last amended by Section 44, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-110), is hereby repealed.

SECTION 51. REPEALER 47 O.S. 2021, Section 6-110, as last amended by Section 6, Chapter 11, O.S.L. 2024 (47 O.S. Supp. 2025, Section 6-110), is hereby repealed.

SECTION 52. AMENDATORY 47 O.S. 2021, Section 6-111, as last amended by Section 2, Chapter 310, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-111), is amended to read as follows:

Section 6-111. A. 1. Service Oklahoma shall, upon payment of the required fee, issue to every applicant qualifying therefor a Class A, B, C or D driver license or identification card as applied for, which license or card shall bear thereon a distinguishing alphanumeric identification assigned to the licensee or cardholder, date of issuance and date of expiration of the license or card, the full legal name, signature or computerized signature, date of birth, residence address, unless specified as an exception in 6 C.F.R., Section 37.17, sex, a computerized ~~color~~ image of the licensee or cardholder taken in accordance with Service Oklahoma rules and security features as determined by Service Oklahoma. The image shall depict a full front unobstructed view of the entire face of the licensee or cardholder; provided, a commercial learner permit shall not bear the image of the licensee. ~~When any person is issued both a driver license and an identification card, Service Oklahoma shall ensure the information on both the license and the card are the same, unless otherwise provided by law.~~

2. A driver license or identification card issued by Service Oklahoma on or after March 1, 2004, shall bear thereon the county of residence of the licensee or cardholder.

3. Service Oklahoma may cancel the distinguishing number, when that distinguishing number is another person's Social Security number, assign a new distinguishing alphanumeric identification, and issue a new license or identification card without charge to the licensee or cardholder.

4. Service Oklahoma may promulgate rules for inclusion of the height and a brief description of the licensee or cardholder on the

face of the card or license identifying the licensee or cardholder as deaf or hard-of-hearing.

5. It is unlawful for any person to apply, adhere, or otherwise attach to a driver license or identification card any decal, sticker, label, or other attachment. Any law enforcement officer is authorized to remove and dispose of any unlawful decal, sticker, label, or other attachment from the driver license of a person. The law enforcement officer, the employing agency of the officer, Service Oklahoma, and the State of Oklahoma shall be immune from any liability for any loss suffered by the licensee, cardholder, or the owner of the decal, sticker, label, or other attachment caused by the removal and destruction of the decal, sticker, label, or other attachment. <u>Nothing in this section shall prohibit Service Oklahoma from adopting, applying, adhering, or otherwise attaching decals, stickers, labels, or other attachments to a driver license or identification card.</u>

6. Service Oklahoma may develop by rule a procedure which complies with the provisions of subsection G of Section 6-101 of this title whereby a person may apply for a renewal or replacement Oklahoma Class D license or Oklahoma identification card.

B. 1. Service Oklahoma may issue or authorize the issuance of a temporary permit or license to an applicant for a driver license permitting such applicant to operate a motor vehicle while Service Oklahoma is completing its investigation and determination of all facts relative to such applicant's privilege to receive a license, or while a permanent driver license is being produced and delivered to the applicant. Such permit or license must be in the immediate possession of the driver while operating a motor vehicle, and it shall be invalid when the applicant's permanent driver license has been issued and delivered or for good cause has been refused.

2. Service Oklahoma may issue or authorize the issuance of a temporary identification card to an applicant, permitting the holder the privileges otherwise granted by identification cards, while a permanent driver license is being provided and delivered to the applicant. Such card shall be invalid when the applicant's permanent identification card has been issued and delivered, or for good cause has been refused.

C. 1. Service Oklahoma may issue a restricted commercial driver license to drivers eighteen (18) years of age or older for any of the following specific farm-related service industries:

a. farm retail outlets and suppliers,

b. agri-chemical businesses,

c. custom harvesters, and

d. livestock feeders.

The applicant shall have held a valid driver license for at least one (1) year. Applicants with more than two (2) years of driving experience shall have a good driving record for the most recent two-year period and shall meet all the requirements for a commercial driver license. The restricted commercial driver license shall not exceed the maximum total days that federal law allows. Applicants for the restricted commercial driver license shall be exempt from the knowledge and skills test. Application of the restricted commercial driver license does not have to be used in consecutive days. The use of the permit shall be declared at application.

2. A "good driving record" as used in this subsection shall mean an applicant:

a. has not had more than one license,

b. has not had any license suspended, revoked, or canceled,

c. has not had any conviction for any type of disqualifying offenses or serious traffic violations, or

d. has not had any conviction for a violation of state or local law relating to motor vehicle traffic control, other than a parking violation, arising in connection with any traffic accident and has no record of an accident in which he or she is at fault.

3. The restricted commercial driver license shall not be valid for operators of commercial motor vehicles beyond one hundred fifty (150) miles from the place of business or the farm currently being served. Such license shall be limited to Class B or C vehicles.

Holders of such licenses who transport hazardous materials which are required to be placarded shall be limited to the following:

a. diesel fuel in quantities of one thousand (1,000) gallons or less,

b. liquid fertilizers in vehicles with total capacities of three thousand (3,000) gallons or less, and

c. solid fertilizers that are not mixed with any organic substance.

No other placarded hazardous materials shall be transported by holders of such licenses.

D. 1. Service Oklahoma may issue a non-domiciled commercial learner permit or a non-domiciled commercial driver license.

2. A person applying for such permit or license must comply with all testing and licensing requirements in accordance with applicable federal regulations, state laws, and Service Oklahoma rules. The expiration of the issued license shall be the same date as the expiration of the visa for the non-domiciled worker. Service Oklahoma may promulgate rules for the implementation of the process to carry out the provisions of this section.

3. A person holding a non-domiciled commercial driver license or non-domiciled commercial learner’s permit within this state shall also possess a valid work visa and provide proof of citizenship to validate his or her identity while operating a commercial motor vehicle. Proof of citizenship shall be demonstrated through

presentation of a birth certificate, naturalization certificate, or valid passport.

4. A commercial motor carrier whose driver is found to be in violation of this subsection shall be subject to a fine in the amount of Three Thousand Dollars ($3,000.00) for each violation. The proceeds of any penalties collected pursuant to this paragraph shall be deposited in the Weigh Station Improvement Revolving Fund created in Section 1167 of Title 47 of the Oklahoma Statutes.

5. A driver found to be in violation of this subsection shall be prohibited from operating a commercial motor vehicle within this state until such a time that the driver is able to meet the identification provisions of this subsection. Any driver found to be operating a motor vehicle within this state while under such prohibition shall be guilty of a misdemeanor and upon conviction shall be punished by a fine not to exceed One Thousand Dollars ($1,000.00), or by imprisonment for not more than ninety (90) days, or by both such fine and imprisonment. Any fine collected pursuant to the provisions of this paragraph shall be deposited to the Trauma Care Assistance Revolving Fund created in Section 1-2530.9 of Title 63 of the Oklahoma Statutes.

6. The commercial motor carrier shall be notified of the location of any commercial motor vehicle involved in a violation, and, upon payment of the fine in full and presentation of a driver who meets all requirements to operate a commercial motor vehicle

within this state, shall take possession of the vehicle. If the commercial motor carrier is unable to either pay such fine or present such driver within twelve (12) hours after notification, the owner of any cargo being transported by the commercial motor vehicle shall be notified and allowed to arrange for the transfer of the cargo to another vehicle. Neither the state nor the owner of such cargo shall be liable for any reasonable action to transfer such cargo.

7. As used in this subsection, a non-domiciled commercial driver license or non-domiciled commercial learner permit shall have the same meaning as that provided in 49 C.F.R., Section 383.5.

E. 1. Service Oklahoma shall develop a procedure whereby a person applying for an original, renewal or replacement Class A, B, C or D driver license or identification card who is required to register as a convicted sex offender with the Department of Corrections pursuant to the provisions of the Sex Offenders Registration Act and who the Department of Corrections designates as an aggravated or habitual offender pursuant to subsection J of Section 584 of Title 57 of the Oklahoma Statutes shall be issued a license or card bearing the words "Sex Offender".

2. Service Oklahoma shall notify every person subject to registration under the provisions of Section 1-101 et seq. of this title who holds a current Class A, B, C or D driver license or identification card that such person is required to surrender the

license or card to Service Oklahoma within one hundred eighty (180) days from the date of the notice.

3. Upon surrendering the license or card for the reason set forth in this subsection, application may be made with Service Oklahoma for a replacement license or card bearing the words "Sex Offender".

4. Failure to comply with the requirements set forth in such notice shall result in cancellation of the person's license or card. Such cancellation shall be in effect for one (1) year, after which time the person may make application with Service Oklahoma for a new license or card bearing the words "Sex Offender". Continued use of a canceled license or card shall constitute a misdemeanor and shall, upon conviction thereof, be punishable by a fine of not less than Twenty-five Dollars ($25.00), nor more than Two Hundred Dollars ($200.00). When an individual is no longer required to register as a convicted sex offender with the Department of Corrections pursuant to the provisions of the Sex Offenders Registration Act, the individual shall be eligible to receive a driver license or identification card which does not bear the words "Sex Offender".

F. Nothing in subsection E of this section shall be deemed to impose any liability upon or give rise to a cause of action against any employee, agent or official of the Department of Corrections for failing to designate a sex offender as an aggravated or habitual offender pursuant to subsection J of Section 584 of Title 57 of the Oklahoma Statutes.

G. A person subject to an order for the installation of an ignition interlock device shall be required by Service Oklahoma to submit his or her driver license for a replacement. The replacement driver license shall bear the words “Interlock Required” and such designation shall remain on the driver license for the duration of the order requiring the ignition interlock device. The replacement license shall be subject to the same expiration and renewal procedures provided by law. Upon completion of the requirements for the interlock device, a person may apply for a replacement driver license.

H. Service Oklahoma shall develop a procedure whereby a person applying for an original, renewal or replacement Class D driver license who has been granted modified driving privileges under this title shall be issued a Class D driver license which identifies the license as a modified license.

SECTION 53. REPEALER 47 O.S. 2021, Section 6-111, as last amended by Section 5, Chapter 330, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-111), is hereby repealed.

SECTION 54. AMENDATORY 47 O.S. 2021, Section 6-301, as last amended by Section 3, Chapter 38, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-301), is amended to read as follows:

Section 6-301. It shall be unlawful for any person to commit any of the acts specified in paragraph 1 or 2 of this section in relation to an Oklahoma driver license or identification card authorized to be issued by Service Oklahoma pursuant to the provisions of Sections 6-101 through 6-309 of this title or any driver license or other evidence of driving privilege or identification card authorized to be issued by the state of origin.

1. It is a misdemeanor for any licensee:

a. to display or cause or permit to be displayed one's own license after such license has been suspended, revoked, or canceled or to possess one's own license after having received notice of its suspension, revocation, or cancellation,

b. to lend one's own license or identification card to any other person or knowingly permit the use thereof by another,

c. to display or cause or permit to be displayed or to possess a license or identification card issued to oneself which bears altered information concerning the date of birth, expiration date, sex, height, eye color, weight, or license or card number,

d. to fail or refuse to surrender to Service Oklahoma upon its lawful demand any license or identification card which has been suspended, revoked, or canceled,

e. to permit any unlawful use of a license or identification card issued to oneself,

f. to do any act forbidden or fail to perform any act required by this chapter, excepting those acts as provided in paragraph 2 of this section,

g. to display or represent as one's own any license or identification card not issued to such person unless under conditions provided in subparagraph e of paragraph 2 of this section, or

h. to add to, delete from, alter, or deface the required information on a driver license or identification card.

2. It is a felony for any person:

a. to create, publish, or otherwise manufacture an Oklahoma or other state license or identification card or facsimile thereof, or to create, manufacture, or possess an engraved plate or other such device, card, laminate, digital image or file, or software for the printing of an Oklahoma or other state license or identification card or facsimile thereof, except as authorized pursuant to this title,

b. to display or cause or permit to be displayed or to knowingly possess any state counterfeit or fictitious license or identification card,

c. to display or cause to be displayed or to knowingly possess any state license or identification card bearing a fictitious or forged name or signature,

d. to display or cause to be displayed or to knowingly possess any state license or identification card bearing the photograph of any person, other than the person named thereon as licensee,

e. to display or represent as one's own, any license or identification card not issued to him or her, for the purpose of committing a fraud in any commercial transaction or to mislead a peace officer in the performance of his or her duties, or

f. to use a false or fictitious name in any application for a license or identification card or to knowingly make a false statement or to knowingly conceal a material fact or otherwise commit a fraud in any such application.

3. It is a felony for any employee or person authorized to issue or approve the issuance of licenses or identification cards under this title to knowingly issue or attempt to issue a license or identification card or to knowingly give approval for, cause, or attempt to cause a license or identification card to be issued:

a. to a person not entitled thereto,

b. bearing erroneous information thereon, or

c. bearing the photograph of a person other than the person named thereon.

Such conduct shall be grounds for termination of employment of the employee.

4. The violation of any of the provisions of paragraph 1 of this section shall constitute a misdemeanor and shall, upon conviction thereof, be punishable by a fine not less than Twenty-five Dollars ($25.00), nor more than Two Hundred Dollars ($200.00); the violation of any of the provisions of paragraph 2 or 3 of this section shall constitute a Class D1 felony offense and shall, upon conviction thereof, be punishable by a fine not to exceed Ten Thousand Dollars ($10,000.00), or a term of imprisonment ~~in the custody of the Department of Corrections not to exceed seven (7) years~~ as provided for in subsections B through F of Section 20N of Title 21 of the Oklahoma Statutes, or by both such fine and imprisonment.

5. Notwithstanding any provision of this section, the Department of Public Safety, through the Identity Verification Unit established pursuant to Section 2-106.3 of this title, may, upon the request of the chief administrator of a law enforcement, military, or intelligence agency, authorize the issuance to and display and possession by a person of a license which would otherwise be a violation of this section, for the sole purpose of aiding in a criminal investigation or a military or intelligence operation.

While acting pursuant to such authorization by the Department, such person shall not be prosecuted for a violation under this section unless the person exceeds the scope or duration of the Department's authorization. Upon termination of such investigation or operation or upon request of the Department, the chief administrator of the law enforcement agency that requests the issuance of the license and the recipient of the license shall be jointly responsible to ensure the license is promptly returned to the Department. The Department and Service Oklahoma shall enter into interagency agreements as may be necessary to fulfill the powers and duties set forth in this paragraph. The Department may enter into interagency agreements with law enforcement agencies that request issuance of such a license to set forth the terms of the authorization for use of the license, the terms for custody and control of the license, and the terms for duration and revocation of authorization to use or possess the license.

SECTION 55. REPEALER 47 O.S. 2021, Section 6-301, as last amended by Section 516, Chapter 486, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-301), is hereby repealed.

SECTION 56. AMENDATORY 47 O.S. 2021, Section 563, as last amended by Section 3, Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025, Section 563), is amended to read as follows:

Section 563. A. There is hereby created the Oklahoma New Motor Vehicle Commission, to be composed of nine (9) members. Seven of the members shall have been engaged in the manufacture, distribution, or sale of new motor vehicles and two members shall be lay members, all to be appointed by the Governor of ~~the State of Oklahoma~~ this state, with the advice and consent of the Senate. Appointments shall be made within thirty (30) days after November 1, 1985. Each of the Commissioners thus appointed shall, at the time of the appointment, be a resident in good faith of this state, shall be of good moral character, and each of the ~~industry related~~ industry-related Commissioners shall have been actually engaged in the manufacture, distribution, or sale of new motor vehicles, new powersport vehicles or new recreational vehicles for not less than ten (10) years preceding the appointment. The members of the Commission shall serve at the pleasure of the Governor.

B. 1. The Commissioners shall elect a chair from amongst them whose term shall be for one (1) year with the right to succeed himself or herself.

2. There shall be three ~~at large~~ at-large members of the Commission. Six members of the Commission shall be appointed from the following geographical areas with at least one member from each area:

a. four areas of the state shall be the northwest, northeast, southwest, and southeast sections designated by Interstate 35 dividing the state east and west and Interstate 40 dividing the state north and south, excluding Oklahoma County and Tulsa County, and

b. two additional areas shall be Oklahoma County and Tulsa County.

There shall not be more than two members of the Commission from any one area.

C. The terms of office of the members first appointed to the Commission shall be as follows:

1. The members appointed from the northwest, northeast, and southwest areas shall serve until June 30, 1987;

2. The members appointed from the southeast area and Oklahoma County and Tulsa County shall serve until June 30, 1989; and

3. The members appointed at large shall serve until June 30, 1991.

Each member shall serve until a successor is appointed and qualifies. Thereafter, the term of office of each member of the Commission shall be for six (6) years. The term of office of any member will automatically expire if the member moves out of the geographical area from which the member was appointed. In event of death, resignation, removal, or term automatically expiring of any person serving on the Commission, the vacancy shall be filled by appointment as provided for the unexpired portion of the term. The Commission shall meet ~~at~~ in Oklahoma City and complete its organization immediately after the membership has been appointed and has qualified. The chair and each member of the Commission shall take and subscribe to the oath of office required of public officers.

D. The members of the Commission shall receive reimbursement for subsistence and traveling expenses necessarily incurred in the performance of their duties as provided by the State Travel Reimbursement Act.

E. The Commission shall appoint a qualified person to serve as Executive Director thereof, which person shall have had not less than ten (10) years of experience in the motor vehicle industry. The Executive Director shall be appointed for a term of six (6) years, and shall not be subject to dismissal or removal without cause. The Commission shall fix the salary and prescribe the duties of the Executive Director. The Executive Director shall devote such time as necessary to fulfill the duties thereof, and before entering upon such duties shall take and subscribe to the oath of office. The Executive Director may employ such clerical, technical, and other help and legal services and incur such expenses as may be necessary for the proper discharge of the duties of the Executive Director under Section 561 et seq. of this title. The Commission shall maintain its office and transact its business in Oklahoma City, and it is authorized to adopt and use a seal. The Executive Director is hereby authorized to hire, retain, or otherwise acquire the services of an attorney to represent the Commission in any and all state and federal courts, and assist the Commission in any and all business or legal matters that may come before it. The attorney so representing the Commission shall discharge the duties under the direction of the Executive Director.

F. The Commission is hereby vested with the powers necessary to enable it to fully and effectively carry out the provisions and objects of Section 561 et seq. of this title and Section 1137.4 of this title, and is hereby authorized and empowered to make and enforce all reasonable rules and to adopt and prescribe all forms necessary to accomplish such purpose. All forms used by a new motor vehicle dealer or powersports vehicle dealer to facilitate the delivery of a vehicle pending approval of financing shall be approved by the Commission. Spot delivery agreement forms shall be required for all new motor vehicle or powersport vehicle deliveries subject to dealers finding lending institutions to purchase the retail or lease installment contracts executed by the purchasing and selling parties.

G. All fees, charges and fines collected under the provisions of Section 561 et seq. of this title and Section 1137.4 of this title shall be deposited by the Executive Director in the State Treasury in accordance with the depository laws of this state in a special fund to be known as the "Oklahoma New Motor Vehicle Commission Fund", which is hereby created, and except as hereinafter provided the monies in the fund shall be used by the Commission for the purpose of carrying out and enforcing the provisions of Section 561 et seq. of this title <u>and Section 1137.4 of this title</u>. Expenditures from the fund shall be made upon vouchers approved by the Commission or its authorized officers.

At the close of each fiscal year, the Commission shall file with the Governor and the State Auditor and Inspector a true and correct report of all fees, fines<u>,</u> and charges collected and received by it during the preceding fiscal year and shall at the same time pay into the General Revenue Fund of the state a sum equal to ten percent (10%) of the fees, fines, and charges collected and received.

All expenses incurred by the Commission in carrying out the provisions of Section 561 et seq. of this title <u>and Section 1137.4 of this title</u>, including but not limited to per diem, wages, salaries, rent, postage, advertising, supplies, bond premiums, travel, and subsistence for the Commissioners, the Executive Director, employees, and legal counsel, and printing and utilities, shall be a proper charge against such fund, exclusive of the portion thereof to be paid into the General Revenue Fund as above set out. In no event shall liability ever accrue hereunder against this state in any sum whatsoever, or against the Oklahoma New Motor Vehicle Commission Fund, in excess of the ninety percent (90%) of the fees, fines, and charges deposited therein.

SECTION 57. REPEALER 47 O.S. 2021, Section 563, as last amended by Section 3, Chapter 236, O.S.L. 2024 (47 O.S. Supp. 2025, Section 563), is hereby repealed.

SECTION 58. AMENDATORY 47 O.S. 2021, Section 564, as last amended by Section 4, Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025, Section 564), is amended to read as follows:

Section 564. A. It shall be unlawful for any person, firm, association, corporation, ~~or~~ partnership, trust, joint venture, or common entity thereof, to engage in business as, or serve in the capacity of, or act as a new motor vehicle dealer, powersports vehicle dealer, or new motor vehicle manufacturer, or distributor , factory branch, distributor branch , factory representative, or distributor representative, as defined in Section 562 of this title, in this state without first obtaining a license therefor as provided for by law. Any person, firm, association, corporation, ~~or~~ partnership, trust, joint venture, or common entity thereof, engaging in more than one of such capacities or having more than one place where such business is carried on or conducted in this state shall be required to obtain and hold a current license for each thereof. Provided that, a new motor vehicle dealer's or powersports vehicle dealer's license shall authorize one person to sell without the necessity of registering as a salesperson, so long as such person is an owner of the dealership, or the person designated as principal in the dealer's franchise or the managing officer or one partner if no principal person is named in the franchise. It is further provided that a factory ~~or an entity affiliated by any ownership or control by the factory~~ shall not be permitted to engage in the activities of a dealer as defined in paragraph 2 of Section 562 of this title or to be licensed as a new motor vehicle dealer in this state, except as provided by subparagraph b of paragraph 12 of Section 565 of this title.

B. Applications for licenses required to be obtained under the provisions of Section 561 et seq. of this title shall be verified by the oath or affirmation of the applicant and shall be on forms prescribed by the Oklahoma New Motor Vehicle Commission and furnished to the applicants, and shall contain information as the Commission deems necessary to enable it to fully determine the qualifications and eligibility of the several applicants to receive the license or licenses applied for. The Commission shall require in such application, or otherwise, information relating to the applicant's current financial standing, the applicant's business integrity, the applicant's criminal convictions or criminal or civil court proceedings history, whether the applicant has an established place of business and is primarily engaged in the pursuit, avocation, or business for which a license, or licenses, are applied for, and whether the applicant is able to properly conduct the business for which a license, or licenses, are applied for, and such other pertinent information consistent with the safeguarding of the public interest and the public welfare. All applications for license or licenses shall be accompanied by the appropriate fee or fees therefor in accordance with the schedule thereof hereinafter set out. In the event any application is denied and the license applied for is not issued, the entire license fee shall be returned to the applicant. All licenses issued under the provisions of Section 561 et seq. of this title shall expire on June 30, following the date of issue and shall be nontransferable. All applications for renewal of a license for a new motor vehicle dealer, powersports vehicle dealer, manufacturer, distributor, factory branch, distributor branch, or manufacturer's or distributor's representative shall be submitted by June 1 of each year, and such license or licenses will be issued by July 1. If applications have not been made for renewal of licenses at the times described in this subsection, it shall be illegal for any person to represent himself or herself and act as a dealer, manufacturer, distributor, or manufacturer's or distributor's representative. Service Oklahoma and licensed operators will be notified not to accept manufacturers' statements or certificates of origin for unlicensed dealers until such time as their licenses have been issued by the Commission.

C. The schedule of license fees to be charged and received by the Commission for the licenses issued hereunder shall be as follows:

1. For each manufacturer, distributor, factory branch, or distributor branch of new motor vehicles or powersports vehicles, Four Hundred Dollars ($400.00) initial fee with annual renewal fee of Three Hundred Dollars ($300.00);

2. For each factory representative or distributor representative, One Hundred Dollars ($100.00) annually;

3. For each new motor vehicle dealer, initial fee of Three Hundred Dollars ($300.00) per franchise sold at each location licensed, with an annual renewal fee of One Hundred Dollars ($100.00) per franchise sold at each location licensed per year; and

4. For each powersports vehicle dealer, initial fee of Three Hundred Dollars ($300.00) per manufacturer represented by the dealer at each location licensed, with an annual renewal fee of One Hundred Dollars ($100.00) per manufacturer represented by the dealer at each location licensed per year.

D. The licenses issued to each new motor vehicle dealer, new powersports vehicle dealer, manufacturer, distributor, factory branch, or distributor branch shall specify the location thereof. In case such location is changed, the Commission may endorse the change of location on the license without charge unless the change of address triggers a relocation of a new motor vehicle dealer or new powersports vehicle dealer pursuant to the provisions of Section 578.1 of this title. The licenses shall be posted in a conspicuous place in the licensee’s place or places of business.

Every representative of a factory or distributor shall physically possess the license when engaged in business and shall display such upon request. The name of the employer shall be stated on the representative's license.

E. The new powersports vehicle dealer license shall only allow the sale of the specific types of powersports vehicles authorized by the manufacturer and agreed to by the powersports dealer.

SECTION 59. REPEALER 47 O.S. 2021, Section 564, as last amended by Section 2, Chapter 119, O.S.L. 2025 (47 O.S. Supp. 2025, Section 564), is hereby repealed.

SECTION 60. AMENDATORY 47 O.S. 2021, Section 565, as last amended by Section 6, Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025, Section 565), is amended to read as follows:

Section 565. A. The Oklahoma New Motor Vehicle Commission may deny an application for a license, revoke or suspend a license, or impose a fine against any person or entity, not to exceed Ten Thousand Dollars ($10,000.00) per occurrence, that violates any provision of Sections 561 through 567, 572, 578.1, 579, and 579.1 of this title or for any of the following reasons:

1. On satisfactory proof of unfitness of the applicant in any application for any license under the provisions of Section 561 et seq. of this title;

2. For any material misstatement made by an applicant in any application for any license under the provisions of Section 561 et seq. of this title;

3. For any failure to comply with any provision of Section 561 et seq. of this title or any rule promulgated by the Commission under authority vested in it by Section 561 et seq. of this title;

4. A change of condition after license is granted resulting in failure to maintain the qualifications for license;

5. Being a new motor vehicle dealer or new powersports vehicle dealer who:

a. has required a purchaser of a new motor vehicle or new powersports vehicle, as a condition of sale and delivery thereof, to also purchase special features, appliances, accessories, or equipment not desired or requested by the purchaser and installed by the new motor vehicle dealer or new powersports vehicle dealer,

b. uses any false or misleading advertising in connection with business as a new motor vehicle dealer or new powersports vehicle dealer,

c. has committed any unlawful act which resulted in the revocation of any similar license in another state,

d. has failed or refused to perform any written agreement with any retail buyer involving the sale of a motor vehicle or powersports vehicle,

e. has been convicted of a felony crime that substantially relates to the occupation of a new motor vehicle dealer or new powersports vehicle dealer and poses a reasonable threat to public safety,

f. has committed a fraudulent act in selling, purchasing, or otherwise dealing in new motor vehicles or new powersports vehicles or has misrepresented the terms and conditions of a sale, purchase or contract for sale or purchase of a new motor vehicle or new powersports vehicle or any interest therein including an option to purchase such vehicle,

g. has failed to meet or maintain the conditions and requirements necessary to qualify for the issuance of a license, or

h. completes any sale or transaction of an extended service contract, extended maintenance plan, or similar product using contract forms that do not conspicuously disclose the identity of the service contract provider;

6. Being a vehicle salesperson who is not employed as such by a licensed new motor vehicle dealer or powersports vehicle dealer;

7. Being a new motor vehicle dealer or new powersports vehicle dealer who:

a. does not have an established place of business,

b. does not provide for a suitable repair shop separate from the display room with ample space to repair or recondition one or more vehicles at the same time, and which is staffed with properly trained and qualified repair technicians and is equipped with such parts, tools, and equipment as may be requisite for the servicing of motor vehicles in such a manner as to make them comply with the safety laws of this state and to properly fulfill the dealer’s or manufacturer’s warranty obligation,

c. does not hold a franchise in effect with a manufacturer or distributor of new or unused vehicles for the sale of the same and is not authorized by the manufacturer or distributor to render predelivery preparation of such vehicles sold to purchasers and to perform any authorized post-sale work pursuant to the manufacturer’s or distributor’s warranty,

d. employs or utilizes the services of used motor vehicle lots or dealers or other unlicensed persons or unregistered persons in connection with the sale of new vehicles,

e. does not properly service a new motor vehicle or new powersports vehicle before delivery of same to the original purchaser thereof, or

f. fails to order and stock a reasonable number of new motor vehicles necessary to meet consumer demand for each of the new motor vehicles included in the new motor vehicle dealer's franchise agreement, unless the new motor vehicles are not readily available from the manufacturer or distributor due to limited production;

8. Being a factory that has:

a. either induced or attempted to induce by means of coercion or intimidation, any new motor vehicle dealer or powersports vehicle dealer:

(1) to accept delivery of any vehicle or vehicles, parts, or accessories therefor, or any other commodities including advertising material which shall not have been ordered by the new motor vehicle dealer,

(2) to order or accept delivery of any motor vehicle or powersports vehicle with special features, appliances, accessories, or equipment not included in the list price of the vehicles as publicly advertised by the manufacturer thereof, or

(3) to order or accept delivery of any parts, accessories, equipment, machinery, tools, appliances, or any commodity whatsoever,

b. induced under threat or discrimination by the withholding from delivery to a new motor vehicle dealer or new powersports vehicle dealer certain models of motor vehicles, changing or amending unilaterally the new motor vehicle dealer's allotment of motor vehicles, and/or withholding and delaying delivery of the vehicles out of the ordinary course of business, in order to induce by such coercion any new motor vehicle dealer or new powersports vehicle dealer to participate or contribute to any local or national advertising fund controlled directly or indirectly by the factory or for any other purposes such as contest, "giveaways", or other so-called sales promotional devices, and/or change of quotas in any sales contest; or has required new motor vehicle dealers, as a condition to receiving their vehicle allotment, to order a certain percentage of the vehicles with optional equipment not specified by the dealer; however, nothing in this section shall prohibit a factory from supporting an advertising association which is open to all new motor vehicle dealers or new powersports vehicle dealers on the same basis,

c. used a performance standard, sales objective, or program for measuring dealer performance that may have a material effect on a right of the dealer to vehicle allocation; or payment under any incentive or reimbursement program that is unfair, unreasonable, inequitable, and not based on accurate information,

d. used a performance standard for measuring sales or service performance ~~of~~ which results in penalizing any new motor vehicle dealer or new powersports vehicle dealer under the terms of the franchise agreement which:

(1) is unfair, unreasonable, arbitrary, or inequitable, ~~and~~

(2) does not consider the relevant and material local and state or regional criteria, ~~including~~ prevailing economic conditions affecting the sales or service performance of a vehicle dealer or any relevant and material data and facts presented by the dealer in writing within thirty (30) days of the written notice of the manufacturer to the dealer of its intention to

cancel, terminate, or not renew the dealer's franchise agreement, <u>and</u>

<u>(3)</u> <u>does not consider the actual vehicle allocation offered or otherwise made available to the dealer by the manufacturer or distributor, as well as the dealer's inventory levels relevant to achieve any minimum performance standards to which the manufacturer or distributor holds the dealer accountable,</u>

e. failed or refused to sell, or offer for sale, new motor vehicles to all of its authorized same line-make franchised new motor vehicle dealers or new powersports vehicle dealers at the same price for a comparably equipped motor vehicle, on the same terms, with no differential in functionally available discount, allowance, credit, or bonus, except as provided in subparagraph e of paragraph 9 of this subsection,

f. failed to provide reasonable compensation to a new motor vehicle dealer substantially equivalent to the actual cost of providing a manufacturer required loaner or rental vehicle to any consumer who is having a vehicle serviced at the dealership. For purposes of this paragraph, actual cost is the average cost in the new motor vehicle dealer’s region for the rental of a substantially similar make and model as the vehicle being serviced, or

g. failed to make available to its new motor vehicle dealers a fair and proportional share of all new vehicles distributed to same line-make dealers in this state, subject to the same reasonable terms, including any vehicles distributed from a common new vehicle inventory pool outside of the factory’s ordinary allocation process such as any vehicles the factory reserves to distribute on a discretionary basis;

9. Being a factory that:

a. has attempted to coerce or has coerced any new motor vehicle dealer or new powersports vehicle dealer to enter into any agreement or to cancel any agreement; has failed to act in good faith and in a fair, equitable, and nondiscriminatory manner; has directly or indirectly coerced, intimidated, threatened, or restrained any new motor vehicle dealer; has acted dishonestly; or has failed to act in accordance with the reasonable standards of fair dealing,

b. has failed to compensate its dealers for the work and services they are required to perform in connection with the dealer’s delivery and preparation obligations according to the agreements on file with the Commission which must be found by the Commission to be reasonable, or has failed to adequately and fairly compensate its dealers for labor, parts, and other expenses incurred by the dealer to perform under and comply with manufacturer's warranty agreements and recall repairs which shall include diagnostic work as applicable and assistance requested by a consumer whose vehicle was subjected to an over-the-air or remote change, repair, or update to any part, system, accessory, or function by the manufacturer and performed by the dealer in order to satisfy the consumer. Time allowances for the diagnosis and performance of repair work shall be reasonable and adequate for the work to be performed. Adequate and fair compensation, which under this provision shall be no less than the rates customarily charged for retail consumer repairs as calculated herein, for parts and labor for warranty and recall repairs shall, at the option of the new motor vehicle dealer, be established by the new motor vehicle dealer submitting to the manufacturer or distributor one hundred sequential nonwarranty consumer-paid service repair orders which contain warranty-like repairs, or ninety (90) consecutive days of nonwarranty consumer-paid service repair orders which contain warranty-like repairs, whichever is less, covering repairs made no more than one hundred eighty (180) days before the submission and declaring the average percentage labor rate and/or markup rate. A motor vehicle dealer may not submit a request to establish its retail rates more than once in a twelve-month period. That request may establish a parts markup rate, labor rate, or both. The new motor vehicle dealer or new powersports vehicle dealer shall calculate its retail parts rate by determining the total charges for parts from the qualified repair orders submitted, dividing that amount by the new motor vehicle dealer’s total cost of the purchase of those parts, subtracting one (1), and multiplying by one hundred (100) to produce a percentage. The new motor vehicle dealer or new powersports vehicle dealer shall calculate its retail labor rate by dividing the amount of the new vehicle dealer’s total labor sales from the qualified repair orders by the total labor hours charged for those sales. When submitting repair orders to establish a retail parts and labor rate, a new motor vehicle dealer or new powersports vehicle dealer need not include repairs for:

(1) routine maintenance including but not limited to the replacement of bulbs, fluids, filters, batteries, and belts that are not provided in the course of and related to a repair,

(2) factory special events, specials, or promotional discounts for retail consumer repairs,

(3) parts sold or repairs performed at wholesale,

(4) factory-approved goodwill or policy repairs or replacements,

(5) repairs with aftermarket parts, when calculating the retail parts rate but not the retail labor rate,

(6) repairs on aftermarket parts,

(7) replacement of or work on tires including front-end alignments and wheel or tire rotations,

(8) repairs of vehicles owned by the new motor vehicle dealer or new powersports vehicle dealer or employee thereof at the time of the repair,

(9) vehicle reconditioning, or

(10) items that do not have individual part numbers including, but not limited to, nuts, bolts, and fasteners.

A manufacturer or distributor may, not later than forty-five (45) days after submission, rebut that declared retail parts and labor rate in writing by reasonably substantiating that the rate is not accurate or is incomplete pursuant to the provisions of this section. If the manufacturer or distributor determines the set of repair orders submitted by the new motor vehicle dealer or new powersports vehicle dealer pursuant to this section for a retail labor rate or retail parts markup rate is substantially higher than the new vehicle dealer's current warranty rates, the manufacturer or distributor may request, in writing, within forty-five (45) days after the manufacturer's or distributor's receipt of the new vehicle dealer's initial submission, all repair orders closed within the period of thirty (30) days immediately preceding, or thirty (30) days immediately following, the set of repair orders initially submitted by the new motor vehicle dealer. All time periods under this section shall be suspended until the supplemental repair orders are provided. If the manufacturer or distributor requests supplemental repair orders, the manufacturer or distributor may, within thirty (30) days after receiving the supplemental repair orders and in accordance with the formula described in this subsection, calculate a proposed adjusted retail labor rate or retail parts markup rate, as applicable, based upon any set of the qualified repair orders submitted by the franchisee and following the formula set forth herein to establish the rate. The retail labor and parts rates shall go into effect thirty (30) days following the approval by the manufacturer or distributor. If the declared rate is rebutted, the manufacturer or distributor shall provide written notice stating the reasons for the rebuttal, an explanation of the reasons for the rebuttal, and a copy of all calculations used by the franchisor in determining the manufacturer or distributor's position and propose an adjustment in writing of the average percentage markup or labor rate based on that rebuttal not later than forty-five (45) days after submission. If the new motor vehicle dealer or new powersports vehicle dealer does not agree with the proposed average percentage markup or labor rate, the new vehicle dealer may file a protest with the Commission not later than thirty (30) days after receipt of that proposal by the manufacturer or distributor. In the event a protest is filed, the manufacturer or distributor shall have the burden of proof to establish the new vehicle dealer’s submitted parts markup rate or labor rate was inaccurate or not complete pursuant to the provisions of this section. A manufacturer or distributor may not retaliate against any new motor vehicle dealer or new powersports vehicle dealer seeking to exercise its rights under this section. A manufacturer or distributor may require a dealer to submit repair orders in accordance with this section in order to validate the reasonableness of a dealer’s retail rate for parts or labor not more often than once every twelve (12) months. A manufacturer or distributor may not otherwise recover its costs from new vehicle dealers within this state including a surcharge imposed on a new motor vehicle dealer solely intended to recover the cost of reimbursing a dealer for parts and labor pursuant to this section; provided, a manufacturer or distributor shall not be prohibited from increasing prices for vehicles or parts in the normal course of business or from auditing and charging back claims in accordance with this section. All claims made by dealers for compensation for delivery, preparation, warranty, or recall repair work shall be paid within thirty (30) days after approval and shall be approved or disapproved within thirty

(30) days after receipt. When any claim is disapproved, the dealer shall be notified in writing of the grounds for disapproval. The dealer's delivery, preparation, and warranty obligations as filed with the Commission shall constitute the dealer's sole responsibility for product liability as between the dealer and manufacturer. A factory may reasonably and periodically audit a new motor vehicle dealer or new powersports vehicle dealer to determine the validity of paid claims for dealer compensation or any charge-backs for warranty parts or service compensation. Except in cases of suspected fraud, audits of warranty payments shall only be for the one-year period immediately following the date of the payment. A manufacturer shall reserve the right to reasonable, periodic audits to determine the validity of paid claims for dealer compensation or any charge-backs for consumer or dealer incentives. Except in cases of suspected fraud, audits of incentive payments shall only be for a one-year period immediately following the date of the payment. A factory shall not deny a claim or charge a new motor vehicle dealer back subsequent to the payment of the claim unless the factory can show that the claim was false or

fraudulent or that the new motor vehicle dealer or new powersports vehicle dealer failed to reasonably substantiate the claim by the written reasonable procedures of the factory. A factory shall not deny a claim or implement a charge-back against a new vehicle dealer after payment of a claim in the event a purchaser of a new vehicle that is the subject of a claim fails to comply with titling or registration laws of this state and is not prevented from compliance by any action of the dealer; provided, that the factory may require the dealer to provide, within thirty (30) days of notice of charge-back, withholding of payment, or denial of claim, the documentation to demonstrate the vehicle sale, delivery, and customer qualification for an incentive as reported, including consumer name and address and written attestation signed by the dealer operator or general manager stating the consumer was not on the export control list and the dealer did not know or have reason to know the vehicle was being exported or resold.

The factory shall provide written notice to a dealer of a proposed charge-back that is the result of an audit along with the specific audit results and proposed charge-back amount. A dealer that receives notice of a proposed charge-back pursuant to a factory's audit has the right to file a protest with the Commission within thirty (30) days after receipt of the notice of the charge-back or audit results, whichever is later. The factory is prohibited from implementing the charge-back or debiting the dealer's account until either the time frame for filing a protest has passed or a final adjudication is rendered by the Commission, whichever is later, unless the dealer has agreed to the charge-back or charge-backs,

c. fails to compensate the new motor vehicle dealer for a used motor vehicle:

(1) that is of the same make and model manufactured, imported, or distributed by the factory and is a line-make that the new motor vehicle dealer is franchised to sell or on which the new motor vehicle dealer is authorized to perform recall repairs,

(2) that is subject to a stop-sale or do-not-drive order issued by the factory or an authorized governmental agency,

(3) that is held by the new motor vehicle dealer in the dealer's inventory at the time the stop-sale or do-not-drive order is issued or that is taken

by the new motor vehicle dealer into the dealer's inventory after the recall notice as a result of a retail consumer trade-in or a lease return to the dealer inventory in accordance with an applicable lease contract,

(4) that cannot be repaired due to the unavailability, within thirty (30) days after issuance of the stop-sale or do-not-drive order, of a remedy or parts necessary for the new motor vehicle dealer to make the recall repair, and

(5) that is not at least in the prorated amount of one percent (1.00%) of the value of the vehicle per month beginning on the date that is thirty (30) days after the date on which the stop-sale order was provided to the new motor vehicle dealer until the earlier of either of the following:

(a) the date the recall remedy or parts are made available, or

(b) the date the new motor vehicle dealer sells, trades, or otherwise disposes of the affected used motor vehicle.

For the purposes of division (5) of this subparagraph, the value of a used vehicle shall be the average Black

Book value for the year, make, and model of the recalled vehicle. A factory may direct the manner and method in which a new motor vehicle dealer must demonstrate the inventory status of an affected used motor vehicle to determine eligibility under this subparagraph; provided, that the manner and method may not be unduly burdensome and may not require information that is unduly burdensome to provide. All reimbursement claims made by new motor vehicle dealers pursuant to this section for recall remedies or repairs, or for compensation where no part or repair is reasonably available and the vehicle is subject to a stop-sale or do-not-drive order, shall be subject to the same limitations and requirements as a warranty reimbursement claim made under subparagraph b of this paragraph. In the alternative, a manufacturer may compensate its franchised new motor vehicle dealers under a national recall compensation program; provided, the compensation under the program is equal to or greater than that provided under division (5) of this subparagraph, or as the manufacturer and new motor vehicle dealer otherwise agree. Nothing in this section shall require a factory to provide total compensation to a new motor vehicle dealer which would exceed the total average Black Book value of the affected used motor vehicle as originally determined under division (5) of this subparagraph. Any remedy provided to a new motor vehicle dealer under this subparagraph is exclusive and may not be combined with any other state or federal compensation remedy,

d. unreasonably fails or refuses to offer to its same line-make franchised dealers a reasonable supply and mix of all models manufactured for that line-make, or unreasonably requires a dealer to pay any extra fee, purchase unreasonable advertising displays or other materials, or enter into a separate agreement which adversely alters the rights or obligations contained within the dealer’s existing franchise agreement or which waives any right of the new motor vehicle dealer or new powersports vehicle dealer as protected by Section 561 et seq. of this title, or remodel, renovate, or recondition the dealer’s existing facilities as a prerequisite to receiving a model or series of vehicles, except as may be necessary to sell or service the model or series of vehicles as provided by subparagraph e of this paragraph. It shall be a violation of this section for new vehicle allocation to be withheld subject to any requirement to purchase or sell any number of used or off-lease vehicles. The failure to deliver any such new motor vehicle shall not be considered a violation of the section if the failure is not arbitrary or is due to lack of manufacturing capacity or to a strike or labor difficulty, a shortage of materials, a freight embargo, or other cause over which the manufacturer has no control. However, this subparagraph shall not apply to limited production model vehicles, a vehicle not advertised by the factory for sale in this state, vehicles that are subject to allocation affected by federal environmental laws or environmental laws of this state, or vehicles allocated in response to an unforeseen event or circumstance,

e. except as necessary to comply with a health or safety law, or to comply with a technology requirement which is necessary to sell or service a vehicle that the franchised new motor vehicle dealer or new powersports vehicle dealer is authorized or licensed by the franchisor to sell or service, requires a dealer to construct a new facility or substantially renovate the dealer’s existing facility unless the facility construction or renovation is justified by the economic conditions existing at the time, as well as the reasonably foreseeable projections, in the new motor vehicle dealer’s market and in the automotive industry. However, this subparagraph shall not apply if the new motor vehicle dealer or new powersports vehicle dealer voluntarily agrees to facility construction or renovation in exchange for money, credit, allowance, reimbursement, or additional vehicle allocation to a dealer from the factory to compensate the dealer for the cost of, or a portion of the cost of, the facility construction or renovation. Except as necessary to comply with a health or safety law, or to comply with a technology or safety requirement which is necessary to sell or service a motor vehicle or powersports vehicle that the franchised dealer is authorized or licensed by the franchisor to sell or service, a new vehicle dealer which completes a facility construction or renovation pursuant to factory requirements shall not be required to construct a new facility or renovate the existing facility if the same area of the facility or premises has been constructed or substantially altered within the last ten (10) years and the construction or alteration was approved by the manufacturer as a part of a facility upgrade program, standard, or policy.

For purposes of this subparagraph, “substantially altered” means to perform an alteration that substantially impacts the architectural features, characteristics, or integrity of a structure or lot. The term shall not include routine maintenance reasonably necessary to maintain a dealership in attractive condition. If a facility upgrade program, standard, or policy under which the dealer completed a facility construction or substantial alteration does not contain a specific time period during which the manufacturer or distributor shall provide payments or benefits to a participating dealer, or the time frame specified under the program is reduced or canceled prematurely in the unilateral discretion of the manufacturer or distributor, the manufacturer or distributor shall not deny the participating dealer any payment or benefit under the terms of the program, standard, or policy as it existed when the dealer began to perform under the program, standard, or policy for the balance of the ten-year period, regardless of whether the manufacturer’s or distributor’s program, standard, or policy has been changed or canceled, unless the manufacturer and dealer agree, in writing, to the change in payment or benefit. During the ten-year period following facility construction or substantial alteration, the manufacturer shall not fail to make available to the dealer a fair and proportionate share of all new vehicles distributed to dealers of the same line-make in this state, subject to the same reasonable terms, including vehicles distributed from a common new vehicle inventory pool outside of the factory's ordinary allocation process, such as any vehicles the factory reserves to distribute on a discretionary basis,

f. requires a new motor vehicle dealer or new powersports vehicle dealer to establish an exclusive facility or to change the location of the dealership, unless supported by reasonable business, market, and economic considerations; provided, that this section shall not restrict the terms of any agreement for such exclusive facility voluntarily entered into and supported by valuable consideration separate from the new motor vehicle dealer's right to sell and service motor vehicles for the franchisor. If a dealer is required by the manufacturer or distributor to change an existing, previously approved location of the dealership and has not sold its existing dealership _facility and real estate within the later of one hundred eighty (180) days of listing the property for sale or ninety (90) days after the facility relocation, then, upon the written request of the dealer, the manufacturer or distributor shall purchase the dealer's existing dealership facility and real estate as if the new motor vehicle dealership continues to operate on the property. If the factory and dealer cannot agree on the value of the dealership facilities and real estate, then the factory and dealer shall utilize the process described in paragraph 6 of subsection G of Section 565.2 of this title. If a manufacturer or distributor purchases a dealership facility and real estate, then it shall be entitled to sole ownership, possession, use, and control of any items, buildings, or property that were included in the contract to purchase_,

g. requires a new motor vehicle dealer or new powersports vehicle dealer to enter into a site-control agreement covering any or all of the new motor vehicle dealer's facilities or premises; provided, that this section shall not restrict the terms of any site-control agreement voluntarily entered into and supported by valuable consideration separate from the new motor vehicle dealer's right to sell and service motor vehicles for the franchisor. Notwithstanding the foregoing or the terms of any site-control agreement, a site-control agreement automatically extinguishes if all of the factory's franchises that operated from the location that are the subject of the site-control agreement are terminated by the factory as part of the discontinuance of a product line,

h. refuses to pay, or claims reimbursement from, a new motor vehicle dealer or new powersports vehicle dealer for sales, incentives, or other payments related to a vehicle sold by the dealer because the purchaser of the new vehicle exported or resold the vehicle in violation of the policy of the factory unless the factory can show that, at the time of the sale, the new vehicle dealer knew or reasonably should have known of the purchaser's intention to export or resell the vehicle. There is a rebuttable presumption that the new vehicle dealer did not know or could not have known that the vehicle would be exported if the vehicle is titled and registered in any state of the United States, or

i. <u>(1)</u> <u>notwithstanding the terms of a franchise agreement or other agreement except as provided</u>

by this subsection, requires a new motor vehicle dealer or new powersports vehicle dealer to purchase or utilize goods or services, or contract with any vendor, identified, selected or designated by the factory for the:

(a) operation of the dealership including electronic services such as websites, data management or storage systems, digital retail platforms, software, or other digital services or platforms, or

(b) construction, renovation, or improvement of the new dealer's facility ~~from a vendor chosen by the factory~~ if goods or services available from ~~other sources~~ a vendor that the new motor vehicle dealer chooses, are of substantially similar quality, function, and design and comply with all applicable laws; provided, however, that such goods are not subject to the factory's intellectual property or trademark rights and the new vehicle dealer has received the factory's approval, which approval may not be unreasonably withheld. Nothing in this subparagraph may be construed to allow a new motor vehicle dealer or new powersports vehicle dealer to impair or eliminate a factory's intellectual property, trademark rights, or trade dress usage guidelines. Nothing in this ~~section~~ subdivision or subdivision (a) of this division prohibits the enforcement of a voluntary agreement between the factory and the new vehicle dealer where separate and valuable consideration has been offered and accepted. It is a violation of this subdivision or subdivision (a) of this division for a factory, or any entity that acts on behalf of a factory, to coerce a new motor vehicle dealer to purchase or utilize certain goods or services by withholding the vehicle allocation the new motor vehicle dealer is otherwise eligible to receive, and

(2) for purposes of this subparagraph, "goods and services" do not include:

(a) moveable displays, brochures, promotional materials, or electronic or digital media containing material subject to the intellectual property rights of a factory or parts to be used in repairs under warranty obligations of a factory, or

(b) special tools or training required by the factory to perform warranty or recall repairs;

10. Being a factory that:

a. establishes a system of motor vehicle allocation or distribution which is unfair, inequitable, or unreasonably discriminatory. A manufacturer and distributor shall maintain for three (3) years records that describe its methods or formula of allocation and distribution of its motor vehicles and records of its actual allocation and distribution of motor vehicles to its motor vehicle dealers. Upon the written request of any new motor vehicle dealer or new powersports vehicle dealer franchised by ~~it~~ the manufacturer or distributor, received by the manufacturer or distributor within thirty (30) days of the manufacturer’s or distributor’s written notice to the dealer of its intention to cancel or terminate, or written notice from the manufacturer or distributor of a sales performance deficiency requiring the dealer to take action to cure the alleged performance deficiency, a ~~factory~~ manufacturer or distributor shall disclose in writing to the dealer the basis upon which new vehicles are allocated, scheduled, and delivered ~~among the~~, by vehicle model, to new motor vehicle dealers of the same line-make for that ~~factory~~ manufacturer or distributor for the prior three (3) years, and the basis upon which the current allocation or distribution is being made or will be made based on existing information to such dealer, or

b. changes an established plan or system of new motor vehicle or new powersports vehicle distribution. A new motor vehicle dealer or new powersports vehicle dealer franchise agreement shall continue in full force and operation notwithstanding a change, in whole or in part, of an established plan or system of distribution of the motor vehicles or new powersports vehicles offered or previously offered for sale under the franchise agreement. The appointment of a new importer or distributor for motor vehicles or new powersports vehicle offered for sale under the franchise agreement shall be deemed to be a change of an established plan or system of distribution. The discontinuation of a line-make shall not be deemed to be a change of an established plan or system of motor vehicle or new powersports vehicle distribution. The creation of a line-make shall not be deemed to be a change of an established plan or system of motor vehicle distribution as long as the new line-make is not selling the same, or substantially the same vehicle or vehicles previously sold through another line-make by new motor vehicle dealers or new powersports vehicle dealers with an active franchise agreement for the other line-make in the state if such dealers are no longer authorized to sell the comparable vehicle previously sold through their line-make. Changing a vehicle's powertrain is not sufficient to show it is substantially different. Upon the occurrence of such change, the manufacturer or distributor shall be prohibited from obtaining a license to distribute vehicles under the new plan or system of distribution unless the manufacturer or distributor offers to each vehicle dealer who is a party to the franchise agreement a new franchise agreement containing substantially the same provisions which were contained in the previous franchise agreement;

11. Being a factory that sells directly or indirectly new motor vehicles or new powersports vehicles to any retail consumer in the state except through a new motor vehicle dealer or new powersports

vehicle dealer holding a franchise for the line-make that includes the new motor vehicle or new powersports vehicle. This paragraph does not apply to factory sales of new vehicles to its employees, family members of employees, retirees and family members of retirees, not-for-profit organizations, or the federal, state, or local governments. The provisions of this paragraph shall not preclude a factory from providing information to a consumer for the purpose of marketing or facilitating a sale of a new vehicle or from establishing a program to sell or offer to sell new motor vehicles or new powersports vehicle through participating dealers subject to the limitations provided in paragraph 2 of Section 562 of this title;

12. a. Being a factory which directly or indirectly:

(1) owns any ownership interest or has any financial interest in a new motor vehicle dealer or new powersports vehicle dealer or any person who sells products or services pursuant to the terms of the franchise agreement,

(2) operates or controls a new motor vehicle dealer or new powersports vehicle dealer, or

(3) acts in the capacity of a new motor vehicle dealer or new powersports vehicle dealer.

b. (1) This paragraph does not prohibit a factory from owning or controlling a new motor vehicle dealer or new powersports vehicle dealer while in a bona fide relationship with a dealer development candidate who has made a substantial initial investment in the franchise and whose initial investment is subject to potential loss. The dealer development candidate can reasonably expect to acquire full ownership of a new vehicle dealer within a reasonable period of time not to exceed ten (10) years and on reasonable terms and conditions. The ten-year acquisition period may be expanded for good cause shown.

(2) This paragraph does not prohibit a factory from owning, operating, controlling, or acting in the capacity of a new motor vehicle dealer or new powersports vehicle dealer for a period not to exceed twelve (12) months during the transition from one independent dealer to another independent dealer if the dealership is for sale at a reasonable price and on reasonable terms and conditions to an independent qualified buyer. On showing by a factory of good cause, the Oklahoma New Motor Vehicle Commission may extend the time limit set forth above; extensions may be granted for periods not to exceed twelve (12) months.

(3) This paragraph does not prohibit a factory from owning, operating, or controlling or acting in the capacity of a new motor vehicle dealer or new powersports vehicle dealer which was in operation prior to January 1, 2000.

(4) This paragraph does not prohibit a factory from owning, directly or indirectly, a minority interest in an entity that owns, operates, or controls motor vehicle dealerships or powersports vehicle dealerships of the same line-make franchised by the manufacturer, provided that each of the following conditions are met:

(a) all of the new motor vehicle or new powersports vehicle dealerships selling the vehicles of that manufacturer in this state trade exclusively in the line-make of that manufacturer,

(b) all of the franchise agreements of the manufacturer confer rights on the dealer of the line-make to develop and operate, within a defined geographic territory or area, as many dealership facilities as the dealer and manufacturer shall agree are appropriate,

(c) at the time the manufacturer first acquires an ownership interest or assumes operation, the distance between any dealership thus owned or operated and the nearest unaffiliated new motor vehicle or new powersports vehicle dealership trading in the same line-make is not less than seventy (70) miles,

(d) during any period in which the manufacturer has such an ownership interest, the manufacturer has no more than three franchise agreements with new motor vehicle dealers or new powersports vehicle dealers licensed by the Oklahoma New Motor Vehicle Commission to do business within the state, and

(e) prior to January 1, 2000, the factory shall have furnished or made available to prospective new vehicle dealers an offering circular in accordance with the Trade Regulation Rule on Franchising of the Federal Trade Commission, and any guidelines and exemptions issued thereunder, which disclose the possibility that the factory may from time to time seek to own or acquire, directly or indirectly, ownership interests in retail dealerships;

13. Being a factory which directly or indirectly makes available for public disclosure any proprietary information provided to the factory by a new motor vehicle dealer or new powersports vehicle dealer, other than in composite form to new vehicle dealers in the same line-make or in response to a subpoena or order of the Commission or a court. Proprietary information includes, but is not limited to, information:

a. derived from monthly financial statements provided to the factory, and

b. regarding any aspect of the profitability of a particular new motor vehicle dealer or new powersports vehicle dealer;

14. Being a factory which does not provide or direct leads in a fair, equitable, and timely manner. Nothing in this paragraph shall be construed to require a factory to disregard the preference of a consumer in providing or directing a lead;

15. Being a factory which used the consumer list of a new motor vehicle dealer or new powersports vehicle dealer for the purpose of unfairly competing with dealers;

16. Being a factory which prohibits a new motor vehicle dealer or new powersports vehicle dealer from relocating after a written request by such dealer if:

a. the facility and the proposed new location satisfies or meets the written reasonable guidelines of the factory. Reasonable guidelines do not include exclusivity or site control unless agreed to as set forth in subparagraphs f and g of paragraph 9 of this subsection,

b. the proposed new location is within the area of responsibility of the new motor vehicle dealer or new powersports vehicle dealer pursuant to Section 578.1 of this title, and

c. the factory has sixty (60) days from receipt of the new motor vehicle dealer's or powersports vehicle dealer's relocation request to approve or deny the request. The failure to approve or deny the request within the sixty-day time frame shall constitute approval of the request;

17. Being a factory which prohibits a new motor vehicle dealer or new powersports vehicle dealer from adding additional line-makes to its existing facility, if, after adding the additional line-makes, the facility satisfies the written reasonable capitalization standards and facility guidelines of each factory. Reasonable

facility guidelines do not include a requirement to maintain exclusivity or site control unless agreed to by the dealer as set forth in subparagraphs f and g of paragraph 9 of this subsection;

18. Being a factory that increases prices of new motor vehicles or new powersports vehicles which the dealer had ordered for retail consumers and notified the factory prior to the dealer's receipt of the written official price increase notification. A sales contract signed by a retail consumer accompanied with proof of order submission to the factory shall constitute evidence of each such order, provided that the vehicle is in fact delivered to the consumer. Price differences applicable to new models or series motor vehicles at the time of the introduction of new models or series shall not be considered a price increase for purposes of this paragraph. Price changes caused by any of the following shall not be subject to the provisions of this paragraph:

a. the addition to a motor vehicle or powersports vehicle of required or optional equipment pursuant to state or federal law,

b. revaluation of the United States dollar in the case of foreign-made vehicles or components, or

c. an increase in transportation charges due to increased rates imposed by common or contract carriers;

19. Being a factory that requires a new motor vehicle dealer or new powersports vehicle dealer to participate monetarily in an

advertising campaign or contest, or purchase any promotional materials, showroom, or other display decoration or materials at the expense of the new motor vehicle or powersports vehicle dealer without consent of the dealer, which consent shall not be unreasonably withheld;

20. Being a factory that denies any new motor vehicle dealer or new powersports vehicle dealer the right of free association with any other dealer for any lawful purpose, unless otherwise permitted by this chapter; ~~or~~

21. Being a factory that requires a new motor vehicle dealer or new powersports vehicle dealer to sell, offer to sell, or sell exclusively an extended service contract, extended maintenance plan, or similar product, such as gap products offered, endorsed, or sponsored by the factory by the following means:

a. by an act or statement from the factory that will in any manner adversely impact the new motor vehicle dealer, or

b. by measuring dealer’s performance under the franchise based on the sale of extended service contracts, extended maintenance plans, or similar products offered, endorsed, or sponsored by the manufacturer or distributor;

22. Being a factory that requires or coerces a new motor vehicle dealer in this state to purchase or lease any electric

vehicle charging stations at the new motor vehicle dealer’s expense unless the franchise agreement, including any related addendums, with the new motor vehicle dealer identifies electric vehicle models among the vehicles available for sale under the dealer’s franchised line-make, or the new motor vehicle dealer has notified the manufacturer or distributor of the new motor vehicle dealer’s intention to begin selling and servicing electric vehicles manufactured or distributed by that factory. If the new motor vehicle dealer’s franchise identifies electric vehicle models or the dealer is actually offering for sale to the public or providing warranty service on electric vehicles manufactured or distributed by that factory, the new motor vehicle dealer may not be required to purchase or lease, at the new motor vehicle dealer’s expense:

a. more than the number and type of electric vehicle charging stations based upon the reasonable estimate dealer sales and service volume for those vehicles in the dealer’s market, or

b. to make electric vehicle charging stations located at the new motor vehicle dealership available for use by the general public. Nothing in this paragraph shall prohibit a factory from offering financial assistance through a lump-sum payment to new motor vehicle dealers that purchase or install electric charging stations; and

23. Being a factory that withdraws all or a material part of its stated electric vehicle distribution plan and fails or refuses, at the written request of the new motor vehicle dealer, to accept the return or otherwise fully reimburse a new motor vehicle dealer for the cost of parts, tools, equipment, chargers and other returnable items required as a part of that distribution plan, program, policy or other initiative related to the sale or service of electric motor vehicles, provided that:

a. the dealer demonstrates that the volume of electric motor vehicle sales or service is no longer adequate to allow the dealer to realize a positive return on the investment over the useful life of the parts, tools, equipment, chargers, or other returnable items, and

b. the dealer submits its request to the manufacturer or distributor in writing and within twenty-four (24) months of dealer’s receipt of the part, tools, equipment, charger or other returnable items.

B. Notwithstanding the terms of any franchise agreement, in the event of a proposed sale or transfer of a new motor vehicle dealership, the manufacturer or distributor shall be permitted to exercise a right of first refusal to acquire the assets or ownership interest of the dealer of the new motor vehicle dealership, if such sale or transfer is conditioned upon the manufacturer or dealer entering into a dealer agreement with the proposed new owner or transferee, only if all the following requirements are met:

1. The manufacturer or distributor must notify the new motor vehicle dealer of its intent to exercise the right of first refusal in writing within sixty (60) days of receipt of the completed proposal for the proposed sale or transfer;

2. The exercise of the right of first refusal will result in the new motor vehicle dealer and the owner of the dealership receiving the same or greater consideration as they have contracted to receive in connection with the proposed change of ownership or transfer. If the proposed new motor vehicle dealership sale or transfer includes the sale, transfer, or lease of the real property and improvements thereon, then the right of first refusal shall include the same terms for the purchase or lease of the real property and all improvements thereon for not less than the consideration the new motor vehicle dealer has contracted to receive in connection with the proposed sale or transfer;

3. The proposed sale or transfer of the dealership does not involve the transfer or sale to a member or members of the family of one or more dealer owners, or to a qualified manager or a partnership or corporation controlled by such persons;

4. The factory agrees to pay the reasonable expenses, including attorney fees which do not exceed the usual, customary, and reasonable fees charged for similar work done for other clients

incurred by the proposed new owner and transferee prior to the exercise by the factory of its right of first refusal in negotiating and implementing the contract for the proposed sale or transfer of the dealership or dealership assets. Notwithstanding the foregoing, no payment of expenses and attorney fees shall be required if the proposed new dealer or transferee has not submitted or caused to be submitted an accounting of those expenses within thirty (30) days of receipt of the written request of the factory for such an accounting. The accounting may be requested by a factory before exercising its right of first refusal; and

5. a. For the purposes of this paragraph, "multi-dealership transaction" means any proposed sale, transfer, or assignment that involves two or more new motor vehicle dealerships that are being sold as part of the same overall transaction or a series of related transactions intended by the parties to constitute a single deal.

b. In a multi-dealership transaction, the selling dealer may withdraw the proposed sale, transfer, or assignment of the dealership that is subject to the manufacturer's or distributor's right of first refusal in response to the manufacturer's or distributor's timely received notice of intent to exercise the right of first refusal as follows:

(1) the selling dealer shall provide written notice to the manufacturer or distributor within thirty (30) days of receipt of the manufacturer's or distributor's timely received notice of intent to exercise the right of first refusal, stating that either:

(a) the entire multi-dealership transaction has been withdrawn, or

(b) the specific dealership subject to the timely received notice of manufacturer's or distributor's intent to exercise the right of first refusal has been excluded from the multi-dealership transaction,

(2) upon the manufacturer's or distributor's receipt of the selling dealer's withdrawal notice under division (1) of this subparagraph, the proposed sale, transfer, or assignment of the dealership subject to the manufacturer's or distributor's timely received notice of intent to exercise the right of first refusal shall be deemed withdrawn, and the manufacturer's or distributor's right of first refusal with respect to that dealership shall be deemed extinguished, and

(3) if the selling dealer does not provide the withdrawal notice within the thirty-day period, the manufacturer or distributor may proceed with exercising the right of first refusal.

C. Nothing in this section shall prohibit, limit, restrict, or impose conditions on:

1. Business activities, including without limitation the dealings with manufacturers and the representatives and affiliates of manufacturers, of any person that is primarily engaged in the business of short-term, not to exceed twelve (12) months, rental of motor vehicles, powersports vehicles, and industrial and construction equipment and activities incidental to that business, provided that:

a. any motor vehicle or powersports vehicle sold by that person is limited to used motor vehicles or powersports vehicles that have been previously used exclusively and regularly by that person in the conduct of business and used motor vehicles or used powersports vehicles traded in on motor vehicles or powersports vehicles sold by that person,

b. warranty repairs performed by that person on motor vehicles or powersports vehicles are limited to those vehicles that the person owns, previously owned, or takes in trade, and

c. motor vehicle or powersports vehicle financing provided by that person to retail consumers for motor vehicles or powersports vehicles is limited to used vehicles sold by that person in the conduct of business; or

2. The direct or indirect ownership, affiliation, or control of a person described in paragraph 1 of this subsection.

D. As used in this section:

1. "Substantially relates" means the nature of criminal conduct for which the person was convicted has a direct bearing on the fitness or ability to perform one or more of the duties or responsibilities necessarily related to the occupation; and

2. "Poses a reasonable threat" means the nature of criminal conduct for which the person was convicted involved an act or threat of harm against another and has a bearing on the fitness or ability to serve the public or work with others in the occupation.

~~E. Nothing in this section shall prohibit a manufacturer or distributor from requiring a dealer to be in compliance with the franchise agreement and authorized to sell a make and model based on applicable reasonable standards and requirements that include but are not limited to any facility, technology, or training requirements necessary to sell or service a vehicle, in order to be eligible for delivery or allotment of a make or model of a new motor vehicle or new powersports vehicle or an incentive.~~

SECTION 61. REPEALER 47 O.S. 2021, Section 565, as last amended by Section 4, Chapter 119, O.S.L. 2025 (47 O.S. Supp. 2025, Section 565), is hereby repealed.

SECTION 62. AMENDATORY 47 O.S. 2021, Section 752, as last amended by Section 13, Chapter 330, O.S.L. 2025 (47 O.S. Supp. 2025, Section 752), is amended to read as follows:

Section 752. A. Only a licensed medical doctor, licensed osteopathic physician, licensed chiropractic physician, registered nurse, licensed practical nurse, physician's assistant, certified by any state's appropriate licensing authority, an employee of a hospital or other health care facility authorized by the hospital or health care facility to withdraw blood, or individuals licensed in accordance with Section 1-2505 of Title 63 of the Oklahoma Statutes as an Intermediate Emergency Medical Technician, an Advanced Emergency Medical Technician or a Paramedic, acting within the scope of practice prescribed by their medical director, acting at the request of a law enforcement officer may withdraw blood for the purpose of having a determination made of its concentration of alcohol or the presence or concentration of other intoxicating substance. Only qualified persons authorized by the Board may collect breath, saliva or urine, or administer tests of breath under the provisions of this title.

B. If the person authorized to withdraw blood as specified in subsection A of this section is presented with a written statement:

1. Authorizing blood withdrawal signed by the person whose blood is to be withdrawn;

2. Signed by a duly authorized peace officer that the person whose blood is to be withdrawn has agreed to the withdrawal of blood;

3. Signed by a duly authorized peace officer that ~~the person whose blood is to be withdrawn has been placed under arrest and that the officer has probable cause to believe that the person, while intoxicated, has operated a motor vehicle in such manner as to have caused the death or serious physical injury of another person, or the person has been involved in a traffic accident and has been removed from the scene of the accident that resulted in the death or great bodily injury, as defined in subsection B of Section 646 of Title 21 of the Oklahoma Statutes, of any person to a hospital or other health care facility outside the State of Oklahoma before the law enforcement officer was able to effect an arrest for such offense~~ there are exigent circumstances which necessitate the withdrawal of blood; or

4. In the form of an order from a district court that blood be withdrawn, the person authorized to withdraw the blood and the hospital or other health care facility where the withdrawal occurs may rely on such a statement or order as evidence that the person has consented to or has been required to submit to the clinical procedure and shall not require the person to sign any additional

consent or waiver form. In such a case, the person authorized to perform the procedure, the employer of such person and the hospital or other health care facility shall not be liable in any action alleging lack of consent or lack of informed consent.

C. Collection of a person’s blood, to be considered valid and admissible in evidence, whether performed by or at the direction of a law enforcement officer or at the request of the tested person, shall have been performed by a person authorized to collect blood pursuant to the provisions of subsection A of this section. Analysis of a person’s blood, to be considered valid and admissible in evidence, whether performed by or at the direction of a law enforcement officer or at the request of the tested person, shall have been performed by a laboratory accredited in accordance with ISO/IEC 17025 as defined in Section 150.37 of Title 74 of the Oklahoma Statutes.

D. Collection of a person’s breath, to be considered valid and admissible in evidence:

1. Shall have been performed by an individual possessing a valid permit issued by the Board of Tests for Alcohol and Drug Influence for this purpose;

2. Shall have been performed on a breath alcohol measurement device appearing on the most current conforming products list of such devices published by the United States Department of Transportation in the Federal Register, and utilizing a calibrating

unit appearing on the most current conforming products list of such devices published by the United States Department of Transportation in the Federal Register;

3. Shall have been performed on a device maintained by the Board of Tests for Alcohol and Drug Influence; and

4. Shall have been performed in accordance with the operating procedure prescribed by the State Director of Tests or the Board of Tests for Alcohol and Drug Influence.

E. No person specified in subsection A of this section, no employer of such person and no hospital or other health care facility where blood is withdrawn shall incur any civil or criminal liability as a result of the proper withdrawal of blood when acting at the request of a law enforcement officer by the provisions of Section 751 or 753 of this title, or when acting in reliance upon a signed statement or court order as provided in this section, if the act is performed in a reasonable manner according to generally accepted clinical practice. No person specified in subsection A of this section shall incur any civil or criminal liability as a result of the proper collection of breath, saliva or urine when acting at the request of a law enforcement officer under the provisions of Section 751 or 753 of this title or when acting pursuant to a court order.

F. The blood, breath, saliva or urine specimens obtained shall be tested by the appropriate test as determined by the Board, or tested by a laboratory that is exempt from the Board rules pursuant to Section 759 of this title, to determine the alcohol concentration thereof, or the presence or concentration of any other intoxicating substance which might have affected the ability of the person tested to operate a motor vehicle safely.

G. When blood is withdrawn for testing of its alcohol concentration or other intoxicating substance presence or concentration, at the request of a law enforcement officer, a sufficient quantity of the same specimen shall be obtained to enable the tested person, at his or her own option and expense, to have an independent analysis made of such specimen. The excess blood specimen shall be retained by a laboratory approved by the Board in accordance with the rules and regulations of the Board or by a laboratory that is exempt from the Board rules pursuant to Section 759 of this title, for sixty (60) days from the date of collection. At any time within that period, the tested person or his or her attorney may direct that such blood specimen be sent or delivered to a laboratory of his or her own choosing and approved by the Board for an independent analysis. Neither the tested person, nor any agent of such person, shall have access to the additional blood specimen prior to the completion of the independent analysis, except the analyst performing the independent analysis and agents of the analyst.

H. The costs of collecting blood specimens for the purpose of determining the alcohol or other intoxicating substance thereof, by or at the direction of a law enforcement officer, shall be borne by the law enforcement agency employing such officer; provided, if the person is convicted for any offense involving the operation of a motor vehicle while under the influence of or while impaired by alcohol or an intoxicating substance, or both, as a direct result of the incident which caused the collection of blood specimens, an amount equal to the costs shall become a part of the court costs of the person and shall be collected by the court and remitted to the law enforcement agency bearing the costs. The cost of collecting, retaining and sending or delivering to an independent laboratory the excess specimens of blood for independent analysis at the option of the tested person shall also be borne by such law enforcement agency. The cost of the independent analysis of such specimen of blood shall be borne by the tested person at whose option such analysis is performed. The tested person, or his or her agent, shall make all necessary arrangements for the performance of such independent analysis other than the forwarding or delivery of such specimen.

I. Tests of blood or breath for the purpose of determining the alcohol concentration thereof, and tests of blood for the purpose of determining the presence or concentration of any other intoxicating substance therein, under the provisions of this title, whether administered by or at the direction of a law enforcement officer or administered independently, at the option of the tested person, on the excess specimen of such person's blood to be considered valid and admissible in evidence under the provisions of this title, shall have been administered in accordance with Section 759 of this title.

J. Any person who has been arrested for any offense arising out of acts alleged to have been committed while the person was operating or in actual physical control of a motor vehicle while under the influence of alcohol, any other intoxicating substance or the combined influence of alcohol and any other intoxicating substance who is not requested by a law enforcement officer to submit to a test shall be entitled to have an independent test of his or her blood for the purpose of determining its alcohol concentration or the presence or concentration of any other intoxicating substance therein, performed by a person of his or her own choosing who is qualified as stipulated in this section. The arrested person shall bear the responsibility for making all necessary arrangements for the administration of such independent test and for the independent analysis of any specimens obtained, and bear all costs thereof. The failure or inability of the arrested person to obtain an independent test shall not preclude the admission of other competent evidence bearing upon the question of whether such person was under the influence of alcohol, or any other intoxicating substance or the combined influence of alcohol and any other intoxicating substance.

K. Any agency or laboratory certified by the Board or any agency or laboratory that is exempt from the Board rules pursuant to Section 759 of this title, which analyses blood shall make available a written report of the results of the test administered by or at the direction of the law enforcement officer to:

1. The tested person, or his or her attorney;

2. The Commissioner of Public Safety;

3. The Director of Service Oklahoma; and

4. The Fatality Analysis Reporting System (FARS) analyst of the state, upon request.

The results of the tests provided for in this title shall be admissible in all civil actions, including administrative hearings regarding driving privileges.

SECTION 63. REPEALER 47 O.S. 2021, Section 752, as last amended by Section 4, Chapter 172, O.S.L. 2025 (47 O.S. Supp. 2025, Section 752), is hereby repealed.

SECTION 64. REPEALER 47 O.S. 2021, Section 1102, as last amended by Section 60, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1102), is hereby repealed.

SECTION 65. AMENDATORY 47 O.S. 2021, Section 1110, as last amended by Section 1, Chapter 403, O.S.L. 2025 (47 O.S. Supp. 2025, Section 1110), is amended to read as follows:

Section 1110. A. 1. Except for a security interest in vehicles held by a dealer for sale or lease, a vehicle registered by a federally recognized Indian tribe as provided in subsection G of this section, and a vehicle being registered in this state which was previously registered in another state and which title contains the name of a secured party on the face of the other state certificate or title, and except as otherwise provided in subsection B of Section 1105 of this title, a security interest in a vehicle as to which a certificate of title may be properly issued by Service Oklahoma shall be perfected only when a lien entry form, and the existing certificate of title, if any, or application for a certificate of title and manufacturer's certificate of origin containing the name and address of the secured party and the date of the security agreement and the required fee are delivered to Service Oklahoma or to a licensed operator. As used in this section, the term "dealer" shall be defined as provided in Section 1-112 of this title and the term "security interest" shall be defined as provided in paragraph (35) of Section 1-201 of Title 12A of the Oklahoma Statutes. When a vehicle title is presented to a licensed operator for transferring or registering and the documents reflect a lienholder, the licensed operator shall perfect the lien pursuant to subsection G of Section 1105 of this title. For the purposes of this section, the term "vehicle" shall not include special mobilized machinery, machinery used in highway construction or road material construction and rubber-tired road construction vehicles including rubber-tired cranes. The filing and duration of perfection of a security interest, pursuant to the provisions of Title 12A of the Oklahoma Statutes, including, but not limited to, Section 1-9-311 of Title 12A of the Oklahoma Statutes, shall not be applicable to perfection of security interests in vehicles as to which a certificate of title may be properly issued by Service Oklahoma, except as to vehicles held by a dealer for sale or lease and except as provided in subsection D of this section. In all other respects Title 12A of the Oklahoma Statutes shall be applicable to such security interests in vehicles as to which a certificate of title may be properly issued by Service Oklahoma.

2. Whenever a person creates a security interest in a vehicle, the person shall surrender to the secured party the certificate of title or the signed application for a new certificate of title, on the form prescribed by Service Oklahoma, and the manufacturer's certificate of origin. The secured party shall deliver the lien entry form and the required lien filing fee within forty-five (45) days as provided hereafter with certificate of title or the application for certificate of title and the manufacturer's certificate of origin to Service Oklahoma or to a licensed operator. If the lien entry form, the lien filing fee and the certificate of title or application for certificate of title and the manufacturer's certificate of origin are delivered to Service Oklahoma or to a

licensed operator within forty-five (45) days after the date of the lien entry form, perfection of the security interest shall begin from the date of the execution of the lien entry form, but otherwise, perfection of the security interest shall begin from the date of the delivery to Service Oklahoma or to a licensed operator.

3. a. For each security interest recorded on a certificate of title or manufacturer's certificate of origin, such person shall pay a fee of Ten Dollars ($10.00), which shall be in addition to other fees provided for in the Oklahoma Vehicle License and Registration Act. Upon the receipt of the lien entry form and the required fees with either the certificate of title or an application for certificate of title and manufacturer's certificate of origin, a licensed operator shall, by placement of a clearly distinguishing mark, record the date and number shown in a conspicuous place on each of these instruments. Of the ten-dollar fee, the licensed operator shall retain Two Dollars ($2.00) for recording the security interest lien.

b. It shall be unlawful for any person to solicit, accept, or receive any gratuity or compensation for acting as a messenger and for acting as the agent or representative of another person in applying for the recording of a security interest or for the registration of a motor vehicle and obtaining the license plates or for the issuance of a certificate of title therefor unless Service Oklahoma has appointed and approved the person to perform such acts; and before acting as a messenger, any such person shall furnish to Service Oklahoma a surety bond in such amount as Service Oklahoma shall determine appropriate.

4. The certificate of title or the application for certificate of title and manufacturer's certificate of origin with the record of the date of receipt clearly marked thereon shall be returned to the debtor together with a notice that the debtor is required to register and pay all additional fees and taxes due within thirty (30) days from the date of purchase of the vehicle.

5. Any person creating a security interest in a vehicle that has been previously registered in the debtor's name and on which all taxes due the state have been paid shall surrender the certificate of ownership to the secured party. The secured party shall have the duty to record the security interest as provided in this section and shall, at the same time, obtain a new certificate of title which shall show the secured interest on the face of the certificate of title.

6. The lien entry form with the date and assigned number thereof clearly marked thereon shall be returned to the secured party. If the lien entry form is received and authenticated, as herein provided, by a licensed operator, the licensed operator shall make a report thereof to Service Oklahoma upon the forms and in the manner as may be prescribed by Service Oklahoma.

7. Service Oklahoma shall have the duty to record the lien upon the face of the certificate of title issued at the time of registering and paying all fees and taxes due on the vehicle.

8. When there is an active lien from a commercial lender in place on a vehicle, licensed operators shall be prohibited from transferring the certificate of title on that vehicle until the lien is satisfied, except when the title is transferred:

a. to a person whose name is included on the loan for which the lien is placed pursuant to an agreement by the lender and any party to the title,

b. to a trust created by a person whose name is included on the loan for which the lien is placed, ~~or~~

c. from a person who has died, upon the submission of a death certificate, or

d. upon attestation by the managing member indicating ownership, to a business entity from a person who owns at least fifty percent (50%) of the business entity receiving title. As part of such transfer, the business entity receiving title and at the discretion of the financial institution holding the lien, the individual transferring title and the receiving business entity may be added as an obligor to the original note secured by the collateral to which the transferring individual is a borrower. This shall not be construed to require refinancing of the original note. Service Oklahoma shall provide notification of the transaction to the lienholder, ninety (90) days prior to effectuating the title transfer and shall develop an appropriate affidavit and notice necessary to effectuate a transfer of title. A title transfer initiated pursuant to this subparagraph shall not preclude the lienholder from exercising all remedies available to it in accordance with an agreement between the lienholder and the individual transferring title, up to and including repossession of the vehicle and civil action against the individual transferring title and receiving business entity. Further, until the original lien is satisfied, the receiving business entity shall be prohibited from transferring title to another entity or person. Types of business entities that may receive a transfer of title pursuant to this subparagraph shall be limited to:

<u>(1)</u> <u>sole proprietorships,</u>

<u>(2)</u> <u>general partnerships,</u>

<u>(3)</u> <u>limited partnerships,</u>

<u>(4)</u> <u>limited liability companies,</u>

<u>(5)</u> <u>professional limited partnerships, and</u>

<u>(6)</u> <u>professional limited liability companies.</u>

<u>No individual may perform a transfer, pursuant to this subparagraph, to any business entity that is currently engaging in any activity which is prohibited by federal or state law</u>.

The provisions of this paragraph shall not be construed to release any lien or debt based solely upon a transfer of certificate of title.

B. 1. A secured party shall, within seven (7) business days after the satisfaction of the security interest, furnish directly or by mail a release of a security interest to Service Oklahoma and mail a copy thereof to the last-known address of the debtor. If the security interest has been satisfied by payment from a licensed used motor vehicle dealer to whom the motor vehicle has been transferred, the secured party shall also, within seven (7) business days after receipt of a written request from such licensed used motor vehicle dealer, mail an additional copy of the release to the dealer. If the secured party fails to furnish the release as required, the secured party shall be liable to the debtor for a penalty of One

Hundred Dollars ($100.00). Following the seven (7) business days after satisfaction of the lien and upon receipt by the lienholder of written communication demanding the release of the lien, thereafter the penalty shall increase to One Hundred Dollars ($100.00) per day for each additional day beyond seven (7) business days until accumulating to One Thousand Five Hundred Dollars ($1,500.00) or the value of the vehicle, whichever is less, and, in addition, any loss caused to the debtor by such failure.

2. Upon release of a security interest the owner may obtain a new certificate of title omitting reference to the security interest, by submitting to Service Oklahoma or to a licensed operator:

a. a release signed by the secured party, an application for new certificate of title, and the proper fees, or

b. by submitting to Service Oklahoma or the licensed operator an affidavit, supported by such documentation as Service Oklahoma may require, by the owner on a form prescribed by Service Oklahoma stating that the security interest has been satisfied and stating the reasons why a release cannot be obtained, an application for a new certificate of title and the proper fees.

Upon receiving such affidavit that the security interest has been satisfied, Service Oklahoma shall issue a new certificate of title eliminating the satisfied security interest and the name and address of the secured parties who have been paid and satisfied. Service Oklahoma shall accept a release of a security interest in any form that identifies the debtor, the secured party, and the vehicle, and contains the signature of the secured party. Service Oklahoma shall not require any particular form for the release of a security interest.

The words "security interest" when used in the Oklahoma Vehicle License and Registration Act do not include liens dependent upon possession.

C. Service Oklahoma shall file and index certificates of title so that at all times it will be possible to trace a certificate of title to the vehicle designated therein, identify the lien entry form, and the names and addresses of secured parties, or their assignees, so that all or any part of such information may be made readily available to those who make legitimate inquiry of Service Oklahoma as to the existence or nonexistence of security interest in the vehicle.

D. 1. Any security interest in a vehicle properly perfected prior to July 1, 1979, may be continued as to its effectiveness or duration as provided by Sections 1-9-510 and 1-9-515 of Title 12A of the Oklahoma Statutes, or may be terminated, assigned, or released as provided by Sections 1-9-512, 1-9-513, and 1-9-514 of Title 12A of the Oklahoma Statutes, as fully as if this section had not been enacted, or, at the option of the secured party, may also be perfected under this section, and, if so perfected, the time of perfection under this section shall be the date the security interest was originally perfected under the prior law.

2. Upon request of the secured party, the debtor or any other holder of the certificate of title shall surrender the certificate of title to the secured party and shall do such other acts as may be required to perfect the security interest under this section.

E. If a manufactured home is permanently affixed to real estate, an Oklahoma certificate of title may be surrendered to Service Oklahoma or a licensed operator for cancellation. When the document of title is surrendered, the owner shall provide the legal description or the appropriate tract or parcel number of the real estate and other information as may be required on a form provided by Service Oklahoma. Service Oklahoma may not cancel a document of title if a lien has been registered or recorded. Service Oklahoma or the licensed operator shall notify the owner and any lienholder that the title has been surrendered to Service Oklahoma and that Service Oklahoma may not cancel the title until the lien is released. Such notification shall include a description of the lien and such notification to the owner shall be accompanied by the return of title surrendered. Permanent attachment to real estate does not affect the validity of a lien recorded or registered with Service Oklahoma before the document of title is canceled pursuant to this section. The rights of a prior lienholder pursuant to a security agreement or the provisions of a credit transaction and the rights of the state pursuant to a tax lien are preserved. Service Oklahoma or the licensed operator shall forward the information to the county assessor of the county where the real estate is located and indicate whether the original document of title has been canceled. A fee of Five Dollars ($5.00) shall accompany the application for cancellation of title. When the fee is paid by a person making an application directly with Service Oklahoma, the fee shall be deposited in the Oklahoma Tax Commission Fund. Beginning January 1, 2023, the fee shall be deposited in the Service Oklahoma Revolving Fund. A fee paid to a licensed operator shall be retained by the licensed operator. The owner of a manufactured home upon which the document of title has been properly surrendered may apply to Service Oklahoma for issuance of a new original certificate of title upon submission of:

1. An attestation from the homeowner indicating ownership of the manufactured home and the nonexistence of any security interest or lien of record in the manufactured home; and

2. A title opinion by a licensed attorney, determining that the owner of the manufactured home has marketable title to the real property upon which the manufactured home is located and that no documents filed of record in the county clerk’s office concerning the real property contain a mortgage, recorded financial statement,

judgment, or lien of record. Persons or entities to whom the title opinion is addressed may rely on the title opinion. A security interest in a manufactured home perfected pursuant to this section shall have priority over a conflicting interest of a mortgagee or other lien encumbrancer, or the owner of the real property upon which the manufactured home became affixed or otherwise permanently attached. The holder of the security interest in the manufactured home, upon default, may remove the manufactured home from such real property. The holder of the security interest in the manufactured home shall reimburse the owner of the real property who is not the debtor and who has not otherwise agreed to access the real property for the cost of repair of any physical injury to the real property, but shall not be liable for any diminution in value to the real property caused by the removal of the manufactured home, trespass, or any other damages caused by the removal. The debtor shall notify the holder of the security interest in the manufactured home of the street address, if any, and the legal description of the real property upon which the manufactured home is affixed or otherwise permanently attached and shall sign such other documents, including any appropriate mortgage, as may reasonably be requested by the holder of such security interest.

F. In the case of motor vehicles or trailers, notwithstanding any other provision of law, a transaction does not create a sale or security interest merely because it provides that the rental price is permitted or required to be adjusted under the agreement either upward or downward by reference to the amount realized upon sale or other disposition of the motor vehicle or trailer.

G. A security interest in vehicles registered by a federally recognized Indian tribe shall be deemed valid under Oklahoma law if validly perfected under the applicable tribal law and the lien is noted on the face of the tribal certificate of title.

SECTION 66. REPEALER 47 O.S. 2021, Section 1110, as last amended by Section 1, Chapter 323, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1110), is hereby repealed.

SECTION 67. AMENDATORY 47 O.S. 2021, Section 1113, as last amended by Section 72, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1113), is amended to read as follows:

Section 1113. A. 1. Except for all-terrain vehicles, utility vehicles and motorcycles used exclusively off roads and highways, upon the filing of a registration application and the payment of the fees provided for in the Oklahoma Vehicle License and Registration Act, Service Oklahoma or the Corporation Commission, as applicable, shall assign to the vehicle described in the application a distinctive number, and issue to the owner of the vehicle a certificate of registration, one license plate and a yearly decal, unless otherwise previously issued pursuant to the Oklahoma Vehicle License and Registration Act. Service Oklahoma shall assign an all-terrain vehicle, utility vehicle or motorcycle used exclusively off roads and highways a distinctive number and issue to the owner a certificate of registration and a decal but not a license plate. For each subsequent registration year, Service Oklahoma shall issue a yearly decal to be affixed to the license plate, except for an all-terrain vehicle, utility vehicle or motorcycle used exclusively off roads and highways. The initial decal for an all-terrain vehicle, utility vehicle or motorcycle shall be attached to the front of the vehicle and shall be in clear view. The decal shall be on the front or on the front fork of the motorcycle used exclusively off roads and highways and the decal shall be in clear view. The yearly decal shall have an identification number and the last two numbers of the registration year for which it shall expire. Except as provided by Section 1113A of this title, the license plate shall be affixed to the exterior of the vehicle until a replacement license plate is applied for. If the owner applies for a replacement license plate, Service Oklahoma shall charge the fee provided for in Section 1114 of this title. The yearly decal will validate the license plate for each registration period other than the year the license plate is issued. The license plate and decal shall be of such size, color, design and numbering as Service Oklahoma may direct. However, yearly decals issued to the owner of a vehicle who has filed an affidavit with the appropriate licensed operator in accordance with Section 7-607 of this title shall be a separate and distinct color from all other decals issued under this section. ~~Before the effective date of this act, Service Oklahoma shall also issue a monthly decal which shall include a two-letter abbreviation corresponding to the county in which the vehicle is registered. Service Oklahoma shall issue all decals in the possession of Service Oklahoma on the effective date of this act before issuing any decals which do not contain the county abbreviation.~~

2. a. The operation of a street-legal utility vehicle on the streets and highways of this state requires the vehicle be issued a certificate of registration and license plate to be renewed annually. Upon the filing of a registration application and the payment of the fees provided for in the Oklahoma Vehicle License and Registration Act, Service Oklahoma or the Corporation Commission, as applicable, shall assign to the vehicle described in the application a distinctive number, and issue to the owner of the vehicle a certificate of registration, one license plate and a yearly decal. For each subsequent registration year, Service Oklahoma shall issue a yearly decal to be affixed to the license plate. The initial decal for a street-legal utility vehicle shall be attached to the front of the vehicle and shall be in clear view. The yearly decal shall have an identification number and the last

two numbers of the registration year for which it shall expire. Except as provided by Section 1113A of this title, the license plate shall be affixed to the exterior of the vehicle until a replacement license plate is issued. If the owner applies for a replacement license plate, Service Oklahoma shall charge the fee provided for in Section 1114 of this title. The yearly decal will validate the license plate for each registration period other than the year the license plate is issued. The license plate and decal shall be of such size, color, design, and numbering as Service Oklahoma may direct. However, yearly decals issued to the owner of a vehicle who has filed an affidavit with the appropriate licensed operator in accordance with Section 7-607 of this title shall be a separate and distinct color from all other decals issued under this section.

b. Service Oklahoma shall design and issue a temporary tag to out-of-state owners of street-legal utility vehicles. The temporary tag shall be recognized in lieu of registration in this state. The temporary tag shall clearly indicate the date of issuance and the date of expiration, which shall be five (5) days, including the day of issuance. Upon application for a temporary tag, the out-of-state owner shall show proof of insurance coverage that satisfies the requirements of the Compulsory Insurance Law pursuant to Section 7-600 et seq. of this title. Service Oklahoma is authorized to promulgate rules and procedures to implement the provisions of this paragraph.

3. a. The operation of a military surplus vehicle, as defined by Section 1-133.1a of this title, on the streets and highways of this state requires that the vehicle be issued a certificate of registration and license plate to be renewed annually. Upon the filing of a registration application and the payment of the fees provided for in the Oklahoma Vehicle License and Registration Act, Service Oklahoma or the Corporation Commission, as applicable, shall design and assign license plates of a distinctive design in lieu of the usual license plates that shall show, in addition to the identification number, that the vehicle meets the qualifications of a military surplus vehicle, as the case may be, owned by an Oklahoma military surplus vehicle collector. The registration shall be valid for one (1) year and may be renewed by payment of such annual fee. The yearly decal shall have an identification number and the last two numbers of the

registration year for which it shall expire. Except as provided by Section 1113A of this title, the license plate shall be affixed to the exterior of the vehicle until a replacement license plate is issued. If the owner applies for a replacement license plate, Service Oklahoma shall charge the fee provided for in Section 1114 of this title. The yearly decal will validate the license plate for each registration period other than the year the license plate is issued. The license plate and decal shall be of such size, color, design, and numbering as Service Oklahoma may direct. However, yearly decals issued to the owner of a vehicle who has filed an affidavit with the appropriate licensed operator in accordance with Section 7-607 of this title shall be a separate and distinct color from all other decals issued under this section.

b. Each military surplus vehicle collector, as defined by Section 1-133.1b of this title, who applies for military surplus vehicle license plates will be issued a military surplus collector's identification number that will appear on each license plate. Second and all subsequent registrations under this section by the same collector will bear the same collector's identification number followed by a suffix letter for vehicle identification.

c. A military surplus vehicle collector must own and have registered one or more vehicles with regular Oklahoma license plates that are used for regular transportation.

d. There shall be a one-time processing fee of Twenty Dollars ($20.00) to defray the cost of issuing the original military surplus vehicle collector's military surplus vehicle designation license plates to ensure that each collector will be issued only one collector's identification number.

4. The license plate shall be securely attached to the rear of the vehicle, except truck-tractor plates which shall be attached to the front of the vehicle. Service Oklahoma may, with the concurrence of the Department of Public Safety, by Joint Rule, change and direct the manner, place and location of display of any vehicle license plate when such action is deemed in the public interest. The license plate, decal and all letters and numbers shall be clearly visible at all times. The operation of a vehicle in this state, regardless of where such vehicle is registered, upon which the license plate is covered, overlaid, or otherwise screened with any material, whether such material be clear, translucent, tinted or opaque, shall be a violation of this paragraph.

5. Upon payment of the annual registration fee provided in Section 1133 of this title, Service Oklahoma or the Corporation Commission, as applicable, or a licensed operator may issue a permanent nonexpiring license plate to an owner of one hundred or more commercial motor vehicles and for vehicles registered under the provisions of Section 1120 of this title. Upon payment of the annual registration fee, Service Oklahoma or the Corporation Commission shall issue a certificate of registration that shall be carried at all times in the vehicle for which it is issued. Provided, if the registrant submits its application through electronic means, such qualified owners of one hundred or more commercial motor vehicles, properly registered pursuant to the provisions of Section 1133 of this title, may elect to receive a permanent certificate of registration that shall be carried at all times in the vehicle for which it is issued.

6. Every vehicle owned by an agency of this state shall be exempt from the payment of registration fees required by this title. Provided, such vehicle shall be registered and shall otherwise comply with the provisions of the Oklahoma Vehicle License and Registration Act.

B. The license plates required under the provisions of this title shall conform to the requirements and specifications listed hereinafter:

1. Each license plate shall have a space for the placement of the yearly decals for each succeeding year of registration after the initial issue;

2. The provisions of the Oklahoma Vehicle License and Registration Act regarding the issuance of yearly decals shall not apply to the issuance of apportioned license plates, including license plates for state vehicles, and exempt plates for governmental entities and fire departments organized pursuant to Section 592 of Title 18 of the Oklahoma Statutes;

3. All license plates and decals shall be made with reflectorized material as a background to the letters, numbers and characters displayed thereon. The reflectorized material shall be of such a nature as to provide effective and dependable brightness during the service period for which the license plate or decal is issued;

4. Except as otherwise provided in this subsection, Service Oklahoma shall design appropriate official license plates for all state vehicles. Such license plates shall be permanent in nature and designed in such manner as to remain with the vehicle for the duration of the vehicle’s life span or until the title is transferred to a nongovernmental owner;

5. Within the limits prescribed in this section, Service Oklahoma shall design appropriate official license plates for vehicles of the Oklahoma Highway Patrol. The license plates shall

have the legend "Oklahoma OK" and shall contain the letters "OHP" followed by the state seal and the badge number of the Highway Patrol officer to whom the vehicle is assigned. The words "Oklahoma Highway Patrol" shall also be included on such license plates;

6. Within the limits prescribed in this section, Service Oklahoma shall design appropriate official license plates for vehicles of the ~~Oklahoma~~ Military Department of the State of Oklahoma. Such license plates shall have the legend "Oklahoma OK" and shall contain the letters "OMD" followed by the state seal and three numbers or letters as designated by the Adjutant General. The words "Oklahoma Military Department" shall also be included on such license plates;

7. Within the limits prescribed in this section, Service Oklahoma shall design appropriate official license plates for vehicles of the ~~Oklahoma~~ Department of Corrections. Such license plates shall contain the letters "DOC" followed by the Department of Corrections badge and three numbers or letters or combination of both as designated by the Director of the agency. The words "Department of Corrections" shall also be included on such license plates; and

8. Within the limits prescribed in this section, the Oklahoma Tourism and Recreation Department shall design any license plates required by the initiation of a license plate reissuance by Service Oklahoma at the request of the Department of Public Safety pursuant

to the provisions of Section 1113.2 of this title. Any such new designs shall be submitted by the Oklahoma Tourism and Recreation Department to the Department of Public Safety for its approval prior to being issued by Service Oklahoma.

C. Where the applicant has satisfactorily shown that the applicant owns the vehicle sought to be registered but is unable to produce documentary evidence of the ownership, a license plate may be issued upon approval by Service Oklahoma or the Corporation Commission, as applicable. In such instances the reason for not issuing a certificate of title shall be indicated on the receipt given to the applicant. It shall still be the duty of the applicant to immediately take all necessary steps to obtain the Oklahoma certificate of title and it shall be unlawful for the applicant to sell the vehicle until the certificate has been obtained in the applicant's name.

D. The certificate of registration provided for in this section shall be in convenient form, and the certificate of registration, or a certified copy or photostatic copy thereof, duly authenticated by Service Oklahoma or the Corporation Commission, as applicable, shall be carried at all times in or upon all vehicles so registered, in such manner as to permit a ready examination thereof upon demand by any peace officer of the state or duly authorized employee of the Department of Public Safety. Any such officer or agent may seize and hold such vehicle when the operator of the same does not have the registration certificate in the operator's possession or when any such officer or agent determines that the registration certificate has been obtained by misrepresentation of any essential or material fact or when any number or identifying information appearing on such certificate has been changed, altered, obliterated or concealed in any way, until the proper registration or identification of such vehicle has been made or produced by the owner thereof.

E. The purchaser of a new or used manufactured home shall, within thirty (30) days of the date of purchase, register the home with Service Oklahoma or a licensed operator pursuant to the provisions of Section 1117 of this title. For a new manufactured home, it shall be the responsibility of the dealer selling the home to place a temporary license plate on the home in the same manner as provided in Section 1128 of this title for other new motor vehicles. For the first year that any manufactured home is registered in this state, Service Oklahoma shall issue a metal license plate which shall be affixed to the manufactured home. The temporary dealer license plate or the metal license plate shall be displayed on the manufactured home at all times when upon a public roadway; provided, a repossession affidavit issued pursuant to Sections 1110 and 1126 of this title shall be permissible in lieu of a current license plate and decal for the purposes of removing a repossessed manufactured home to a secure location. Manufactured homes previously registered and subject to ad valorem taxation as provided by law shall have a decal affixed at the time ad valorem taxes are paid for such manufactured home; provided, for a manufactured home permanently affixed to real estate, no decal or license plate shall be required to be affixed and the owner thereof shall be given a receipt upon payment of ad valorem taxes due on the home. Service Oklahoma shall make sufficient plates and decals available to the various licensed operators of the state in order for an owner of a manufactured home to acquire the plate or decal. A one-dollar fee shall be charged for issuance of any plate or decal. The fee shall be apportioned each month to the General Revenue Fund of the State Treasury.

F. The decal shall be easily visible for purposes of verification by a county assessor that the manufactured home is properly assessed for ad valorem taxation. In the first year of registration, a decal shall be issued for placement on the license plate indicating payment of applicable registration fees and excise taxes. A duplicate manufactured home registration decal shall be affixed inside the window nearest the front door of the manufactured home. In the second and all subsequent years for which the manufactured home is subject to ad valorem taxation, an annual decal shall be affixed inside the window nearest the front door as evidence of payment of ad valorem taxes. Service Oklahoma shall issue decals to the various county treasurers of the state in order for a manufactured home owner to obtain such decal each year. Upon presentation of a valid ad valorem tax receipt, the manufactured home owner shall be issued the annual decal.

G. Upon the registration of a manufactured home in this state for the first time or upon discovery of a manufactured home previously registered within this state for which the information required by this subsection is not known, Service Oklahoma shall obtain:

1. The name of the owner of the manufactured home;

2. The serial number or identification number of the manufactured home;

3. A legal description or address of the location for the home;

4. The actual retail selling price of the manufactured home excluding Oklahoma taxes;

5. The certificate of title number for the home; and

6. Any other information which Service Oklahoma deems to be necessary.

The application for registration shall also include the school district in which the manufactured home is located or is to be located. The information shall be entered into a computer data system which shall be used by Service Oklahoma to provide information to county assessors upon request by the assessor. The assessor may request any information from the system in order to properly assess a manufactured home for ad valorem taxation.

SECTION 68. REPEALER 47 O.S. 2021, Section 1113, as last amended by Section 8, Chapter 236, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1113), is hereby repealed.

SECTION 69. AMENDATORY 47 O.S. 2021, Section 1132, as last amended by Section 10, Chapter 236, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1132), is amended to read as follows:

Section 1132. A. For all vehicles, unless otherwise specifically provided by the Oklahoma Vehicle License and Registration Act, a registration fee shall be assessed at the time of initial registration by the owner and annually thereafter, for the use of the avenues of public access within this state in the following amounts:

1. For the first through the fourth year of registration in this state or any other state, Eighty-five Dollars ($85.00);

2. For the fifth through the eighth year of registration in this state or any other state, Seventy-five Dollars ($75.00);

3. For the ninth through the twelfth year of registration in this state or any other state, Fifty-five Dollars ($55.00);

4. For the thirteenth through the sixteenth year of registration in this state or any other state, Thirty-five Dollars ($35.00); and

5. For the seventeenth and any following year of registration in this state or any other state, Fifteen Dollars ($15.00).

The registration fee provided for in this subsection shall be in lieu of all other taxes, general or local, unless otherwise specifically provided.

On and after January 1, 2022, if a physically disabled license plate is issued pursuant to paragraph 3 of subsection B of Section 1135.1 of this title, any registration fee required for such license plate and the fee required pursuant to this subsection shall be remitted at the same time and subject to a single registration period. Upon receipt of a physically disabled license plate, the standard-issue license plate must be surrendered to Service Oklahoma or the licensed operator. The physically disabled license plate must be properly displayed as required for a standard-issue license plate and will be the sole license plate issued and assigned to the vehicle. Service Oklahoma shall determine, by rule, a method for making required fee adjustments when a physically disabled license plate is obtained during a twelve-month period for which a registration fee has already been remitted pursuant to this subsection. The combination of fees in a single remittance shall not alter the apportionment otherwise provided for by law.

B. For all-terrain vehicles and motorcycles used exclusively for use off roads or highways purchased on or after July 1, 2005, and for all-terrain vehicles and motorcycles used exclusively for use off roads or highways purchased prior to July 1, 2005, which the owner chooses to register pursuant to the provisions of Section

1115.3 of this title, an initial and nonrecurring registration fee of Eleven Dollars ($11.00) shall be assessed at the time of initial registration by the owner. Nine Dollars ($9.00) of the registration fee shall be deposited in the Tax Commission Reimbursement Fund through December 31, 2022, and beginning January 1, 2023, this fee shall be deposited in the Service Oklahoma Reimbursement Fund. Two Dollars ($2.00) of the registration fee shall be retained by the licensed operator. The fees required by subsection A of this section shall not be required for all-terrain vehicles or motorcycles used exclusively off roads and highways.

C. For utility vehicles used exclusively for use off roads or highways purchased on or after July 1, 2008, and for utility vehicles used exclusively for use off roads or highways purchased prior to July 1, 2008, which the owner chooses to register pursuant to the provisions of Section 1115.3 of this title, an initial and nonrecurring registration fee of Eleven Dollars ($11.00) shall be assessed at the time of initial registration by the owner. Nine Dollars ($9.00) of the registration fee shall be deposited in the Tax Commission Reimbursement Fund through December 31, 2022, and beginning January 1, 2023, this fee shall be deposited in the Service Oklahoma Reimbursement Fund. Two Dollars ($2.00) of the registration fee shall be retained by the licensed operator. The fees required by subsection A of this section shall not be required for utility vehicles used exclusively off roads and highways.

D. There shall be a credit allowed with respect to the fee for registration of a new vehicle which is a replacement for:

1. A new original vehicle which is stolen from the purchaser/registrant within ninety (90) days of the date of purchase of the original vehicle as certified by a police report or other documentation as required by Service Oklahoma; or

2. A defective new original vehicle returned by the purchaser/registrant to the seller within six (6) months of the date of purchase of the defective new original vehicle as certified by the manufacturer.

The credit shall be in the amount of the fee for registration which was paid for the new original vehicle and shall be applied to the registration fee for the replacement vehicle. In no event will the credit be refunded.

E. Upon every transfer or change of ownership of a vehicle, the new owner shall obtain title for and, except in the case of salvage vehicles and manufactured homes, register the vehicle within two (2) months of change of ownership and pay a transfer fee of Fifteen Dollars ($15.00) in addition to any other fees provided for in the Oklahoma Vehicle License and Registration Act. Additionally, within two (2) business days of the date of the sale or transfer of the motor vehicle, the parties must submit the requisite documentation to Service Oklahoma or a licensed operator identifying the motor vehicle subject to the sale or transfer, purchaser information, and any associated license plate on the vehicle, pursuant to the requirements of Section 1112.2 of this title. No new decal shall be issued to the registrant for an existing license plate. Thereafter, the owner shall register the vehicle annually on the anniversary date of its initial registration in this state and shall pay the fees provided in subsection A of this section and receive a decal evidencing such payment. Provided, used motor vehicle dealers shall be exempt from the provisions of this section.

F. In the event a new or used vehicle is not registered, titled, and tagged within two (2) months from the date of transfer of ownership, the penalty for the failure of the owner of the vehicle to register the vehicle within two (2) months shall be One Dollar ($1.00) per day, provided that in no event shall the penalty exceed One Hundred Dollars ($100.00). No penalty shall be waived by Service Oklahoma or any licensed operator except as provided in subsection C of Section 1127 of this title<u>, or when it can be shown the vehicle was stolen as certified by a police report or other documentation as required by the Oklahoma Tax Commission</u>. Of each one-dollar penalty collected pursuant to this subsection:

1. Twenty-one cents ($0.21) shall be apportioned as provided in Section 1104 of this title;

2. Twenty-one cents ($0.21) shall be retained by the licensed operator; and

3. Fifty-eight cents ($0.58) shall be deposited in the General Revenue Fund.

SECTION 70. REPEALER 47 O.S. 2021, Section 1132, as last amended by Section 75, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 1132), is hereby repealed.

SECTION 71. REPEALER 51 O.S. 2021, Section 6, as amended by Section 1, Chapter 303, O.S.L. 2025 (51 O.S. Supp. 2025, Section 6), is hereby repealed.

SECTION 72. AMENDATORY 51 O.S. 2021, Section 24A.5, as last amended by Section 2, Chapter 404, O.S.L. 2025 (51 O.S. Supp. 2025, Section 24A.5), is amended to read as follows:

Section 24A.5. All records of public bodies and public officials shall be open to any person for inspection, copying, or mechanical reproduction during regular business hours; provided:

1. The Oklahoma Open Records Act, Sections 24A.1 through 24A.34 of this title, does not apply to records specifically required by law to be kept confidential including:

a. records protected by a state evidentiary privilege such as the attorney-client privilege, the work product immunity from discovery and the identity of informer privileges,

b. records of what transpired during meetings of a public body lawfully closed to the public such as executive sessions authorized under the Oklahoma Open Meeting Act,

c. personal information within driver records as defined by the Driver's Privacy Protection Act, 18 U.S.C., Sections 2721 through 2725,

d. information in the files of the Board of Medicolegal Investigations obtained pursuant to Sections 940 and 941 of Title 63 of the Oklahoma Statutes that may be hearsay, preliminary unsubstantiated investigation-related findings, or confidential medical information,

e. any test forms, question banks and answer keys developed for state licensure examinations, but specifically excluding test preparation materials or study guides,

f. last names, addresses, Social Security numbers or tax identification numbers, and proof of identification submitted to the Oklahoma Lottery Commission by persons claiming a lottery prize,

g. unless public disclosure is required by other laws or regulations, vehicle movement records of the Oklahoma Transportation Authority obtained in connection with the Authority's electronic toll collection system,

h. personal financial information, credit reports, or other financial data obtained by or submitted to a public body for the purpose of evaluating credit worthiness, obtaining a license, permit, or for the purpose of becoming qualified to contract with a public body,

i. any digital audio/video recordings of the toll collection and safeguarding activities of the Oklahoma Transportation Authority,

j. any personal information provided by a guest at any facility owned or operated by the Oklahoma Tourism and Recreation Department to obtain any service at the facility or by a purchaser of a product sold by or through the Oklahoma Tourism and Recreation Department,

k. a United States Department of Defense Form 214 (DD Form 214) filed with a county clerk, including any DD Form 214 filed before July 1, 2002,

l. except as provided for in Section 2-110 of Title 47 of the Oklahoma Statutes:

(1) any record in connection with a Motor Vehicle Report issued by the Department of Public Safety, as prescribed in Section 6-117 of Title 47 of the Oklahoma Statutes, or

(2) personal information within driver records, as defined by the Driver's Privacy Protection Act,

18 U.S.C., Sections 2721 through 2725, which are stored and maintained by the Department of Public Safety,

m. any portion of any document or information provided to an agency or entity of the state or a political subdivision to obtain licensure under the laws of this state or a political subdivision that contains an applicant’s personal address, personal phone number, personal email address, any government-issued identification numbers, or other contact information; provided, however, lists of persons licensed, the existence of a license of a person, or a business or commercial address, or other business or commercial information disclosable under state law submitted with an application for licensure shall be public record, unless the business or commercial address is the same as the applicant’s personal address, except when the applicant permits in writing the disclosure of the address,

n. an investigative file obtained during an investigation conducted by the State Department of Health into violations of the Long-Term Care Administrator Licensing Act under Title 63 of the Oklahoma Statutes, or

o. documents, evidence, materials, records, reports, complaints, or other information in the possession or control of the Attorney General or Insurance Department pertaining to an evaluation, examination, investigation, or review made pursuant to the provisions of the Patient's Right to Pharmacy Choice Act, the Pharmacy Audit Integrity Act, or Sections 357 through 360 of Title 59 of the Oklahoma Statutes;

2. All Social Security numbers included in a record may be confidential regardless of the person's status as a public employee or private individual and may be redacted or deleted prior to release of the record by the public body;

3. Any reasonably segregable portion of a record containing exempt material shall be provided after deletion of the exempt portions; provided, however, ~~the Department of Public Safety~~ Service Oklahoma shall not be required to assemble for the requesting person specific information, in any format, from driving records relating to any person whose name and date of birth or whose driver license number is not furnished by the requesting person.

The Oklahoma State Bureau of Investigation shall not be required to assemble for the requesting person any criminal history records relating to persons whose names, dates of birth, and other identifying information required by the Oklahoma State Bureau of

Investigation pursuant to administrative rule are not furnished by the requesting person;

4. Any request for a record which contains individual records of persons, and the cost of copying, reproducing or certifying each individual record is otherwise prescribed by state law, the cost may be assessed for each individual record, or portion thereof requested as prescribed by state law. Otherwise, a public body may charge a fee only for recovery of the reasonable, direct costs of record copying, or mechanical reproduction. Notwithstanding any state or local provision to the contrary, in no instance shall the record copying fee exceed twenty-five cents ($0.25) per page for records having the dimensions of eight and one-half (8 1/2) by fourteen (14) inches or smaller, or a maximum of One Dollar ($1.00) per copied page for a certified copy. However, if the request:

a. is solely for commercial purpose, or

b. would clearly cause excessive disruption of the essential functions of the public body,

then the public body may charge a reasonable fee to recover the direct cost of record search and copying; however, publication in a newspaper or broadcast by news media for news purposes shall not constitute a resale or use of a record for trade or commercial purpose and charges for providing copies of electronic data to the news media for a news purpose shall not exceed the direct cost of making the copy. The fee charged by the Department of Public Safety for a copy in a computerized format of a record of the Department shall not exceed the direct cost of making the copy unless the fee for the record is otherwise set by law. A public body may require advance payment of the estimated fees authorized under this section when the estimated cost exceeds Seventy-five Dollars ($75.00) or if the requestor has outstanding fees from previous requests. Any portion of an advance payment that exceeds the costs of responding to the request shall be returned to the requestor.

Any public body establishing fees under the Oklahoma Open Records Act shall post a written schedule of the fees at its principal office and with the county clerk.

In no case shall a search fee be charged when the release of records is in the public interest, including, but not limited to, release to the news media, scholars, authors and taxpayers seeking to determine whether those entrusted with the affairs of the government are honestly, faithfully, and competently performing their duties as public servants.

The fees shall not be used for the purpose of discouraging requests for information or as obstacles to disclosure of requested information;

5. The land description tract index of all recorded instruments concerning real property required to be kept by the county clerk of any county shall be available for inspection or copying in accordance with the provisions of the Oklahoma Open Records Act;

provided, however, the index shall not be copied or mechanically reproduced for the purpose of sale of the information;

6. A public body must provide prompt, reasonable access to its records but may establish reasonable procedures which protect the integrity and organization of its records and to prevent excessive disruptions of its essential functions. A delay in providing access to records shall be limited solely to the time required for preparing the requested documents and the avoidance of excessive disruptions of the public body's essential functions. In no event may production of a current request for records be unreasonably delayed until after completion of a prior records request that will take substantially longer than the current request. Any public body which makes the requested records available on the Internet shall meet the obligation of providing prompt, reasonable access to its records as required by this paragraph;

7. A public body may require a requestor to complete a records request form. If a records request does not describe the requested records with reasonable specificity, a public body may ask the requestor to clarify the request. To have reasonable specificity, a request shall:

a. specify a general time frame within which the requested records would have been created or transmitted,

b. seek identifiable records, rather than general information without any qualifiers or other specifications, and

c. include search terms that are sufficiently specific to assist the public body in identifying the requested records.

If a public body has engaged with the requestor to seek the information needed to fulfill the request and to identify the records sought by the requestor, including providing the requestor with general topics or a specific list of records related to the request, the request may be denied if it is still not reasonably specific; and

8. A public body shall designate certain persons who are authorized to release records of the public body for inspection, copying, or mechanical reproduction. At least one person shall be available at all times to release records during the regular business hours of the public body.

SECTION 73. REPEALER 51 O.S. 2021, Section 24A.5, as last amended by Section 14, Chapter 11, O.S.L. 2024 (51 O.S. Supp. 2025, Section 24A.5), is hereby repealed.

SECTION 74. AMENDATORY 51 O.S. 2021, Section 154, as amended by Section 2, Chapter 314, O.S.L. 2025 (51 O.S. Supp. 2025, Section 154), is amended to read as follows:

Section 154. A. The total liability of the state and its political subdivisions on claims within the scope of The Governmental Tort Claims Act, arising out of an accident or occurrence happening after October 1, 1985, Section 151 et seq. of this title, shall not exceed:

1. Seventy-five Thousand Dollars ($75,000.00) for any claim or to any claimant who has more than one claim for loss of property arising out of a single act, accident, or occurrence;

2. a. Two Hundred Twenty-five Thousand Dollars ($225,000.00) to any claimant for any number of claims for inconvenience, annoyance, or discomfort in nuisance claims arising out of a single act, accident, or occurrence in a county with a population of less than one hundred fifty thousand (150,000) according to the latest Federal Decennial Census, or

b. Two Hundred Seventy-five Thousand Dollars ($275,000.00) to any claimant for any number of claims for inconvenience, annoyance, or discomfort in nuisance claims arising out of a single act, accident, or occurrence in a county with a population of one hundred fifty thousand (150,000) or more according to the latest Federal Decennial Census;

3. a. In no event shall the total liability of the state and its political subdivisions for a claim for nuisance

exceed Two Hundred Seventy-five Thousand Dollars ($275,000.00) per occurrence.

b. In no event shall the total liability of the state and its political subdivisions for a claim arising from municipal sewer overflow exceed Two Hundred Seventy-five Thousand Dollars ($275,000.00) per occurrence;

4. Except as otherwise provided in this paragraph, Two Hundred Fifty Thousand Dollars ($250,000.00) to any claimant for a claim for any other loss arising out of a single act, accident, or occurrence. The limit of liability for the state or any city or county with a population of one hundred fifty thousand (150,000) or more according to the latest Federal Decennial Census, or a political subdivision as defined in subparagraph s of paragraph 12 of Section 152 of this title, shall not exceed Three Hundred Seventy-five Thousand Dollars ($375,000.00). Except, however, the limits of liability for the University Hospitals and state mental health hospitals operated by the Department of Mental Health and Substance Abuse Services for claims arising from medical negligence shall be Three Hundred Thousand Dollars ($300,000.00). For claims arising from medical negligence by any licensed physician, osteopathic physician or Certified Nurse-Midwife rendering prenatal, delivery or infant care services from September 1, 1991, through June 30, 1996, pursuant to a contract authorized by subsection C of Section 1-106 of Title 63 of the Oklahoma Statutes and in conformity with the requirements of

Section 1-233 of Title 63 of the Oklahoma Statutes, the limits of liability shall be Two Hundred Thousand Dollars ($200,000.00);

5. One Million Dollars ($1,000,000.00) for any number of claims for indemnification pursuant to Section 162 of this title arising out of a single occurrence or accident; or

6. Two Million Dollars ($2,000,000.00) in the aggregate for any number of claims arising out of a single occurrence or accident.

B. 1. Beginning on ~~May 28, 2003~~ July 1, 2025, claims shall be allowed for wrongful criminal felony conviction resulting in imprisonment if the claimant has received a full pardon on the basis of a written finding by the Governor of actual innocence for the crime for which the claimant was sentenced or has been granted judicial relief absolving the claimant of guilt on the basis of actual innocence of the crime for which the claimant was sentenced. The Governor or the court shall specifically state, in the pardon or order, the evidence or basis on which the finding of actual innocence is based.

2. As used in paragraph 1 of this subsection, for a claimant to recover based on "actual innocence", the individual must meet the following criteria:

a. the individual was charged, by indictment or information, with the commission of a public offense classified as a felony,

b. ~~the individual did not plead guilty to the offense charged, or to any lesser included offense, but was convicted of the offense,~~

~~c.~~ the individual was sentenced to incarceration for a term of imprisonment as a result of the conviction,

~~d.~~ c. the individual was imprisoned solely on the basis of the conviction for the offense, and

~~e.~~ d. (1) in the case of a pardon, a determination was made by either the Pardon and Parole Board or the Governor that the offense for which the individual was convicted, sentenced and imprisoned, including any lesser offenses, was not committed by the individual, or

(2) in the case of judicial relief, a court of competent jurisdiction found by clear and convincing evidence that the offense for which the individual was convicted, sentenced and imprisoned, including any lesser included offenses, was not committed by the individual and issued an order vacating, dismissing or reversing the conviction and sentence and providing that no further proceedings can be or will be held against the individual on any facts and

circumstances alleged in the proceedings which had resulted in the conviction.

3. A claimant shall not be entitled to compensation for any part of a sentence in prison during which the claimant was also serving a concurrent sentence for a crime not covered by this subsection.

4. The total liability of the state and its political subdivisions on any claim within the scope of The Governmental Tort Claims Act arising out of wrongful criminal felony conviction resulting in imprisonment shall ~~not exceed One Hundred Seventy-five Thousand Dollars ($175,000.00)~~ be in an amount equal to Fifty Thousand Dollars ($50,000.00) multiplied by the number of years served in prison, expressed as a fraction to reflect partial years.

5. In addition to the award of damages provided for in paragraph 4 of this subsection, a claimant who served his or her time on death row shall be entitled to receive supplemental compensation in the amount of Fifty Thousand Dollars ($50,000.00) multiplied by the number of years the person served on death row, expressed as a fraction to reflect partial years.

6. In addition to the award of damages provided for in paragraph 4 of this subsection, a claimant who was released on parole or released under conditions of probation shall be entitled to receive supplemental compensation in the amount of Twenty-five Thousand Dollars ($25,000.00) multiplied by the number of years the

person was on parole or under probation, expressed as a fraction to reflect partial years.

7. A claimant entitled to compensation under the provisions of this subsection shall be entitled to an award of damages under this subsection of One Million Dollars ($1,000,000.00) or less which shall be paid to the claimant in a lump sum. If an award of damages under this subsection exceeds One Million Dollars ($1,000,000.00), then One Million Dollars ($1,000,000.00) of the award shall be paid to the claimant in a lump sum and the remainder shall be paid annually in equal payments over a period of three (3) years.

8. The provisions of this subsection shall apply to ~~convictions~~ exonerations occurring on ~~or before May 28, 2003, as well as convictions occurring~~ and after ~~May 28, 2003. If a court of competent jurisdiction finds that retroactive application of this subsection is unconstitutional, the prospective application of this subsection shall remain valid~~ July 1, 2025.

C. No award for damages in an action or any claim against the state or a political subdivision shall include punitive or exemplary damages.

D. When the amount awarded to or settled upon multiple claimants exceeds the limitations of this section, any party may apply to the district court which has jurisdiction of the cause to apportion to each claimant the claimant's proper share of the total amount as limited herein. The share apportioned to each claimant shall be in the proportion that the ratio of the award or settlement made to each claimant bears to the aggregate awards and settlements for all claims against the state or its political subdivisions arising out of the occurrence. When the amount of the aggregate losses presented by a single claimant exceeds the limits of paragraph 1, 2, 3, or 4 of subsection A of this section, each person suffering a loss shall be entitled to that person's proportionate share.

E. The total liability of resident physicians and interns while participating in a graduate medical education program of the University of Oklahoma College of Medicine, its affiliated institutions and the Oklahoma State University College of Osteopathic Medicine shall not exceed One Hundred Fifty Thousand Dollars ($150,000.00).

F. The total liability of a public trust hospital and physician for the acts of a physician who provides medical services on the premises of a public trust hospital, as provided by Section 152 of this title, that is located in a county with a population of fewer than seventy-five thousand (75,000) according to the latest Federal Decennial Census, but who is not employed by such hospital, shall not exceed One Million Dollars ($1,000,000.00). If the physician is employed by another group or entity not under the sole or majority control of the physician, the total limit of liability of the physician and hospital shall be the higher coverage afforded by the liability policy, self-insurance, or assets of that group or entity.

G. For claims within the scope of The Governmental Tort Claims Act, the liability limits in this section for claims on or after the effective date of this act shall be adjusted beginning January 1, 2031, and every five (5) years thereafter for inflation to reflect the lesser of the percentage change in the Consumer Price Index published by the Bureau of Labor Statistics of the United States Department of Labor for such period or four percent (4%) in any five-year period.

H. The state or a political subdivision may petition the court that all parties and actions arising out of a single accident or occurrence shall be joined as provided by law, and upon order of the court the proceedings upon good cause shown shall be continued for a reasonable time or until such joinder has been completed. The state or political subdivision shall be allowed to interplead in any action which may impose on it any duty or liability pursuant to The Governmental Tort Claims Act.

I. The liability of the state or political subdivision under The Governmental Tort Claims Act shall be several from that of any other person or entity, and the state or political subdivision shall only be liable for that percentage of total damages that corresponds to its percentage of total negligence. Nothing in this section shall be construed as increasing the liability limits imposed on the state or political subdivision under The Governmental Tort Claims Act.

SECTION 75. REPEALER 51 O.S. 2021, Section 154, as amended by Section 2, Chapter 292, O.S.L. 2025 (51 O.S. Supp. 2025, Section 154), is hereby repealed.

SECTION 76. AMENDATORY 57 O.S. 2021, Section 37, as amended by Section 9, Chapter 187, O.S.L. 2025 (57 O.S. Supp. 2025, Section 37), is amended to read as follows:

Section 37. A. If all correctional facilities reach maximum capacity and the Department of Corrections is required to contract for bed space to house state inmates:

1. The Pardon and Parole Board shall consider all nonviolent offenders for parole who are within six (6) months of their scheduled release from a penal facility; and

2. Prior to contracting with a private prison operator to provide housing for state inmates, the Department shall send notification to all county jails in this state that bed space is required to house the overflow population of state inmates. Upon receiving notification, the sheriff or jail trust administrator of a county jail is authorized to enter into agreements with the Department to provide housing for the inmates. Reimbursement for the cost of housing the inmates shall be a negotiated per diem rate for each inmate as contracted but shall in no event be less than the per diem rate provided for in Section 38 of this title.

B. No inmate may be received by a penal facility from a county jail without first scheduling a transfer with the Department. Within five (5) business days after the court orders the judgment and sentence, the court clerk shall transmit to the Department by facsimile, electronic mail, or actual delivery a certified copy of the judgment and sentence.

C. The receipt of the certified copy of the judgment and sentence shall be certification that the sentencing court has entered a judgment and sentence and all other necessary commitment documents. The Department of Corrections is authorized to determine the appropriate method of delivery from each county based on electronic or other capabilities, and establish a method for issuing receipts certifying that the Department has received the judgment and sentence document. The Department shall establish a dedicated electronic address location for receipt of all electronically submitted judgment and sentence documents. The electronic address location shall provide written receipt verification of each received judgment and sentence document. Once an appropriate judgment and sentence document is received by the Department of Corrections, the Department shall contact the sheriff or jail trust administrator when bed space is available to schedule the transfer and reception of the inmate into the Department.

D. If the Department receives a judgment and sentence document from a county that includes inaccurate information from the sentencing court the Department shall notify the county within a timely manner. If the Department receives a judgment and sentence document from a county that is missing the classification level of the felony crime, the Department shall default to the lowest possible classification level for that offense. If the Department receives a judgment and sentence document from a county that is missing the required amount of the minimum time to be served, the Department shall default to the lowest possible amount of the minimum time to be served for that offense.

E. When a county jail has reached its capacity of inmates as provided in the standards set forth in ~~Section 192 of Title 74 of the Oklahoma Statutes~~ the Oklahoma Jail Standards Act, then the county sheriff or jail trust administrator shall notify the Director of the Oklahoma Department of Corrections, or the Director's designated representative, by facsimile, electronic mail, or actual delivery, that the county jail has reached or exceeded its capacity to hold inmates. The notification shall include copies of any judgment and sentences not previously delivered as required by subsection B of this section. ~~Then within~~ Within seventy-two (72) hours following such notification, the county sheriff or jail trust administrator shall transport the designated excess inmate or inmates to a penal facility designated by the Department. The sheriff or jail trust administrator shall notify the Department of the transport of the inmate prior to the reception of the inmate.

The Department shall schedule the reception date and receive the inmate within seventy-two (72) hours of notification that the county jail is at capacity, unless other arrangements can be made with the sheriff or jail trust administrator.

F. The Department ~~will~~ shall be responsible for the cost of housing the inmate in the county jail including costs of medical care provided from the date the judgment and sentence was ordered by the court until the date of transfer of the inmate from the county jail. The Department shall implement a policy for determination of scheduled dates on which an inmate or multiple inmates are to be transferred from county jails. The policy shall allow for no less than three alternative dates from which the sheriff or jail trust administrator of a county jail may select and shall provide for weather-related occurrences or other emergencies that may prevent or delay transfers on the scheduled date. The policy shall be available for review upon request by any sheriff or jail trust administrator of a county jail. The cost of housing shall be the per diem rate specified in Section 38 of this title. In the event the inmate has one or more criminal charges pending in the same Oklahoma jurisdiction and the county jail refuses to transfer the inmate to the Department because of the pending charges, the Department shall not be responsible for the housing costs of the inmate while the inmate remains in the county jail with pending charges. Once the inmate no longer has pending charges in the jurisdiction, the Department shall be responsible for the housing costs of the inmate for the period beginning on the date the judgment and sentence or final order was ordered by the Court. In the event the inmate has other criminal charges pending in another Oklahoma jurisdiction, the Department shall be responsible for the housing costs while the inmate remains in the county jail awaiting transfer to another jurisdiction or until the date the inmate is scheduled to be transferred to the Department, whichever is earlier. Once the inmate is transferred to another jurisdiction, the Department is not responsible for the housing cost of the inmate until such time that another judgment and sentence is received by the Department from another Oklahoma jurisdiction.

The sheriff or jail trust administrator may submit invoices for the cost of housing the inmate on a monthly basis. Final payment for housing an offender will be made only after the official judgment and sentence is received by the Department of Corrections.

SECTION 77. REPEALER 57 O.S. 2021, Section 37, as amended by Section 11, Chapter 11, O.S.L. 2025 (57 O.S. Supp. 2025, Section 37), is hereby repealed.

SECTION 78. REPEALER 57 O.S. 2021, Section 138, as amended by Section 38, Chapter 59, O.S.L. 2024 (57 O.S. Supp. 2025, Section 138), is hereby repealed.

SECTION 79. REPEALER 57 O.S. 2021, Section 571, as last amended by Section 40, Chapter 59, O.S.L. 2024 (57 O.S. Supp. 2025, Section 571), is hereby repealed.

SECTION 80. AMENDATORY 59 O.S. 2021, Section 46.4, as last amended by Section 2, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.4), is amended to read as follows:

Section 46.4. There is hereby re-created, to continue until July 1, 2026, in accordance with the provisions of the Oklahoma Sunset Law, a board to be known as the "Board of Governors of the ~~Licensed~~ Architects, Landscape Architects and ~~Registered Commercial~~ Licensed Interior Designers of Oklahoma", hereinafter referred to as the Board. The Board shall be composed of eleven (11) members including six persons who are duly licensed to practice architecture and are in good standing in this state, two persons who are duly licensed to practice landscape architecture and are in good standing in this state, two persons who are ~~registered commercial~~ duly licensed interior designers and who are active and in good standing and one lay member. Each member of the Board shall be a qualified elector of this state, and the architect, landscape architect and ~~registered commercial~~ licensed interior designer members shall have had five (5) years' licensing ~~or registration~~ experience as the professional position requires in this state. Re-creation of the Board shall not alter existing staggered terms. Board members, other than the lay member, shall be appointed for a period of five

(5) years. A member may be reappointed to succeed themselves. The ~~licensed~~ architect, landscape architect or the ~~registered commercial~~ licensed interior designer members may be appointed by the Governor from a list of nominees submitted by respective professional societies of this state. Membership in a professional society shall not be a prerequisite to appointment to the Board. The lay member of the Board shall be appointed by the Governor to a term coterminous with that of the Governor. The lay member shall serve at the pleasure of the Governor. All board members, including the lay member, may continue to serve after the expiration of their term until such time as a successor is appointed. Vacancies which may occur in the membership of the Board shall be filled by appointment by the Governor. Each person who has been appointed to fill a vacancy shall serve for the remainder of the term for which the member the person shall succeed was appointed and until a successor, in turn, has been appointed and shall have qualified. Each member of the Board, before entering upon the discharge of the duties of the member, shall make and file with the Secretary of State a written oath or affirmation for the faithful discharge of official duties. Each member of the Board shall be reimbursed for travel expenses pursuant to the State Travel Reimbursement Act.

SECTION 81. REPEALER 59 O.S. 2021, Section 46.4, as last amended by Section 4, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.4), is hereby repealed.

SECTION 82. AMENDATORY 59 O.S. 2021, Section 46.7, as amended by Section 5, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.7), is amended to read as follows:

Section 46.7. A. In addition to the other powers and duties imposed by law, the Board of Governors of the Architects, Landscape Architects and Licensed Interior Designers of Oklahoma shall have the power and duty to:

1. Prescribe such rules and to make such orders, as it may deem necessary or expedient in the performance of its duties;

2. Prepare, conduct, and grade examinations of persons who shall apply for the issuance of licenses to them, and to promulgate such rules with reference thereto as it may deem proper as a portion used to determine competency for the issuance of licenses;

3. Work with nationally recognized licensing organizations to prepare, conduct, and grade examinations, written or oral, of persons who shall apply for the issuance of licenses;

4. Determine the satisfactory passing score on examinations and issue licenses to persons who shall have passed examinations, or who shall otherwise be entitled thereto;

5. Determine eligibility for licenses and certificates of authority and issue them;

6. Promulgate rules to govern the issuing of reciprocal licenses;

7. Upon good cause shown, as hereinafter provided, deny the issuance of a license or certificate of authority or suspend, revoke, refuse to renew or issue probation orders for licenses, and/or require additional educational coursework and determine when the objectives have been met;

8. Upon proper showing, reinstate or conditionally reinstate licenses or certificates of authority previously issued;

9. Review, affirm, reverse, vacate or modify its order with respect to any such denial, suspension, revocation, probation and/or educational coursework requirements or refusal to renew;

10. Prescribe rules governing proceedings for the denial of issuance of a license or certificate of authority, suspension, revocation or refusal to renew, to issue probation orders and/or require additional educational coursework and determine when the objectives have been met for cause, and reinstate them;

11. Prescribe such penalties, as it may deem proper, to be assessed against holders of licenses or certificates of authority for the failure to pay the biennial fee hereinafter provided for;

12. Levy civil penalties plus the legal costs incurred by the Board to prosecute the case against any person or entity who shall violate any of the provisions of the State Architectural and Licensed Interior Designers Act, or any rule promulgated pursuant thereto;

13. Obtain an office, secure such facilities, and employ, direct, discharge and define the duties and set the salaries of such office personnel and set the salaries of such unclassified and exempt office personnel as deemed necessary by the Board;

14. Initiate disciplinary action, prosecute and seek injunctions against any person or entity who has violated any of the provisions of the State Architectural and Licensed Interior Designers Act or any rule of the Board promulgated pursuant to said act and against the owner/developer of the building type not exempt;

15. Investigate alleged violations of the State Architectural and Licensed Interior Designers Act or of the rules, orders or final decisions of the Board;

16. Promulgate rules of conduct governing the practice of architects, landscape architects and licensed interior designers;

17. Keep accurate and complete records of proceedings, and certify the same as may be appropriate;

18. Whenever it deems it appropriate, confer with the Attorney General or the Attorney General's assistants in connection with all legal matters and questions. The Board may also retain an attorney who is licensed to practice law in this state. The attorney shall serve at the pleasure of the Board for such compensation as may be provided by the Board. The attorney shall advise the Board and perform legal services for the Board with respect to any matters properly before the Board. In addition to the above, the Board may

employ hearing examiners to conduct administrative hearings under the provisions of the Administrative Procedures Act;

19. Prescribe by rules, fees to be charged as required by this act;

20. Adopt rules providing for a program of continuing education in order to ensure that all architects, landscape architects, and licensed interior designers remain informed of those technical and professional subjects that the Board deems appropriate. The Board may by rule describe the methods by which the requirements of such program may be satisfied. Failure to meet such requirements of continuing education shall result in nonrenewal of the license issued to the architect, landscape architect, or licensed interior designer;

21. Adopt rules regarding requirements for intern development as a prerequisite for licensure;

22. Give scholarships, as determined by the Board, to an individual or individuals advancing toward obtaining an accredited National Architectural Accreditation Board, Landscape Architectural Accreditation Board or Council for Interior Design Accreditation degree in one of these three professions in an Oklahoma higher education institution; and

23. Take such other action as may be reasonably necessary or appropriate to effectuate the State Architectural and Licensed Interior Designers Act. The Board may, at its discretion, contract

with other state agencies and nonprofit corporations for the endowment, management, and administration of scholarships. The requirements of such scholarships shall be determined by the Board. However, nothing contained herein shall be construed as requiring the Board to endow or award any scholarship.

<u>B. The Board may use its funds to establish and conduct instructional programs for persons who are currently licensed under this act, and persons seeking licensure, as well as refresher courses for persons interested in obtaining adequate instruction or programs of study to qualify them for licensure to practice. The Board may expend its funds for these purposes and may conduct, sponsor, and arrange for instructional programs and may carry out instructional programs through extension courses or other media. The Board may enter into plans or agreements with community colleges, public or private institutions of higher learning, the State Board of Education, the Oklahoma Department of Career and Technology Education, or nonprofit organizations for the purpose of planning, scheduling or arranging courses, instruction, extension courses, or assisting in obtaining courses of study or programs in the fields of architecture, landscape architecture, or commercial interior design. The Board shall encourage the educational institutions in Oklahoma to offer courses necessary to complete the educational requirements of Section 46.1 et seq. of this title. For the purpose of carrying out these objectives, the Board may adopt</u>

rules as may be necessary for educational programs, instruction, extension services or for entering into plans or contracts with persons or educational institutions and the Oklahoma Department of Career and Technology Education.

SECTION 83. REPEALER 59 O.S. 2021, Section 46.7, as amended by Section 3, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.7), is hereby repealed.

SECTION 84. AMENDATORY 59 O.S. 2021, Section 46.9, as amended by Section 6, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.9), is amended to read as follows:

Section 46.9. A. The practice of architecture, landscape architecture, or licensed interior design or offering to practice these professions for others by persons licensed under this act through a partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership as directors, partners, officers, shareholders, ~~employees,~~ managers, members or principals is permitted, subject to the provisions of the State Architectural and Licensed Interior Designers Act, provided:

1. One or more of the directors, partners, officers, shareholders, managers, members or principals of said partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership is ~~designated as being responsible for the entity's activities and decisions~~ legally responsible for the entity

of said partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership;

2. Such director, partner, officer, shareholder, manager, member or principal is duly licensed under the State Architectural and Licensed Interior Designers Act; and

3. ~~All personnel of said partnership, firm, association, corporation, limited liability company or limited liability partnership who act on behalf of the entity for these professions in the state are licensed under the State Architectural and Licensed Interior Designers Act; and~~

~~4.~~ Said partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership has been issued a certificate of authority by the Board.

B. The Board shall have the power to issue, revoke, deny, or refuse to renew a certificate of authority for a partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership as provided for in the State Architectural and Licensed Interior Designers Act.

C. A partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership desiring to practice architecture, landscape architecture, or licensed interior design shall file with the Board an application for a certificate of authority, and pay all fees, for each office location performing work on Oklahoma projects on a form approved by the Board which shall include the names, addresses, state of licensure and license number of all partners, directors, officers, members, managers or principals of the partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership legally responsible for the entity's practice. The form shall name an individual having the practice of architecture in such person's charge who is a director, partner, officer, member, manager or principal. The person shall be duly licensed as an architect to practice architecture or licensed as a landscape architect to practice landscape architecture, or as a licensed interior designer to practice licensed interior design in this state through said partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership legally responsible for the entity's practice or services offered and other information required by the Board. In the event there shall be a change in any of these persons during the term of the certification, such change shall be filed with the Board within thirty (30) days after the effective date of said change. If all of the requirements of this section and the Board's current rules have been met, the Board shall issue a certificate of authority to such partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership.

D. Any other person licensed pursuant to the State Architectural and Licensed Interior Designers Act, not practicing these professions as a partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership, shall practice as an individual.

E. No such partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership shall be relieved of responsibility for the conduct or acts of its agents, employees, partners, directors, officers, managers, members or principals by reason of its compliance with the provisions of this section, or shall any individual practicing these professions be relieved of responsibility for professional services performed as an individual by reason of such person's employment or relationship with such partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership.

F. The Secretary of State shall not issue a certificate of incorporation or register a foreign corporation or any other entity which includes among the objectives for which it is established any of the words "Architect", "Architectural", "Architecture", "Landscape Architect", "Landscape Architecture", "Licensed Interior Designer", or "Licensed Interior Design", or any modification or derivation of these words, unless the Board has issued for said applicant either a certificate of authority for an entity, or a letter indicating eligibility for an exemption pursuant to the State Architectural and Licensed Interior Designers Act. The entity applying shall supply such certificate or letter from the Board with its application for incorporation or registration.

G. The Secretary of State shall not register any trade name or service mark which includes such words, as set forth in subsection F of this section, or modifications or derivatives thereof in its firm name or logotype except those entities or individuals holding certificates of authority issued under the provisions of this section or letters of eligibility issued by the Board.

H. Upon application for renewal and upon compliance with the provisions of the State Architectural and Licensed Interior Designers Act and the rules of the Board, a certificate of authority shall be renewed as provided in this act.

SECTION 85. REPEALER 59 O.S. 2021, Section 46.9, as amended by Section 4, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.9), is hereby repealed.

SECTION 86. AMENDATORY 59 O.S. 2021, Section 46.10, as amended by Section 5, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.10), is amended to read as follows:

Section 46.10. A. Every licensed architect, landscape architect, ~~registered commercial~~ licensed interior designer, partnership, corporation, limited liability company, or limited liability partnership shall pay to the Board a renewal fee as prescribed by the rules of the Board prior to or on June 30 of odd years. No license, registration, certificate of authority, or certificate of title shall be issued or renewed for longer than two (2) years. Upon receipt of the fee, the Board shall issue a renewal, which shall authorize the person, partnership, corporation, limited liability company, or limited liability partnership to practice architecture, landscape architecture or ~~use the title registered commercial~~ licensed interior ~~designer~~ design, as the case may be, in this state.

B. The license of an architect ~~or~~, landscape architect, or the registration of a ~~registered commercial~~ licensed interior designer which has been canceled by the Board for nonpayment of dues may be renewed at any time within three (3) years from the date of the cancellation, upon payment to the Board of the fees and any penalties prescribed by the Board. If a license ~~or registration~~, initially granted by the State of Oklahoma that was the sole license of a professional, remains canceled for a period exceeding three (3) consecutive years, it may be reinstated subject to Board review. Upon review, the Board may prescribe a test or an examination in order to determine continued competency of the licensee ~~or registrant~~. An individual who is licensed in another jurisdiction and whose Oklahoma license has been canceled for a period exceeding three (3) consecutive years may reapply as prescribed in the rules of the Board. A partnership, corporation, limited liability company or limited liability partnership may reinstate a certificate of authority or a certificate of title canceled for a period exceeding three (3) years in the manner provided by the rules of the Board.

SECTION 87. REPEALER 59 O.S. 2021, Section 46.10, as amended by Section 7, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.10), is hereby repealed.

SECTION 88. AMENDATORY 59 O.S. 2021, Section 46.21, as amended by Section 15, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.21), is amended to read as follows:

Section 46.21. A. The State Architectural and Licensed Interior Designers Act shall not apply to any persons, firms, corporations, limited liability companies or limited liability partnerships that do not hold a license or certification in any jurisdiction for exempted Code Use Groups defined by the State Architectural and Licensed Interior Designers Act, providing such persons and/or entities shall not represent such person or entity to be an architect, licensed interior designer, or other title of profession or business using a form of the words, “Architect” or “Licensed Interior Designer”. This act shall not prevent such persons and/or entities from advertising or selling their services.

Any architect, landscape architect or licensed interior designer from any jurisdiction who contracts, provides or holds out to the public that he or she is able to provide professional services in Oklahoma is required to hold a license or certificate of authority as needed from the Board, even on exempt Code Use Groups, and an architect, landscape architect, or licensed interior designer is required to sign, seal and date all construction documents and technical submissions.

B. Nothing in this act shall be construed to prevent the preparation of technical submissions or the administration of construction contracts by employees of a person or entity lawfully engaged in the practice of architecture when such employees are acting under the responsible control of an architect.

C. The following shall govern design competitions in the state:

1. Nothing in this act shall prohibit a person or firm from participating in an architectural design competition involving only architectural programming, planning, schematic design or design development information provided to a sponsor; and

2. The competition winner, prior to seeking the commission for architectural services on the proposed project, shall apply for licensing in this state within ten (10) days of notification of winning the competition and complete the process within thirty (30) days.

D. Nothing in this act shall prohibit an officer or employee of the United States Armed Forces or an employee of the United States government from practicing within the scope of their authority and employment.

SECTION 89. REPEALER 59 O.S. 2021, Section 46.21, as amended by Section 6, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.21), is hereby repealed.

SECTION 90. AMENDATORY 59 O.S. 2021, Section 46.21b, as last amended by Section 1, Chapter 208, O.S.L. 2025 (59 O.S. Supp. 2025, Section 46.21b), is amended to read as follows:

Section 46.21b. A. An architect shall be required to plan, design, and prepare plans and specifications for the following Code Use Groups except where specifically exempt from the provisions of the State Architectural and Licensed Interior Designers Act. All Code Use Groups in this section are defined by the current International Building Code.

B. The construction, addition, or alteration of a building of any size or occupancy in the following Code Use Groups shall be subject to the provisions of the State Architectural and Licensed Interior Designers Act:

1. Code Use Group I - Institutional;

2. Code Use Group R-2 - Residential, limited to dormitories, fraternities and sororities, and monasteries and convents;

3. Code Use Group A-1 - Assembly and theaters;

4. Code Use Group A-4 - Assembly, arenas and courts;

5. Code Use Group A-5 - Assembly, bleachers and grandstands;

6. Code Use Group H – High hazard; and

7. Buildings for which the designated Code Use Group changes are not exempt from the State Architectural and Licensed Interior Designers Act.

C. The following shall be exempt from the provisions of the State Architectural and Licensed Interior Designers Act; provided that, for the purposes of this subsection, a basement is not to be counted as a story for the purpose of counting stories of a building for height regulations:

1. The construction, addition, or alteration of a building no more than two stories in height and with a code-defined occupancy of no more than fifty (50) persons for the Code Use Groups A-2 and A-3 - Assembly and Code Use Group E - Education;

2. The construction, addition, or alteration of a building no more than two stories in height and no more than sixty-four transient lodging units per building for the Code Use Group R1 - Residential, including, but not limited to, hotels and motels;

3. The construction, addition, or alteration of a building no more than two stories in height and with a gross square footage not exceeding one hundred thousand (100,000) in the Code Use Group B - Business;

4. The construction, addition, or alteration of a building no more than two stories in height and with a gross square footage not exceeding two hundred thousand (200,000) in the Code Use Group M - Mercantile; ~~and~~

5. The construction, addition, or alteration of a building no more than two stories in height in the following Code Use Groups or buildings:

a. Code Use Group U - Utility,

b. Code Use Group F - Factory and Industrial,

c. Code Use Group S - Storage,

d. Code Use Group R2 - Residential, including apartments containing no more than thirty-two dwelling units or thirty-two guest units per building,

e. Code Use Groups R3 and R4 - Residential,

f. all buildings used by a municipality, county, state, public trust, public agency, or the federal government with a construction value under Three Hundred Thousand Dollars ($300,000.00),

g. incidental buildings or appurtenances associated with paragraphs 1 through 5 of this subsection, and

h. all uninhabitable, privately owned agricultural buildings<u>; and</u>

<u>6. Single or two-family residential dwellings, as defined by the International Residential Code adopted by the Oklahoma Uniform Building Code Commission</u>.

D. The addition, renovation, or alteration of buildings where the use was exempt as new construction shall remain exempt if the Code Use Group does not change.

E. Upgrades, repairs, replacements, and changes made on projects in Code Use Groups found in this title requiring an architect are exempt from hiring an architect if the upgrades, repairs, replacements, or changes do not affect the existing primary structural, mechanical, or electrical systems, life safety systems, fire codes, or exit passageways or egress as determined by the ~~applicable~~ building official having jurisdiction.

F. Nonstructural interior construction projects in Code Use Groups requiring an architect are exempt from hiring an architect if the services are performed by a licensed interior designer.

SECTION 91. REPEALER 59 O.S. 2021, Section 46.21b, as amended by Section 7, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.21b), is hereby repealed.

SECTION 92. AMENDATORY 59 O.S. 2021, Section 46.38, as amended by Section 22, Chapter 138, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.38), is amended to read as follows:

Section 46.38. A. Except as otherwise provided in the State Architectural and Licensed Interior Designers Act, no license shall be issued to any person to represent that the person is a "licensed interior designer" nor shall any person be allowed to use the term or practice licensed interior design unless the person pays to the Board the required fees and/or penalties if applicable as established by the rules of the Board and:

1. Holds an accredited professional degree in interior design from an interior design program accredited by the Council for Interior Design Accreditation or its successor, or from an interior design program determined by the Board to be substantially equivalent to an accredited program;

2. Provides proof of a minimum of two (2) years of full-time diversified and appropriate experience within established standards as the Board shall prescribe; and

3. Provides to the Board proof of passage of the examination administered by the Council for Interior Design Qualification or its successor or an equivalent examination as determined by the Board.

B. The Board may waive the requirements of the State Architectural and Licensed Interior Designers Act for an individual who holds a current valid registration or license from another state, jurisdiction or foreign country where the requirements for registration or licensure are substantially equivalent to those required for licensure in this state and pays the required fees and/or penalties, if applicable, to the Board.

C. This section does not apply to a person licensed to practice architecture pursuant to the laws of this state.

D. Nothing in this act shall be construed to authorize the Board to regulate or prohibit persons who are rendering interior design services and are not licensed interior designers under the provisions of this act or to adopt regulations that would exceed the powers and responsibilities expressly authorized under this act.

E. Certificate of authority shall be subject to the following:

1. The use of the title "Licensed Interior Designer" by a partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership is allowed to those entities listed, provided:

a. one or more of the directors, partners, officers, shareholders, members, managers, or principals is a licensed interior designer and is in good standing with the Board, and

b. the partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership has been issued a certificate of authority by the Board;

2. The Board shall have the power to issue, revoke, deny or refuse to renew a certificate of authority for a partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership as provided for in this act;

3. A partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership shall file with the Board an application for a certificate of authority on a form approved by the Board which shall include the names, addresses, state of registration or licensure and registration or license

number of all directors, partners, officers, shareholders, members, managers or principals of the partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership. In the event there shall be a change in any of these persons during the term of certification, the change shall be filed with the Board within thirty (30) days after the effective date of the change. If all the requirements of this section and the Board's current rules have been met, the Board shall issue a certificate of authority to the partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership;

4. The Secretary of State shall not issue a certificate of incorporation or register a foreign corporation or any other entity which includes among the objectives for which it is established the words "Licensed Interior Designer" or any modification or derivation of these words, unless the Board has issued for the applicant either a certificate of title for an entity, or a letter indicating the eligibility for an exemption pursuant to the requirements of this act. The firm applying shall supply the certificate of authority or letter from the Board with its application for incorporation or registration;

5. The Secretary of State shall not register any trade name or service mark which includes the words as set forth in paragraph 4 of this subsection in its firm name or logotype except those entities or individuals holding certificates of authority issued under the

provisions of this section or letters of eligibility issued by the Board; and

6. Upon application for renewal and upon compliance with the provisions of this act and the rules of the Board, a certificate of authority shall be renewed as provided by this act.

F. No license for licensed interior designers or a certificate of authority for a partnership, ~~firm, association,~~ corporation, limited liability company or limited liability partnership, shall be issued or renewed for longer than two (2) years. A license or certificate of authority may be renewed upon application, compliance with the rules of the Board and payment of fees prior to or on June 30 of alternate years. A new license to replace a lost, destroyed or mutilated license shall be issued by the Board upon payment of a fee established in accordance with the rules of the Board.

SECTION 93. REPEALER 59 O.S. 2021, Section 46.38, as amended by Section 8, Chapter 147, O.S.L. 2024 (59 O.S. Supp. 2025, Section 46.38), is hereby repealed.

SECTION 94. REPEALER 59 O.S. 2021, Section 328.49, as amended by Section 530, Chapter 486, O.S.L. 2025 (59 O.S. Supp. 2025, Section 328.49), is hereby repealed.

SECTION 95. AMENDATORY 59 O.S. 2021, Section 353.1, as last amended by Section 5, Chapter 340, O.S.L. 2025 (59 O.S. Supp. 2025, Section 353.1), is amended to read as follows:

Section 353.1. For the purposes of the Oklahoma Pharmacy Act:

1. “Accredited program” means those seminars, classes, meetings, work projects, and other educational courses approved by the State Board of Pharmacy for purposes of continuing professional education;

2. “Act” means the Oklahoma Pharmacy Act;

3. “Administer” means the direct application of a drug, whether by injection, inhalation, ingestion, or any other means, to the body of a patient;

4. “Assistant pharmacist” means any person presently licensed as an assistant pharmacist in this state by the Board pursuant to Section 353.10 of this title and for the purposes of the Oklahoma Pharmacy Act shall be considered the same as a pharmacist, except where otherwise specified;

5. “Board” or “State Board” means the State Board of Pharmacy;

6. “Certify” or “certification of a prescription” means the review of a filled prescription by a licensed pharmacist or a licensed practitioner with dispensing authority to confirm that the medication, labeling, and packaging of the filled prescription are accurate and meet all requirements prescribed by state and federal law. For the purposes of this paragraph, “licensed practitioner” shall not include optometrists with dispensing authority;

7. “Chemical” means any medicinal substance, whether simple or compound or obtained through the process of the science and art of chemistry, whether of organic or inorganic origin;

8. “Compounding” means the combining, admixing, mixing, diluting, pooling, reconstituting, or otherwise altering of a drug or bulk drug substance to create a drug. Compounding includes the preparation of drugs or devices in anticipation of prescription drug orders based on routine, regularly observed prescribing patterns;

9. “Continuing professional education” means professional, pharmaceutical education in the general areas of the socioeconomic and legal aspects of health care; the properties and actions of drugs and dosage forms; and the etiology, characteristics, and therapeutics of the diseased state;

10. “Dangerous drug”, “legend drug”, “prescription drug”, or “Rx Only” means a drug:

a. for human use subject to 21 U.S.C., Section 353(b)(1), or

b. is labeled “Prescription Only”, or labeled with the following statement: “Caution: Federal law restricts this drug to use by or on the order of a licensed veterinarian.”;

11. “Director” means the Executive Director of the State Board of Pharmacy unless context clearly indicates otherwise;

12. “Dispense” or “dispensing” means the interpretation, evaluation, and implementation of a prescription drug order including the preparation and delivery of a drug or device to a patient or a patient’s agent in a suitable container appropriately

labeled for subsequent administration to, or use by, a patient. Dispense includes sell, distribute, leave with, give away, dispose of, deliver, or supply;

13. “Dispenser” means a retail pharmacy, hospital pharmacy, a group of chain pharmacies under common ownership and control that do not act as a wholesale distributor, or any other person authorized by law to dispense or administer prescription drugs, and the affiliated warehouses or distributions of such entities under common ownership and control that do not act as a wholesale distributor. For the purposes of this paragraph, dispenser does not mean a person who dispenses only products to be used in animals in accordance with 21 U.S.C., Section 360b(a)(5);

14. “Distribute” or “distribution” means the sale, purchase, trade, delivery, handling, storage, or receipt of a product, and does not include the dispensing of a product pursuant to a prescription executed in accordance with 21 U.S.C., Section 353(b)(1) or the dispensing of a product approved under 21 U.S.C., Section 360b(b); provided, taking actual physical possession of a product or title shall not be required;

15. “Doctor of Pharmacy” means a person licensed by the Board to engage in the practice of pharmacy. The terms “pharmacist”, “D.Ph.”, and “Doctor of Pharmacy” shall be interchangeable and shall have the same meaning wherever they appear in the Oklahoma Statutes and the rules promulgated by the Board;

16. “Drug outlet” means all manufacturers, repackagers, outsourcing facilities, wholesale distributors, third-party logistics providers, pharmacies, and all other facilities which are engaged in dispensing, delivery, distribution, or storage of dangerous drugs;

17. “Drugs” means all medicinal substances and preparations recognized by the United States Pharmacopeia and National Formulary, or any revision thereof, and all substances and preparations intended for external and/or internal use in the cure, diagnosis, mitigation, treatment, or prevention of disease in humans or animals and all substances and preparations, other than food, intended to affect the structure or any function of the body of a human or animals;

18. “Drug sample” means a unit of a prescription drug packaged under the authority and responsibility of the manufacturer that is not intended to be sold and is intended to promote the sale of the drug;

19. “Durable medical equipment” has the same meaning as provided by Section 375.2 of this title;

20. “Filled prescription” means a packaged prescription medication to which a label has been affixed which contains such information as is required by the Oklahoma Pharmacy Act;

21. "Hospital" means any institution licensed as a hospital by this state for the care and treatment of patients, or a pharmacy operated by the Oklahoma Department of Veterans Affairs;

22. "Licensed practitioner" means:

a. an allopathic physician,

b. an osteopathic physician,

c. a podiatric physician,

d. a dentist,

e. a veterinarian,

f. an optometrist, ~~or~~

g. an Advanced Practice Registered Nurse, <u>or</u>

<u>h.</u> <u>a physician assistant,</u>

licensed to practice and authorized to prescribe dangerous drugs within the scope of practice of such practitioner;

23. "Manufacturer" or "virtual manufacturer" means with respect to a product:

a. a person that holds an application approved under 21 U.S.C., Section 355 or a license issued under 42 U.S.C., Section 262 for such product, or if such product is not the subject of an approved application or license, the person who manufactured the product,

b. a co-licensed partner of the person described in subparagraph a of this paragraph that obtains the product directly from a person described in this subparagraph or subparagraph a of this paragraph,

c. an affiliate of a person described in subparagraph a or b of this paragraph who receives the product directly from a person described in this subparagraph or in subparagraph a or b of this paragraph, or

d. a person who contracts with another to manufacture a product;

24. "Manufacturing" means the production, preparation, propagation, compounding, conversion, or processing of a device or a drug, either directly or indirectly by extraction from substances of natural origin or independently by means of chemical or biological synthesis and includes any packaging or repackaging of the substances or labeling or relabeling of its container, and the promotion and marketing of such drugs or devices. The term manufacturing also includes the preparation and promotion of commercially available products from bulk compounds for resale by licensed pharmacies, licensed practitioners, or other persons;

25. "Medical gas" means those gases including those in liquid state upon which the manufacturer or distributor has placed one of several cautions, such as "Rx Only", in compliance with federal law;

26. "Medical gas order" means an order for medical gas issued by a licensed prescriber;

27. “Medical gas distributor” means a person licensed to distribute, transfer, wholesale, deliver, or sell medical gases on drug orders to suppliers or other entities licensed to use, administer, or distribute medical gas and may also include a patient or ultimate user;

28. “Medical gas supplier” means a person who dispenses medical gases on drug orders only to a patient or ultimate user;

29. “Medicine” means any drug or combination of drugs which has the property of curing, preventing, treating, diagnosing, or mitigating diseases, or which is used for that purpose;

30. “Nonprescription drugs” means medicines or drugs which are sold without a prescription and which are prepackaged for use by the consumer and labeled in accordance with the requirements of the statutes and regulations of this state and the federal government. Such items shall also include medical and dental supplies and bottled or nonbulk chemicals which are sold or offered for sale to the general public if such articles or preparations meet the requirements of the Federal Food, Drug, and Cosmetic Act, 21 U.S.C.A., Section 321 et seq.;

31. “Outsourcing facility” including “virtual outsourcing facility” means a facility at one geographic location or address that:

a. is engaged in the compounding of sterile drugs,

b. has elected to register as an outsourcing facility, and

c. complies with all requirements of 21 U.S.C., Section 353b;

32. "Package" means the smallest individual saleable unit of product for distribution by a manufacturer or repackager that is intended by the manufacturer for ultimate sale to the dispenser of such product. For the purposes of this paragraph, "individual saleable unit" means the smallest container of a product introduced into commerce by the manufacturer or repackager that is intended by the manufacturer or repackager for individual sale to a dispenser;

33. "Person" means an individual, partnership, limited liability company, corporation, or association, unless the context otherwise requires;

34. "Pharmacist-in-charge" or "PIC" means the pharmacist licensed in this state responsible for the management control of a pharmacy and all other aspects of the practice of pharmacy in a licensed pharmacy as provided by Section 353.18 of this title;

35. "Pharmacy" means a place regularly licensed by the State Board of Pharmacy in which prescriptions, drugs, medicines, chemicals, and poisons are compounded or dispensed or such place where pharmacists practice the profession of pharmacy, or a pharmacy operated by the Oklahoma Department of Veterans Affairs;

36. “Pharmacy technician”, “technician”, “Rx tech”, or “tech” means a person issued a technician permit by the State Board of Pharmacy to assist the pharmacist and perform nonjudgmental, technical, manipulative, non-discretionary functions in the prescription department under the immediate and direct supervision of a pharmacist;

37. “Poison” means any substance which when introduced into the body, either directly or by absorption, produces violent, morbid, or fatal changes, or which destroys living tissue with which such substance comes into contact;

38. “Practice of pharmacy” means:

a. the interpretation and evaluation of prescription orders,

b. the compounding, dispensing, administering, and labeling of drugs and devices, except labeling by a manufacturer, repackager, or distributor of nonprescription drugs and commercially packaged legend drugs and devices,

c. the participation in drug selection and drug utilization reviews,

d. the proper and safe storage of drugs and devices and the maintenance of proper records thereof,

e. the responsibility for advising by counseling and providing information, where professionally necessary or where regulated, of therapeutic values, content, hazards, and use of drugs and devices,

f. the offering or performing of those acts, services, operations, or transactions necessary in the conduct, operation, management, and control of a pharmacy, or

g. the provision of those acts or services that are necessary to provide pharmaceutical care;

39. "Preparation" means an article which may or may not contain sterile products compounded in a licensed pharmacy pursuant to the order of a licensed prescriber;

40. "Prescriber" means a person licensed in this state who is authorized to prescribe dangerous drugs within the scope of practice of the person's profession;

41. "Prescription" means and includes any order for drug or medical supplies written or signed, or transmitted by word of mouth, telephone, or other means of communication:

a. by a licensed prescriber,

b. by a physician assistant pursuant to a practice agreement,

c. (1) under the supervision of a supervising physician, by a Certified Nurse Practitioner, Clinical Nurse Specialist, or Certified Nurse-Midwife licensed in this state who has not obtained independent prescriptive authority under Section 1 of this act, or

(2) by a Certified Nurse Practitioner, Clinical Nurse Specialist, or Certified Nurse-Midwife licensed in this state who has obtained independent prescriptive authority under Section 1 of this act, or

d. by an Oklahoma licensed wholesaler or distributor as authorized in Section 353.29.1 of this title;

42. "Product" means a prescription drug in a finished dosage form for administration to a patient without substantial further manufacturing, such as capsules, tablets, and lyophilized products before reconstitution. Product does not include blood components intended for transfusion, radioactive drugs or biologics and medical gas;

43. "Repackager", including "virtual repackager", means a person who owns or operates an establishment that repacks and relabels a product or package for further sale or distribution without further transaction;

44. "Sterile drug" means a drug that is intended for parenteral administration, an ophthalmic or oral inhalation drug in aqueous format, or a drug that is required to be sterile under state and federal law;

45. “Supervising physician” means an individual holding a current license to practice as a physician from the State Board of Medical Licensure and Supervision, pursuant to the provisions of the Oklahoma Allopathic Medical and Surgical Licensure and Supervision Act, or the State Board of Osteopathic Examiners, pursuant to the provisions of the Oklahoma Osteopathic Medicine Act, who supervises a Certified Nurse Practitioner, Clinical Nurse Specialist, or Certified Nurse-Midwife as defined in Section 567.3a of this title who has not obtained independent prescriptive authority under Section 1 of this act, and who is not in training as an intern, resident, or fellow. The supervising physician shall remain in compliance with the rules promulgated by the State Board of Medical Licensure and Supervision or the State Board of Osteopathic Examiners;

46. “Supportive personnel” means technicians and auxiliary supportive persons who are regularly paid employees of a pharmacy who work and perform tasks in the pharmacy as authorized by Section 353.18A of this title;

47. “Third-party logistics provider” including “virtual third-party logistics provider” means an entity that provides or coordinates warehousing, or other logistics services of a product in interstate commerce on behalf of a manufacturer, wholesale distributor, or dispenser of a product but does not take ownership of the product, nor have responsibility to direct the sale or

disposition of the product. For the purposes of this paragraph, third-party logistics provider does not include shippers and the United States Postal Service;

48. “Wholesale distributor” including “virtual wholesale distributor” means a person other than a manufacturer, a manufacturer’s co-licensed partner, a third-party logistics provider, or repackager engaged in wholesale distribution as defined by 21 U.S.C., Section 353(e)(4) as amended by the Drug Supply Chain Security Act;

49. “County jail” means a facility operated by a county for the physical detention and correction of persons charged with, or convicted of, criminal offenses or ordinance violations or persons found guilty of civil or criminal contempt;

50. “State correctional facility” means a facility or institution that houses a prisoner population under the jurisdiction of the Department of Corrections;

51. “Unit dose package” means a package that contains a single dose drug with the name, strength, control number, and expiration date of that drug on the label; and

52. “Unit of issue package” means a package that provides multiple doses of the same drug, but each drug is individually separated and includes the name, lot number, and expiration date.

SECTION 96. REPEALER 59 O.S. 2021, Section 353.1, as last amended by Section 1, Chapter 343, O.S.L. 2025 (59 O.S. Supp. 2025, Section 353.1), is hereby repealed.

SECTION 97. AMENDATORY 59 O.S. 2021, Section 356.2, as last amended by Section 2, Chapter 300, O.S.L. 2025 (59 O.S. Supp. 2025, Section 356.2), is amended to read as follows:

Section 356.2. A. The entity conducting an audit of a pharmacy shall:

1. Identify and specifically describe the audit and appeal procedures in the pharmacy contract. Prescription claim documentation and recordkeeping requirements shall not exceed the requirements set forth by the Oklahoma Pharmacy Act or other applicable state or federal laws or regulations;

2. Give the pharmacy written notice by certified letter to the pharmacy and the pharmacy's contracting agent, including identification of specific prescription numbers, fill dates, drug names, and National Drug Code (NDC) numbers to be audited, at least fourteen (14) calendar days prior to conducting the audit, including, but not limited to, an on-site audit, a desk audit, or a wholesale purchase audit, request for documentation related to the dispensing of a prescription drug, or any reimbursed activity by a pharmacy provider; provided, however, that wholesale purchase audits shall require a minimum of thirty (30) calendar days' written notice. For an on-site audit, the audit date shall be the date the

on-site audit occurs. For all other audit types, the audit date shall be the date the pharmacy provides the documentation requested in the audit notice. The pharmacy shall have the opportunity to reschedule the audit no more than seven (7) calendar days from the date designated on the original audit notification;

3. Not interfere with the delivery of pharmacist services to a patient and shall utilize every reasonable effort to minimize inconvenience and disruption to pharmacy operations during the audit process;

4. Conduct any audit involving clinical or professional judgment by means of or in consultation with a licensed pharmacist;

5. Not consider as fraud any clerical or recordkeeping error, such as a typographical error, scrivener's error or computer error, including, but not limited to, a miscalculated day supply, incorrectly billed prescription written date or prescription origin code, and such errors shall not be subject to recoupment. The pharmacy shall have the right to submit amended claims electronically to correct clerical or recordkeeping errors in lieu of recoupment. To the extent that an audit results in the identification of any clerical or recordkeeping errors such as typographical errors, scrivener's errors or computer errors in a required document or record, the pharmacy shall not be subject to recoupment of funds by the pharmacy benefits manager unless the pharmacy benefits manager can provide proof of intent to commit

fraud. A person shall not be subject to criminal penalties for errors provided for in this paragraph without proof of intent to commit fraud;

6. Permit a pharmacy to use the records of a hospital, physician, or other authorized practitioner of the healing arts for drugs or medicinal supplies written or transmitted by any means of communication for purposes of validating the pharmacy record with respect to orders or refills of a legend or narcotic drug;

7. Permit a pharmacy to use drug purchase records without limitation of date or source to validate the dispensing of a prescription drug or a controlled dangerous substance, provided the drug purchase was done in accordance with the state or federal law;

8. Not include the dispensing fee amount or the actual invoice cost of the prescription dispensed in a finding of an audit recoupment unless a prescription was not actually dispensed or a physician denied authorization of a dispensing order;

~~8.~~ 9. Audit each pharmacy under identical standards, regularity and parameters as other similarly situated pharmacies and all pharmacies owned or managed by the pharmacy benefits manager conducting or having conducted the audit;

~~9.~~ 10. Not exceed one (1) year from the date the claim was submitted to or adjudicated by a managed care company, nonprofit hospital or medical service organization, insurance company, third-party payor, pharmacy benefits manager, a health program administered by a department of this state, or any entity that represents the companies, groups, or departments for the period covered by an audit;

~~10.~~ 11. Not schedule or initiate an audit during the first seven (7) calendar days of any month unless otherwise consented to by the pharmacy;

~~11.~~ 12. Disclose to any plan sponsor whose claims were included in the audit any money recouped in the audit;

~~12.~~ 13. Not require pharmacists to break open packaging labeled "for single-patient-use only". Packaging labeled "for single-patient-use only" shall be deemed to be the smallest package size available;

~~13.~~ 14. Upon recoupment of funds from a pharmacy, refund first to the patient the portion of the recovered funds that were originally paid by the patient, provided such funds were part of the recoupment; and

~~14.~~ 15. Not assess a fine, penalty, or any other financial requirement on the pharmacy or pharmacist for any prescription audited unless there is a valid recoupment under the Pharmacy Audit Integrity Act.

B. 1. Any entity that conducts wholesale purchase review during an audit of a pharmacist or pharmacy shall not require the pharmacist or pharmacy to provide a full dispensing report. Wholesaler invoice reviews shall be limited to verification of purchase inventory specific to the pharmacy claims paid by the health benefits plan or pharmacy benefits manager conducting the audit <u>without limitation to date or source of purchase</u>.

2. Any entity conducting an audit shall not identify or label a prescription claim as an audit discrepancy when:

a. the National Drug Code for the dispensed drug is in a quantity that is a subunit or multiple of the drug purchased by the pharmacist or pharmacy as supported by a wholesale invoice,

b. the pharmacist or pharmacy dispensed the correct quantity of the drug according to the prescription, and

c. the drug dispensed by the pharmacist or pharmacy shares all but the last two digits of the National Drug Code of the drug reflected on the supplier invoice.

3. An entity conducting an audit shall accept as evidence, <u>without limitation to date or source of purchase,</u> subject to validation, to support the validity of a pharmacy claim related to a dispensed drug:

a. redacted copies of supplier invoices in the pharmacist’s or pharmacy’s possession, or

b. invoices and any supporting documents from any supplier as authorized by federal or state law to transfer ownership of the drug acquired by the pharmacist or pharmacy.

4. An entity conducting an audit shall provide, no later than five (5) calendar days after the date of a request by the pharmacist or pharmacy, all supporting documents the pharmacist's or pharmacy's purchase suppliers provided to the health benefits plan issuer or pharmacy benefits manager.

C. A pharmacy shall be allowed to provide the pharmacy's computerized patterned medical records or the records of a hospital, physician, or other authorized practitioner of the healing arts for drugs or medicinal supplies written or transmitted by any means of communication for purposes of supporting the pharmacy record with respect to orders or refills of a legend or narcotic drug.

D. The PBM or its agent shall not exceed an annual limit of fifty prescription claims with a specific prescription number and date of fill per calendar year. The annual limit to the number of prescription claims audited shall be inclusive of all audits by a PBM or its agent, including any prescription-related documentation requests from the health insurer, pharmacy benefits manager or any third-party company conducting audits on behalf of any health insurer or pharmacy benefits manager during a calendar year.

E. If paper copies of records are requested by the entity conducting the audit, the entity shall pay twenty-five cents ($0.25) per page to cover the costs incurred by the pharmacy. The entity conducting the audit shall provide the pharmacy with accurate instructions, including any required form for obtaining reimbursement for the copied records.

F. The entity conducting the audit shall:

1. Deliver a preliminary audit findings report to the pharmacy and the pharmacy’s contracting agent within forty-five (45) calendar days of conducting the audit;

2. Allow the pharmacy at least ninety (90) calendar days following receipt of the preliminary audit findings report in which to produce documentation to address any discrepancy found during the audit; provided, however, a pharmacy may request an extension, not to exceed an additional forty-five (45) calendar days;

3. Deliver a final audit findings report to the pharmacy and the pharmacy’s contracting agent signed by the auditor within ten (10) calendar days after receipt of additional documentation provided by the pharmacy, as provided for in Section 356.3 of this title;

4. Allow the pharmacy to reverse and resubmit claims electronically within thirty (30) calendar days of receipt of the final audit report in lieu of the auditing entity recouping discrepant claim amounts from the pharmacy;

5. Not recoup any disputed funds until after final disposition of the audit findings, including the appeals process as provided for in Section 356.3 of this title;

6. Not accrue interest during the audit and appeal period;

7. Ensure that each preliminary audit findings report required by this section includes:

a. specific prescription numbers, fill dates, drug names, and NDC numbers, and

b. the date of receipt of documents from the pharmacy, the pharmacy's contracting agent, or any other source associated with the audit.

In addition to the requirements for a preliminary audit findings report in this paragraph, the final audit findings report shall include any additional documentation that was submitted to the auditing entity;

8. Provide the plan sponsor a copy of the final audit results within thirty (30) calendar days of the final disposition of the audit; and

9. At the request of the plan sponsor, provide a copy of the final audit findings report within thirty (30) calendar days of the request.

G. 1. The full amount of any recoupment on an audit shall be refunded to the plan sponsor. Except as provided for in paragraph 2 of this subsection, a charge or assessment for an audit shall not be based, directly or indirectly, on amounts recouped.

2. This subsection does not prevent the entity conducting the audit from charging or assessing the responsible party, directly or

indirectly, based on amounts recouped if both of the following conditions are met:

a. the plan sponsor and the entity conducting the audit have a contract that explicitly states the percentage charge or assessment to the plan sponsor, and

b. a commission to an agent or employee of the entity conducting the audit is not based, directly or indirectly, on amounts recouped.

H. Unless superseded by state or federal law, auditors shall only have access to previous audit reports on a particular pharmacy conducted by the auditing entity for the same pharmacy benefits manager, health plan or insurer. An auditing vendor contracting with multiple pharmacy benefits managers or health insurance plans shall not use audit reports or other information gained from an audit on a pharmacy to conduct another audit for a different pharmacy benefits manager or health insurance plan.

I. Paragraph 2 of subsection A of this section through subsection D of this section, and paragraph 1 through paragraph 7 of subsection F of this section shall not apply to any audit initiated based on suspicion of fraud, willful misrepresentation, or abuse.

J. If the Attorney General, after notice and opportunity for hearing, finds that the entity conducting the audit failed to follow any of the requirements pursuant to the Pharmacy Audit Integrity Act, the audit shall be considered null and void. Any monies recouped from a null and void audit shall be returned to the affected pharmacy within fourteen (14) calendar days. Any violation of this section by a pharmacy benefits manager or auditing entity shall be deemed a violation of the Pharmacy Audit Integrity Act.

SECTION 98. REPEALER 59 O.S. 2021, Section 356.2, as last amended by Section 1, Chapter 414, O.S.L. 2025 (59 O.S. Supp. 2025, Section 356.2), is hereby repealed.

SECTION 99. AMENDATORY 59 O.S. 2021, Section 357, as last amended by Section 2, Chapter 414, O.S.L. 2025 (59 O.S. Supp. 2025, Section 357), is amended to read as follows:

Section 357. A. As used in Sections 357 through 360 of this title and Section 360.1 of this title:

1. "Covered entity" means a nonprofit hospital or medical service organization, for-profit hospital or medical service organization, insurer, health benefit plan, health maintenance organization, health program administered by the state in the capacity of providing health coverage, or an employer, labor union, or other group of persons that provides health coverage to persons in this state. This term does not include a health benefit plan that provides coverage only for accidental injury, specified disease, hospital indemnity, disability income, or other limited benefit health insurance policies and contracts that do not include prescription drug coverage;

2. “Covered individual” means a member, participant, enrollee, contract holder or policy holder or beneficiary of a covered entity who is provided health coverage by the covered entity. A covered individual includes any dependent or other person provided health coverage through a policy, contract or plan for a covered individual;

3. “Department” means the Insurance Department;

4. “Effective rate contracting” means any agreement or arrangement between a pharmacy or contracting agent acting on behalf of a pharmacy and a pharmacy benefits manager for pharmaceuticals based on the effective rate of payment rather than a predetermined fixed price or fixed discount percentage;

5. “Maximum allowable cost”, “MAC”, or “MAC list” means the list of drug products delineating the maximum per-unit reimbursement for multiple-source prescription drugs, medical product, or device;

6. “Multisource drug product reimbursement” (reimbursement) means the total amount paid to a pharmacy inclusive of any reduction in payment to the pharmacy, excluding prescription dispense fees and professional fees;

7. “Office” means the Office of the Attorney General;

8. “Pharmacy benefits management” means a service provided to covered entities to facilitate the provision of prescription drug benefits to covered individuals within the state, including negotiating pricing and other terms with drug manufacturers and

providers. Pharmacy benefits management may include any or all of the following services:

a. claims processing, retail network management and payment of claims to pharmacies for prescription drugs dispensed to covered individuals,

b. clinical formulary development and management services, or

c. rebate contracting and administration;

9. "Pharmacy benefits manager" or "PBM" means a person, business, or other entity that performs pharmacy benefits management. The term shall include any business or entity licensed by the Insurance Department to perform PBM services, or a person or entity acting on behalf of a PBM in a contractual or employment relationship in the performance of pharmacy benefits management for a managed care company, nonprofit hospital, medical service organization, insurance company, third-party payor, or a health program administered by an agency or department of this state;

10. "Plan sponsor" means the employers, insurance companies, unions and health maintenance organizations or any other entity responsible for establishing, maintaining, or administering a health benefit plan on behalf of covered individuals; and

11. "Provider" means a pharmacy licensed by the State Board of Pharmacy, or an agent or representative of a pharmacy, including,

but not limited to, the pharmacy's contracting agent, which dispenses prescription drugs or devices to covered individuals.

B. Nothing in the definition of pharmacy benefits management or pharmacy benefits manager in the Patient's Right to Pharmacy Choice Act, Pharmacy Audit Integrity Act, or Sections 357 through 360 of this title, or Section 360.1 of this title shall deem an employer a ~~"pharmacy benefits manager"~~ pharmacy benefits manager of its own self-funded health benefit plan, except, to the extent permitted by applicable law, where the employer, without the utilization of a third party and unrelated to the employer's own pharmacy:

~~a. negotiates~~ 1. Negotiates directly with drug manufacturers~~,~~;

~~b. processes~~ 2. Processes claims on behalf of its members~~,~~; or

~~c. manages~~ 3. Manages its own retail network of pharmacies.

SECTION 100. REPEALER 59 O.S. 2021, Section 357, as last amended by Section 6, Chapter 300, O.S.L. 2025 (59 O.S. Supp. 2025, Section 357), is hereby repealed.

SECTION 101. AMENDATORY 59 O.S. 2021, Section 360, as last amended by Section 3, Chapter 414, O.S.L. 2025 (59 O.S. Supp. 2025, Section 360), is amended to read as follows:

Section 360. A. The pharmacy benefits manager shall, with respect to contracts between a pharmacy benefits manager and a provider, including a pharmacy service administrative organization:

1. Include in such contracts the specific sources utilized to determine the maximum allowable cost (MAC) pricing of the pharmacy, update MAC pricing at least every seven (7) calendar days, and establish a process for providers to readily access the MAC list specific to that provider;

2. In order to place a drug on the MAC list, ensure that the drug is listed as "A" or "B" rated in the most recent version of the ~~FDA's~~ United States Food and Drug Administration (FDA) Approved Drug Products with Therapeutic Equivalence Evaluations, also known as the Orange Book, and the drug is generally available for purchase by pharmacies in the state from national or regional wholesalers and is not obsolete;

3. Ensure dispensing fees are not included in the calculation of MAC price reimbursement to pharmacy providers;

4. Provide a reasonable administration appeals procedure to allow a provider, a provider's representative and a pharmacy service administrative organization to contest reimbursement amounts within fourteen (14) calendar days of the final adjusted payment date. The pharmacy benefits manager shall not prevent the pharmacy or the pharmacy service administrative organization from filing reimbursement appeals in an electronic batch format. The pharmacy benefits manager must respond to a provider, a provider's representative and a pharmacy service administrative organization who have contested a reimbursement amount through this procedure

within ten (10) calendar days. The pharmacy benefits manager must respond in an electronic batch format to reimbursement appeals filed in an electronic batch format. The pharmacy benefits manager shall not require a pharmacy or pharmacy services administrative organization to log into a system to upload individual claim appeals or to download individual appeal responses. If a price update is warranted, the pharmacy benefits manager shall make the change in the reimbursement amount, permit the dispensing pharmacy to reverse and rebill the claim in question, and make the reimbursement amount change retroactive and effective for all contracted providers; ~~and~~

5. If a below-cost reimbursement appeal is denied, the PBM shall provide the reason for the denial, including the National Drug Code (NDC) number from, and the name of, the specific national or regional wholesalers doing business in this state where the drug is currently in stock and available for purchase by the dispensing pharmacy at a price below the PBM's reimbursement price. The PBM shall include documented proof from the specific national or regional wholesalers doing business in this state showing that the drug is currently in stock and available for purchase by the dispensing pharmacy at a price below the PBM's reimbursement price. If the NDC number provided by the pharmacy benefits manager is not available below the acquisition cost obtained from the pharmaceutical wholesaler from whom the dispensing pharmacy purchases the majority of the prescription drugs that are dispensed,

the pharmacy benefits manager shall immediately adjust the reimbursement amount, permit the dispensing pharmacy to reverse and rebill the claim in question, and make the reimbursement amount adjustment retroactive and in effect for all contracted providers for future claims billed;

6. Any appeal that results in an increase in the reimbursement from the PBM that continues to be below the pharmacy's acquisition cost shall be considered a denial under this section. Any denial of an appeal shall follow the requirements of paragraph 5 of this subsection; and

7. The PBM shall not require a pharmacy to collect additional monies following a successful below-cost reimbursement appeal from any person or entity other than the PBM who adjudicated the drug claim, including the patient or plan sponsor.

B. The reimbursement appeal requirements in this section shall apply to all drugs, medical products, or devices reimbursed according to any payment methodology, including, but not limited to:

1. Average acquisition cost, including the National Average Drug Acquisition Cost;

2. Average manufacturer price;

3. Average wholesale price;

4. Brand effective rate or generic effective rate;

5. Discount indexing;

6. Federal upper limits;

7. Wholesale acquisition cost; and

8. Any other term that a pharmacy benefits manager or an insurer of a health benefit plan may use to establish reimbursement rates to a pharmacist or pharmacy for pharmacist services.

C. The pharmacy benefits manager shall not place a drug on a MAC list, unless there are at least two therapeutically equivalent, multiple-source drugs, generally available for purchase by dispensing retail pharmacies from national or regional wholesalers.

D. In the event that a drug is placed on the FDA Drug Shortages Database, pharmacy benefits managers shall reimburse claims to pharmacies at no less than the wholesale acquisition cost for the specific NDC number being dispensed.

E. The pharmacy benefits manager shall not require accreditation or licensing of providers, or any entity licensed or regulated by the State Board of Pharmacy, other than by the State Board of Pharmacy or federal government entity as a condition for participation as a network provider.

F. A pharmacy or pharmacist may decline to provide the pharmacist clinical or dispensing services to a patient or pharmacy benefits manager if the pharmacy or pharmacist is to be paid less than the pharmacy’s cost for providing the pharmacist clinical or dispensing services.

G. The pharmacy benefits manager shall provide a dedicated telephone number, email address and names of the personnel with decision-making authority regarding MAC appeals and pricing.

H. Any pharmacy benefits manager (PBM) that leases, rents, or otherwise makes its provider network or contracts available to another pharmacy benefits manager shall:

1. Provide notice to all contracted providers of the lease arrangement and the responsibilities of each party involved; and

2. Provide contact information in each paid or rejected claim response that notifies the provider which contract the claim is adjudicating against, who is processing the claim, and a phone number to address provider issues; and

3. Transmit the network reimbursement identification information with each claim response in NCPDP field 545-2F.

I. Any pharmacy benefits manager (PBM) that leases, rents, or otherwise makes its provider network or contracts available to another pharmacy benefits manager shall not combine any Employee Retirement Income Security Act (ERISA) or government plans with any non-ERISA or nongovernment plans.

J. 1. Effective rate contracting is hereby prohibited in all agreements between pharmacies or contracting agents acting on behalf of a pharmacy and a PBM or third-party payors. No PBM or third-party payor shall enter into any contract that establishes payment for services or medications based on an effective rate of reimbursement.

2. Any PBM or third-party payor found to be in violation of this section shall be subject to penalties, including, but not limited to, fines, revocation of licensure, or other disciplinary actions.

K. The provisions of this section shall not be waived, voided, or nullified by contract.

SECTION 102. REPEALER 59 O.S. 2021, Section 360, as last amended by Section 8, Chapter 300, O.S.L. 2025 (59 O.S. Supp. 2025, Section 360), is hereby repealed.

SECTION 103. AMENDATORY 59 O.S. 2021, Section 481, as amended by Section 1, Chapter 227, O.S.L. 2024 (59 O.S. Supp. 2025, Section 481), is amended to read as follows:

Section 481. A. A State Board of Medical Licensure and Supervision hereinafter referred to as the "Board", is hereby re-created, to continue until ~~July 1, 2024~~ July 1, 2030, in accordance with the provisions of the Oklahoma Sunset Law. The Board shall be composed of seven (7) allopathic physicians licensed to practice medicine in this state and represent the public and four (4) lay members.

B. The physician members of the Board shall be graduates of legally chartered medical schools recognized by the Oklahoma State Regents for Higher Education or the Liaison Committee on Medical

Education or foreign medical schools recognized by the State Board of Medical Licensure and Supervision. The physician members shall:

1. Be currently licensed physicians who have actively practiced as licensed physicians continuously in this state for the three (3) years immediately preceding their appointment to the Board; or

2. Be retired physicians; provided, that such physicians must demonstrate satisfactorily to the Board that since retirement they have remained in compliance with, and are currently in compliance with, continuing medical education requirements of the Board.

C. All members of the Board shall be residents of this state and shall be appointed by the Governor as provided for in Section 482 of this title. All present members of the Board shall continue to serve for the remainder of their current terms.

SECTION 104. REPEALER 59 O.S. 2021, Section 481, as last amended by Section 1, Chapter 14, O.S.L. 2025 (59 O.S. Supp. 2025, Section 481), is hereby repealed.

SECTION 105. AMENDATORY 59 O.S. 2021, Section 493.2, as amended by Section 1, Chapter 61, O.S.L. 2025 (59 O.S. Supp. 2025, Section 493.2), is amended to read as follows:

Section 493.2. A. Unless otherwise provided by this section, foreign applicants and international medical school graduate applicants shall otherwise meet all requirements for full and unrestricted licensure as provided in Sections 492.1 and 493.1 of this title.

B. 1. A foreign applicant for full and unrestricted licensure shall possess the degree of Doctor of Medicine or ~~a Board-approved~~ an equivalent approved by the State Board of Medical Licensure and Supervision based on satisfactory completion of educational programs from a foreign medical school as evidenced by the Educational Commission for Foreign Medical Graduates (ECFMG).

2. In the event the foreign medical school utilized clerkships in the United States, its territories or possessions, such clerkships shall have been performed in hospitals and schools that have programs accredited by the Accreditation Council for Graduate Medical Education (ACGME).

C. 1. An international medical school graduate may apply for limited licensure. The Board may issue a limited license of defined duration to an international medical school graduate upon finding sufficient evidence that the international medical school graduate has:

a. graduated from a medical school which meets the requirements of the Educational Commission for Foreign Medical Graduates (ECFMG), and

b. paid any application fee as set by the Board.

2. The Board shall also find sufficient evidence of the competency of the international medical school graduate through the following:

a. verification of successful completion of a three-year postgraduate training program in the graduate's licensing country, or

b. verification that the applicant otherwise practiced as a medical professional performing the duties of a physician for at least three (3) of the last five (5) years outside the United States verified by the employer or health care provider.

3. An applicant under subparagraphs a and b of paragraph 1 of this subsection shall submit sufficient evidence that the applicant is an international medical school graduate and has an offer for employment as a physician at a health care provider that operates in this state and has a postgraduate training program accredited by the Accreditation Council for Graduate Medical Education (ACGME) in place.

4. During the term of the limited license, an international medical school graduate who is granted a limited license under subparagraphs a and b of paragraph 1 of this subsection shall only provide medical services at a health care provider that has in place postgraduate training program accredited by the Accreditation Council for Graduate Medical Education (ACGME).

5. An international medical school graduate who is granted a limited license shall be supervised by the chair of the department

within the applicant's intended practice during the term of the limited license.

6. Three (3) years after the first date the limited licensee begins to practice medicine at a health care provider in this state, the Board may grant a full and unrestricted license to practice medicine to a limited licensee under subparagraphs a and b of paragraph 1 of this subsection who:

a. is in good standing without disciplinary actions or investigations pending from his or her limited licensure period, and

b. provides documentation of a passing score for United States Medical Licensing Examination (USMLE) Step 1, 2 CK, and 3.

7. A limited licensee who obtains a full and unrestricted license is not thereafter subject to the restriction of practicing at a health care provider with a postgraduate training program.

8. As used in this subsection, "health care provider" means a facility that will be employing the licensee within an academic health system or the Oklahoma State University College of Osteopathic Medicine.

D. Any foreign applicant or international medical school graduate shall have a command of the English language that is satisfactory to the State Board of Medical Licensure and

Supervision, determined by <u>certification by</u> the Educational Commission for Foreign Medical Graduates (ECFMG).

E. The Board may promulgate rules requiring all foreign applicants to satisfactorily complete at least twelve (12) months and up to twenty-four (24) months of Board-approved progressive graduate medical training as determined necessary by the Board for the protection of the public health, safety, and welfare.

F. All credentials, diplomas and other required documentation in a foreign language submitted to the Board by such applicants shall be accompanied by notarized English translations performed by an institution accredited by the North Central Association of Colleges and Schools.

G. Foreign applicants and international medical school graduates shall provide satisfactory evidence of having met the requirements for permanent residence or temporary nonimmigrant status as set forth by the United States ~~Immigration and Naturalization Service~~ <u>Department of Homeland Security</u>.

H. The Board requires original source verification of the Educational Commission for Foreign Medical Graduates (ECFMG) Certification or Medical Council of Canada Qualifying Examination (MCCQUE) Certification.

I. The applicant shall not have committed or been found guilty by a competent authority, United States or foreign, of any conduct that would constitute grounds for disciplinary action under this act or rules by the Board. The Board may modify this restriction for cause.

J. If the applicant has not been practicing medicine for more than two (2) years, the applicant shall be subject to Section 495h of this title.

SECTION 106. REPEALER 59 O.S. 2021, Section 493.2, as amended by Section 3, Chapter 350, O.S.L. 2025 (59 O.S. Supp. 2025, Section 493.2), is hereby repealed.

SECTION 107. REPEALER 59 O.S. 2021, Section 1000.2, as amended by Section 1, Chapter 292, O.S.L. 2013, is hereby repealed.

SECTION 108. AMENDATORY 59 O.S. 2021, Section 1873, as last amended by Section 1, Chapter 235, O.S.L. 2025 (59 O.S. Supp. 2025, Section 1873), is amended to read as follows:

Section 1873. A. There is hereby re-created, to continue until ~~July 1, 2025~~ July 1, 2028, in accordance with the provisions of the Oklahoma Sunset Law, the Oklahoma Board of Licensed Alcohol and Drug Counselors, consisting of seven (7) members, to be appointed by the Governor, with the advice and consent of the Senate, as provided by subsection B of this section.

B. 1. Five members shall be licensed alcohol and drug counselors, and one member shall be certified as an alcohol and drug counselor. Each such member shall be licensed or certified in good standing and shall have at least three (3) years of experience in the practice of alcohol and drug counseling in this state. Of the members appointed under the provisions of this paragraph, the Governor shall appoint:

a. four members from a list of names submitted by the Oklahoma Drug and Alcohol Professional Counselor Association,

b. one member from a list of names submitted by the Oklahoma Behavioral Health Association, and

c. one member from a list of names submitted by the Oklahoma Citizen Advocates for Recovery and Transformation Association.

2. One member shall be appointed from and shall represent the general public. Such member shall be a resident of this state who has attained the age of majority and shall not be, nor shall ever have been, a licensed or certified alcohol and drug counselor, or the spouse of a licensed or certified alcohol and drug counselor, or a person who has ever had any material financial interest in the provision of alcohol and drug counseling services or has engaged in any activity directly related to the practice of alcohol and drug counseling.

C. The terms of all members shall be five (5) years.

D. A vacancy on the Board shall be filled in the same manner as the original appointment for the balance of the unexpired term. Members may succeed themselves but shall serve no more than two consecutive terms. Each member shall serve until a successor is appointed and qualified.

E. Members of the Board may be removed from office for one or more of the following reasons:

1. The refusal or inability for any reason to perform the duties of a Board member in an efficient, responsible and professional manner;

2. The misuse of office for pecuniary or material gain or for personal advantage for self or another;

3. A violation of the laws or rules governing the practice of alcohol and drug counseling; or

4. Conviction of a felony as verified by a certified copy of the record of the court of conviction.

F. Members of the Board shall serve without compensation, but shall be reimbursed for actual and necessary travel expenses as provided in the State Travel Reimbursement Act.

SECTION 109. REPEALER 59 O.S. 2021, Section 1873, as last amended by Section 1, Chapter 266, O.S.L. 2025 (59 O.S. Supp. 2025, Section 1873), is hereby repealed.

SECTION 110. AMENDATORY 63 O.S. 2021, Section 1-106, as last amended by Section 3, Chapter 377, O.S.L. 2025 (63 O.S. Supp. 2025, Section 1-106), is amended to read as follows:

Section 1-106. A. The State Commissioner of Health shall serve at the pleasure of the Governor, and shall have skill and experience in public health duties and sanitary sciences and shall meet at least one of the following qualifications:

1. Possession of a Doctor of Medicine Degree and a license to practice medicine in this state;

2. Possession of an Osteopathic Medicine Degree and a license to practice medicine in this state;

3. Possession of a Doctoral degree in Public Health or Public Health Administration; or

4. Possession of a Master of Science Degree and a minimum of five (5) years of supervisory experience in the administration of health services.

B. The Commissioner shall be exempt from all qualifications enumerated in subsection A of this section if the Commissioner possesses at least a master’s degree and has experience in management of state agencies or large projects.

C. The Commissioner shall have the following powers and duties, unless otherwise directed by the Governor:

1. Have general supervision of the health of the citizens of the state; make investigations, inquiries and studies concerning the causes of disease and injury, and especially of epidemics, and the causes of mortality, and the effects of localities, employment, conditions and circumstances on the public health; investigate conditions as to health, sanitation and safety of schools, prisons, public institutions, mines, public conveyances, camps, places of

group abode, and all buildings and places of public resort, and recommend, prescribe and enforce such measures of health, sanitation and safety for them as the Commissioner deems advisable; take such measures as deemed necessary by the Commissioner to control or suppress, or to prevent the occurrence or spread of, any communicable, contagious or infectious disease, and provide for the segregation and isolation of persons having or suspected of having any such disease; designate places of quarantine or isolation; advise state and local governments on matters pertaining to health, sanitation and safety; and abate any nuisance affecting injuriously the health of the public or any community. Any health information or data acquired by the Commissioner from any public agency, which information or data is otherwise confidential by state or federal law, shall remain confidential notwithstanding the acquisition of this information by the Commissioner~~.~~;

2. Be the executive officer and supervise the activities of the State Department of Health, and act for the Department in all matters except as may be otherwise provided in this Code; administer oaths at any hearing or investigation conducted pursuant to this Code; and enforce rules and standards adopted by the Commissioner. All rules adopted by the Commissioner are subject to the terms and conditions of the Administrative Procedures Act~~.~~;

3. Appoint an Assistant State Commissioner of Health and fix the qualifications, duties and compensation of the Assistant State

Commissioner of Health; and employ, appoint and contract with, and fix the qualifications, duties and compensation of, such other assistants, doctors, engineers, attorneys, sanitarians, nurses, laboratory personnel, administrative, clerical and technical help, investigators, aides and other personnel and help, either on a full-time, part-time, fee or contractual basis, as shall be deemed by the Commissioner necessary, expedient, convenient or appropriate to the performance or carrying out of any of the purposes, objectives or provisions of this Code, or to assist the Commissioner in the performance of official duties and functions~~.~~;

4. Cause investigations, inquiries and inspections to be made, and hold hearings and issue orders pursuant to the provisions of the Administrative Procedures Act, to enforce and make effective the provisions of this Code, and all rules and standards adopted by the Commissioner pursuant to law and the Commissioner or the representative of the Commissioner shall have the right of access to any premises for such purpose at any reasonable time, upon presentation of identification~~.~~;

5. Authorize persons in the State Department of Health to conduct investigations, inquiries and hearings, and to perform other acts that the Commissioner is authorized or required to conduct or perform personally~~.~~;

6. Except as otherwise provided by law, all civil and criminal proceedings under this Code shall be initiated and prosecuted by the district attorney where the violation takes place~~.~~;

7. Issue subpoenas for the attendance of witnesses and the production of books and records at any hearing to be conducted by the Commissioner and issue subpoenas for the testimony of individuals or for the production of records in connection with an investigation conducted by the Office of Client Advocacy within the State Department of Health; and if a person disobeys any such subpoena, or refuses to give evidence before, or to allow books and records to be examined by, the Commissioner after such person is directed to do so, the Commissioner may file a contempt proceeding in the district court of the county in which the premises involved are situated, or, if no premises are involved, of the county in which such person resides or has a principal place of business, and a judge of such court, after a trial de novo, may punish the offending person for contempt~~.~~;

8. Unless otherwise required by the terms of a federal grant, sell, exchange or otherwise dispose of personal property that has been acquired by the State Department of Health, or any of its components, when such property becomes obsolete or is no longer needed; any money derived therefrom shall be deposited in the Public Health Special Fund~~.~~;

9. Sell films, educational materials, biological products and other items produced by the State Department of Health; and all proceeds therefrom shall be deposited in the Public Health Special Fund~~.~~;

10. Revoke or cancel, or suspend for any period up to one (1) year, any license or permit issued under or pursuant to this Code, or by the Commissioner, when the Commissioner determines that ground therefor as prescribed by this Code exists, or that the holder of such license or permit has violated any law, or any of the provisions of this Code, or any rules or standards of the Commissioner filed with the Secretary of State, but the Commissioner shall first afford the holder an opportunity to show cause why the license or permit should not be revoked, canceled or suspended, notice of such opportunity to be given by certified United States Mail to the holder of the license or permit at the last-known address of such holder~~.~~;

11. Accept, use, disburse and administer grants, allotments, gifts, devises, bequests, appropriations and other monies and property offered or given to the State Department of Health, or any component or agency thereof, by any agency of the federal government, or any corporation or individual~~.~~;

12. Be the official agency of the State of Oklahoma in all matters relating to public health which require or authorize cooperation of the State of Oklahoma with the federal government or

any agency thereof; coordinate the activities of the State Department of Health with those of the federal government or any department or agency thereof, and with other states, on matters pertaining to public health, and enter into agreements for such purpose, and may accept, use, disburse and administer, for the office of the Commissioner or for the State Department of Health, for any purpose designated and on the terms and conditions thereof, grants of money, personnel and property from the federal government or any department or agency thereof, or from any state or state agency, or from any other source, to promote and carry on in this state any program relating to the public health or the control of disease, and enter into agreements for such purposes~~.~~;

13. ~~The State Commissioner of Health may appoint~~ Appoint commissioned peace officers, certified by the Council on Law Enforcement Education and Training, to investigate violations of the Public Health Code and to provide security to Department facilities~~.~~;

14. Pursuant to Section 1-106 of this title, ~~the State Commissioner of Health shall~~ appoint a Chief Medical Officer who reports directly to the ~~State Commissioner of Health.~~ Commissioner; and

15. The State Commissioner of Health shall, in consultation with local and national organizations that provide education or services related to epilepsy conditions, provide guidance to medical

doctors, osteopathic physicians, nurse practitioners, and physician assistants who have the primary responsibility for treatment of a person with epilepsy to assist in determining whether a patient is at elevated risk for sudden unexpected death in epilepsy (SUDEP), including, but not limited to, whether the patient has had convulsive seizures, the frequency and recency of such seizures, and whether the patient's symptoms have subsided in response to medicinal or surgical treatment. The Chief Medical Examiner shall provide to all employees of the Chief Medical Examiner's Office information about sudden unexpected death in epilepsy (SUDEP).

SECTION 111. REPEALER 63 O.S. 2021, Section 1-106, as last amended by Section 13, Chapter 215, O.S.L. 2025 (63 O.S. Supp. 2025, Section 1-106), is hereby repealed.

SECTION 112. AMENDATORY 63 O.S. 2021, Section 2-312, as last amended by Section 10, Chapter 340, O.S.L. 2025 (63 O.S. Supp. 2025, Section 2-312), is amended to read as follows:

Section 2-312. A. A physician, podiatrist, optometrist, or a dentist who has complied with the registration requirements of the Uniform Controlled Dangerous Substances Act, in good faith and in the course of such person's professional practice only, may prescribe and administer controlled dangerous substances, or may cause the same to be administered by medical or paramedical personnel acting under the direction and supervision of the physician, podiatrist, optometrist, or dentist, and only may dispense controlled dangerous substances pursuant to the provisions of Sections 355.1 and 355.2 of Title 59 of the Oklahoma Statutes.

B. A veterinarian who has complied with the registration requirements of the Uniform Controlled Dangerous Substances Act, in good faith and in the course of the professional practice of the veterinarian only, and not for use by a human being, may prescribe, administer, and dispense controlled dangerous substances and may cause them to be administered by an assistant or orderly under the direction and supervision of the veterinarian.

C. An Advanced Practice Registered Nurse who is recognized to prescribe by the Oklahoma Board of Nursing as a Certified Nurse Practitioner, Clinical Nurse Specialist, or Certified Nurse-Midwife and who has complied with the registration requirements of the Uniform Controlled Dangerous Substances Act, in good faith and in the course of professional practice only, may prescribe and administer Schedule III, IV, and V controlled dangerous substances. If the Advanced Practice Registered Nurse has not obtained independent prescriptive authority under Section 1 of this act, he or she may only prescribe and administer such controlled dangerous substances under the supervision of a supervising physician in accordance with the Oklahoma Nursing Practice Act and Section 4 of this act and shall not prescribe or administer any controlled dangerous substance in a schedule that the supervising physician is not registered to prescribe and administer.

D. An Advanced Practice Registered Nurse who is recognized to order, select, obtain, and administer drugs by the Oklahoma Board of Nursing as a Certified Registered Nurse Anesthetist pursuant to Section 353.1b of Title 59 of the Oklahoma Statutes and who has complied with the registration requirements of the Uniform Controlled Dangerous Substances Act, in good faith and in the course of such practitioner's professional practice only, may order, select, obtain, and administer Schedules II through V controlled dangerous substances in a preanesthetic preparation or evaluation; anesthesia induction, maintenance, or emergence; or postanesthesia care setting only. A Certified Registered Nurse Anesthetist may order, select, obtain, and administer such drugs only during the perioperative or periobstetrical period.

E. A physician assistant who is recognized to prescribe by the State Board of Medical Licensure and Supervision under ~~the medical direction of a supervising physician, pursuant to~~ Section 519.6 of Title 59 of the Oklahoma Statutes, and who has complied with the registration requirements of the Uniform Controlled Dangerous Substances Act, in good faith and in the course of professional practice only, may prescribe and administer Schedule II through V controlled dangerous substances <u>subject to the restrictions in Section 519.6 of Title 59 of the Oklahoma Statutes</u>.

SECTION 113. REPEALER 63 O.S. 2021, Section 2-312, as last amended by Section 9, Chapter 343, O.S.L. 2025 (63 O.S. Supp. 2025, Section 2-312), is hereby repealed.

SECTION 114. AMENDATORY 63 O.S. 2021, Section 427.17, as last amended by Section 4, Chapter 447, O.S.L. 2024 (63 O.S. Supp. 2025, Section 427.17), is amended to read as follows:

Section 427.17. A. There is hereby created a medical marijuana testing laboratory license as a category of the medical marijuana business license. The Oklahoma Medical Marijuana Authority, the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, the Oklahoma State Bureau of Investigation, and the Attorney General are hereby enabled to monitor, inspect and audit a licensed testing laboratory under the Oklahoma Medical Marijuana and Patient Protection Act.

B. The Authority is hereby authorized to operate a quality assurance laboratory or to contract with a private laboratory for the purpose of conducting compliance testing of medical marijuana testing laboratories licensed in this state. Any such laboratory under contract for compliance testing shall be prohibited from conducting any other commercial medical marijuana testing in this state. If the Authority contracts with a private laboratory to implement the requirements of this section:

1. The laboratory shall not employ, or be owned by, the following:

a. any individual that has a direct or indirect interest in a licensed medical marijuana business, or

b. any individual or his or her spouse, parent, child, spouse of a child, sibling or spouse of a sibling that has an application for a medical marijuana business license pending before the Authority or is a member of the board of directors of a medical marijuana business, or is an individual financially interested in any licensee or medical marijuana business located within this state; and

2. The laboratory and a board or committee comprised of licensed Oklahoma medical marijuana laboratories currently accredited by the International Organization for Standardization (ISO) shall provide to the Authority its recommendations for all equipment and standards to be utilized by licensed medical marijuana testing laboratories when testing samples of medical marijuana, medical marijuana concentrate, and medical marijuana products as well as standard operating procedures when extracting and testing medical marijuana, medical marijuana concentrate, and medical marijuana products. The recommendations shall be submitted to the Authority no later than June 1, 2023. The Authority shall have ninety (90) days from the date it receives the recommendations to promulgate new rules or modify its current rules for laboratory standards and testing. Beginning June 1, 2024, medical marijuana

testing laboratories renewing their medical marijuana business license shall be subject to and comply with any new or modified rules relating to the testing of medical marijuana, medical marijuana concentrate, and medical marijuana products. The refusal or failure of a medical marijuana testing laboratory licensee to comply with new or modified rules relating to laboratory standards and testing procedures promulgated under the provisions of this paragraph shall result in the permanent revocation of the medical marijuana testing laboratory license.

C. The Authority shall develop acceptable testing practices including, but not limited to, testing, standards, quality control analysis, equipment certification and calibration, process validation, and chemical identification and substances used.

D. A person who is a direct beneficial owner of a medical marijuana dispensary, medical marijuana commercial grower or medical marijuana processor shall not be an owner of a laboratory.

E. A laboratory and a laboratory applicant shall comply with all applicable local ordinances including, but not limited to, zoning, occupancy, licensing and building codes.

F. A separate license shall be required for each specific laboratory.

G. A medical marijuana testing laboratory license may be issued to a person who performs testing on medical marijuana and medical marijuana products for medical marijuana businesses, medical marijuana research facilities, medical marijuana education facilities, and testing on marijuana and marijuana products grown or produced by a patient or caregiver on behalf of a patient, upon verification of registration. A medical marijuana testing laboratory may also conduct research related to the development and improvement of its testing practices and procedures. No state-approved medical marijuana testing facility shall operate unless a medical laboratory director is on site during operational hours.

H. Laboratory applicants and licensees shall comply with the application requirements of this section and shall submit such other information as required for a medical marijuana business applicant, in addition to any information the Authority may request for initial approval and periodic evaluations during the approval period.

I. A medical marijuana testing laboratory may accept samples of medical marijuana, medical marijuana concentrate or medical marijuana product from a medical marijuana business, medical marijuana research facility or medical marijuana education facility for testing purposes only, which purposes may include the provision of testing services for samples submitted by a medical marijuana business for product development. The Authority may require a medical marijuana business to submit a sample of medical marijuana, medical marijuana concentrate or medical marijuana product to a medical marijuana testing or quality assurance laboratory upon demand.

J. A medical marijuana testing laboratory may accept samples of medical marijuana, medical marijuana concentrate or medical marijuana product from an individual person for testing only under the following conditions:

1. The individual person is a patient or caregiver pursuant to the Oklahoma Medical Marijuana and Patient Protection Act or is a participant in an approved clinical or observational study conducted by a research facility; and

2. The medical marijuana testing laboratory shall require the patient or caregiver to produce a valid patient license and current and valid photo identification.

K. A medical marijuana testing laboratory may transfer samples to another medical marijuana testing laboratory for testing. All laboratory reports provided to or by a medical marijuana business or to a patient or caregiver shall identify the medical marijuana testing laboratory that actually conducted the test.

L. A medical marijuana testing laboratory may utilize a licensed medical marijuana transporter to transport samples of medical marijuana, medical marijuana concentrate and medical marijuana product for testing, in accordance with the Oklahoma Medical Marijuana and Patient Protection Act and the rules adopted pursuant thereto, between the originating medical marijuana business requesting testing services and the destination laboratory performing testing services.

M. The medical marijuana testing laboratory shall establish policies to prevent the existence of or appearance of undue commercial, financial or other influences that may diminish the competency, impartiality and integrity of the testing processes or results of the laboratory, or that may diminish public confidence in the competency, impartiality and integrity of the testing processes or results of the laboratory. At a minimum, employees, owners or agents of a medical marijuana testing laboratory who participate in any aspect of the analysis and results of a sample are prohibited from improperly influencing the testing process, improperly manipulating data or improperly benefiting from any ongoing financial, employment, personal or business relationship with the medical marijuana business that provided the sample. A medical marijuana testing laboratory shall not test samples for any medical marijuana business in which an owner, employee or agent of the medical marijuana testing laboratory has any form of ownership or financial interest in the medical marijuana business.

N. The Authority, pursuant to rules promulgated by the Executive Director of the Authority, shall develop standards, policies and procedures as necessary for:

1. The cleanliness and orderliness of a laboratory premises and the location of the laboratory in a secure location, and inspection, cleaning and maintenance of any equipment or utensils used for the analysis of test samples;

2. Testing procedures, testing standards for cannabinoid and terpenoid potency and safe levels of contaminants, process validation, and remediation procedures. Process validation shall be voluntary, and no licensee shall be required to validate their process. The Authority shall develop standards and requirements for a licensee to achieve process validation by January 1, 2024. The standards, policies, and procedures for process validation shall include, but not be limited to:

a. initial requirements to achieve process validation and ongoing minimum testing requirements once a licensee has achieved process validation,

b. requiring licensees to track their marijuana and marijuana product inventory with the Authority's designated seed-to-sale system provided the Authority has selected a seed-to-sale system. This requirement for compliance with the seed-to-sale system shall be mandatory for licensees seeking to achieve process validation whether or not compliance with a seed-to-sale system is mandatory for all licensees,

c. requiring licensees that are utilizing process validation to use a laboratory that is certified as a certified process validation testing laboratory,

d. requiring licensees to record and document retention policies, which at a minimum shall require licensees to retain all documents and records related to process validation. Such records shall be maintained by the licensee for as long as the licensee is continuing to operate under that validated process. Licensees shall retain all such documents and records for at least four (4) years after the licensee has stopped using the validated process or after the licensee has made a significant process change to a validated process. Any significant process change to the validated processes of a licensee is subject to the same document retention requirements and shall be retained for as long as the significant process change is part of an ongoing validated process, and for at least four (4) years after the licensee has stopped using the validated process or after the licensee has made a subsequent significant process change to the validated process. The Authority shall promulgate rules for any modifications to the validated processes,

e. requiring licensees to keep all records and documents related to their process validation ready and accessible at the address listed on their marijuana business license for inspection or audit by the Authority without any notice from the Authority,

f. a process for biannual inspections by the Authority that, at a minimum, includes random testing of products being produced under process validation. The Authority shall be the entity that obtains the random sample during the biannual inspections and shall have access to all products being produced or grown under process validation. The Authority shall take samples to the quality assurance laboratory,

g. a process to revoke the authority of licensees to operate under process validation,

h. punishment for violations of process validation that, at a minimum, would prohibit a licensee from operating under process validation for five (5) years and the assessment of a fine not to exceed Fifty Thousand Dollars ($50,000.00). Any such fine levied against a licensee found to have violated the laws or rules of process validation shall be remitted to the Department of Mental Health and Substance Abuse Services,

i. punishment for violations if an adulterated product that was produced under process validation fails testing and the batch or lot has been sold to a dispensary, the first violation shall be the assessment of a fine not to exceed Ten Thousand Dollars ($10,000.00) and a public recall of the product. The licensee shall further be required to revalidate the process. A second violation within two (2) years of a previous violation shall be the assessment of a fine not to exceed Seventy-five Thousand Dollars ($75,000.00) and a public recall of the product. The licensee shall further be prohibited from utilizing process validation for a minimum of five (5) years. A third violation within two (2) years of a previous violation shall be the assessment of a fine of Two Hundred Fifty Thousand Dollars ($250,000.00) and a public recall of the product. The licensee shall further be prohibited from utilizing process validation,

j. any willful violation of process validation shall result in the assessment of a fine of Two Hundred Fifty Thousand Dollars ($250,000.00) and a license revocation hearing. A second willful violation of process validation shall result in the assessment of a fine of One Million Dollars ($1,000,000.00) and a hearing to permanently revoke the license,

k. an annual registration fee of Five Thousand Dollars ($5,000.00) per licensee, in addition to any other fees due by the licensee, to be deposited in the Oklahoma Medical Marijuana Authority Revolving Fund for the enforcement of the laws and regulations of the Authority,

l. establishing criteria for eligibility of testing laboratories to be certified as a Certified Process Validation Testing Laboratory and to conduct testing for licensees pursuing or operating under process validation. The criteria shall, at a minimum, pass five (5) consecutive blind proficiency tests without a failure over the course of six (6) months. The proficiency tests shall be administered by the quality assurance laboratory,

m. punishment for violations by a Certified Process Validation Testing Laboratory that has been found to have been falsifying data, providing misinformation, or any unethical practices related to process validation at a minimum shall prohibit a licensee from operating under process validation for up to twenty-five (25) years and the assessment of a fine not to exceed One Million Dollars ($1,000,000.00). Any such fine levied against a licensee shall be remitted to the Authority for deposit into the Oklahoma Medical Marijuana Authority Revolving Fund. In addition to this fine, in response to a finding of a willful violation of process validation by the Authority, the

Authority shall also be authorized to collect, levy, or impose any other fee, fine, penalty, or action as allowed by law, and

n. a process to revoke the certification of a testing laboratory that is seeking to be a Certified Process Validation Testing Laboratory;

3. Controlled access areas for storage of medical marijuana and medical marijuana product test samples, waste and reference standards;

4. Records to be retained and computer systems to be utilized by the laboratory;

5. The possession, storage and use by the laboratory of reagents, solutions and reference standards;

6. A certificate of analysis (COA) for each lot of reference standard;

7. The transport and disposal of unused marijuana, marijuana products and waste;

8. The mandatory use by a laboratory of an inventory tracking system to ensure all harvest and production batches or samples containing medical marijuana, medical marijuana concentrate or medical marijuana products are identified and tracked from the point they are transferred from a medical marijuana business, a patient or a caregiver through the point of transfer, destruction or disposal. The inventory tracking system reporting shall include the results of

any tests that are conducted on medical marijuana, medical marijuana concentrate or medical marijuana product;

9. Standards of performance;

10. The employment of laboratory personnel;

11. A written standard operating procedure manual to be maintained and updated by the laboratory;

12. The successful participation in a proficiency testing program approved by the Executive Director for each testing category listed in this section, in order to obtain and maintain certification;

13. The establishment of and adherence to a quality assurance and quality control program to ensure sufficient monitoring of laboratory processes and quality of results reported;

14. The immediate recall of medical marijuana or medical marijuana products that test above allowable thresholds or are otherwise determined to be unsafe;

15. The establishment by the laboratory of a system to document the complete chain of custody for samples from receipt through disposal;

16. The establishment by the laboratory of a system to retain and maintain all required records, including business records, and processes to ensure results are reported in a timely and accurate manner; and

17. Any other aspect of laboratory testing of medical marijuana or medical marijuana product deemed necessary by the Executive Director.

O. A medical marijuana testing laboratory shall promptly provide the Authority or designee of the Authority access to a report of a test and any underlying data that is conducted on a sample at the request of a medical marijuana business or qualified patient. A medical marijuana testing laboratory shall also provide access to the Authority or designee of the Authority to laboratory premises and to any material or information requested by the Authority to determine compliance with the requirements of this section.

P. A medical marijuana testing laboratory shall retain all results of laboratory tests conducted on marijuana or products for a period of at least seven (7) years and shall make them available to the Authority upon request.

Q. A medical marijuana testing laboratory shall test samples from each final product harvest batch or final product batch, <u>or samples consistent with the rules promulgated for process validation,</u> as appropriate, of medical marijuana, medical marijuana concentrate and medical marijuana product for each of the following categories of testing, consistent with standards developed by the Executive Director:

1. Microbials;

2. Mycotoxins;

3. Residual solvents;

4. Pesticides;

5. Tetrahydrocannabinol (THC) and other cannabinoid potency;

6. Terpenoid type and concentration; and

7. Heavy metals.

R. A licensed medical marijuana testing laboratory shall test each final product batch. A grower shall separate each harvest of usable marijuana into final harvest batches containing no more than fifteen (15) pounds, with the exception of any plant material to be sold to a licensed processor for the purposes of turning the plant material into concentrate which may be separated into final harvest batches of no more than fifty (50) pounds. A processor shall separate each medical marijuana production lot into final production batches containing no more than four (4) liters of concentrate or nine (9) pounds for nonliquid products, and for final edible products, the Oklahoma Medical Marijuana Authority shall be authorized to promulgate rules on final products as necessary. Provided, however, the Authority shall not require testing of final products less often than every one thousand (1,000) grams of THC. As used in this subsection, “final edible products” shall include, but not be limited to, cookies, brownies, candies, gummies, beverages and chocolates.

S. Medical marijuana testing laboratory licensure shall be contingent upon successful on-site inspection, successful participation in proficiency testing and ongoing compliance with the applicable requirements in this section.

T. A medical marijuana testing laboratory shall be inspected prior to initial licensure and up to two (2) times per year thereafter by an inspector approved by the Authority. The Authority may enter the licensed premises of a testing laboratory to conduct investigations and additional inspections when the Authority believes an investigation or additional inspection is necessary due to a possible violation of applicable laws, rules or regulations.

U. Medical marijuana testing laboratories shall obtain accreditation by an accrediting body approved by the Executive Director or the Authority's quality assurance laboratory within one (1) year of the date the initial license is issued. Renewal of any medical marijuana testing laboratory license shall be contingent upon accreditation in accordance with this subsection. All medical marijuana testing laboratories shall obtain accreditation prior to applying for and receiving a medical marijuana testing laboratory license.

V. Unless authorized by the provisions of this section, a commercial grower shall not transfer or sell medical marijuana and a processor shall not transfer, sell or process into a concentrate or product any medical marijuana, medical marijuana concentrate or medical marijuana product unless samples from each final harvest batch or final production batch, or samples consistent with the rules promulgated for process validation, from which that medical marijuana, medical marijuana concentrate or medical marijuana product was derived has been tested by a medical marijuana testing laboratory and passed all contaminant tests required by the Oklahoma Medical Marijuana and Patient Protection Act and applicable laws, rules and regulations. A licensed commercial grower may transfer medical marijuana that has failed testing to a licensed processor in accordance with the provisions of the Oklahoma Medical Marijuana and Patient Protection Act and the rules and regulations promulgated by the Executive Director.

W. Kief shall not be transferred or sold except as authorized in the rules and regulations promulgated by the Executive Director.

X. A licensed commercial grower or licensed processor shall not transfer any product to a licensed medical marijuana dispensary until the product has undergone final product testing. Laboratory testing that meets all contaminant tests and applicable laws, rules, and regulations required by the Oklahoma Medical Marijuana and Patient Protection Act shall only be required when the final product is completed and prior to transfer to a licensed medical marijuana dispensary, licensed medical marijuana patient, or licensed medical marijuana caregiver.

SECTION 115. REPEALER 63 O.S. 2021, Section 427.17, as last amended by Section 142, Chapter 452, O.S.L. 2024 (63 O.S. Supp. 2025, Section 427.17), is hereby repealed.

SECTION 116. AMENDATORY 66 O.S. 2021, Section 304, as amended by Section 1, Chapter 31, O.S.L. 2025 (66 O.S. Supp. 2025, Section 304), is amended to read as follows:

Section 304. A. The Department of Transportation is hereby authorized and empowered:

1. To acquire, construct, reconstruct, repair, replace, operate, and maintain railroad rights-of-way and trackage projects at such locations and on such routes as it shall determine to be feasible and economically sound;

2. To enter into agreements with the owners of operating railroads for the acquisition or use of railroad rights-of-way and trackage on such terms, conditions, rates, or rentals as the Department may consider to be in the best interests of the state;

3. To enter directly into agreements with owners of operating railroads or persons intending to operate as common carriers by rail to sell, lease, or sell by lease-purchase agreement any state-owned railroad property on such terms, conditions, or amounts as the Department may consider to be in the best interests of the state and to promote the purposes of the Railroad Revitalization Act. If the operator under a lease-purchase agreement exercises the purchase

option, the purchase shall be subject to the approval of the Transportation Commission;

4. Prior to the sale of any railroad asset owned by this state or the Department of Transportation, a process of request for proposal shall be initiated by the Department of Transportation. Upon the issue date of a request for proposal regarding the sale of any railroad asset owned by this state or the Department of Transportation, interested parties will have no less than one hundred twenty (120) days to provide a response. Following the close of the one-hundred-twenty-day response period, the Department of Transportation will conduct an evaluation of all submitted proposals, and the Department may conduct an economic impact or activity study of all proposals. The Director of the Department of Transportation shall be responsible for preparing a recommendation to the Transportation Commission, based on its evaluation of all submitted proposals including, if available, the results of an economic impact or activity study, provided the recommendation meets all other statutory requirements needed for action by the Commission. The Director shall have up to ninety (90) days, upon the closing date of the request for proposal, to present his or her recommendation to the Transportation Commission. The Transportation Commission will be responsible for determining if the sale of railroad assets within its jurisdiction is in the best interests of this state and for authorizing the sale of such assets. All

proceeds from the sale shall be deposited into the Oklahoma Railroad Maintenance Revolving Fund;

5. To acquire and hold real or personal property in the exercise of its powers for the performance of its duties as authorized by Section 302.1 et seq. of this title. Surplus property may be disposed of by the Department;

6. To acquire in the name of the Department, by purchase or otherwise on such terms and conditions and in such manner as it may deem proper, or by exercise of the right of condemnation, such public or private lands and personalty, including public parks, playgrounds, or reservations, or parts thereof or rights therein, rights-of-way, trackage, property, rights, easements, and interests as it may deem necessary for carrying out the provisions of the Railroad Revitalization Act;

7. To make and enter into all contracts and agreements necessary or incidental to the performance of its duties and the execution of its powers under the Railroad Revitalization Act, and to employ rail planning and management consultants, consulting engineers, attorneys, accountants, construction and financial consultants, superintendents, managers, and such other employees and agents as may be necessary in its judgment, and to fix their compensation; provided, that all such expenses shall be payable solely from funds made available under and pursuant to the provisions of the Railroad Revitalization Act or from revenues;

provided further, no attorney employed by the Department, nor any member of any law firm of which the member may be connected, shall ever be paid any fee or compensation for any special or extraordinary services;

8. To receive, accept, and expend funds from the state, any federal agency, or from private sources, for rail planning and for administration of railroad assistance projects, and for or in aid of the acquisition, construction, reconstruction, replacement, repair, maintenance, and operation of railroad rights-of-way and trackage and for rail service continuation payments to railroad companies for operating losses sustained by reasons of continuing service on a line which may otherwise be abandoned or which may experience a reduced level of service not in the public interest, where such continuation of service is carried out under a written agreement with the Department establishing the terms and conditions for such payments, and to receive and accept funds, aid or contributions from any source of either money, property, labor, or other things of value, to be held, used, and applied only for the purposes for which such funds, aid, or contributions may be made;

9. To adopt such rules and to do any and all things necessary to comply with rules, regulations, or requirements of the United States Department of Transportation, any successor thereof, the Surface Transportation Board or any federal agency administering any law enacted by the United States Congress or having funds available

for the purpose of the Department that are not inconsistent with or contrary to the prohibitions and restrictions of Oklahoma law or public interest;

10. To expend, not to exceed twenty percent (20%) of the funds available in the Oklahoma Railroad Maintenance Revolving Fund during any one (1) year, at locations approved by the Corporation Commission, such Oklahoma Railroad Maintenance Revolving Fund monies as may be budgeted by the Department of Transportation for the purposes of installing signal lights, gate arms, or other active warning devices where any public road, street, or highway crosses a railroad right-of-way; provided, however, nothing in the Railroad Revitalization Act shall negate, change, or otherwise modify any existing statutory or common law duty of a railroad company;

11. To expend income and funds from the Oklahoma Railroad Maintenance Revolving Fund in the exercise of any or all of the foregoing powers; and

12. To do all things necessary or convenient to carry out the powers expressly granted in Section 302.1 et seq. of this title.

B. It shall be unlawful for any member, officer, or employee of the Department to transact with the Department, either directly or indirectly, any business for profit of such member, officer, or employee; and any person, firm, or corporation knowingly participating therein shall be equally liable for a violation of this provision.

The term “business for profit” shall include, but not be limited to, the acceptance or payment of any fee, commission, gift, or consideration to such member, officer, or employee.

Violation of this provision shall constitute a Class D1 felony offense and upon conviction shall be punishable by incarceration ~~in the Oklahoma State Penitentiary for a term not to exceed five (5) years~~ as provided for in subsections B through F of Section 20N of Title 21 of the Oklahoma Statutes, or by a fine not less than Five Hundred Dollars ($500.00) and not more than Five Thousand Dollars ($5,000.00), or by both such imprisonment and fine.

C. All meetings of the Department shall be open public meetings, and all records shall be public records, except when considering personnel.

SECTION 117. REPEALER 66 O.S. 2021, Section 304, as amended by Section 556, Chapter 486, O.S.L. 2025 (66 O.S. Supp. 2025, Section 304), is hereby repealed.

SECTION 118. AMENDATORY 68 O.S. 2021, Section 1353, as last amended by Section 4, Chapter 441, O.S.L. 2024 (68 O.S. Supp. 2025, Section 1353), is amended to read as follows:

Section 1353. A. It is hereby declared to be the purpose of the Oklahoma Sales Tax Code to provide funds for the financing of the program provided for by the Oklahoma Social Security Act and to provide revenues for the support of the functions of the state government of Oklahoma, and for this purpose it is hereby expressly provided that, revenues derived pursuant to the provisions of the Oklahoma Sales Tax Code, subject to the apportionment requirements for the Oklahoma Tax Commission and Office of Management and Enterprise Services Joint Computer Enhancement Fund provided by Section 265 of this title, and further subject to the apportionment requirement provided in subsection D of this section, shall be apportioned as follows:

1. Except as provided in subsection C, D, and E of this section, the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund to be paid out pursuant to direct appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	86.04%
FY 2005	85.83%
FY 2006	85.54%
FY 2007	85.04%
FY 2008 through FY 2022	83.61%
FY 2023 through FY 2027	83.36%
FY 2028 and each fiscal year thereafter	83.61%;

2. The following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

a. for FY 2003, FY 2004 and FY 2005, ten and forty-two one-hundredths percent (10.42%),

b. for FY 2006 through FY 2020, ten and forty-six one-hundredths percent (10.46%),

c. for FY 2021:

(1) for the month beginning July 1, 2020, through the month ending August 31, 2020, ten and forty-six one-hundredths percent (10.46%), and

(2) for the month beginning September 1, 2020, through the month ending June 30, 2021, eleven and ninety-six one-hundredths percent (11.96%),

d. for FY 2022 and each fiscal year thereafter, ten and forty-six one-hundredths percent (10.46%);

3. The following amounts shall be paid to the State Treasurer to be placed to the credit of the Teachers' Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	
a. for the month beginning July 1, 2020, through the month ending August 31, 2020	5.0%

b. for the month beginning September 1, 2020, through the month ending June 30, 2021 3.5%

FY 2022	5.0%
FY 2023 through FY 2027	5.25%
FY 2028 and each fiscal year thereafter	5.0%;

4. a. except as otherwise provided in subparagraph b of this paragraph, for the fiscal year beginning July 1, 2022, and for each fiscal year thereafter, eighty-seven one-hundredths percent (0.87%) shall be paid to the State Treasurer to be further apportioned as follows:

(1) twenty-four percent (24%) shall be placed to the credit of the Oklahoma Tourism Promotion Revolving Fund, but in no event shall such apportionment exceed Five Million Dollars ($5,000,000.00) in any fiscal year,

(2) forty-four percent (44%) shall be placed to the credit of the Oklahoma Tourism Capital Improvement Revolving Fund, but in no event shall such apportionment exceed Nine Million Dollars ($9,000,000.00) in any fiscal year, and

(3) thirty-two percent (32%) shall be placed to the credit of the Oklahoma Route 66 Commission

Revolving Fund, but in no event shall such apportionment exceed Six Million Six Hundred Thousand Dollars ($6,600,000.00) in any fiscal year, and

b. any amounts which exceed the limitations of subparagraph a of this paragraph shall be placed to the credit of the General Revenue Fund; and

5. For the fiscal year beginning July 1, 2015, and for each fiscal year thereafter, six one-hundredths percent (0.06%) shall be placed to the credit of the Oklahoma Historical Society Capital Improvement and Operations Revolving Fund, but in no event shall such apportionment exceed the total amount apportioned pursuant to this paragraph for the fiscal year ending on June 30, 2015. Any amounts which exceed the limitations of this paragraph shall be placed to the credit of the General Revenue Fund.

B. Provided, for the fiscal year beginning July 1, 2007, and every fiscal year thereafter, an amount of revenue shall be apportioned to each municipality or county which levies a sales tax subject to the provisions of Section 1357.10 of this title and subsection F of Section 2701 of this title equal to the amount of sales tax revenue of such municipality or county exempted by the provisions of Section 1357.10 of this title and subsection F of Section 2701 of this title. The Oklahoma Tax Commission shall promulgate and adopt rules necessary to implement the provisions of this subsection.

C. From the monies that would otherwise be apportioned to the General Revenue Fund pursuant to subsection A of this section, there shall be apportioned the following amounts:

1. For the month ending August 31, 2019:

   a. Nine Million Six Hundred Thousand Dollars ($9,600,000.00) to the credit of the State Highway Construction and Maintenance Fund created in Section 1501 of Title 69 of the Oklahoma Statutes, and

   b. Two Million Dollars ($2,000,000.00) to the credit of the Oklahoma Railroad Maintenance Revolving Fund created in Section 309 of Title 66 of the Oklahoma Statutes;

2. For the month ending September 30, 2019:

   a. Twenty Million Dollars ($20,000,000.00) to the credit of the State Highway Construction and Maintenance Fund created in Section 1501 of Title 69 of the Oklahoma Statutes, and

   b. Two Million Dollars ($2,000,000.00) to the credit of the Oklahoma Railroad Maintenance Revolving Fund created in Section 309 of Title 66 of the Oklahoma Statutes;

3. For the month ending October 31, 2019:

a. Twenty Million Dollars ($20,000,000.00) to the credit of the State Highway Construction and Maintenance Fund created in Section 1501 of Title 69 of the Oklahoma Statutes, and

b. Two Million Dollars ($2,000,000.00) to the credit of the Oklahoma Railroad Maintenance Revolving Fund created in Section 309 of Title 66 of the Oklahoma Statutes;

4. For the month ending November 30, 2019:

a. Twenty Million Dollars ($20,000,000.00) to the credit of the State Highway Construction and Maintenance Fund created in Section 1501 of Title 69 of the Oklahoma Statutes, and

b. Two Million Dollars ($2,000,000.00) to the credit of the Oklahoma Railroad Maintenance Revolving Fund created in Section 309 of Title 66 of the Oklahoma Statutes; and

5. For the month ending December 31, 2019:

a. Twenty Million Dollars ($20,000,000.00) to the credit of the State Highway Construction and Maintenance Fund created in Section 1501 of Title 69 of the Oklahoma Statutes, and

b. Two Million Dollars ($2,000,000.00) to the credit of the Oklahoma Railroad Maintenance Revolving Fund created in Section 309 of Title 66 of the Oklahoma Statutes.

D. For fiscal year 2029, and each subsequent fiscal year, Fifty Million Dollars ($50,000,000.00) shall be placed to the credit of the Oklahoma Capital Assets Maintenance and Protection Fund created in Section 2 of this act.

E. For the fiscal year ending June 30, 2023, and for each fiscal year thereafter, after the apportionment required by subsection D of this section, but before any other apportionment to the General Revenue Fund is made, there shall be apportioned to the Municipal Road Drilling Activity Revolving Fund created pursuant to Section 37-501 of Title 11 of the Oklahoma Statutes the amount of Five Million Dollars ($5,000,000.00) for use by municipalities to repair roads as prescribed pursuant to the requirements of Section 37-501 of Title 11 of the Oklahoma Statutes.

SECTION 119. REPEALER 68 O.S. 2021, Section 1353, as amended by Section 1, Chapter 240, O.S.L. 2022 (68 O.S. Supp. 2025, Section 1353), is hereby repealed.

SECTION 120. AMENDATORY 68 O.S. 2021, Section 1356, as last amended by Section 1, Chapter 392, O.S.L. 2025 (68 O.S. Supp. 2025, Section 1356), is amended to read as follows:

Section 1356. Exemptions - Governmental and nonprofit entities.

There are hereby specifically exempted from the tax levied by Section 1350 et seq. of this title:

1. ~~Sale~~ Sales of tangible personal property or services to the United States government or to this state, any political subdivision of this state, or any agency of a political subdivision of this state; provided, all sales to contractors in connection with the performance of any contract with the United States government, this state, or any of its political subdivisions shall not be exempted from the tax levied by Section 1350 et seq. of this title, except as hereinafter provided;

2. Sales of property to agents appointed by or under contract with agencies or instrumentalities of the United States government if ownership and possession of such property transfers immediately to the United States government;

3. Sales of property to agents appointed by or under contract with a political subdivision of this state if the sale of such property is associated with the development of a qualified federal facility, as provided in the Oklahoma Federal Facilities Development Act, and if ownership and possession of such property transfers immediately to the political subdivision or the state;

4. Sales made directly by county, district, or state fair authorities of this state, upon the premises of the fair authority, for the sole benefit of the fair authority or sales of admission tickets to such fairs or fair events at any location in the state authorized by county, district, or state fair authorities; provided, the exemption provided by this paragraph for admission tickets to

fair events shall apply only to any portion of the admission price that is retained by or distributed to the fair authority. As used in this paragraph, "fair event" shall be limited to an event held on the premises of the fair authority in conjunction with and during the time period of a county, district, or state fair;

5. ~~Sale~~ Sales of food in cafeterias or lunchrooms of elementary schools, high schools, colleges, or universities which are operated primarily for teachers and pupils and are not operated primarily for the public or for profit;

6. Dues paid to fraternal, religious, civic, charitable, or educational societies or organizations by regular members thereof, provided, such societies or organizations operate under what is commonly termed the lodge plan or system, and provided such societies or organizations do not operate for a profit which inures to the benefit of any individual member or members thereof to the exclusion of other members and dues paid monthly or annually to privately owned scientific and educational libraries by members sharing the use of services rendered by such libraries with students interested in the study of geology, petroleum engineering, or related subjects;

7. ~~Sale~~ Sales of tangible personal property or services to or by churches, except sales made in the course of business for profit or savings, competing with other persons engaged in the same, or a similar business or ~~sale~~ sales of tangible personal property or

services by an organization exempt from federal income tax pursuant to Section 501(c)(3) of the Internal Revenue Code of 1986, as amended, made on behalf of or at the request of a church or churches if the sale of such property is conducted not more than once each calendar year for a period not to exceed three (3) days by the organization and proceeds from the sale of such property are used by the church or churches or by the organization for charitable purposes;

8. The amount of proceeds received from the ~~sale~~ sales of admission tickets which is separately stated on the ticket of admission for the repayment of money borrowed by any accredited state-supported college or university or any public trust of which a county in this state is the beneficiary, for the purpose of constructing or enlarging any facility to be used for the staging of an athletic event, a theatrical production, or any other form of entertainment, edification or cultural cultivation to which entry is gained with a paid admission ticket. Such facilities include, but are not limited to, athletic fields, athletic stadiums, field houses, amphitheaters, and theaters. To be eligible for this sales tax exemption, the amount separately stated on the admission ticket shall be a surcharge which is imposed, collected, and used for the sole purpose of servicing or aiding in the servicing of debt incurred by the college or university to effect the capital improvements hereinbefore described;

9. Sales of tangible personal property or services to the council organizations or similar state supervisory organizations of the Boy Scouts of America, Girl Scouts of the U.S.A., and Camp Fire;

10. ~~Sale~~ Sales of tangible personal property or services to any county, municipality, rural water district, public school district, city-county library system, the institutions of The Oklahoma State System of Higher Education, the Grand River Dam Authority, the Northeast Oklahoma Public Facilities Authority, the Oklahoma Municipal Power Authority, City of Tulsa-Rogers County Port Authority, Muskogee City-County Port Authority, the Oklahoma Department of Veterans Affairs, the Broken Bow Economic Development Authority, Ardmore Development Authority, Durant Industrial Authority, Oklahoma Ordnance Works Authority, Central Oklahoma Master Conservancy District, Arbuckle Master Conservancy District, Fort Cobb Reservoir Master Conservancy District, Foss Reservoir Master Conservancy District, Mountain Park Master Conservancy District, Waurika Lake Master Conservancy District and the Office of Management and Enterprise Services only when carrying out a public construction contract on behalf of the Oklahoma Department of Veterans Affairs, the Oklahoma State University Medical Authority and Trust, the Oklahoma State University Veterinary Medicine Authority and Trust, and effective July 1, 2022, the University Hospitals Trust, or to any person with whom any of the above-named subdivisions or agencies of this state has duly entered into a

public contract pursuant to law, necessary for carrying out such public contract or to any subcontractor to such a public contract. Any person making purchases on behalf of such subdivision or agency of this state shall certify, in writing, on the copy of the invoice or sales ticket to be retained by the vendor that the purchases are made for and on behalf of such subdivision or agency of this state and set out the name of such public subdivision or agency. Any person who wrongfully or erroneously certifies that purchases are for any of the above-named subdivisions or agencies of this state or who otherwise violates this section shall be guilty of a misdemeanor and upon conviction thereof shall be fined an amount equal to double the amount of sales tax involved or incarcerated for not more than sixty (60) days or both;

11. Sales of tangible personal property or services to private institutions of higher education and private elementary and secondary institutions of education accredited by the State Department of Education or registered by the State Board of Education for purposes of participating in federal programs or accredited as defined by the Oklahoma State Regents for Higher Education which are exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) including materials, supplies, and equipment used in the construction and improvement of buildings and other structures owned by the institutions and operated for educational purposes.

Any person, firm, agency, or entity making purchases on behalf of any institution, agency or subdivision in this state, shall certify in writing, on the copy of the invoice or sales ticket the nature of the purchases, and violation of this paragraph shall be a misdemeanor as set forth in paragraph 10 of this section;

12. Tuition and educational fees paid to private institutions of higher education and private elementary and secondary institutions of education accredited by the State Department of Education or registered by the State Board of Education for purposes of participating in federal programs or accredited as defined by the Oklahoma State Regents for Higher Education which are exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3);

13. a. Sales of tangible personal property made by:

(1) a public school,

(2) a private school offering instruction for grade levels kindergarten through twelfth grade,

(3) a public school district,

(4) a public or private school board,

(5) a public or private school student group or organization,

(6) a parent-teacher association or organization other than as specified in subparagraph b of this paragraph, or

(7) public or private school personnel for purposes of raising funds for the benefit of a public or private school, public school district, public or private school board, or public or private school student group or organization, or

b. Sales of tangible personal property made by or to nonprofit parent-teacher associations or organizations exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), nonprofit local public or private school foundations which solicit money or property in the name of any public or private school or public school district.

The exemption provided by this paragraph for sales made by a public or private school shall be limited to those public or private schools accredited by the State Department of Education or registered by the State Board of Education for purposes of participating in federal programs. ~~Sale~~ Sales of tangible personal property in this paragraph shall include ~~sale~~ sales of admission tickets and concessions at athletic events;

14. Sales of tangible personal property by:

a. local 4-H clubs,

b. county, regional or state 4-H councils,

c. county, regional or state 4-H committees,

d. 4-H leader associations,

e. county, regional or state 4-H foundations, and

f. authorized 4-H camps and training centers.

The exemption provided by this paragraph shall be limited to sales for the purpose of raising funds for the benefit of such organizations. ~~Sale~~ Sales of tangible personal property exempted by this paragraph shall include ~~sale~~ sales of admission tickets;

15. The first Seventy-five Thousand Dollars ($75,000.00) each year from ~~sale~~ sales of tickets and concessions at athletic events by each organization exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(4);

16. Sales of tangible personal property or services to any person with whom the Oklahoma Tourism and Recreation Department has entered into a public contract and which is necessary for carrying out such contract to assist the Department in the development and production of advertising, promotion, publicity, and public relations programs;

17. Sales of tangible personal property or services to fire departments organized pursuant to Section 592 of Title 18 of the Oklahoma Statutes, which items are to be used for the purposes of the fire department. Any person making purchases on behalf of any such fire department shall certify, in writing, on the copy of the invoice or sales ticket to be retained by the vendor that the

purchases are made for and on behalf of such fire department and set out the name of such fire department. Any person who wrongfully or erroneously certifies that the purchases are for any such fire department or who otherwise violates the provisions of this section shall be deemed guilty of a misdemeanor and upon conviction thereof, shall be fined an amount equal to double the amount of sales tax involved or incarcerated for not more than sixty (60) days, or both;

18. Complimentary or free tickets for admission to places of amusement, sports, entertainment, exhibition, display, or other recreational events or activities which are issued through a box office or other entity which is operated by a state institution of higher education with institutional employees or by a municipality with municipal employees;

19. The first Fifteen Thousand Dollars ($15,000.00) each year from sales of tangible personal property by fire departments organized pursuant to Title 11, 18, or 19 of the Oklahoma Statutes for the purposes of raising funds for the benefit of the fire department. Fire departments selling tangible personal property for the purposes of raising funds shall be limited to no more than six (6) days each year to raise such funds in order to receive the exemption granted by this paragraph;

20. Sales of tangible personal property or services to any Boys & Girls Clubs of America affiliate in this state which is not affiliated with the Salvation Army and which is exempt from taxation

pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3);

21. Sales of tangible personal property or services to any organization, which takes court-adjudicated juveniles for purposes of rehabilitation, and which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), provided that at least fifty percent (50%) of the juveniles served by such organization are court adjudicated and the organization receives state funds in an amount less than ten percent (10%) of the annual budget of the organization;

22. Sales of tangible personal property or services to:

a. any health center as defined in Section 254b of Title 42 of the United States Code,

b. any clinic receiving disbursements of state monies from the Indigent Health Care Revolving Fund pursuant to the provisions of Section 66 of Title 56 of the Oklahoma Statutes,

c. any community-based health center which meets all of the following criteria:

(1) provides primary care services at no cost to the recipient, and

(2) is exempt from taxation pursuant to the provisions of Section 501(c)(3) of the Internal

Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), and

d. any community mental health center as defined in Section 3-302 of Title 43A of the Oklahoma Statutes;

23. Dues or fees including free or complimentary dues or fees which have a value equivalent to the charge that could have otherwise been ~~made,~~ made to YMCAs, YWCAs, or municipally-owned recreation centers for the use of facilities and programs;

24. The first Fifteen Thousand Dollars ($15,000.00) each year from sales of tangible personal property or services to or by a cultural organization established to sponsor and promote educational, charitable, and cultural events for disadvantaged children, and which organization is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3);

25. Sales of tangible personal property or services to museums or other entities which have been accredited by the American Alliance of Museums. Any person making purchases on behalf of any such museum or other entity shall certify, in writing, on the copy of the invoice or sales ticket to be retained by the vendor that the purchases are made for and on behalf of such museum or other entity and set out the name of such museum or other entity. Any person who wrongfully or erroneously certifies that the purchases are for any such museum or other entity or who otherwise violates the provisions

of this paragraph shall be deemed guilty of a misdemeanor and, upon conviction thereof, shall be fined an amount equal to double the amount of sales tax involved or incarcerated for not more than sixty (60) days, or by both such fine and incarceration;

26. Sales of tickets for admission by any museum accredited by the American Alliance of Museums. In order to be eligible for the exemption provided by this paragraph, an amount equivalent to the amount of the tax which would otherwise be required to be collected pursuant to the provisions of Section 1350 et seq. of this title shall be separately stated on the admission ticket and shall be collected and used for the sole purpose of servicing or aiding in the servicing of debt incurred by the museum to effect the construction, enlarging or renovation of any facility to be used for entertainment, edification, or cultural cultivation to which entry is gained with a paid admission ticket;

27. Sales of tangible personal property or services occurring on or after June 1, 1995, to children’s homes which are supported or sponsored by one or more churches, members of which serve as trustees of the home;

28. Sales of tangible personal property or services to the organization known as the Disabled American Veterans~~,~~ Department of Oklahoma, ~~Inc.,~~ and subordinate chapters thereof;

29. Sales of tangible personal property or services to youth camps which are supported or sponsored by one or more churches, members of which serve as trustees of the organization;

30. a. Until July 1, 2022, transfer of tangible personal property made pursuant to Section 3226 of Title 63 of the Oklahoma Statutes by the University Hospitals Trust, and

b. Effective July 1, 2022, transfer of tangible personal property or services to or by:

(1) the University Hospitals Trust created pursuant to Section 3224 of Title 63 of the Oklahoma Statutes, or

(2) nonprofit entities which are exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, of the United States, 26 U.S.C., Section 501(c)(3), which have entered into a joint operating agreement with the University Hospitals Trust;

31. Sales of tangible personal property or services to a municipality, county, or school district pursuant to a lease or lease-purchase agreement executed between the vendor and a municipality, county, or school district. A copy of the lease or lease-purchase agreement shall be retained by the vendor;

32. Sales of tangible personal property or services to any spaceport user, as defined in the Oklahoma Space Industry Development Act;

33. The sale, use, storage, consumption, or distribution in this state, whether by the importer, exporter, or another person, of any satellite or any associated launch vehicle including components of, and parts and motors for, any such satellite or launch vehicle, imported or caused to be imported into this state for the purpose of export by means of launching into space. This exemption provided by this paragraph shall not be affected by:

a. the destruction in whole or in part of the satellite or launch vehicle,

b. the failure of a launch to occur or be successful, or

c. the absence of any transfer or title to, or possession of, the satellite or launch vehicle after launch;

34. The sale, lease, use, storage, consumption, or distribution in this state of any space facility, space propulsion system or space vehicle, satellite, or station of any kind possessing space flight capacity including components thereof;

35. The sale, lease, use, storage, consumption, or distribution in this state of tangible personal property, placed on or used aboard any space facility, space propulsion system or space vehicle, satellite, or station possessing space flight capacity, which is launched into space, irrespective of whether such tangible property

is returned to this state for subsequent use, storage, or consumption in any manner;

36. The sale, lease, use, storage, consumption, or distribution in this state of tangible personal property meeting the definition of "section 38 property" as defined in Sections 48(a)(1)(A) and (B)(i) of the Internal Revenue Code of 1986, as amended, that is an integral part of and used primarily in support of space flight; however, section 38 property used in support of space flight shall not include general office equipment, any boat, mobile home, motor vehicle, or other vehicle of a class or type required to be registered, licensed, titled or documented in this state or by the United States government, or any other property not specifically suited to supporting space activity. The term "in support of space flight", for purposes of this paragraph, means the altering, monitoring, controlling, regulating, adjusting, servicing, or repairing of any space facility, space propulsion systems or space vehicle, satellite, or station possessing space flight capacity including the components thereof;

37. The purchase or lease of machinery and equipment for use at a fixed location in this state, which is used exclusively in the manufacturing, processing, compounding, or producing of any space facility, space propulsion system or space vehicle, satellite, or station of any kind possessing space flight capacity. Provided, the exemption provided for in this paragraph shall not be allowed unless

the purchaser or lessee signs an affidavit stating that the item or items to be exempted are for the exclusive use designated herein. Any person furnishing a false affidavit to the vendor for the purpose of evading payment of any tax imposed by Section 1354 of this title shall be subject to the penalties provided by law. As used in this paragraph, "machinery and equipment" means "section 38 property" as defined in Sections 48(a)(1)(A) and (B)(i) of the Internal Revenue Code of 1986, as amended, which is used as an integral part of the manufacturing, processing, compounding, or producing of items of tangible personal property. Such term includes parts and accessories only to the extent that the exemption thereof is consistent with the provisions of this paragraph;

38. The amount of a surcharge or any other amount which is separately stated on an admission ticket which is imposed, collected and used for the sole purpose of constructing, remodeling, or enlarging facilities of a public trust having a municipality or county as its sole beneficiary;

39. Sales of tangible personal property or services which are directly used in or for the benefit of a state park in this state, which are made to an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) and which is organized primarily for the purpose of supporting one or more state parks located in this state;

40. The sale, lease, or use of parking privileges by an institution of The Oklahoma State System of Higher Education;

41. Sales of tangible personal property or services for use on campus or school construction projects for the benefit of institutions of The Oklahoma State System of Higher Education, private institutions of higher education accredited by the Oklahoma State Regents for Higher Education, or any public school or school district when such projects are financed by or through the use of nonprofit entities which are exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3);

42. Sales of tangible personal property or services by an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), in the course of conducting a national championship sports event, but only if all or a portion of the payment in exchange therefor would qualify as the receipt of a qualified sponsorship payment described in Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 513(i). Sales exempted pursuant to this paragraph shall be exempt from all Oklahoma sales, use, excise, and gross receipts taxes;

43. Sales of tangible personal property or services to or by an organization which:

a. is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3),

b. is affiliated with a comprehensive university within The Oklahoma State System of Higher Education, and

c. has been organized primarily for the purpose of providing education and teacher training and conducting events relating to robotics;

44. The first Fifteen Thousand Dollars ($15,000.00) each year from sales of tangible personal property to or by youth athletic teams which are part of an athletic organization exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(4), for the purposes of raising funds for the benefit of the team;

45. Sales of tickets for admission to a collegiate athletic event that is held in a facility owned or operated by a municipality or a public trust of which the municipality is the sole beneficiary and that actually determines or is part of a tournament or tournament process for determining a conference tournament championship, a conference championship, or a national championship;

46. Sales of tangible personal property or services to or by an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) and is operating the Oklahoma City

National Memorial and Museum, an affiliate of the National Park System;

47. Sales of tangible personal property or services to organizations which are exempt from federal taxation pursuant to the provisions of Section 501(c)(3) of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), the memberships of which are limited to honorably discharged veterans, and which furnish financial support to area veterans' organizations to be used for the purpose of constructing a memorial or museum;

48. Sales of tangible personal property or services on or after January 1, 2003, to an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) that is expending monies received from a private foundation grant in conjunction with expenditures of local sales tax revenue to construct a local public library;

49. Sales of tangible personal property or services to a state that borders this state or any political subdivision of that state, but only to the extent that the other state or political subdivision exempts or does not impose a tax on similar sales of items to this state or a political subdivision of this state;

50. Effective July 1, 2005, sales of tangible personal property or services to the career technology student organizations under the

direction and supervision of the Oklahoma Department of Career and Technology Education;

51. Sales of tangible personal property to a public trust having either a single city, town or county or multiple cities, towns or counties, or combination thereof as beneficiary or beneficiaries or a nonprofit organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) for the purpose of constructing improvements to or expanding a hospital or nursing home owned and operated by any such public trust or nonprofit entity prior to July 1, 2008, in counties with a population of less than one hundred thousand (100,000) persons, according to the most recent Federal Decennial Census. As used in this paragraph, "constructing improvements to or expanding" shall not mean any expense for routine maintenance or general repairs and shall require a project cost of at least One Hundred Thousand Dollars ($100,000.00). For purposes of this paragraph, sales made to a contractor or subcontractor that enters into a contractual relationship with a public trust or nonprofit entity as described by this paragraph shall be considered sales made to the public trust or nonprofit entity. The exemption authorized by this paragraph shall be administered in the form of a refund from the sales tax revenues apportioned pursuant to Section 1353 of this title and the vendor shall be required to collect the sales tax otherwise applicable to the transaction. The purchaser

may apply for a refund of the sales tax paid in the manner prescribed by this paragraph. Within thirty (30) days after the end of each fiscal year, any purchaser that is entitled to make application for a refund based upon the exempt treatment authorized by this paragraph may file an application for refund of the sales taxes paid during such preceding fiscal year. The Oklahoma Tax Commission shall prescribe a form for purposes of making the application for refund. The Tax Commission shall determine whether or not the total amount of sales tax exemptions claimed by all purchasers is equal to or less than Six Hundred Fifty Thousand Dollars ($650,000.00). If such claims are less than or equal to that amount, the Tax Commission shall make refunds to the purchasers in the full amount of the documented and verified sales tax amounts. If such claims by all purchasers are in excess of Six Hundred Fifty Thousand Dollars ($650,000.00), the Tax Commission shall determine the amount of each purchaser’s claim, the total amount of all claims by all purchasers, and the percentage each purchaser’s claim amount bears to the total. The resulting percentage determined for each purchaser shall be multiplied by Six Hundred Fifty Thousand Dollars ($650,000.00) to determine the amount of refundable sales tax to be paid to each purchaser. The pro rata refund amount shall be the only method to recover sales taxes paid during the preceding fiscal year and no balance of any sales taxes paid on a pro rata basis shall be the subject of any subsequent refund claim pursuant to this paragraph;

52. Effective July 1, 2006, sales of tangible personal property or services to any organization which assists, trains, educates, and provides housing for physically and mentally disabled persons and which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) and that receives at least eighty-five percent (85%) of its annual budget from state or federal funds. In order to receive the benefit of the exemption authorized by this paragraph, the taxpayer shall be required to make payment of the applicable sales tax at the time of sale to the vendor in the manner otherwise required by law. Notwithstanding any other provision of the Uniform Tax Procedure Code to the contrary, the taxpayer shall be authorized to file a claim for refund of sales taxes paid that qualify for the exemption authorized by this paragraph for a period of one (1) year after the date of the sale transaction. The taxpayer shall be required to provide documentation as may be prescribed by the Oklahoma Tax Commission in support of the refund claim. The total amount of sales tax qualifying for exempt treatment pursuant to this paragraph shall not exceed One Hundred Seventy-five Thousand Dollars ($175,000.00) each fiscal year. Claims for refund shall be processed in the order in which such claims are received by the Oklahoma Tax Commission. If a claim otherwise timely filed exceeds

the total amount of refunds payable for a fiscal year, such claim shall be barred;

53. The first Two Thousand Dollars ($2,000.00) each year of sales of tangible personal property or services to, by, or for the benefit of a qualified neighborhood watch organization that is endorsed or supported by or working directly with a law enforcement agency with jurisdiction in the area in which the neighborhood watch organization is located. As used in this paragraph, "qualified neighborhood watch organization" means an organization that is a not-for-profit corporation under the laws of this state that was created to help prevent criminal activity in an area through community involvement and interaction with local law enforcement and which is one of the first two thousand organizations which makes application to the Oklahoma Tax Commission for the exemption after March 29, 2006;

54. Sales of tangible personal property to a nonprofit organization, exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), organized primarily for the purpose of providing services to homeless persons during the day and located in a metropolitan area with a population in excess of five hundred thousand (500,000) persons according to the latest Federal Decennial Census. The exemption authorized by this paragraph shall be applicable to sales

of tangible personal property to a qualified entity occurring on or after January 1, 2005;

55. Sales of tangible personal property or services to or by an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) for events the principal purpose of which is to provide funding for the preservation of wetlands and habitat for wild ducks;

56. Sales of tangible personal property or services to or by an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) for events the principal purpose of which is to provide funding for the preservation and conservation of wild turkeys;

57. Sales of tangible personal property or services to an organization which:

a. is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), and

b. is part of a network of community-based, autonomous member organizations that meets the following criteria:

(1) serves people with workplace disadvantages and disabilities by providing job training and

employment services, as well as job placement opportunities and post-employment support,

(2) has locations in the United States and at least twenty other countries,

(3) collects donated clothing and household goods to sell in retail stores and provides contract labor services to business and government, and

(4) provides documentation to the Oklahoma Tax Commission that over seventy-five percent (75%) of its revenues are channeled into employment, job training and placement programs, and other critical community services;

58. Sales of tickets made on or after September 21, 2005, and complimentary or free tickets for admission issued on or after September 21, 2005, which have a value equivalent to the charge that would have otherwise been made, for admission to a professional athletic event in which a team in the National Basketball Association is a participant, which is held in a facility owned or operated by a municipality, a county, or a public trust of which a municipality or a county is the sole beneficiary, and sales of tickets made on or after July 1, 2007, and complimentary or free tickets for admission issued on or after July 1, 2007, which have a value equivalent to the charge that would have otherwise been made, for admission to a professional athletic event in which a team in

the National Hockey League is a participant, which is held in a facility owned or operated by a municipality, a county, or a public trust of which a municipality or a county is the sole beneficiary;

59. Sales of tickets for admission and complimentary or free tickets for admission which have a value equivalent to the charge that would have otherwise been made to a professional sporting event involving ice hockey, baseball, basketball, football or arena football, or soccer. As used in this paragraph, "professional sporting event" means an organized athletic competition between teams that are members of an organized league or association with centralized management, other than a national league or national association, that imposes requirements for participation in the league upon the teams, the individual athletes, or both, and which uses a salary structure to compensate the athletes;

60. Sales of tickets for admission to an annual event sponsored by an educational and charitable organization of women which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) and has as its mission promoting volunteerism, developing the potential of women and improving the community through the effective action and leadership of trained volunteers;

61. Sales of tangible personal property or services to an organization, which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26

U.S.C., Section 501(c)(3), and which is itself a member of an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), if the membership organization is primarily engaged in advancing the purposes of its member organizations through fundraising, public awareness, or other efforts for the benefit of its member organizations, and if the member organization is primarily engaged either in providing educational services and programs concerning health-related diseases and conditions to individuals suffering from such health-related diseases and conditions or their caregivers and family members or support to such individuals, or in health-related research as to such diseases and conditions, or both. In order to qualify for the exemption authorized by this paragraph, the member nonprofit organization shall be required to provide proof to the Oklahoma Tax Commission of its membership status in the membership organization;

62. Sales of tangible personal property or services to or by an organization which is part of a national volunteer women's service organization dedicated to promoting patriotism, preserving American history, and securing better education for children and which has at least one hundred sixty-eight thousand members in three thousand chapters across the United States;

63. Sales of tangible personal property or services to or by a YWCA or YMCA organization which is part of a national nonprofit

community service organization working to meet the health and social service needs of its members across the United States;

64. Sales of tangible personal property or services to or by a veteran's organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(19) and which is known as the Veterans of Foreign Wars ~~of the United States, Oklahoma Chapters~~ Department of Oklahoma;

65. Sales of boxes of food by a church or by an organization, which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3). To qualify under the provisions of this paragraph, the organization must be organized for the primary purpose of feeding needy individuals or to encourage volunteer service by requiring such service in order to purchase food. These boxes shall only contain edible staple food items;

66. Sales of tangible personal property or services to any person with whom a church has duly entered into a construction contract, necessary for carrying out such contract or to any subcontractor to such a construction contract;

67. Sales of tangible personal property or services used exclusively for charitable or educational purposes, to or by an organization which:

a. is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3),

b. has filed a Not-for-Profit Certificate of Incorporation in this state, and

c. is organized for the purpose of:

(1) providing training and education to developmentally disabled individuals,

(2) educating the community about the rights, abilities, and strengths of developmentally disabled individuals, and

(3) promoting unity among developmentally disabled individuals in their community and geographic area;

68. Sales of tangible personal property or services to any organization which is a shelter for abused, neglected, or abandoned children and which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3); provided, until July 1, 2008, such exemption shall apply only to eligible shelters for children from birth to age twelve (12) and after July 1, 2008, such exemption shall apply to eligible shelters for children from birth to age eighteen (18);

69. Sales of tangible personal property or services to a child care center which is licensed pursuant to the Oklahoma Child Care Facilities Licensing Act and which:

a. possesses a 3-star rating from the Department of Human Services Reaching for the Stars Program or a national accreditation, and

b. allows on-site universal prekindergarten education to be provided to four-year-old children through a contractual agreement with any public school or school district.

For the purposes of this paragraph, sales made to any person, firm, agency, or entity that has entered previously into a contractual relationship with a child care center for construction and improvement of buildings and other structures owned by the child care center and operated for educational purposes shall be considered sales made to a child care center. Any such person, firm, agency, or entity making purchases on behalf of a child care center shall certify, in writing, on the copy of the invoice or sales ticket the nature of the purchase. Any such person, or person acting on behalf of a firm, agency, or entity making purchases on behalf of a child care center in violation of this paragraph shall be guilty of a misdemeanor and upon conviction thereof shall be fined an amount equal to double the amount of sales tax involved or incarcerated for not more than sixty (60) days or both;

70. a. Sales of tangible personal property to a service organization of mothers who have children who are serving or who have served in the military, which service organization is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(19) and which is known as the Blue Star Mothers of America, Inc. The exemption provided by this paragraph shall only apply to the purchase of tangible personal property actually sent to United States military personnel overseas who are serving in a combat zone and not to any other tangible personal property purchased by the organization. Provided, this exemption shall not apply to any sales tax levied by a city, town, county, or any other jurisdiction in this state.

b. The exemption authorized by this paragraph shall be administered in the form of a refund from the sales tax revenues apportioned pursuant to Section 1353 of this title, and the vendor shall be required to collect the sales tax otherwise applicable to the transaction. The purchaser may apply for a refund of the state sales tax paid in the manner prescribed by this paragraph. Within sixty (60) days after the end of each calendar quarter, any purchaser that is entitled to make application for a refund based upon the exempt treatment authorized by this paragraph may file an application for refund of the state sales taxes paid during such preceding calendar quarter. The Tax Commission shall prescribe a form for purposes of making the application for refund.

c. A purchaser who applies for a refund pursuant to this paragraph shall certify that the items were actually sent to military personnel overseas in a combat zone. Any purchaser that applies for a refund for the purchase of items that are not authorized for exemption under this paragraph shall be subject to a penalty in the amount of Five Hundred Dollars ($500.00);

71. Sales of food and snack items to or by an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), whose primary and principal purpose is providing funding for scholarships in the medical field;

72. Sales of tangible personal property or services for use solely on construction projects for organizations which are exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) and whose

purpose is providing end-of-life care and access to hospice services to low-income individuals who live in a facility owned by the organization. The exemption provided by this paragraph applies to sales to the organization as well as to sales to any person with whom the organization has duly entered into a construction contract, necessary for carrying out such contract or to any subcontractor to such a construction contract. Any person making purchases on behalf of such organization shall certify, in writing, on the copy of the invoice or sales ticket to be retained by the vendor that the purchases are made for and on behalf of such organization and set out the name of such organization. Any person who wrongfully or erroneously certifies that purchases are for any of the above-named organizations or who otherwise violates this section shall be guilty of a misdemeanor and upon conviction thereof shall be fined an amount equal to double the amount of sales tax involved or incarcerated for not more than sixty (60) days or both;

73. Sales of tickets for admission to events held by organizations exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) that are organized for the purpose of supporting general hospitals licensed by the State Department of Health;

74. Sales of tangible personal property or services:

a. to a foundation which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of

1986, as amended, 26 U.S.C., Section 501(c)(3) and which raises tax-deductible contributions in support of a wide range of firearms-related public interest activities of the National Rifle Association of America and other organizations that defend and foster Second Amendment rights, and

b. to or by a grassroots fundraising program for sales related to events to raise funds for a foundation meeting the qualifications of subparagraph a of this paragraph;

75. Sales by an organization or entity which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) which are related to a fundraising event sponsored by the organization or entity when the event does not exceed any five (5) consecutive days and when the sales are not in the organization's or the entity's regular course of business. Provided, the exemption provided in this paragraph shall be limited to tickets sold for admittance to the fundraising event and items which were donated to the organization or entity for sale at the event;

76. Effective November 1, 2017, sales of tangible personal property or services to an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) and operates as a

collaborative model which connects community agencies in one location to serve individuals and families affected by violence and where victims have access to services and advocacy at no cost to the victim;

77. Effective July 1, 2018, sales of tangible personal property or services to or by an association which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(19) and which is known as the National Guard Association of Oklahoma;

78. Effective July 1, 2018, sales of tangible personal property or services to or by an association which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(4) and which is known as the Marine Corps League Department of Oklahoma;

79. Sales of tangible personal property or services to the American Legion, whether the purchase is made by the entity chartered by the United States Congress or is an entity organized under the laws of this or another state pursuant to the authority of the national American Legion organization;

80. Sales of tangible personal property or services to or by an organization which is:

a. exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3),

b. verified with a letter from the MIT Fab Foundation as an official member of the Fab Lab Network in compliance with the Fab Charter, and

c. able to provide documentation that its primary and principal purpose is to provide community access to advanced 21st century manufacturing and digital fabrication tools for science, technology, engineering, art and math (STEAM) learning skills, developing inventions, creating and sustaining businesses, and producing personalized products;

81. Effective November 1, 2021, sales of tangible personal property or services used solely for construction and remodeling projects to an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), and which meets the following requirements:

a. its primary purpose is to construct or remodel and sell affordable housing and provide homeownership education to residents of Oklahoma that have an income that is below one hundred percent (100%) of the Family Median Income guidelines as defined by the U.S. Department of Housing and Urban Development,

b. it conducts its activities in a manner that serves public or charitable purposes, rather than commercial purposes,

c. it receives funding and revenue and charges fees in a manner that does not incentivize it or its employees to act other than in the best interests of its clients, and

d. it compensates its employees in a manner that does not incentivize employees to act other than in the best interests of its clients;

82. Effective November 1, 2021, sales of tangible personal property or services to a nonprofit entity, organized pursuant to Oklahoma law before January 1, 2022, exempt from federal income taxation pursuant to Section 501(c) of the Internal Revenue Code of 1986, as amended, the principal functions of which are to provide assistance to natural persons following a disaster, with program emphasis on repair or restoration to single-family residential dwellings or the construction of a replacement single-family residential dwelling. As used in this paragraph, “disaster” means damage to property with or without accompanying injury to persons from heavy rain, high winds, tornadic winds, drought, wildfire, snow, ice, geologic disturbances, explosions, chemical accidents or spills, and other events causing damage to property on a large scale. For purposes of this paragraph, an entity that expended at

least seventy-five percent (75%) of its funds on the restoration to single-family housing following a disaster including related general and administrative expenses, shall be eligible for the exemption authorized by this paragraph;

83. Effective November 1, 2021, through December 31, 2024, sales of tangible personal property or services to a museum that:

a. operates as a part of an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3),

b. is not accredited by the American Alliance of Museums, and

c. operates on an annual budget of less than One Million Dollars ($1,000,000.00);

84. Until July 1, 2022, sales of tangible personal property or services for use in a clinical practice or medical facility operated by an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, of the United States, 26 U.S.C., Section 501(c)(3), and which has entered into a joint operating agreement with the University Hospitals Trust created pursuant to Section 3224 of Title 63 of the Oklahoma Statutes. The exemption provided by this paragraph shall be limited to the purchase of tangible personal property and services for use in clinical practices or medical facilities acquired or leased by

the organization from the University Hospitals Authority, University Hospitals Trust, or the University of Oklahoma on or after June 1, 2021;

85. Sales of tangible personal property or services to or by a women's veterans organization, and its subchapters in this state, that is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(19) and is known as the Oklahoma Women Veterans Organization;

86. Sales of tangible personal property or services to a nonprofit entity, organized pursuant to Oklahoma law before January 1, 2019, exempt from federal income taxation pursuant to Section 501(c) of the Internal Revenue Code of 1986, as amended, the principal functions of which are to provide assistance to natural persons following a disaster, with program emphasis on repair or restoration to single-family residential dwellings or the construction of a replacement single-family residential dwelling. For purposes of this paragraph, an entity operated exclusively for charitable and educational purposes through the coordination of volunteers for the disaster recovery of homes (as derived from Part III, Statement of Program Services, of Internal Revenue Service Form 990) and which offers its services free of charge to disaster survivors statewide who are low income with no or limited means of recovery on their own for the restoration to single-family housing following a disaster including related general and administrative

expenses, shall be eligible for the exemption authorized by this paragraph. The exemption provided by this paragraph shall only be applicable to sales made on or after July 1, 2022. As used in this paragraph, “disaster” means damage to property with or without accompanying injury to persons from heavy rain, high winds, tornadic winds, drought, wildfire, snow, ice, geologic disturbances, explosions, chemical accidents or spills and other events causing damage to property on a large scale;

87. Effective July 1, 2022, sales of tangible personal property or services to an organization which is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3) and which provides support to veterans, active duty members of the Armed Forces, reservists, and members of the National Guard to assist with the transition to civilian life and which provides documentation to the Oklahoma Tax Commission that over seventy percent (70%) of its revenue is expended on support for transition to civilian life; and

88. Sales of tangible personal property or services to or by an organization in this state which:

a. is exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), and

b. provides documentation to the Oklahoma Tax Commission showing the organization’s principal purpose is to provide school supplies or articles of clothing for underserved students attending grades prekindergarten through twelve at public schools in this state.

SECTION 121. REPEALER 68 O.S. 2021, Section 1356, as last amended by Section 1, Chapter 444, O.S.L. 2024 (68 O.S. Supp. 2025, Section 1356), is hereby repealed.

SECTION 122. AMENDATORY 68 O.S. 2021, Section 1357, as last amended by Section 1, Chapter 391, O.S.L. 2025 (68 O.S. Supp. 2025, Section 1357), is amended to read as follows:

Section 1357. Exemptions – General. There are hereby specifically exempted from the tax levied by the Oklahoma Sales Tax Code:

1. Transportation of school pupils to and from elementary schools or high schools in motor or other vehicles;

2. Transportation of persons where the fare of each person does not exceed One Dollar ($1.00), or local transportation of persons within the corporate limits of a municipality except by taxicabs;

3. Sales for resale to persons engaged in the business of reselling the articles purchased, whether within or without the state, provided that such sales to residents of this state are made to persons to whom sales tax permits have been issued as provided in the Oklahoma Sales Tax Code. This exemption shall not apply to the sales of articles made to persons holding permits when such persons purchase items for their use and which they are not regularly

engaged in the business of reselling; neither shall this exemption apply to sales of tangible personal property to peddlers, solicitors and other salespersons who do not have an established place of business and a sales tax permit. The exemption provided by this paragraph shall apply to sales of motor fuel or diesel fuel to a Group Five vendor, but the use of such motor fuel or diesel fuel by the Group Five vendor shall not be exempt from the tax levied by the Oklahoma Sales Tax Code. The purchase of motor fuel or diesel fuel is exempt from sales tax when the motor fuel is for shipment outside this state and consumed by a common carrier by rail in the conduct of its business. The sales tax shall apply to the purchase of motor fuel or diesel fuel in Oklahoma by a common carrier by rail when such motor fuel is purchased for fueling, within this state, of any locomotive or other motorized flanged wheel equipment;

4. Sales of advertising space in newspapers and periodicals;

5. Sales of programs relating to sporting and entertainment events, and sales of advertising on billboards (including signage, posters, panels, marquees or on other similar surfaces, whether indoors or outdoors) or in programs relating to sporting and entertainment events, and sales of any advertising, to be displayed at or in connection with a sporting event, via the Internet, electronic display devices or through public address or broadcast systems. The exemption authorized by this paragraph shall be effective for all sales made on or after January 1, 2001;

6. Sales of any advertising, other than the advertising described by paragraph 5 of this section, via the Internet, electronic display devices or through the electronic media including radio, public address or broadcast systems, television (whether through closed circuit broadcasting systems or otherwise), and cable and satellite television, and the servicing of any advertising devices;

7. Eggs, feed, supplies, machinery, and equipment purchased by persons regularly engaged in the business of raising worms, fish, any insect, or any other form of terrestrial or aquatic animal life and used for the purpose of raising same for marketing. This exemption shall only be granted and extended to the purchaser when the items are to be used and in fact are used in the raising of animal life as set out above. Each purchaser shall certify, in writing, on the invoice or sales ticket retained by the vendor that the purchaser is regularly engaged in the business of raising such animal life and that the items purchased will be used only in such business. The vendor shall certify to the Oklahoma Tax Commission that the price of the items has been reduced to grant the full benefit of the exemption. Violation hereof by the purchaser or vendor shall be a misdemeanor;

8. Sale of natural or artificial gas and electricity, and associated delivery or transmission services, when sold exclusively for residential use. Provided, this exemption shall not apply to

any sales tax levied by a city or town, or a county or any other jurisdiction in this state;

9. In addition to the exemptions authorized by Section 1357.6 of this title, sales of drugs sold pursuant to a prescription written for the treatment of human beings by a person licensed to prescribe the drugs, and sales of insulin and medical oxygen. Provided, this exemption shall not apply to over-the-counter drugs;

10. Transfers of title or possession of empty, partially filled, or filled returnable oil and chemical drums to any person who is not regularly engaged in the business of selling, reselling or otherwise transferring empty, partially filled or filled returnable oil drums;

11. Sales of one-way utensils, paper napkins, paper cups, disposable hot containers, and other one-way carry out materials to a vendor of meals or beverages;

12. Sales of food or food products for home consumption which are purchased in whole or in part with coupons issued pursuant to the federal food stamp program as authorized by Sections 2011 through 2036d of Title 7 of the United States Code, as to that portion purchased with such coupons. The exemption provided for such sales shall be inapplicable to such sales upon the effective date of any federal law that removes the requirement of the exemption as a condition for participation by the state in the federal food stamp program;

13. Sales of food or food products, or any equipment or supplies used in the preparation of the food or food products to or by an organization which:

a. is exempt from taxation pursuant to the provisions of Section 501(c)(3) of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), and which provides and delivers prepared meals for home consumption to elderly or homebound persons as part of a program commonly known as "Meals on Wheels" or "Mobile Meals", or

b. is exempt from taxation pursuant to the provisions of Section 501(c)(3) of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), and which receives federal funding pursuant to the Older Americans Act of 1965, as amended, for the purpose of providing nutrition programs for the care and benefit of elderly persons;

14. a. Sales of tangible personal property or services to or by organizations which are exempt from taxation pursuant to the provisions of Section 501(c)(3) of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), and:

(1) are primarily involved in the collection and distribution of food and other household products

to other organizations that facilitate the distribution of such products to the needy and such distributee organizations are exempt from taxation pursuant to the provisions of Section 501(c)(3) of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3), or

(2) facilitate the distribution of such products to the needy.

b. Sales made in the course of business for profit or savings, competing with other persons engaged in the same or similar business shall not be exempt under this paragraph;

15. Sales of tangible personal property or services to children's homes which are located on church-owned property and are operated by organizations exempt from taxation pursuant to the provisions of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 501(c)(3);

16. Sales of computers, data processing equipment, related peripherals, and telephone, telegraph or telecommunications service and equipment for use in a qualified aircraft maintenance or manufacturing facility. For purposes of this paragraph, "qualified aircraft maintenance or manufacturing facility" means a new or expanding facility primarily engaged in aircraft repair, building or rebuilding, whether or not on a factory basis, whose total cost of

construction exceeds the sum of Five Million Dollars ($5,000,000.00) and which employs at least two hundred fifty new full-time-equivalent employees, as certified by the Oklahoma Employment Security Commission, upon completion of the facility. In order to qualify for the exemption provided for by this paragraph, the cost of the items purchased by the qualified aircraft maintenance or manufacturing facility shall equal or exceed the sum of Two Million Dollars ($2,000,000.00);

17. Sales of tangible personal property consumed or incorporated in the construction or expansion of a qualified aircraft maintenance or manufacturing facility as defined in paragraph 16 of this section. For purposes of this paragraph, sales made to a contractor or subcontractor that has previously entered into a contractual relationship with a qualified aircraft maintenance or manufacturing facility for construction or expansion of such a facility shall be considered sales made to a qualified aircraft maintenance or manufacturing facility;

18. Sales of the following telecommunications services:

a. interstate and international 800 service. “800 service” means a telecommunications service that allows a caller to dial a toll-free number without incurring a charge for the call. The service is typically marketed under the name “800”, “855”, “866”, “877” and “888” toll-free calling, and any subsequent numbers designated by the Federal Communications Commission,

b. interstate and international 900 service. "900 service" means an inbound toll telecommunications service purchased by a subscriber that allows the subscriber's customers to call in to the subscriber's prerecorded announcement or live service. 900 service does not include the charge for: collection services provided by the seller of the telecommunications services to the subscriber, or service or product sold by the subscriber to the subscriber's customer. The service is typically marketed under the name "900" service, and any subsequent numbers designated by the Federal Communications Commission,

c. interstate and international private communications service. "Private communications service" means a telecommunications service that entitles the customer to exclusive or priority use of a communications channel or group of channels between or among termination points, regardless of the manner in which such channel or channels are connected, and includes switching capacity, extension lines, stations and any other associated services that are provided in connection with the use of such channel or channels,

d. value-added nonvoice data service. “Value-added nonvoice data service” means a service that otherwise meets the definition of telecommunications services in which computer processing applications are used to act on the form, content, code or protocol of the information or data primarily for a purpose other than transmission, conveyance, or routing,

e. interstate and international telecommunications service which is:

(1) rendered by a company for private use within its organization, or

(2) used, allocated or distributed by a company to its affiliated group,

f. regulatory assessments and charges including charges to fund the Oklahoma Universal Service Fund, the Oklahoma Lifeline Fund and the Oklahoma High Cost Fund, and

g. telecommunications nonrecurring charges including but not limited to the installation, connection, change, or initiation of telecommunications services which are not associated with a retail consumer sale;

19. Sales of railroad track spikes manufactured and sold for use in this state in the construction or repair of railroad tracks, switches, sidings, and turnouts;

20. Sales of aircraft and aircraft parts provided such sales occur at a qualified aircraft maintenance facility. As used in this paragraph, "qualified aircraft maintenance facility" means a facility operated by an air common carrier including one or more component overhaul support buildings or structures in an area owned, leased, or controlled by the air common carrier, at which there were employed at least two thousand full-time-equivalent employees in the preceding year as certified by the Oklahoma Employment Security Commission and which is primarily related to the fabrication, repair, alteration, modification, refurbishing, maintenance, building, or rebuilding of commercial aircraft or aircraft parts used in air common carriage. For purposes of this paragraph, "air common carrier" shall also include members of an affiliated group as defined by Section 1504 of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 1504. Beginning July 1, 2012, the exemption shall include sales of machinery, tools, supplies, equipment, and related tangible personal property and services used or consumed in the repair, remodeling, or maintenance of aircraft, aircraft engines or aircraft component parts which occur at a qualified aircraft maintenance facility;

21. Sales of machinery and equipment purchased and used by persons and establishments primarily engaged in computer services and data processing:

a. as defined under Industry Group Numbers 7372 and 7373 of the Standard Industrial Classification (SIC) Manual, latest version, which derive at least fifty percent (50%) of their annual gross revenues from the sale of a product or service to an out-of-state buyer or consumer, and

b. as defined under Industry Group Number 7374 of the SIC Manual, latest version, which derive at least eighty percent (80%) of their annual gross revenues from the sale of a product or service to an out-of-state buyer or consumer.

Eligibility for the exemption set out in this paragraph shall be established, subject to review by the Tax Commission, by annually filing an affidavit with the Tax Commission stating that the facility so qualifies and such information as required by the Tax Commission. For purposes of determining whether annual gross revenues are derived from sales to out-of-state buyers or consumers, all sales to the federal government shall be considered to be to an out-of-state buyer or consumer;

22. Sales of prosthetic devices to an individual for use by such individual. For purposes of this paragraph, “prosthetic device” shall have the same meaning as provided in Section 1357.6 of this title, but shall not include corrective eye glasses, contact lenses, or hearing aids;

23. Sales of tangible personal property or services to a motion picture or television production company to be used or consumed in connection with an eligible production. For purposes of this paragraph, "eligible production" means a documentary, special, music video or a television commercial or television program that will serve as a pilot for or be a segment of an ongoing dramatic or situation comedy series filmed or taped for network or national or regional syndication or a feature-length motion picture intended for theatrical release or for network or national or regional syndication or broadcast. The provisions of this paragraph shall apply to sales occurring on or after July 1, 1996. In order to qualify for the exemption, the motion picture or television production company shall file any documentation and information required to be submitted pursuant to rules promulgated by the Tax Commission;

24. Sales of diesel fuel sold for consumption by commercial vessels, barges and other commercial watercraft;

25. Sales of tangible personal property or services to tax-exempt independent nonprofit biomedical research foundations that provide educational programs for Oklahoma science students and teachers and to tax-exempt independent nonprofit community blood banks headquartered in this state;

26. Effective May 6, 1992, sales of wireless telecommunications equipment to a vendor who subsequently transfers the equipment at no

charge or for a discounted charge to a consumer as part of a promotional package or as an inducement to commence or continue a contract for wireless telecommunications services;

27. Effective January 1, 1991, leases of rail transportation cars to haul coal to coal-fired plants located in this state which generate electric power;

28. Beginning July 1, 2005, sales of aircraft engine repairs, modification, and replacement parts, sales of aircraft frame repairs and modification, aircraft interior modification, and paint, and sales of services employed in the repair, modification, and replacement of parts of aircraft engines, aircraft frame and interior repair and modification, and paint;

29. Sales of materials and supplies to the owner or operator of a ship, motor vessel, or barge that is used in interstate or international commerce if the materials and supplies:

a. are loaded on the ship, motor vessel, or barge and used in the maintenance and operation of the ship, motor vessel, or barge, or

b. enter into and become component parts of the ship, motor vessel, or barge;

30. Sales of tangible personal property made at estate sales at which such property is offered for sale on the premises of the former residence of the decedent by a person who is not required to be licensed pursuant to the Transient Merchant Licensing Act, or who

is not otherwise required to obtain a sales tax permit for the sale of such property pursuant to the provisions of Section 1364 of this title; provided:

a. such sale or event may not be held for a period exceeding three (3) consecutive days,

b. the sale must be conducted within six (6) months of the date of death of the decedent, and

c. the exemption allowed by this paragraph shall not be allowed for property that was not part of the decedent's estate;

31. Beginning January 1, 2004, sales of electricity and associated delivery and transmission services, when sold exclusively for use by an oil and gas operator for reservoir dewatering projects and associated operations commencing on or after July 1, 2003, in which the initial water-to-oil ratio is greater than or equal to five-to-one water-to-oil, and such oil and gas development projects have been classified by the Corporation Commission as a reservoir dewatering unit;

32. Sales of prewritten computer software that is delivered electronically. For purposes of this paragraph, "delivered electronically" means delivered to the purchaser by means other than tangible storage media;

33. Sales of modular dwelling units when built at a production facility and moved in whole or in parts, to be assembled on-site,

and permanently affixed to the real property and used for residential or commercial purposes. The exemption provided by this paragraph shall equal forty-five percent (45%) of the total sales price of the modular dwelling unit. For purposes of this paragraph, "modular dwelling unit" means a structure that is not subject to the motor vehicle excise tax imposed pursuant to Section 2103 of this title;

34. Sales of tangible personal property or services to:

a. persons who are residents of Oklahoma and have been honorably discharged from active service in any branch of the Armed Forces of the United States or Oklahoma National Guard and who have been certified by the United States Department of Veterans Affairs or its successor to be in receipt of disability compensation at the one-hundred-percent rate and the disability shall be permanent and have been sustained through military action or accident or resulting from disease contracted while in such active service and registered with the veterans registry created by the Oklahoma Department of Veterans Affairs<u>; provided, that if the veteran has previously received the sales tax exemption pursuant to this subparagraph, no registration with the veterans registry shall be required</u>, or

b. the surviving spouse of the person in subparagraph a of this paragraph if the person is deceased and the spouse has not remarried and the surviving spouse of a person who is determined by the United States Department of Defense or any branch of the United States military to have died while in the line of duty if the spouse has not remarried. Sales for the benefit of an eligible person to a spouse of the eligible person or to a member of the household in which the eligible person resides and who is authorized to make purchases on the person's behalf, when such eligible person is not present at the sale, shall also be exempt for purposes of this paragraph. The Oklahoma Tax Commission shall issue a separate exemption card to a spouse of an eligible person or to a member of the household in which the eligible person resides who is authorized to make purchases on the person's behalf, if requested by the eligible person. Sales qualifying for the exemption authorized by this paragraph shall not exceed Twenty-five Thousand Dollars ($25,000.00) per year per individual while the disabled veteran is living. Sales qualifying for the exemption authorized by this paragraph shall not exceed One Thousand Dollars ($1,000.00) per year for an unremarried surviving spouse. Upon request of the Tax Commission, a person asserting or claiming the exemption authorized by this paragraph shall provide a statement, executed under oath, that the total sales amounts for which the exemption is applicable have not exceeded Twenty-five Thousand Dollars ($25,000.00) per year per living disabled veteran or One Thousand Dollars ($1,000.00) per year for an unremarried surviving spouse. If the amount of such exempt sales exceeds such amount, the sales tax in excess of the authorized amount shall be treated as a direct sales tax liability and may be recovered by the Tax Commission in the same manner provided by law for other taxes including penalty and interest. The Tax Commission shall promulgate any rules necessary to implement the provisions of this paragraph, which shall include rules providing for the disclosure of information about persons eligible for the exemption authorized in this paragraph to the Oklahoma Department of Veterans Affairs, as authorized in Section 205 of this title. For purposes of the exemption authorized by this subparagraph, if the disability determination that would have been made while the disabled veteran was still living is not made final until after the death of the disabled veteran, the exemption authorized by this subparagraph may still be claimed by the surviving spouse;

35. Sales of electricity to the operator, specifically designated by the Corporation Commission, of a spacing unit or lease from which oil is produced or attempted to be produced using enhanced recovery methods including, but not limited to, increased pressure in a producing formation through the use of water or saltwater if the electrical usage is associated with and necessary for the operation of equipment required to inject or circulate fluids in a producing formation for the purpose of forcing oil or petroleum into a wellbore for eventual recovery and production from the wellhead. In order to be eligible for the sales tax exemption authorized by this paragraph, the total content of oil recovered after the use of enhanced recovery methods shall not exceed one percent (1%) by volume. The exemption authorized by this paragraph shall be applicable only to the state sales tax rate and shall not be applicable to any county or municipal sales tax rate;

36. Sales of intrastate charter and tour bus transportation. As used in this paragraph, “intrastate charter and tour bus transportation” means the transportation of persons from one location in this state to another location in this state in a motor vehicle which has been constructed in such a manner that it may lawfully carry more than eighteen persons, and which is ordinarily

used or rented to carry persons for compensation. Provided, this exemption shall not apply to regularly scheduled bus transportation for the general public;

37. Sales of vitamins, minerals, and dietary supplements by a licensed chiropractor to a person who is the patient of such chiropractor at the physical location where the chiropractor provides chiropractic care or services to such patient. The provisions of this paragraph shall not be applicable to any drug, medicine, or substance for which a prescription by a licensed physician is required;

38. Sales of goods, wares, merchandise, tangible personal property, machinery, and equipment to a web search portal located in this state which derives at least eighty percent (80%) of its annual gross revenue from the sale of a product or service to an out-of-state buyer or consumer. For purposes of this paragraph, "web search portal" means an establishment classified under North American Industry Classification System (NAICS) code 519130 which operates websites that use a search engine to generate and maintain extensive databases of Internet addresses and content in an easily searchable format;

39. Sales of tangible personal property consumed or incorporated in the construction or expansion of a facility for a corporation organized under Section 437 et seq. of Title 18 of the Oklahoma Statutes as a rural electric cooperative. For purposes of

this paragraph, sales made to a contractor or subcontractor that has previously entered into a contractual relationship with a rural electric cooperative for construction or expansion of a facility shall be considered sales made to a rural electric cooperative;

40. Sales of tangible personal property or services to a business primarily engaged in the repair of consumer electronic goods including, but not limited to, cell phones, compact disc players, personal computers, MP3 players, digital devices for the storage and retrieval of information through hard-wired or wireless computer or Internet connections, if the devices are sold to the business by the original manufacturer of such devices and the devices are repaired, refitted or refurbished for sale by the entity qualifying for the exemption authorized by this paragraph directly to retail consumers or if the devices are sold to another business entity for sale to retail consumers;

41. On or after July 1, 2019, and prior to ~~July 1, 2024~~ July 1, 2029, sales or leases of rolling stock ~~when sold or leased by the manufacturer~~, regardless of whether the purchaser is a public services corporation engaged in business as a common carrier of property or passengers by railway, for use or consumption by a common carrier directly in the rendition of public service. For purposes of this paragraph, "rolling stock" means locomotives, autocars, and railroad cars and "sales or leases" includes railroad

car maintenance and retrofitting of railroad cars for their further use only on the railways;

42. Sales of gold, silver, platinum, palladium or other bullion items such as coins and bars and legal tender of any nation, which legal tender is sold according to its value as precious metal or as an investment. As used in the paragraph, “bullion” means any precious metal including, but not limited to, gold, silver, platinum, and palladium, that is in such a state or condition that its value depends upon its precious metal content and not its form. The exemption authorized by this paragraph shall not apply to fabricated metals that have been processed or manufactured for artistic use or as jewelry;

43. Subject to the other requirements of this paragraph and the requirements of Section 1357.21 of this title, sale, lease, rental, storage, use or other consumption of qualifying broadband equipment by providers of Internet service or subsidiaries if the property is directly used or consumed by the provider or subsidiary in or during the distribution of broadband Internet service. The Legislature finds that pursuant to the provisions of subsection H of Section 1357.21 of this title, the provisions of this paragraph were originally made contingent upon the enactment of an incentive award formula. Notwithstanding the failure to fulfill the condition as prescribed by subsection H of Section 1357.21 of this title, as

originally enacted, the provisions of this paragraph shall be operative on and after June 2, 2023;

44. Until January 2027, sales of commercial forestry service equipment, limited to forwarders, fellers, bunchers, track skidders, wheeled skidders, hydraulic excavators, delimbers, soil compactors and skid steer loaders, to businesses engaged in logging, timber and tree farming;

45. Recovery fees on the rental charge from any item of heavy equipment property rental as provided for in Section 2807.11 of this title; and

~~44.~~ 46. Sales of firearm safety devices and gun safety devices. As used in this paragraph:

a. "firearm safety device" means a gun safe, gun case, gun lock box, trigger lock, barrel lock, or other device that is designed to be used to store a firearm and that is designed to be unlocked only by means of a key, combination, or other similar means, and

b. "gun safety device" means any integral device to be equipped or installed on a firearm that permits a user to program the firearm to operate only for specified persons designated by the user through computerized locking devices or other means integral to and permanently part of the firearm.

SECTION 123. REPEALER 68 O.S. 2021, Section 1357, as amended by Section 10, Chapter 229, O.S.L. 2017, is hereby repealed.

SECTION 124. REPEALER 68 O.S. 2021, Section 1357, as amended by Section 1, Chapter 68, O.S.L. 2021, is hereby repealed.

SECTION 125. REPEALER 68 O.S. 2021, Section 1357, as last amended by Section 1, Chapter 193, O.S.L. 2023 (68 O.S. Supp. 2025, Section 1357), is hereby repealed.

SECTION 126. REPEALER 68 O.S. 2021, Section 1357, as amended by Section 1, Chapter 44, 1st Extraordinary Session, O.S.L. 2023 (68 O.S. Supp. 2025, Section 1357), is hereby repealed.

SECTION 127. AMENDATORY 68 O.S. 2021, Section 2357.22, as last amended by Section 1, Chapter 143, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2357.22), is amended to read as follows:

Section 2357.22. A. For tax years 2028 and before, there shall be allowed a one-time credit against the income tax imposed by Section 2355 of this title for investments in qualified clean-burning motor vehicle fuel property placed in service on or after January 1, 1991, or with respect to a hydrogen fuel cell, on or after July 1, 2023.

B. As used in this section, “qualified clean-burning motor vehicle fuel property” means:

1. Equipment installed to modify a motor vehicle which is propelled by gasoline or diesel fuel so that the vehicle may be propelled by compressed natural gas, a hydrogen fuel cell, liquefied

natural gas, or liquefied petroleum gas. The equipment covered by this paragraph must:

a. be new, not previously used to modify or retrofit any vehicle propelled by gasoline or diesel fuel and be installed by an alternative fuels equipment technician who is certified in accordance with the Alternative Fuels Technician Certification Act,

b. meet all Federal Motor Vehicle Safety Standards set forth in 49 CFR 571, or

c. for any commercial motor vehicle (CMV), follow the Federal Motor Carrier Safety Regulations or Oklahoma Intrastate Motor Carrier Regulations;

2. A motor vehicle originally equipped so that the vehicle may be propelled by compressed natural gas, <u>a hydrogen fuel cell,</u> or liquefied natural gas or liquefied petroleum gas but only to the extent of the portion of the basis of such motor vehicle which is attributable to the storage of such fuel, the delivery to the engine of such motor vehicle of such fuel, and the exhaust of gases from combustion of such fuel;

3. Property, not including a building and its structural components, which is:

a. directly related to the delivery of compressed natural gas, liquefied natural gas or liquefied petroleum gas, or hydrogen for commercial purposes or for a fee or charge, into the fuel tank of a motor vehicle propelled by such fuel including compression equipment and storage tanks for such fuel at the point where such fuel is so delivered but only if such property is not used to deliver such fuel into any other type of storage tank or receptacle and such fuel is not used for any purpose other than to propel a motor vehicle, or

b. a metered-for-fee, public access recharging system for motor vehicles propelled in whole or in part by electricity. The property covered by this paragraph must be new, and must not have been previously installed or used to refuel vehicles powered by compressed natural gas, liquefied natural gas or liquefied petroleum gas, hydrogen, or electricity~~.~~ ~~Any property covered by this paragraph which is related to the delivery of hydrogen into the fuel tank of a motor vehicle shall only be eligible for tax years 2010 and 2023 through 2028~~;

4. Property which is directly related to the compression and delivery of natural gas from a private home or residence, for noncommercial purposes, into the fuel tank of a motor vehicle propelled by compressed natural gas. The property covered by this paragraph must be new and must not have been previously installed or used to refuel vehicles powered by natural gas; or

5. For tax years 2010 and 2023 through 2028, a motor vehicle originally equipped so that the vehicle may be propelled by a hydrogen fuel cell electric fueling system.

C. As used in this section, "motor vehicle" means a motor vehicle originally designed by the manufacturer to operate lawfully and principally on streets and highways.

D. The credit provided for in subsection A of this section shall be as follows:

1. For the qualified clean-burning motor vehicle fuel property defined in paragraphs 1, 2, or 5 of subsection B of this section, the amount of the credit shall be as follows based upon gross vehicle weight of the qualified vehicle:

a. for vehicles up to or below six thousand (6,000) pounds, the credit shall be a maximum of Five Thousand Five Hundred Dollars ($5,500.00),

b. for vehicles between six thousand one (6,001) pounds to ten thousand (10,000) pounds, the credit shall be a maximum amount of Nine Thousand Dollars ($9,000.00),

c. for vehicles of ten thousand one (10,001) pounds, but not in excess of twenty-six thousand five hundred (26,500) pounds, the credit shall be a maximum amount of Twenty-six Thousand Dollars ($26,000.00), and

d. for vehicles in excess of twenty-six thousand five hundred one (26,501) pounds, the credit shall be a maximum amount of One Hundred Thousand Dollars ($100,000.00);

2. For qualified clean-burning motor vehicle fuel property defined in paragraph 3 of subsection B of this section, a per-location credit of forty-five percent (45%) of the cost of the qualified clean-burning motor vehicle fuel property; and

3. For qualified clean-burning motor vehicle fuel property defined in paragraph 4 of subsection B of this section, a per-location credit of the lesser of fifty percent (50%) of the cost of the qualified clean-burning motor vehicle fuel property or Two Thousand Five Hundred Dollars ($2,500.00).

E. In cases where no credit has been claimed pursuant to paragraph 1 of subsection D of this section by any prior owner and in which a motor vehicle is purchased by a taxpayer with qualified clean-burning motor vehicle fuel property installed by the manufacturer of such motor vehicle and the taxpayer is unable or elects not to determine the exact basis which is attributable to such property, the taxpayer may claim a credit in an amount not exceeding the lesser of ten percent (10%) of the cost of the motor vehicle or One Thousand Five Hundred Dollars ($1,500.00).

F. If the tax credit allowed pursuant to subsection A of this section exceeds the amount of income taxes due or if there are no state income taxes due on the income of the taxpayer, the amount of the credit not used as an offset against the income taxes of a taxable year may be carried forward, in order, as a credit against subsequent income tax liability for a period not to exceed five (5) years. The tax credit authorized pursuant to the provisions of this section shall not be used to reduce the tax liability of the taxpayer to less than zero (0).

G. A husband and wife who file separate returns for a taxable year in which they could have filed a joint return may each claim only one-half (1/2) of the tax credit that would have been allowed for a joint return.

H. The Oklahoma Tax Commission is herein empowered to promulgate rules by which the purpose of this section shall be administered including the power to establish and enforce penalties for violations thereof.

I. Notwithstanding the provisions of Section 2352 of this title, for the fiscal year beginning on July 1, 2014, through fiscal year 2023, the Tax Commission shall calculate an amount that equals five percent (5%) of the cost of qualified clean-burning motor vehicle fuel property as provided for in paragraph 1 of subsection D of this section for tax year 2012. For each subsequent fiscal year thereafter, the Tax Commission shall perform the same computation with respect to the second tax year preceding the beginning of each subsequent fiscal year. For fiscal year 2024, the Tax Commission shall calculate an amount that equals twelve percent (12%) of the credit for qualified clean-burning motor vehicle fuel property as provided in paragraph 1 of subsection D of this section for tax year 2021. For each subsequent fiscal year, the Tax Commission shall perform the same calculation for credits claimed in the second preceding tax year. The Tax Commission shall then transfer an amount equal to the amount calculated in this subsection from the revenue derived pursuant to the provisions of subsections A, B and E of Section 2355 of this title to the Compressed Natural Gas Conversion Safety and Regulation Fund created in Section 130.25 of Title 74 of the Oklahoma Statutes.

J. For the tax years 2020 through 2022, the total amount of credits authorized by this section used to offset tax shall be adjusted annually to limit the annual amount of credits to Twenty Million Dollars ($20,000,000.00). The Tax Commission shall annually calculate and publish by the first day of the affected taxable year a percentage by which the credits authorized by this section shall be reduced so the total amount of credits used to offset tax does not exceed Twenty Million Dollars ($20,000,000.00) per year. The formula to be used for the percentage adjustment shall be Twenty Million Dollars ($20,000,000.00) divided by the credits claimed in the second preceding year, with respect to any changes to the future of the credit.

K. Pursuant to subsection J of this section, in the event the total tax credits authorized by this section exceed Twenty Million Dollars ($20,000,000.00) in any calendar year, the Tax Commission shall permit any excess over Twenty Million Dollars ($20,000,000.00) but shall factor such excess into the percentage adjustment formula for subsequent years with respect to any changes to the future of the credit.

L. Except as otherwise provided by this subsection, for the tax years 2023 through 2028, the total amount of credits authorized by this section used to offset tax shall be adjusted annually to limit the annual amount of credits to:

1. Ten Million Dollars ($10,000,000.00) for qualified clean burning fuel property propelled by compressed natural gas, liquefied natural gas, or liquefied petroleum gas, property related to the delivery of compressed natural gas, liquefied natural gas or liquefied petroleum gas, and property directly related to the compression and delivery of natural gas;

2. Ten Million Dollars ($10,000,000.00) for property originally equipped so that the vehicle may be propelled by a hydrogen fuel cell electric fueling system and property directly related to the delivery of hydrogen; and

3. Ten Million Dollars ($10,000,000.00) for property which is a metered-for-fee, public access recharging system for motor vehicles propelled in whole or in part by electricity.

If one of the tax credit pools as described in paragraphs 1 through 3 of this subsection is not fully utilized for the applicable tax year, the remaining balance of that pool shall be allocated to each of the two remaining tax credit pools in equal amounts. If two of the tax credit pools as described in paragraphs 1 through 3 of this subsection are not fully utilized for the applicable tax year, the remaining balances in both pools shall be added together and the sum of those amounts shall be allocated to the remaining tax credit pool.

The Tax Commission shall annually calculate and publish by the first day of the affected taxable year a percentage by which the credits authorized by this section shall be reduced so the total amount of credits used to offset tax does not exceed each of the limits provided in paragraphs 1 through 3 of this subsection. The formula to be used for the percentage adjustment shall be Ten Million Dollars ($10,000,000.00) divided by the credits claimed in the second preceding year, with respect to any changes to the future of the credit.

M. Pursuant to subsection L of this section, in the event the tax credits authorized by this section exceed any of the limits provided in paragraphs 1 through 3 of subsection L of this section in any year, the Tax Commission shall permit any excess over Ten Million Dollars ($10,000,000.00) but shall factor such excess into the percentage adjustment formula for subsequent years with respect to any changes to the future of the credit.

N. The Tax Commission shall notify the Office of the State Secretary of Energy and Environment at any time when the amount of claims for credits allowed pursuant to this section reaches eighty percent (80%) of the total annual limit provided in subsection J of this section. Upon such notification, the Secretary shall provide notice to the Governor, President Pro Tempore of the Senate and Speaker of the House of Representatives.

SECTION 128. REPEALER 68 O.S. 2021, Section 2357.22, as last amended by Section 153, Chapter 452, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2357.22), is hereby repealed.

SECTION 129. AMENDATORY 68 O.S. 2021, Section 2358, as last amended by Section 155, Chapter 452, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2358), is amended to read as follows:

Section 2358. For all tax years beginning after December 31, 1981, taxable income and adjusted gross income shall be adjusted to arrive at Oklahoma taxable income and Oklahoma adjusted gross income as required by this section.

A. The taxable income of any taxpayer shall be adjusted to arrive at Oklahoma taxable income for corporations and Oklahoma adjusted gross income for individuals, as follows:

1. There shall be added interest income on obligations of any state or political subdivision thereto which is not otherwise exempted pursuant to other laws of this state, to the extent that such interest is not included in taxable income and adjusted gross income.

2. There shall be deducted amounts included in such income that the state is prohibited from taxing because of the provisions of the Federal Constitution, the State Constitution, federal laws or laws of Oklahoma.

3. The amount of any federal net operating loss deduction shall be adjusted as follows:

a. For carryovers and carrybacks to taxable years beginning before January 1, 1981, the amount of any net operating loss deduction allowed to a taxpayer for federal income tax purposes shall be reduced to an amount which is the same portion thereof as the loss from sources within this state, as determined pursuant to this section and Section 2362 of this title, for the taxable year in which such loss is sustained is of the total loss for such year;

b. For carryovers and carrybacks to taxable years beginning after December 31, 1980, the amount of any net operating loss deduction allowed for the taxable year shall be an amount equal to the aggregate of the Oklahoma net operating loss carryovers and carrybacks to such year. Oklahoma net operating losses shall be separately determined by reference to Section 172 of the Internal Revenue Code, 26 U.S.C., Section 172, as modified by the Oklahoma Income Tax Act, Section 2351 et seq. of this title, and shall be allowed without regard to the existence of a federal net operating loss. For tax years beginning after December 31, 2000, and ending before January 1, 2008, the years to which such losses may be carried shall be determined solely by reference to Section 172 of the Internal Revenue Code, 26 U.S.C., Section 172, with the exception that the terms “net operating loss” and “taxable income” shall be replaced with “Oklahoma net operating loss” and “Oklahoma taxable income”. For tax years beginning after December 31, 2007, and ending before January 1, 2009, years to which such losses may be carried back shall be limited to two (2) years. For tax years beginning after December 31, 2008, the years to which such losses may be carried back shall be determined solely by reference to Section 172 of the Internal Revenue Code, 26 U.S.C., Section 172, with the exception that the terms “net operating loss” and “taxable income” shall be replaced with “Oklahoma net operating loss” and “Oklahoma taxable income”.

4. Items of the following nature shall be allocated as indicated. Allowable deductions attributable to items separately allocable in subparagraphs a, b and c of this paragraph, whether or

not such items of income were actually received, shall be allocated on the same basis as those items:

a. Income from real and tangible personal property, such as rents, oil and mining production or royalties, and gains or losses from sales of such property, shall be allocated in accordance with the situs of such property;

b. Income from intangible personal property, such as interest, dividends, patent or copyright royalties, and gains or losses from sales of such property, shall be allocated in accordance with the domiciliary situs of the taxpayer, except that:

(1) where such property has acquired a nonunitary business or commercial situs apart from the domicile of the taxpayer such income shall be allocated in accordance with such business or commercial situs; interest income from investments held to generate working capital for a unitary business enterprise shall be included in apportionable income; a resident trust or resident estate shall be treated as having a separate commercial or business situs insofar as undistributed income is concerned, but shall not be treated as having a separate commercial or

business situs insofar as distributed income is concerned,

(2) for taxable years beginning after December 31, 2003, capital or ordinary gains or losses from the sale of an ownership interest in a publicly traded partnership, as defined by Section 7704(b) of the Internal Revenue Code, shall be allocated to this state in the ratio of the original cost of such partnership's tangible property in this state to the original cost of such partnership's tangible property everywhere, as determined at the time of the sale; if more than fifty percent (50%) of the value of the partnership's assets consists of intangible assets, capital or ordinary gains or losses from the sale of an ownership interest in the partnership shall be allocated to this state in accordance with the sales factor of the partnership for its first full tax period immediately preceding its tax period during which the ownership interest in the partnership was sold; the provisions of this division shall only apply if the capital or ordinary gains or losses from the sale of an ownership interest in a partnership do not

constitute qualifying gain receiving capital treatment as defined in subparagraph a of paragraph 2 of subsection F of this section,

(3) income from such property which is required to be allocated pursuant to the provisions of paragraph 5 of this subsection shall be allocated as herein provided;

c. Net income or loss from a business activity which is not a part of business carried on within or without the state of a unitary character shall be separately allocated to the state in which such activity is conducted;

d. In the case of a manufacturing or processing enterprise the business of which in ~~Oklahoma~~ this state consists solely of marketing its products by:

(1) sales having a situs without this state, shipped directly to a point from without the state to a purchaser within the state, commonly known as interstate sales,

(2) sales of the product stored in public warehouses within the state pursuant to "in transit" tariffs, as prescribed and allowed by the Interstate Commerce Commission, to a purchaser within the state,

(3) sales of the product stored in public warehouses within the state where the shipment to such warehouses is not covered by "in transit" tariffs, as prescribed and allowed by the Interstate Commerce Commission, to a purchaser within or without the state,

the Oklahoma net income shall, at the option of the taxpayer, be that portion of the total net income of the taxpayer for federal income tax purposes derived from the manufacture and/or processing and sales everywhere as determined by the ratio of the sales defined in this section made to the purchaser within the state to the total sales everywhere. The term "public warehouse" as used in this subparagraph means a licensed public warehouse, the principal business of which is warehousing merchandise for the public;

e. In the case of insurance companies, Oklahoma taxable income shall be taxable income of the taxpayer for federal tax purposes, as adjusted for the adjustments provided pursuant to the provisions of paragraphs 1 and 2 of this subsection, apportioned as follows:

(1) except as otherwise provided by division (2) of this subparagraph, taxable income of an insurance company for a taxable year shall be apportioned

to this state by multiplying such income by a fraction, the numerator of which is the direct premiums written for insurance on property or risks in this state, and the denominator of which is the direct premiums written for insurance on property or risks everywhere. For purposes of this subsection, the term "direct premiums written" means the total amount of direct premiums written, assessments and annuity considerations as reported for the taxable year on the annual statement filed by the company with the Insurance Commissioner in the form approved by the National Association of Insurance Commissioners, or such other form as may be prescribed in lieu thereof,

(2) if the principal source of premiums written by an insurance company consists of premiums for reinsurance accepted by it, the taxable income of such company shall be apportioned to this state by multiplying such income by a fraction, the numerator of which is the sum of (a) direct premiums written for insurance on property or risks in this state, plus (b) premiums written for reinsurance accepted in respect of property

or risks in this state, and the denominator of which is the sum of (c) direct premiums written for insurance on property or risks everywhere, plus (d) premiums written for reinsurance accepted in respect of property or risks everywhere. For purposes of this paragraph, premiums written for reinsurance accepted in respect of property or risks in this state, whether or not otherwise determinable, may at the election of the company be determined on the basis of the proportion which premiums written for insurance accepted from companies commercially domiciled in ~~Oklahoma~~ this state bears to premiums written for reinsurance accepted from all sources, or alternatively in the proportion which the sum of the direct premiums written for insurance on property or risks in this state by each ceding company from which reinsurance is accepted bears to the sum of the total direct premiums written by each such ceding company for the taxable year.

5. The net income or loss remaining after the separate allocation in paragraph 4 of this subsection, being that which is derived from a unitary business enterprise, shall be apportioned to

this state on the basis of the arithmetical average of three factors consisting of property, payroll and sales or gross revenue enumerated as subparagraphs a, b and c of this paragraph. Net income or loss as used in this paragraph includes that derived from patent or copyright royalties, purchase discounts, and interest on accounts receivable relating to or arising from a business activity, the income from which is apportioned pursuant to this subsection, including the sale or other disposition of such property and any other property used in the unitary enterprise. Deductions used in computing such net income or loss shall not include taxes based on or measured by income. Provided, for corporations whose property for purposes of the tax imposed by Section 2355 of this title has an initial investment cost equaling or exceeding Two Hundred Million Dollars ($200,000,000.00) and such investment is made on or after July 1, 1997, or for corporations which expand their property or facilities in this state and such expansion has an investment cost equaling or exceeding Two Hundred Million Dollars ($200,000,000.00) over a period not to exceed three (3) years, and such expansion is commenced on or after January 1, 2000, the three factors shall be apportioned with property and payroll, each comprising twenty-five percent (25%) of the apportionment factor and sales comprising fifty percent (50%) of the apportionment factor. The apportionment factors shall be computed as follows:

a. The property factor is a fraction, the numerator of which is the average value of the taxpayer's real and tangible personal property owned or rented and used in this state during the tax period and the denominator of which is the average value of all the taxpayer's real and tangible personal property everywhere owned or rented and used during the tax period.

(1) Property, the income from which is separately allocated in paragraph 4 of this subsection, shall not be included in determining this fraction. The numerator of the fraction shall include a portion of the investment in transportation and other equipment having no fixed situs, such as rolling stock, buses, trucks and trailers, including machinery and equipment carried thereon, airplanes, salespersons' automobiles and other similar equipment, in the proportion that miles traveled in ~~Oklahoma~~ this state by such equipment bears to total miles traveled,

(2) Property owned by the taxpayer is valued at its original cost. Property rented by the taxpayer is valued at eight times the net annual rental rate. Net annual rental rate is the annual

rental rate paid by the taxpayer, less any annual rental rate received by the taxpayer from subrentals,

(3) The average value of property shall be determined by averaging the values at the beginning and ending of the tax period but the Oklahoma Tax Commission may require the averaging of monthly values during the tax period if reasonably required to reflect properly the average value of the taxpayer's property;

b. The payroll factor is a fraction, the numerator of which is the total compensation for services rendered in the state during the tax period, and the denominator of which is the total compensation for services rendered everywhere during the tax period. "Compensation", as used in this subsection means those paid-for services to the extent related to the unitary business but does not include officers' salaries, wages and other compensation.

(1) In the case of a transportation enterprise, the numerator of the fraction shall include a portion of such expenditure in connection with employees operating equipment over a fixed route, such as railroad employees, airline pilots, or bus

drivers, in this state only a part of the time, in the proportion that mileage traveled in ~~Oklahoma~~ this state bears to total mileage traveled by such employees,

(2) In any case the numerator of the fraction shall include a portion of such expenditures in connection with itinerant employees, such as traveling salespersons, in this state only a part of the time, in the proportion that time spent in ~~Oklahoma~~ this state bears to total time spent in furtherance of the enterprise by such employees;

c. The sales factor is a fraction, the numerator of which is the total sales or gross revenue of the taxpayer in this state during the tax period, and the denominator of which is the total sales or gross revenue of the taxpayer everywhere during the tax period. “Sales”, as used in this subsection does not include sales or gross revenue which are separately allocated in paragraph 4 of this subsection.

(1) Sales of tangible personal property have a situs in this state if the property is delivered or shipped to a purchaser other than the United States government, within this state regardless of the FOB point or other conditions of the sale;

or the property is shipped from an office, store, warehouse, factory or other place of storage in this state and (a) the purchaser is the United States government or (b) the taxpayer is not doing business in the state of the destination of the shipment.

(2) In the case of a railroad or interurban railway enterprise, the numerator of the fraction shall not be less than the allocation of revenues to this state as shown in its annual report to the Corporation Commission.

(3) In the case of an airline, truck or bus enterprise or freight car, tank car, refrigerator car or other railroad equipment enterprise, the numerator of the fraction shall include a portion of revenue from interstate transportation in the proportion that interstate mileage traveled in Oklahoma bears to total interstate mileage traveled.

(4) In the case of an oil, gasoline or gas pipeline enterprise, the numerator of the fraction shall be either the total of traffic units of the enterprise within Oklahoma or the revenue allocated to Oklahoma based upon miles moved, at

the option of the taxpayer, and the denominator of which shall be the total of traffic units of the enterprise or the revenue of the enterprise everywhere as appropriate to the numerator. A "traffic unit" is hereby defined as the transportation for a distance of one (1) mile of one (1) barrel of oil, one (1) gallon of gasoline or one thousand (1,000) cubic feet of natural or casinghead gas, as the case may be.

(5) In the case of a telephone or telegraph or other communication enterprise, the numerator of the fraction shall include that portion of the interstate revenue as is allocated pursuant to the accounting procedures prescribed by the Federal Communications Commission; provided that in respect to each corporation or business entity required by the Federal Communications Commission to keep its books and records in accordance with a uniform system of accounts prescribed by such Commission, the intrastate net income shall be determined separately in the manner provided by such uniform system of accounts and only the interstate income shall be subject to allocation pursuant to the provisions of this subsection.

Provided further, that the gross revenue factors shall be those as are determined pursuant to the accounting procedures prescribed by the Federal Communications Commission.

In any case where the apportionment of the three factors prescribed in this paragraph attributes to ~~Oklahoma~~ this state a portion of net income of the enterprise out of all appropriate proportion to the property owned and/or business transacted within this state, because of the fact that one or more of the factors so prescribed are not employed to any appreciable extent in furtherance of the enterprise; or because one or more factors not so prescribed are employed to a considerable extent in furtherance of the enterprise; or because of other reasons, the Tax Commission is empowered to permit, after a showing by taxpayer that an excessive portion of net income has been attributed to ~~Oklahoma~~ this state, or require, when in its judgment an insufficient portion of net income has been attributed to ~~Oklahoma~~ this state, the elimination, substitution, or use of additional factors, or reduction or increase in the weight of such prescribed factors. Provided, however, that any such variance from such prescribed factors which has the effect of increasing the portion of net income attributable to ~~Oklahoma~~ this state must not be inherently arbitrary, and application of the recomputed final apportionment to the net income of the enterprise must attribute to ~~Oklahoma~~ this state only a reasonable portion thereof.

6. For calendar years 1997 and 1998, the owner of a new or expanded agricultural commodity processing facility in this state may exclude from Oklahoma taxable income, or in the case of an individual, the Oklahoma adjusted gross income, fifteen percent (15%) of the investment by the owner in the new or expanded agricultural commodity processing facility. For calendar year 1999, and all subsequent years, the percentage, not to exceed fifteen percent (15%), available to the owner of a new or expanded agricultural commodity processing facility in this state claiming the exemption shall be adjusted annually so that the total estimated reduction in tax liability does not exceed One Million Dollars ($1,000,000.00) annually. The Tax Commission shall promulgate rules for determining the percentage of the investment which each eligible taxpayer may exclude. The exclusion provided by this paragraph shall be taken in the taxable year when the investment is made. In the event the total reduction in tax liability authorized by this paragraph exceeds One Million Dollars ($1,000,000.00) in any calendar year, the Tax Commission shall permit any excess over One Million Dollars ($1,000,000.00) and shall factor such excess into the percentage for subsequent years. Any amount of the exemption permitted to be excluded pursuant to the provisions of this paragraph but not used in any year may be carried forward as an

exemption from income pursuant to the provisions of this paragraph for a period not exceeding six (6) years following the year in which the investment was originally made.

For purposes of this paragraph:

a. "Agricultural commodity processing facility" means ~~building~~ buildings, structures, fixtures and improvements used or operated primarily for the processing or production of marketable products from agricultural commodities. The term shall also mean a dairy operation that requires a depreciable investment of at least Two Hundred Fifty Thousand Dollars ($250,000.00) and which produces milk from dairy cows. The term does not include a facility that provides only, and nothing more than, storage, cleaning, drying or transportation of agricultural commodities, and

b. "Facility" means each part of the facility which is used in a process primarily for:

(1) the processing of agricultural commodities, including receiving or storing agricultural commodities, or the production of milk at a dairy operation,

(2) transporting the agricultural commodities or product before, during or after the processing, or

(3) packaging or otherwise preparing the product for sale or shipment.

7. Despite any provision to the contrary in paragraph 3 of this subsection, for taxable years beginning after December 31, 1999, in the case of a taxpayer which has a farming loss, such farming loss shall be considered a net operating loss carryback in accordance with and to the extent of the Internal Revenue Code, 26 U.S.C., Section 172(b)(G). However, the amount of the net operating loss carryback shall not exceed the lesser of:

a. Sixty Thousand Dollars ($60,000.00), or

b. the loss properly shown on Schedule F of the Internal Revenue Service Form 1040 reduced by one-half (1/2) of the income from all other sources other than reflected on Schedule F.

8. In taxable years beginning after December 31, 1995, all qualified wages equal to the federal income tax credit set forth in 26 U.S.C.A., Section 45A, shall be deducted from taxable income. The deduction allowed pursuant to this paragraph shall only be permitted for the tax years in which the federal tax credit pursuant to 26 U.S.C.A., Section 45A, is allowed. For purposes of this paragraph, "qualified wages" means those wages used to calculate the federal credit pursuant to 26 U.S.C.A., Section 45A.

9. In taxable years beginning after December 31, 2005, an employer that is eligible for and utilizes the Safety Pays OSHA

Consultation Service provided by the Oklahoma Department of Labor shall receive an exemption from taxable income in the amount of One Thousand Dollars ($1,000.00) for the tax year that the service is utilized.

10. For taxable years beginning on or after January 1, 2010, there shall be added to Oklahoma taxable income an amount equal to the amount of deferred income not included in such taxable income pursuant to Section 108(i)(1) of the Internal Revenue Code of 1986 as amended by Section 1231 of the American Recovery and Reinvestment Act of 2009 (P.L. No. 111-5). There shall be subtracted from Oklahoma taxable income an amount equal to the amount of deferred income included in such taxable income pursuant to Section 108(i)(1) of the Internal Revenue Code by Section 1231 of the American Recovery and Reinvestment Act of 2009 (P.L. No. 111-5).

11. For taxable years beginning on or after January 1, 2019, there shall be subtracted from Oklahoma taxable income or adjusted gross income any item of income or gain, and there shall be added to Oklahoma taxable income or adjusted gross income any item of loss or deduction that in the absence of an election pursuant to the provisions of the Pass-Through Entity Tax Equity Act of 2019 would be allocated to a member or to an indirect member of an electing pass-through entity pursuant to Section 2351 et seq. of this title, if (i) the electing pass-through entity has accounted for such item in computing its Oklahoma net entity income or loss pursuant to the

provisions of the Pass-Through Entity Tax Equity Act of 2019, and (ii) the total amount of tax attributable to any resulting Oklahoma net entity income has been paid. The Oklahoma Tax Commission shall promulgate rules for the reporting of such exclusion to direct and indirect members of the electing pass-through entity. As used in this paragraph, "electing pass-through entity", "indirect member", and "member" shall be defined in the same manner as prescribed by Section 2355.1P-2 of this title. Notwithstanding the application of this paragraph, the adjusted tax basis of any ownership interest in a pass-through entity for purposes of Section 2351 et seq. of this title shall be equal to its adjusted tax basis for federal income tax purposes.

<u>12. For tax year 2025 and subsequent tax years, an employer providing paid leave to an employee for the purpose of volunteering as a poll worker with a county election board in this state shall receive an exemption from taxable income in the amount of One Hundred Dollars ($100.00) for each day of leave provided in the tax year. The employer shall provide documentation from the applicable county election board showing the employee volunteered, upon request of the Oklahoma Tax Commission.</u>

B. 1. The taxable income of any corporation shall be further adjusted to arrive at Oklahoma taxable income, except those corporations electing treatment as provided in subchapter S of the Internal Revenue Code, 26 U.S.C., Section 1361 et seq., and Section

2365 of this title, deductions pursuant to the provisions of the Accelerated Cost Recovery System as defined and allowed in the Economic Recovery Tax Act of 1981, Public Law 97-34, 26 U.S.C., Section 168, for depreciation of assets placed into service after December 31, 1981, shall not be allowed in calculating Oklahoma taxable income. Such corporations shall be allowed a deduction for depreciation of assets placed into service after December 31, 1981, in accordance with provisions of the Internal Revenue Code, 26 U.S.C., Section 1 et seq., in effect immediately prior to the enactment of the Accelerated Cost Recovery System. The Oklahoma tax basis for all such assets placed into service after December 31, 1981, calculated in this section shall be retained and utilized for all Oklahoma income tax purposes through the final disposition of such assets.

Notwithstanding any other provisions of the Oklahoma Income Tax Act, Section 2351 et seq. of this title, or of the Internal Revenue Code to the contrary, this subsection shall control calculation of depreciation of assets placed into service after December 31, 1981, and before January 1, 1983.

For assets placed in service and held by a corporation in which ~~accelerated cost recovery system~~ the Accelerated Cost Recovery System was previously disallowed, an adjustment to taxable income is required in the first taxable year beginning after December 31, 1982, to reconcile the basis of such assets to the basis allowed in the Internal Revenue Code. The purpose of this adjustment is to equalize the basis and allowance for depreciation accounts between that reported to the Internal Revenue Service and that reported to ~~Oklahoma~~ this state.

2. For tax years beginning on or after January 1, 2009, and ending on or before December 31, 2009, there shall be added to Oklahoma taxable income any amount in excess of One Hundred Seventy-five Thousand Dollars ($175,000.00) which has been deducted as a small business expense under Internal Revenue Code, Section 179 as provided in the American Recovery and Reinvestment Act of 2009.

C. 1. For taxable years beginning after December 31, 1987, the taxable income of any corporation shall be further adjusted to arrive at Oklahoma taxable income for transfers of technology to qualified small businesses located in ~~Oklahoma~~ this state. Such transferor corporation shall be allowed an exemption from taxable income of an amount equal to the amount of royalty payment received as a result of such transfer; provided, however, such amount shall not exceed ten percent (10%) of the amount of gross proceeds received by such transferor corporation as a result of the technology transfer. Such exemption shall be allowed for a period not to exceed ten (10) years from the date of receipt of the first royalty payment accruing from such transfer. No exemption may be claimed for transfers of technology to qualified small businesses made prior to January 1, 1988.

2. For purposes of this subsection:

a. "Qualified small business" means an entity, whether organized as a corporation, partnership, or proprietorship, organized for profit with its principal place of business located within this state and which meets the following criteria:

(1) Capitalization of not more than Two Hundred Fifty Thousand Dollars ($250,000.00),

(2) Having at least fifty percent (50%) of its employees and assets located in ~~Oklahoma~~ this state at the time of the transfer, and

(3) Not a subsidiary or affiliate of the transferor corporation;

b. "Technology" means a proprietary process, formula, pattern, device or compilation of scientific or technical information which is not in the public domain;

c. "Transferor corporation" means a corporation which is the exclusive and undisputed owner of the technology at the time the transfer is made; and

d. "Gross proceeds" means the total amount of consideration for the transfer of technology, whether the consideration is in money or otherwise.

D. 1. For taxable years beginning after December 31, 2005, the taxable income of any corporation, estate or trust, shall be further adjusted for qualifying gains receiving capital treatment. Such corporations, estates or trusts shall be allowed a deduction from Oklahoma taxable income for the amount of qualifying gains receiving capital treatment earned by the corporation, estate or trust during the taxable year and included in the federal taxable income of such corporation, estate or trust.

2. As used in this subsection:

a. "qualifying gains receiving capital treatment" means the amount of net capital gains, as defined in Section 1222(11) of the Internal Revenue Code, included in the federal income tax return of the corporation, estate or trust that result from:

(1) the sale of real property or tangible personal property located within ~~Oklahoma~~ this state that has been directly or indirectly owned by the corporation, estate or trust for a holding period of at least five (5) years prior to the date of the transaction from which such net capital gains arise,

(2) the sale of stock or on the sale of an ownership interest in an Oklahoma company, limited liability company, or partnership where such

stock or ownership interest has been directly or indirectly owned by the corporation, estate or trust for a holding period of at least three (3) years prior to the date of the transaction from which the net capital gains arise, or

(3) the sale of real property, tangible personal property or intangible personal property located within Oklahoma as part of the sale of all or substantially all of the assets of an Oklahoma company, limited liability company, or partnership where such property has been directly or indirectly owned by such entity owned by the owners of such entity, and used in or derived from such entity for a period of at least three (3) years prior to the date of the transaction from which the net capital gains arise,

b. "holding period" means an uninterrupted period of time. The holding period shall include any additional period when the property was held by another individual or entity, if such additional period is included in the taxpayer's holding period for the asset pursuant to the Internal Revenue Code,

c. "Oklahoma company", "limited liability company", or "partnership" means an entity whose primary headquarters have been located in Oklahoma for at least three (3) uninterrupted years prior to the date of the transaction from which the net capital gains arise,

d. "direct" means the taxpayer directly owns the asset, and

e. "indirect" means the taxpayer owns an interest in a pass-through entity (or chain of pass-through entities) that sells the asset that gives rise to the qualifying gains receiving capital treatment.

(1) With respect to sales of real property or tangible personal property located within ~~Oklahoma~~ this state, the deduction described in this subsection shall not apply unless the pass-through entity that makes the sale has held the property for not less than five (5) uninterrupted years prior to the date of the transaction that created the capital gain, and each pass-through entity included in the chain of ownership has been a member, partner, or shareholder of the pass-through entity in the tier immediately below it for an uninterrupted period of not less than five (5) years.

(2) With respect to sales of stock or ownership interest in or sales of all or substantially all of the assets of an Oklahoma company, limited liability company, or partnership, the deduction described in this subsection shall not apply unless the pass-through entity that makes the sale has held the stock or ownership interest or the assets for not less than three (3) uninterrupted years prior to the date of the transaction that created the capital gain, and each pass-through entity included in the chain of ownership has been a member, partner or shareholder of the pass-through entity in the tier immediately below it for an uninterrupted period of not less than three (3) years.

E. The Oklahoma adjusted gross income of any individual taxpayer shall be further adjusted as follows to arrive at Oklahoma taxable income:

1. a. In the case of individuals, there shall be added or deducted, as the case may be, the difference necessary to allow personal exemptions of One Thousand Dollars ($1,000.00) in lieu of the personal exemptions allowed by the Internal Revenue Code.

b. There shall be allowed an additional exemption of One Thousand Dollars ($1,000.00) for each taxpayer or spouse who is blind at the close of the tax year. For purposes of this subparagraph, an individual is blind only if the central visual acuity of the individual does not exceed 20/200 in the better eye with correcting lenses, or if the visual acuity of the individual is greater than 20/200, but is accompanied by a limitation in the fields of vision such that the widest diameter of the visual field subtends an angle no greater than twenty (20) degrees.

c. There shall be allowed an additional exemption of One Thousand Dollars ($1,000.00) for each taxpayer or spouse who is sixty-five (65) years of age or older at the close of the tax year based upon the filing status and federal adjusted gross income of the taxpayer. Taxpayers with the following filing status may claim this exemption if the federal adjusted gross income does not exceed:

(1) Twenty-five Thousand Dollars ($25,000.00) if married and filing jointly,

(2) Twelve Thousand Five Hundred Dollars ($12,500.00) if married and filing separately,

(3) Fifteen Thousand Dollars ($15,000.00) if single, and

(4) Nineteen Thousand Dollars ($19,000.00) if a qualifying head of household.

Provided, for taxable years beginning after December 31, 1999, amounts included in the calculation of federal adjusted gross income pursuant to the conversion of a traditional individual retirement account to a Roth individual retirement account shall be excluded from federal adjusted gross income for purposes of the income thresholds provided in this subparagraph.

2. a. For taxable years beginning on or before December 31, 2005, in the case of individuals who use the standard deduction in determining taxable income, there shall be added or deducted, as the case may be, the difference necessary to allow a standard deduction in lieu of the standard deduction allowed by the Internal Revenue Code, in an amount equal to the larger of fifteen percent (15%) of the Oklahoma adjusted gross income or One Thousand Dollars ($1,000.00), but not to exceed Two Thousand Dollars ($2,000.00), except that in the case of a married individual filing a separate return such deduction shall be the larger of fifteen

percent (15%) of such Oklahoma adjusted gross income or Five Hundred Dollars ($500.00), but not to exceed the maximum amount of One Thousand Dollars ($1,000.00).

b. For taxable years beginning on or after January 1, 2006, and before January 1, 2007, in the case of individuals who use the standard deduction in determining taxable income, there shall be added or deducted, as the case may be, the difference necessary to allow a standard deduction in lieu of the standard deduction allowed by the Internal Revenue Code, in an amount equal to:

(1) Three Thousand Dollars ($3,000.00), if the filing status is married filing joint, head of household or qualifying widow, or

(2) Two Thousand Dollars ($2,000.00), if the filing status is single or married filing separate.

c. For the taxable year beginning on January 1, 2007, and ending December 31, 2007, in the case of individuals who use the standard deduction in determining taxable income, there shall be added or deducted, as the case may be, the difference necessary to allow a standard deduction in lieu of the standard deduction allowed by the Internal Revenue Code, in an amount equal to:

(1) Five Thousand Five Hundred Dollars ($5,500.00), if the filing status is married filing joint or qualifying widow, or

(2) Four Thousand One Hundred Twenty-five Dollars ($4,125.00) for a head of household, or

(3) Two Thousand Seven Hundred Fifty Dollars ($2,750.00), if the filing status is single or married filing separate.

d. For the taxable year beginning on January 1, 2008, and ending December 31, 2008, in the case of individuals who use the standard deduction in determining taxable income, there shall be added or deducted, as the case may be, the difference necessary to allow a standard deduction in lieu of the standard deduction allowed by the Internal Revenue Code, in an amount equal to:

(1) Six Thousand Five Hundred Dollars ($6,500.00), if the filing status is married filing joint or qualifying widow,

(2) Four Thousand Eight Hundred Seventy-five Dollars ($4,875.00) for a head of household, or

(3) Three Thousand Two Hundred Fifty Dollars ($3,250.00), if the filing status is single or married filing separate.

e. For the taxable year beginning on January 1, 2009, and ending December 31, 2009, in the case of individuals who use the standard deduction in determining taxable income, there shall be added or deducted, as the case may be, the difference necessary to allow a standard deduction in lieu of the standard deduction allowed by the Internal Revenue Code, in an amount equal to:

(1) Eight Thousand Five Hundred Dollars ($8,500.00), if the filing status is married filing joint or qualifying widow,

(2) Six Thousand Three Hundred Seventy-five Dollars ($6,375.00) for a head of household, or

(3) Four Thousand Two Hundred Fifty Dollars ($4,250.00), if the filing status is single or married filing separate.

Oklahoma adjusted gross income shall be increased by any amounts paid for motor vehicle excise taxes which were deducted as allowed by the Internal Revenue Code.

f. For taxable years beginning on or after January 1, 2010, and ending on December 31, 2016, in the case of individuals who use the standard deduction in determining taxable income, there shall be added or deducted, as the case may be, the difference necessary to allow a standard deduction equal to the standard deduction allowed by the Internal Revenue Code, based upon the amount and filing status prescribed by such Code for purposes of filing federal individual income tax returns.

g. For taxable years beginning on or after January 1, 2017, in the case of individuals who use the standard deduction in determining taxable income, there shall be added or deducted, as the case may be, the difference necessary to allow a standard deduction in lieu of the standard deduction allowed by the Internal Revenue Code, as follows:

(1) Six Thousand Three Hundred Fifty Dollars ($6,350.00) for single or married filing separately,

(2) Twelve Thousand Seven Hundred Dollars ($12,700.00) for married filing jointly or qualifying widower with dependent child, and

(3) Nine Thousand Three Hundred Fifty Dollars ($9,350.00) for head of household.

3. a. In the case of resident and part-year resident individuals having adjusted gross income from sources both within and without the state, the itemized or standard deductions and personal exemptions shall be reduced to an amount which is the same portion of the

total thereof as Oklahoma adjusted gross income is of adjusted gross income. To the extent itemized deductions include allowable moving expense, proration of moving expense shall not be required or permitted but allowable moving expense shall be fully deductible for those taxpayers moving within or into ~~Oklahoma~~ this state and no part of moving expense shall be deductible for those taxpayers moving without or out of ~~Oklahoma~~ this state. All other itemized or standard deductions and personal exemptions shall be subject to proration as provided by law.

b. For taxable years beginning on or after January 1, 2018, the net amount of itemized deductions allowable on an Oklahoma income tax return, subject to the provisions of paragraph 24 of this subsection, shall not exceed Seventeen Thousand Dollars ($17,000.00). For purposes of this subparagraph, charitable contributions and medical expenses deductible for federal income tax purposes shall be excluded from the amount of Seventeen Thousand Dollars ($17,000.00) as specified by this subparagraph.

4. A resident individual with a physical disability constituting a substantial handicap to employment may deduct from Oklahoma adjusted gross income such expenditures to modify a motor

vehicle, home or workplace as are necessary to compensate for his or her handicap. A veteran certified by the Department of Veterans Affairs of the federal government as having a service-connected disability shall be conclusively presumed to be an individual with a physical disability constituting a substantial handicap to employment. The Tax Commission shall promulgate rules containing a list of combinations of common disabilities and modifications which may be presumed to qualify for this deduction. The Tax Commission shall prescribe necessary requirements for verification.

5. a. Before July 1, 2010, the first One Thousand Five Hundred Dollars ($1,500.00) received by any person from the United States as salary or compensation in any form, other than retirement benefits, as a member of any component of the Armed Forces of the United States shall be deducted from taxable income.

b. On or after July 1, 2010, one hundred percent (100%) of the income received by any person from the United States as salary or compensation in any form, other than retirement benefits, as a member of any component of the Armed Forces of the United States shall be deducted from taxable income.

c. Whenever the filing of a timely income tax return by a member of the Armed Forces of the United States is made impracticable or impossible of accomplishment by reason of:

(1) absence from the United States, which term includes only the states and the District of Columbia,

(2) absence from ~~the State of Oklahoma~~ this state while on active duty, or

(3) confinement in a hospital within the United States for treatment of wounds, injuries or disease,

the time for filing a return and paying an income tax shall be and is hereby extended without incurring liability for interest or penalties, to the fifteenth day of the third month following the month in which:

(a) Such individual shall return to the United States if the extension is granted pursuant to subparagraph a of this paragraph, return to ~~the State of Oklahoma~~ this state if the extension is granted pursuant to subparagraph b of this paragraph or be discharged from such hospital if the extension is granted pursuant to subparagraph c of this paragraph, or

(b) An executor, administrator, or conservator of the estate of the taxpayer is appointed, whichever event occurs the earliest.

Provided, that the Tax Commission may, in its discretion, grant any member of the Armed Forces of the United States an extension of time for filing of income tax returns and payment of income tax without incurring liabilities for interest or penalties. Such extension may be granted only when in the judgment of the Tax Commission a good cause exists therefor and may be for a period in excess of six (6) months. A record of every such extension granted, and the reason therefor, shall be kept.

6. Before July 1, 2010, the salary or any other form of compensation, received from the United States by a member of any component of the Armed Forces of the United States, shall be deducted from taxable income during the time in which the person is detained by the enemy in a conflict, is a prisoner of war or is missing in action and not deceased; provided, after July 1, 2010, all such salary or compensation shall be subject to the deduction as provided pursuant to paragraph 5 of this subsection.

7. a. An individual taxpayer, whether resident or nonresident, may deduct an amount equal to the federal income taxes paid by the taxpayer during the taxable year.

b. Federal taxes as described in subparagraph a of this paragraph shall be deductible by any individual taxpayer, whether resident or nonresident, only to the extent they relate to income subject to taxation pursuant to the provisions of the Oklahoma Income Tax Act. The maximum amount allowable in the preceding paragraph shall be prorated on the ratio of the Oklahoma adjusted gross income to federal adjusted gross income.

c. For the purpose of this paragraph, "federal income taxes paid" shall mean federal income taxes, surtaxes imposed on incomes or excess profits taxes, as though the taxpayer was on the accrual basis. In determining the amount of deduction for federal income taxes for tax year 2001, the amount of the deduction shall not be adjusted by the amount of any accelerated ten percent (10%) tax rate bracket credit or advanced refund of the credit received during the tax year provided pursuant to the federal Economic Growth and Tax Relief Reconciliation Act of 2001, P.L. No. 107-16, and the advanced refund of such credit shall not be subject to taxation.

d. The provisions of this paragraph shall apply to all taxable years ending after December 31, 1978, and beginning before January 1, 2006.

8. Retirement benefits not to exceed Five Thousand Five Hundred Dollars ($5,500.00) for the 2004 tax year, Seven Thousand Five Hundred Dollars ($7,500.00) for the 2005 tax year and Ten Thousand Dollars ($10,000.00) for the 2006 tax year and all subsequent tax years, which are received by an individual from the civil service of the United States, the Oklahoma Public Employees Retirement System, the Teachers' Retirement System of Oklahoma, the Oklahoma Law Enforcement Retirement System, the Oklahoma Firefighters Pension and Retirement System, the Oklahoma Police Pension and Retirement System, the employee retirement systems created by counties pursuant to Section 951 et seq. of Title 19 of the Oklahoma Statutes, the Uniform Retirement System for Justices and Judges, the Oklahoma Wildlife Conservation Department Retirement Fund, the Oklahoma Employment Security Commission Retirement Plan, or the employee retirement systems created by municipalities pursuant to Section 48-101 et seq. of Title 11 of the Oklahoma Statutes shall be exempt from taxable income.

9. In taxable years beginning after December 31, 1984, Social Security benefits received by an individual shall be exempt from taxable income, to the extent such benefits are included in the

federal adjusted gross income pursuant to the provisions of Section 86 of the Internal Revenue Code, 26 U.S.C., Section 86.

10. For taxable years beginning after December 31, 1994, lump-sum distributions from employer plans of deferred compensation, which are not qualified plans within the meaning of Section 401(a) of the Internal Revenue Code, 26 U.S.C., Section 401(a), and which are deposited in and accounted for within a separate bank account or brokerage account in a financial institution within this state, shall be excluded from taxable income in the same manner as a qualifying rollover contribution to an individual retirement account within the meaning of Section 408 of the Internal Revenue Code, 26 U.S.C., Section 408. Amounts withdrawn from such bank or brokerage account, including any earnings thereon, shall be included in taxable income when withdrawn in the same manner as withdrawals from individual retirement accounts within the meaning of Section 408 of the Internal Revenue Code.

11. In taxable years beginning after December 31, 1995, contributions made to and interest received from a medical savings account established pursuant to Sections 2621 through 2623 of Title 63 of the Oklahoma Statutes shall be exempt from taxable income.

12. For taxable years beginning after December 31, 1996, the Oklahoma adjusted gross income of any individual taxpayer who is a swine or poultry producer may be further adjusted for the deduction for depreciation allowed for new construction or expansion costs

which may be computed using the same depreciation method elected for federal income tax purposes except that the useful life shall be seven (7) years for purposes of this paragraph. If depreciation is allowed as a deduction in determining the adjusted gross income of an individual, any depreciation calculated and claimed pursuant to this section shall in no event be a duplication of any depreciation allowed or permitted on the federal income tax return of the individual.

13. a. In taxable years beginning before January 1, 2005, retirement benefits not to exceed the amounts specified in this paragraph, which are received by an individual sixty-five (65) years of age or older and whose Oklahoma adjusted gross income is Twenty-five Thousand Dollars ($25,000.00) or less if the filing status is single, head of household, or married filing separate, or Fifty Thousand Dollars ($50,000.00) or less if the filing status is married filing joint or qualifying widow, shall be exempt from taxable income. In taxable years beginning after December 31, 2004, retirement benefits not to exceed the amounts specified in this paragraph, which are received by an individual whose Oklahoma adjusted gross income is less than the qualifying amount specified in this paragraph, shall be exempt from taxable income.

b. For purposes of this paragraph, the qualifying amount shall be as follows:

(1) in taxable years beginning after December 31, 2004, and prior to January 1, 2007, the qualifying amount shall be Thirty-seven Thousand Five Hundred Dollars ($37,500.00) or less if the filing status is single, head of household, or married filing separate, or Seventy-five Thousand Dollars ($75,000.00) or less if the filing status is married filing jointly or qualifying widow,

(2) in the taxable year beginning January 1, 2007, the qualifying amount shall be Fifty Thousand Dollars ($50,000.00) or less if the filing status is single, head of household, or married filing separate, or One Hundred Thousand Dollars ($100,000.00) or less if the filing status is married filing jointly or qualifying widow,

(3) in the taxable year beginning January 1, 2008, the qualifying amount shall be Sixty-two Thousand Five Hundred Dollars ($62,500.00) or less if the filing status is single, head of household, or married filing separate, or One Hundred Twenty-five Thousand Dollars ($125,000.00) or less if

the filing status is married filing jointly or qualifying widow,

(4) in the taxable year beginning January 1, 2009, the qualifying amount shall be One Hundred Thousand Dollars ($100,000.00) or less if the filing status is single, head of household, or married filing separate, or Two Hundred Thousand Dollars ($200,000.00) or less if the filing status is married filing jointly or qualifying widow, and

(5) in the taxable year beginning January 1, 2010, and subsequent taxable years, there shall be no limitation upon the qualifying amount.

c. For purposes of this paragraph, "retirement benefits" means the total distributions or withdrawals from the following:

(1) an employee pension benefit plan which satisfies the requirements of Section 401 of the Internal Revenue Code, 26 U.S.C., Section 401,

(2) an eligible deferred compensation plan that satisfies the requirements of Section 457 of the Internal Revenue Code, 26 U.S.C., Section 457,

(3) an individual retirement account, annuity or trust or simplified employee pension that

satisfies the requirements of Section 408 of the Internal Revenue Code, 26 U.S.C., Section 408,

(4) an employee annuity subject to the provisions of Section 403(a) or (b) of the Internal Revenue Code, 26 U.S.C., Section 403(a) or (b),

(5) United States Retirement Bonds which satisfy the requirements of Section 86 of the Internal Revenue Code, 26 U.S.C., Section 86, or

(6) lump-sum distributions from a retirement plan which satisfies the requirements of Section 402(e) of the Internal Revenue Code, 26 U.S.C., Section 402(e).

d. The amount of the exemption provided by this paragraph shall be limited to Five Thousand Five Hundred Dollars ($5,500.00) for the 2004 tax year, Seven Thousand Five Hundred Dollars ($7,500.00) for the 2005 tax year and Ten Thousand Dollars ($10,000.00) for the tax year 2006 and for all subsequent tax years. Any individual who claims the exemption provided for in paragraph 8 of this subsection shall not be permitted to claim a combined total exemption pursuant to this paragraph and paragraph 8 of this subsection in an amount exceeding Five Thousand Five Hundred Dollars ($5,500.00) for the 2004 tax year, Seven Thousand Five

Hundred Dollars ($7,500.00) for the 2005 tax year and Ten Thousand Dollars ($10,000.00) for the 2006 tax year and all subsequent tax years.

14. In taxable years beginning after December 31, 1999, for an individual engaged in production agriculture who has filed a Schedule F form with the taxpayer's federal income tax return for such taxable year, there shall be excluded from taxable income any amount which was included as federal taxable income or federal adjusted gross income and which consists of the discharge of an obligation by a creditor of the taxpayer incurred to finance the production of agricultural products.

15. In taxable years beginning December 31, 2000, an amount equal to one hundred percent (100%) of the amount of any scholarship or stipend received from participation in the Oklahoma Police Corps Program, as established in Section 2-140.3 of Title 47 of the Oklahoma Statutes shall be exempt from taxable income.

16. a. In taxable years beginning after December 31, 2001, and before January 1, 2005, there shall be allowed a deduction in the amount of contributions to accounts established pursuant to the Oklahoma College Savings Plan Act. The deduction shall equal the amount of contributions to accounts, but in no event shall the deduction for each contributor exceed Two Thousand

Five Hundred Dollars ($2,500.00) each taxable year for each account.

b. In taxable years beginning after December 31, 2004, each taxpayer shall be allowed a deduction for contributions to accounts established pursuant to the Oklahoma College Savings Plan Act. The maximum annual deduction shall equal the amount of contributions to all such accounts plus any contributions to such accounts by the taxpayer for prior taxable years after December 31, 2004, which were not deducted, but in no event shall the deduction for each tax year exceed Ten Thousand Dollars ($10,000.00) for each individual taxpayer or Twenty Thousand Dollars ($20,000.00) for taxpayers filing a joint return. Any amount of a contribution that is not deducted by the taxpayer in the year for which the contribution is made may be carried forward as a deduction from income for the succeeding five (5) years. For taxable years beginning after December 31, 2005, deductions may be taken for contributions and rollovers made during a taxable year and up to April 15 of the succeeding year, or the due date of a taxpayer’s state income tax return, excluding extensions, whichever is later.

Provided, a deduction for the same contribution may not be taken for two (2) different taxable years.

c. In taxable years beginning after December 31, 2006, deductions for contributions made pursuant to subparagraph b of this paragraph shall be limited as follows:

(1) for a taxpayer who qualified for the five-year carryforward election and who takes a rollover or nonqualified withdrawal during that period, the tax deduction otherwise available pursuant to subparagraph b of this paragraph shall be reduced by the amount which is equal to the rollover or nonqualified withdrawal, and

(2) for a taxpayer who elects to take a rollover or nonqualified withdrawal within the same tax year in which a contribution was made to the taxpayer's account, the tax deduction otherwise available pursuant to subparagraph b of this paragraph shall be reduced by the amount of the contribution which is equal to the rollover or nonqualified withdrawal.

d. If a taxpayer elects to take a rollover on a contribution for which a deduction has been taken pursuant to subparagraph b of this paragraph within one (1) year of the date of contribution, the amount of such rollover shall be included in the adjusted gross income of the taxpayer in the taxable year of the rollover.

e. If a taxpayer makes a nonqualified withdrawal of contributions for which a deduction was taken pursuant to subparagraph b of this paragraph, such nonqualified withdrawal and any earnings thereon shall be included in the adjusted gross income of the taxpayer in the taxable year of the nonqualified withdrawal.

f. As used in this paragraph:

(1) “non-qualified withdrawal” means a withdrawal from an Oklahoma College Savings Plan account other than one of the following:

(a) a qualified withdrawal,

(b) a withdrawal made as a result of the death or disability of the designated beneficiary of an account,

(c) a withdrawal that is made on the account of a scholarship or the allowance or payment described in Section 135(d)(1)(B) or (C) or by the Internal Revenue Code, received by the designated beneficiary to the extent the amount of the refund does not exceed the amount of the scholarship, allowance, or payment, or

(d) a rollover or change of designated beneficiary as permitted by subsection F of Section 3970.7 of Title 70 of the Oklahoma Statutes, and

(2) "rollover" means the transfer of funds from the Oklahoma College Savings Plan to any other plan under Section 529 of the Internal Revenue Code.

17. For tax years 2006 through 2021, retirement benefits received by an individual from any component of the Armed Forces of the United States in an amount not to exceed the greater of seventy-five percent (75%) of such benefits or Ten Thousand Dollars ($10,000.00) shall be exempt from taxable income but in no case less than the amount of the exemption provided by paragraph 13 of this subsection. For tax year 2022 and subsequent tax years, retirement benefits received by an individual from any component of the Armed Forces of the United States shall be exempt from taxable income.

18. For taxable years beginning after December 31, 2006, retirement benefits received by federal civil service retirees, including survivor annuities, paid in lieu of Social Security benefits shall be exempt from taxable income to the extent such benefits are included in the federal adjusted gross income pursuant

to the provisions of Section 86 of the Internal Revenue Code, 26 U.S.C., Section 86, according to the following schedule:

a. in the taxable year beginning January 1, 2007, twenty percent (20%) of such benefits shall be exempt,

b. in the taxable year beginning January 1, 2008, forty percent (40%) of such benefits shall be exempt,

c. in the taxable year beginning January 1, 2009, sixty percent (60%) of such benefits shall be exempt,

d. in the taxable year beginning January 1, 2010, eighty percent (80%) of such benefits shall be exempt, and

e. in the taxable year beginning January 1, 2011, and subsequent taxable years, one hundred percent (100%) of such benefits shall be exempt.

19. a. For taxable years beginning after December 31, 2007, a resident individual may deduct up to Ten Thousand Dollars ($10,000.00) from Oklahoma adjusted gross income if the individual, or the dependent of the individual, while living, donates one or more human organs of the individual to another human being for human organ transplantation. As used in this paragraph, "human organ" means all or part of a liver, pancreas, kidney, intestine, lung, or bone marrow. A deduction that is claimed under this paragraph may be

claimed in the taxable year in which the human organ transplantation occurs.

b. An individual may claim this deduction only once, and the deduction may be claimed only for unreimbursed expenses that are incurred by the individual and related to the organ donation of the individual.

c. The Oklahoma Tax Commission shall promulgate rules to implement the provisions of this paragraph which shall contain a specific list of expenses which may be presumed to qualify for the deduction. The Tax Commission shall prescribe necessary requirements for verification.

20. For taxable years beginning after December 31, 2009, there shall be exempt from taxable income any amount received by the beneficiary of the death benefit for an emergency medical technician or a registered emergency medical responder provided by Section 1-2505.1 of Title 63 of the Oklahoma Statutes.

21. For taxable years beginning after December 31, 2008, taxable income shall be increased by any unemployment compensation exempted under Section 85(c) of the Internal Revenue Code, 26 U.S.C., Section 85(c)(2009).

22. For taxable years beginning after December 31, 2008, there shall be exempt from taxable income any payment in an amount less than Six Hundred Dollars ($600.00) received by a person as an award

for participation in a competitive livestock show event. For purposes of this paragraph, the payment shall be treated as a scholarship amount paid by the entity sponsoring the event and the sponsoring entity shall cause the payment to be categorized as a scholarship in its books and records.

23. For taxable years beginning on or after January 1, 2016, taxable income shall be increased by any amount of state and local sales or income taxes deducted under 26 U.S.C., Section 164 of the Internal Revenue Code. If the amount of state and local taxes deducted on the federal return is limited, taxable income on the state return shall be increased only by the amount actually deducted after any such limitations are applied.

24. For taxable years beginning after December 31, 2020, each taxpayer shall be allowed a deduction for contributions to accounts established pursuant to the Achieving a Better Life Experience (ABLE) Program as established in Section 4001.1 et seq. of Title 56 of the Oklahoma Statutes. For any tax year, the deduction provided for in this paragraph shall not exceed Ten Thousand Dollars ($10,000.00) for an individual taxpayer or Twenty Thousand Dollars ($20,000.00) for taxpayers filing a joint return. Any amount of contribution not deducted by the taxpayer in the tax year for which the contribution is made may be carried forward as a deduction from income for up to five (5) tax years. Deductions may be taken for contributions made during the tax year and through April 15 of the

succeeding tax year, or through the due date of a taxpayer's state income tax return excluding extensions, whichever is later. Provided, a deduction for the same contribution may not be taken in more than one (1) tax year.

25. For tax year 2024 and subsequent tax years, tax credits received pursuant to the Oklahoma Parental Choice Tax Credit Act in Section 28-101 of Title 70 of the Oklahoma Statutes shall be exempt from taxable income.

F. 1. For taxable years beginning after December 31, 2004, a deduction from the Oklahoma adjusted gross income of any individual taxpayer shall be allowed for qualifying gains receiving capital treatment that are included in the federal adjusted gross income of such individual taxpayer during the taxable year.

2. As used in this subsection:

a. "qualifying gains receiving capital treatment" means the amount of net capital gains, as defined in Section 1222(11) of the Internal Revenue Code, included in an individual taxpayer's federal income tax return that result from:

(1) the sale of real property or tangible personal property located within Oklahoma that has been directly or indirectly owned by the individual taxpayer for a holding period of at least five

(5) years prior to the date of the transaction from which such net capital gains arise,

(2) the sale of stock or the sale of a direct or indirect ownership interest in an Oklahoma company, limited liability company, or partnership where such stock or ownership interest has been directly or indirectly owned by the individual taxpayer for a holding period of at least two (2) years prior to the date of the transaction from which the net capital gains arise, or

(3) the sale of real property, tangible personal property or intangible personal property located within ~~Oklahoma~~ this state as part of the sale of all or substantially all of the assets of an Oklahoma company, limited liability company, or partnership or an Oklahoma proprietorship business enterprise where such property has been directly or indirectly owned by such entity or business enterprise or owned by the owners of such entity or business enterprise for a period of at least two (2) years prior to the date of the transaction from which the net capital gains arise,

b. "holding period" means an uninterrupted period of time. The holding period shall include any additional period when the property was held by another individual or entity, if such additional period is included in the taxpayer's holding period for the asset pursuant to the Internal Revenue Code,

c. "Oklahoma company," "limited liability company," or "partnership" means an entity whose primary headquarters have been located in ~~Oklahoma~~ this state for at least three (3) uninterrupted years prior to the date of the transaction from which the net capital gains arise,

d. "direct" means the individual taxpayer directly owns the asset,

e. "indirect" means the individual taxpayer owns an interest in a pass-through entity (or chain of pass-through entities) that sells the asset that gives rise to the qualifying gains receiving capital treatment.

(1) With respect to sales of real property or tangible personal property located within ~~Oklahoma~~ this state, the deduction described in this subsection shall not apply unless the pass-through entity that makes the sale has held the property for not less than five (5) uninterrupted

years prior to the date of the transaction that created the capital gain, and each pass-through entity included in the chain of ownership has been a member, partner, or shareholder of the pass-through entity in the tier immediately below it for an uninterrupted period of not less than five (5) years.

(2) With respect to sales of stock or ownership interest in or sales of all or substantially all of the assets of an Oklahoma company, limited liability company, partnership or Oklahoma proprietorship business enterprise, the deduction described in this subsection shall not apply unless the pass-through entity that makes the sale has held the stock or ownership interest for not less than two (2) uninterrupted years prior to the date of the transaction that created the capital gain, and each pass-through entity included in the chain of ownership has been a member, partner or shareholder of the pass-through entity in the tier immediately below it for an uninterrupted period of not less than two (2) years. For purposes of this division, uninterrupted ownership prior to July 1, 2007,

shall be included in the determination of the required holding period prescribed by this division, and

f. "Oklahoma proprietorship business enterprise" means a business enterprise whose income and expenses have been reported on Schedule C or F of an individual taxpayer's federal income tax return, or any similar successor schedule published by the Internal Revenue Service and whose primary headquarters have been located in ~~Oklahoma~~ this state for at least three (3) uninterrupted years prior to the date of the transaction from which the net capital gains arise.

G. 1. For purposes of computing its Oklahoma taxable income under this section, the dividends-paid deduction otherwise allowed by federal law in computing net income of a real estate investment trust that is subject to federal income tax shall be added back in computing the tax imposed by this state under this title if the real estate investment trust is a captive real estate investment trust.

2. For purposes of computing its Oklahoma taxable income under this section, a taxpayer shall add back otherwise deductible rents and interest expenses paid to a captive real estate investment trust that is not subject to the provisions of paragraph 1 of this subsection. As used in this subsection:

a. the term “real estate investment trust” or “REIT” means the meaning ascribed to such term in Section 856 of the Internal Revenue Code,

b. the term “captive real estate investment trust” means a real estate investment trust, the shares or beneficial interests of which are not regularly traded on an established securities market and more than fifty percent (50%) of the voting power or value of the beneficial interests or shares of which are owned or controlled, directly or indirectly, or constructively, by a single entity that is:

(1) treated as an association taxable as a corporation under the Internal Revenue Code, and

(2) not exempt from federal income tax pursuant to the provisions of Section 501(a) of the Internal Revenue Code.

The term shall not include a real estate investment trust that is intended to be regularly traded on an established securities market, and that satisfies the requirements of Section 856(a)(5) and (6) of the U.S. Internal Revenue Code by reason of Section 856(h)(2) of the Internal Revenue Code,

c. the term “association taxable as a corporation” shall not include the following entities:

(1) any real estate investment trust as defined in paragraph a of this subsection other than a ~~"captive real estate investment trust"~~ captive real estate investment trust,

(2) any qualified real estate investment trust subsidiary under Section 856(i) of the Internal Revenue Code, other than a qualified REIT subsidiary of a ~~"captive real estate investment trust"~~ captive real estate investment trust,

(3) any ~~Listed~~ listed Australian ~~Property Trust~~ property trust (meaning an Australian unit trust registered as a ~~"Managed Investment Scheme"~~ "managed investment scheme" under the Australian Corporations Act 2001 in which the principal class of units is listed on a recognized stock exchange in Australia and is regularly traded on an established securities market), or an entity organized as a trust, provided that a ~~Listed~~ listed Australian ~~Property Trust~~ property trust owns or controls, directly or indirectly, seventy-five percent (75%) or more of the voting power or value of the beneficial interests or shares of such trust, or

(4) any ~~Qualified Foreign Entity~~ qualified foreign entity, meaning a corporation, trust, association or partnership organized outside the laws of the United States and which satisfies the following criteria:

(a) at least seventy-five percent (75%) of the entity's total asset value at the close of its taxable year is represented by real estate assets, as defined in Section 856(c)(5)(B) of the Internal Revenue Code, thereby including shares or certificates of beneficial interest in any real estate investment trust, cash and cash equivalents, and U.S. Government securities,

(b) the entity receives a dividend-paid deduction comparable to Section 561 of the Internal Revenue Code, or is exempt from entity level tax,

(c) the entity is required to distribute at least eighty-five percent (85%) of its taxable income, as computed in the jurisdiction in which it is organized, to the holders of its shares or certificates of beneficial interest on an annual basis,

(d) not more than ten percent (10%) of the voting power or value in such entity is held directly or indirectly or constructively by a single entity or individual, or the shares or beneficial interests of such entity are regularly traded on an established securities market, and

(e) the entity is organized in a country which has a tax treaty with the United States.

3. For purposes of this subsection, the constructive ownership rules of Section 318(a) of the Internal Revenue Code, as modified by Section 856(d)(5) of the Internal Revenue Code, shall apply in determining the ownership of stock, assets, or net profits of any person.

4. A real estate investment trust that does not become regularly traded on an established securities market within one (1) year of the date on which it first becomes a real estate investment trust shall be deemed not to have been regularly traded on an established securities market, retroactive to the date it first became a real estate investment trust, and shall file an amended return reflecting such retroactive designation for any tax year or part year occurring during its initial year of status as a real estate investment trust. For purposes of this subsection, a real estate investment trust becomes a real estate investment trust on

the first day it has both met the requirements of Section 856 of the Internal Revenue Code and has elected to be treated as a real estate investment trust pursuant to Section 856(c)(1) of the Internal Revenue Code.

SECTION 130. REPEALER 68 O.S. 2021, Section 2358, as last amended by Section 1, Chapter 166, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2358), is hereby repealed.

SECTION 131. REPEALER 68 O.S. 2021, Section 2358, as last amended by Section 2, Chapter 277, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2358), is hereby repealed.

SECTION 132. AMENDATORY 68 O.S. 2021, Section 2902, as last amended by Section 1, Chapter 411, O.S.L. 2025 (68 O.S. Supp. 2025, Section 2902), is amended to read as follows:

Section 2902. A. Except as otherwise provided by subsection H of Section 3658 of this title pursuant to which the exemption authorized by this section may not be claimed, a qualifying manufacturing concern, as defined by Section 6B of Article X of the Oklahoma Constitution, and as further defined herein, shall be exempt from the levy of any ad valorem taxes upon new, expanded or acquired manufacturing facilities including facilities engaged in research and development, for a period of five (5) years. The provisions of Section 6B of Article X of the Oklahoma Constitution requiring an existing facility to have been unoccupied for a period of twelve (12) months prior to acquisition shall be construed as a qualification for a facility to initially receive an exemption, and shall not be deemed to be a qualification for that facility to continue to receive an exemption in each of the four (4) years following the initial year for which the exemption was granted. Such facilities are hereby classified for the purposes of taxation as provided in Section 22 of Article X of the Oklahoma Constitution.

B. For purposes of this section, the following definitions shall apply:

1. "Manufacturing facilities" means facilities engaged in the mechanical or chemical transformation of materials or substances into new products and except as provided by paragraph 6 of subsection C of this section shall include:

a. establishments which have received a manufacturer exemption permit pursuant to the provisions of Section 1359.2 of this title,

b. facilities including repair and replacement parts, primarily engaged in aircraft repair, building and rebuilding whether or not on a factory basis,

c. establishments primarily engaged in computer services and data processing as defined under Industrial Group Numbers 5112 and 5415, and U.S. Industry Number 334611 and 519130 of the NAICS Manual, latest revision, and which derive at least fifty percent (50%) of their annual gross revenues from the sale of a product or service to an out-of-state buyer or consumer, and as defined under Industrial Group Number 5182 of the NAICS Manual, latest revision, which derive at least eighty percent (80%) of their annual gross revenues from the sale of a product or service to an out-of-state buyer or consumer. Eligibility as a manufacturing facility pursuant to this subparagraph shall be established, subject to review by the Oklahoma Tax Commission, by annually filing an affidavit with the Tax Commission stating that the facility so qualifies and such other information as required by the Tax Commission. For purposes of determining whether annual gross revenues are derived from sales to out-of-state buyers, all sales to the federal government shall be considered to be an out-of-state buyer,

d. facilities that the investment cost of the construction, acquisition or expansion is Five Hundred Thousand Dollars ($500,000.00) or more with respect to assets placed into service during calendar year 2022. For subsequent calendar years, the investment required shall be increased annually by a percentage equal to the previous year’s increase in the Consumer Price Index-All Urban Consumers (“CPI-U”) and such adjusted amount shall be the required investment cost in order to qualify for the exemption authorized by this section. The Oklahoma Department of Commerce shall determine the amount of the increase, if any, on January 1 of each year. The Oklahoma Tax Commission shall publish on its website at least annually the adjusted dollar amount in order to qualify for the exemption authorized by this section and shall include the adjusted dollar amount in any of its relevant forms or publications with respect to the exemption. Provided, "investment cost" shall not include the cost of direct replacement, refurbishment, repair or maintenance of existing machinery or equipment, except that investment cost shall include capital expenditures for direct replacement, refurbishment, repair or maintenance of existing machinery or equipment that qualifies for depreciation and/or amortization pursuant to the Internal Revenue Code of 1986, as amended, and such expenditures shall be eligible as a part of an expansion that otherwise qualifies under this section,

e. establishments primarily engaged in distribution as defined under Industry Numbers 49311, 49312, 49313 and 49319 and Industry Sector Number 42 of the NAICS

Manual, latest revision, and which meet the following qualifications:

(1) construction with an initial capital investment of at least Five Million Dollars ($5,000,000.00),

(2) employment of at least one hundred (100) full-time-equivalent employees, as certified by the Oklahoma Employment Security Commission,

(3) payment of wages or salaries to its employees at a wage which equals or exceeds the average wage requirements in the Oklahoma Quality Jobs Program Act for the year in which the real property was placed into service, and

(4) commencement of construction on or after November 1, 2007, with construction to be completed within three (3) years from the date of the commencement of construction,

f. facilities engaged in the manufacturing, compounding, processing or fabrication of materials into articles of tangible personal property according to the special order of a customer (custom order manufacturing) by manufacturers classified as operating in North American Industry Classification System (NAICS) Sectors 32 and 33, but does not include such custom order manufacturing by manufacturers classified in other NAICS code sectors, and

g. with respect to any entity making an application for the exemption authorized by this section on or after January 1, 2023, the establishment making application for exempt treatment of real or personal property acquired or improved beginning January 1, 2022, and for any calendar year thereafter, the entity shall be required to pay new direct jobs, as defined by Section 3603 of this title for purposes of the Oklahoma Quality Jobs Program Act, an average annualized wage which equals or exceeds the average wage requirement in the Oklahoma Quality Jobs Program Act for the year in which the real or personal property was placed into service. The Oklahoma Tax Commission may request verification from the Oklahoma Department of Commerce that an establishment seeking an exemption for real or personal property pays an average annualized wage that equals or exceeds the average wage requirement in effect for the year in which the real or personal property was placed into service. For purposes of this subparagraph, it shall not be necessary for the establishment to qualify for incentive payments pursuant to the Oklahoma Quality Jobs Program Act, but the establishment shall be subject to the wage requirements of the Oklahoma Quality Jobs Program Act with respect to new direct jobs in order to qualify for the exempt treatment authorized by this section.

Eligibility as a manufacturing facility pursuant to this subparagraph shall be established, subject to review by the Tax Commission, by annually filing an affidavit with the Tax Commission stating that the facility so qualifies and containing such other information as required by the Tax Commission.

Provided, eating and drinking places, as well as other retail establishments, shall not qualify as manufacturing facilities for purposes of this section, nor shall centrally assessed properties.

Eligibility as a manufacturing facility pursuant to this subparagraph shall be established, subject to review by the Tax Commission, by annually filing an application with the Tax Commission stating that the facility so qualifies and containing such other information as required by the Tax Commission;

2. "Facility" and "facilities", except as otherwise provided by this section, means and includes the land, buildings, structures and improvements used directly and exclusively in the manufacturing process. Effective January 1, 2022, and for each calendar year thereafter, for establishments which have received a manufacturer exemption permit pursuant to the provisions of Section 1359.2 of this title, or facilities engaged in manufacturing activities

defined or classified in the NAICS Manual under Industry Nos. 311111 through 339999, inclusive, but for no other establishments, facility and facilities means and includes the land, buildings, structures, improvements, machinery, fixtures, equipment and other personal property used directly and exclusively in the manufacturing process; and

3. "Research and development" means activities directly related to and conducted for the purpose of discovering, enhancing, increasing or improving future or existing products or processes or productivity.

C. The following provisions shall apply:

1. A manufacturing concern shall be entitled to the exemption herein provided for each new manufacturing facility constructed, each existing manufacturing facility acquired and the expansion of existing manufacturing facilities on the same site, as such terms are defined by Section 6B of Article X of the Oklahoma Constitution and by this section;

2. No manufacturing concern shall receive more than one five-year exemption for any one manufacturing facility unless the expansion which qualifies the manufacturing facility for an additional five-year exemption meets the requirements of paragraph 4 of this subsection and the employment level established for any previous exemption is maintained;

3. Any exemption as to the expansion of an existing manufacturing facility shall be limited to the increase in ad valorem taxes directly attributable to the expansion;

4. All initial applications for any exemption for a new, acquired or expanded manufacturing facility shall be granted only if:

a. there is a net increase in annualized base payroll over the initial payroll of at least Two Hundred Fifty Thousand Dollars ($250,000.00) if the facility is located in a county with a population of fewer than seventy-five thousand (75,000), according to the most recent Federal Decennial Census, while maintaining or increasing base payroll in subsequent years, or at least One Million Dollars ($1,000,000.00) if the facility is located in a county with a population of seventy-five thousand (75,000) or more, according to the most recent Federal Decennial Census, while maintaining or increasing base payroll in subsequent years; provided, the payroll requirement of this subparagraph shall be waived for claims for exemptions including claims previously denied or on appeal on March 3, 2010, for all initial applications for exemption filed on or after January 1, 2004, and on or before March 31, 2009, and all subsequent annual exemption applications filed related to the initial application for exemption, for an applicant, if the facility has been located in Oklahoma for at least fifteen (15) years engaged in marine engine manufacturing as defined under U.S. Industry Number 333618 of the NAICS Manual, latest revision, and has maintained an average employment of five hundred (500) or more full-time-equivalent employees over a ten-year period. Any applicant that qualifies for the payroll requirement waiver as outlined in the previous sentence and subsequently closes its Oklahoma manufacturing plant prior to January 1, 2012, may be disqualified for exemption and subject to recapture. For an applicant engaged in paperboard manufacturing as defined under U.S. Industry Number 322130 of the NAICS Manual, latest revision, union master payouts paid by the buyer of the facility to specified individuals employed by the facility at the time of purchase, as specified under the purchase agreement, shall be excluded from payroll for purposes of this section.

In order to provide certainty with respect to investments in manufacturing facilities pertaining to all initial applications for exemption filed on or after January 1, 2016, the following definitions shall apply:

(1) "base payroll" shall mean total payroll adjusted for any nonrecurring bonuses, exercise of stock option or stock rights and other nonrecurring, extraordinary items included in total payroll, and

(2) "initial payroll" shall mean base payroll for the year immediately preceding the initial construction, acquisition or expansion.

The Tax Commission shall verify payroll information through the Oklahoma Employment Security Commission by using reports from the Oklahoma Employment Security Commission for the calendar year immediately preceding the year for which initial application is made for base-line payroll, which must be maintained or increased for each subsequent year; provided, a manufacturing facility shall have the option of excluding from its payroll, for purposes of this section:

i. payments to sole proprietors, members of a partnership, members of a limited liability company who own at least ten percent (10%) of the capital of the limited liability company or stockholder-employees of a corporation who own at least ten percent (10%) of the stock in the corporation, and

ii. any nonrecurring bonuses, exercise of stock option or stock rights or other nonrecurring, extraordinary items included in total payroll numbers as reported by the Oklahoma Employment Security Commission. A manufacturing facility electing either option shall indicate such election upon its application for an exemption under this section. Any manufacturing facility electing either option shall submit such information as the Tax Commission may require in order to verify payroll information. Payroll information submitted pursuant to the provisions of this paragraph shall be submitted to the Tax Commission and shall be subject to the provisions of Section 205 of this title, and

b. the facility offers, or will offer within one hundred eighty (180) days of the date of employment, a basic health benefits plan to the full-time-equivalent employees of the facility, which is determined by the Oklahoma Department of Commerce to consist of the elements specified in subparagraph b of paragraph 1 of subsection A of Section 3603 of this title or elements substantially equivalent thereto.

For purposes of this section, calculation of the amount of increased base payroll shall be measured from the start of initial construction or expansion to the completion of such construction or expansion or for three (3) years from the start of initial construction or expansion, whichever occurs first. The amount of increased base payroll shall include payroll for full-time-equivalent employees in this state who are employed by an entity other than the facility which has previously or is currently qualified to receive an exemption pursuant to the provisions of this section and who are leased or otherwise provided to the facility, if such employment did not exist in this state prior to the start of initial construction or expansion of the facility. The manufacturing concern shall submit an affidavit to the Tax Commission, signed by an officer, stating that the construction, acquisition or expansion of the facility will result in a net increase in the annualized base payroll as required by this paragraph and that full-time-equivalent employees of the facility are or will be offered a basic health benefits plan as required by this paragraph. If, after the completion of such construction or expansion or after three (3) years from the start of initial construction or expansion, whichever occurs first, the construction, acquisition or expansion has not resulted in a net increase in the amount of annualized base payroll, if required, or any other qualification specified in this paragraph has not been met, the manufacturing concern shall pay an amount equal to the amount of any exemption granted including penalties and interest thereon, to the Tax Commission for deposit to the Ad Valorem Reimbursement Fund;

5. Except as otherwise provided by this paragraph, any new, acquired or expanded computer data processing, data preparation or information processing services provider classified in U.S. Industry Number 518210 of the North American Industrial Classification System (NAICS) Manual, 2017 revision, may apply for exemptions under this section for each year in which new, acquired, or expanded capital improvements to the facility are made for assets placed in service not later than December 31, 2021, if:

a. there is a net increase in annualized payroll of the applicant at any facility or facilities of the applicant in this state of at least Two Hundred Fifty Thousand Dollars ($250,000.00), which is attributable to the capital improvements, or a net increase of

Seven Million Dollars ($7,000,000.00) or more in capital improvements, while maintaining or increasing payroll at the facility or facilities in this state which are included in the application, and

b. the facility offers, or will offer within one hundred eighty (180) days of the date of employment of new employees attributable to the capital improvements, a basic health benefits plan to the full-time-equivalent employees of the facility, which is determined by the Oklahoma Department of Commerce to consist of the elements specified in subparagraph b of paragraph 1 of subsection A of Section 3603 of this title or elements substantially equivalent thereto.

An establishment described by this paragraph, the primary business activity of which is described by Industry No. 518210 of the North American Industry Classification System (NAICS) Manual, 2017 revision, that has applied for and been granted an exemption for personal property at any time within five (5) years prior to November 1, 2021, may apply for exemptions for items of eligible personal property to be located within improvements to real property and such real property and improvements having been exempt from ad valorem taxation prior to November 1, 2021, pursuant to the provisions of this section if such personal property is placed in service not later than December 31, 2036. No additional personal property of such establishment placed in service after such date shall qualify for the exempt treatment otherwise authorized pursuant to this paragraph;

6. Effective January 1, 2017, an entity engaged in electric power generation by means of wind, as described by the North American Industry Classification System, No. 221119, shall not be defined as a qualifying manufacturing concern for purposes of the exemption otherwise authorized pursuant to Section 6B of Article X of the Oklahoma Constitution or qualify as a manufacturing facility as defined in this section. No initial application for exemption shall be filed by or accepted from an entity engaged in electric power generation by means of wind on or after January 1, 2018;

7. An entity or applicant engaged in an industry as defined under U.S. Industry Number 324110 of the NAICS Manual, latest revision, which has applied for or been granted an exemption for a time period which began on or after calendar year 2012 and before calendar year 2016 but which did not meet the payroll requirements of subparagraph a of paragraph 4 of this subsection because of nonrecurring bonuses, exercise of stock option or stock rights or other nonrecurring, extraordinary items included in total payroll in the previous year, shall be allowed an exemption, beginning with calendar year 2016, for the number of years including the calendar year for which the exemption was denied, remaining in the entity's five-year exemption period, provided such entity attains or

increases payroll at or above the initial or base payroll established for the exemption;

8. A facility engaged in manufacturing defined under U.S. Industry Number 327310 of the NAICS Manual shall have the payroll requirements of paragraph 4 of this subsection waived for tax year 2021, which is based in part on the 2020 calendar year payroll reported to the Oklahoma Employment Security Commission, and may continue to receive the exemption for the five-year period provided in this section only if all other requirements of this section are met; and

9. A facility engaged in manufacturing which otherwise qualifies for the exemption or exemptions pursuant to the provisions of this section shall have the payroll requirements of paragraph 4 of this subsection waived for tax year 2021, which is based in part on the 2020 calendar year payroll reported to the Oklahoma Employment Security Commission, and for tax year 2022, which is based in part on the 2021 calendar year payroll reported to the Oklahoma Employment Security Commission, and may continue to receive the exemption for the five-year period provided in this section only if all other requirements of this section are met. Provided, a facility engaged in manufacturing as defined under Industrial Group Number 3364 of the NAICS Manual, latest revision, which otherwise qualifies or qualified to receive the exemption for the five-year period provided in this section, including claims previously denied,

shall have the payroll requirements of paragraph 4 of this subsection waived for the five-year exemption period of those initial exemption applications filed after January 1, 2020, and before March 16, 2021.

D. 1. Except as provided in paragraph 2 of this subsection, the five-year period of exemption from ad valorem taxes for any qualifying manufacturing facility property shall begin on January 1 following the initial qualifying use of the property in the manufacturing process.

2. The five-year period of exemption from ad valorem taxes for any qualifying manufacturing facility, as specified in subparagraphs a and b of this paragraph, which is located within a tax incentive district created pursuant to the Local Development Act by a county having a population of at least five hundred thousand (500,000), according to the most recent Federal Decennial Census, shall begin on January 1 following the expiration or termination of the ad valorem exemption, abatement, or other incentive provided through the tax incentive district. Facilities qualifying pursuant to this subsection shall include:

a. a manufacturing facility as defined in subparagraph c of paragraph 1 of subsection B of this section, and

b. an establishment primarily engaged in distribution as defined under Industry Number 49311 of the North American Industry Classification System for which the initial capital investment was at least One Hundred Eighty Million Dollars ($180,000,000.00); provided, that the qualifying job creation and depreciable property investment occurred prior to calendar year 2017 but not earlier than calendar year 2013.

E. Any person, firm or corporation claiming the exemption herein provided for shall file each year for which exemption is claimed, an application therefor with the county assessor of the county in which the new, expanded or acquired facility is located. The application shall be on a form or forms prescribed by the Tax Commission, and shall be filed on or before March 15, except as provided in Section 2902.1 of this title, of each year in which the facility desires to take the exemption or within thirty (30) days from and after receipt by such person, firm or corporation of notice of valuation increase, whichever is later. In a case where completion of the facility or facilities will occur after January 1 of a given year, a facility may apply to claim the ad valorem tax exemption for that year. If such facility is found to be qualified for exemption, the ad valorem tax exemption provided for herein shall be granted for that entire year and shall apply to the ad valorem valuation as of January 1 of that given year. For applicants who qualify under the provisions of subparagraph b of paragraph 1 of subsection B of this section, the application shall include a copy of the affidavit and any other information required to be filed with the Tax Commission.

F. The application shall be examined by the county assessor and approved or rejected in the same manner as provided by law for approval or rejection of claims for homestead exemptions. The taxpayer shall have the same right of review by and appeal from the county board of equalization, in the same manner and subject to the same requirements as provided by law for review and appeals concerning homestead exemption claims. Approved applications shall be filed by the county assessor with the Tax Commission no later than June 15, except as provided in Section 2902.1 of this title, of the year in which the facility desires to take the exemption. Incomplete applications and applications filed after June 15 will be declared null and void by the Tax Commission. In the event that a taxpayer qualified to receive an exemption pursuant to the provisions of this section shall make payment of ad valorem taxes in excess of the amount due, the county treasurer shall have the authority to credit the taxpayer’s real or personal property tax overpayment against current taxes due. The county treasurer may establish a schedule of up to five (5) years of credit to resolve the overpayment.

G. Nothing herein shall in any manner affect, alter or impair any law relating to the assessment of property, and all property, real or personal, which may be entitled to exemption hereunder shall be valued and assessed as is other like property and as provided by law. The valuation and assessment of property for which an exemption is granted hereunder shall be performed by the Tax Commission using one or more of the cost, income and expense and sales comparison approaches to estimate fair cash value in accordance with the Uniform Standards of Professional Appraisal Practice.

H. For each year that a new, expanded, or acquired manufacturing facility receives an exemption pursuant to Section 6B of Article X of the Oklahoma Constitution, the entity shall provide to the Tax Commission a report detailing the number of new jobs created and the payroll data for new jobs created since the exemption was provided. The Tax Commission shall provide the data collected pursuant to this subsection to the Incentive Evaluation Commission for only evaluation purposes by the Commission or a designee.

I. The Tax Commission shall have the authority and duty to prescribe forms and to promulgate rules as may be necessary to carry out and administer the terms and provisions of this section.

SECTION 133. REPEALER 68 O.S. 2021, Section 2902, as last amended by Section 1, Chapter 204, O.S.L. 2025 (68 O.S. Supp. 2025, Section 2902), is hereby repealed.

SECTION 134. AMENDATORY 70 O.S. 2021, Section 6-194, as last amended by Section 5, Chapter 101, O.S.L. 2025 (70 O.S. Supp. 2025, Section 6-194), is amended to read as follows:

Section 6-194. A. The district boards of education of this state shall establish professional development programs for the certified teachers and administrators of the district. Programs shall be adopted by each board based upon recommendations of a professional development committee appointed by the board of education for the district.

B. Each professional development committee shall include classroom teachers, administrators, school counselors or licensed mental health providers, and parents, guardians, or custodians of children in the school district and shall consult with a higher education faculty. A majority of the members of the professional development committee shall be composed of classroom teachers. The teacher members shall be selected by a designated administrator of the school district from a list of names submitted by the teachers in the school district. The members selected shall be subject to the approval of a majority vote of the teachers in the district.

C. In developing program recommendations, each professional development committee shall annually utilize a data-driven approach to analyze student data and determine district and school professional development needs. The professional development programs adopted shall be directed toward development of competencies and instructional strategies in the core curriculum areas for the following goals:

1. Increasing the academic performance data scores for the district and each school site;

2. Closing achievement gaps among student subgroups;

3. Increasing student achievement as demonstrated on state-mandated tests and ~~the ACT~~ nationally norm-referenced college entrance exams;

4. Increasing high school graduation rates; and

5. Decreasing college remediation rates.

Each program may also include components on classroom management and student discipline strategies, outreach to parents, guardians, or custodians of students, special education, and racial and ethnic education, which all personnel defined as teachers in Section 1-116 of this title shall be required to complete at a frequency as determined by the board of education. The State Board of Education shall provide guidelines to assist school districts in developing and implementing racial and ethnic education components into professional development programs.

D. A program which includes the following information shall be completed the first year a certified teacher is employed by a school district, and then once every fifth academic year:

1. Training on recognition of child abuse and neglect;

2. Recognition of child sexual abuse;

3. Proper reporting of suspected abuse including the reporting requirements of Section 1-2-101 of Title 10A of the Oklahoma Statutes and Section 1210.163 of this title and associated penalties for failure to report; and

4. Available resources.

E. One time per year, beginning in the 2009-2010 school year, training in the area of autism shall be offered and all resident teachers of students in early childhood programs through grade three shall be required to complete the autism training during the resident year and at least one time every three (3) years thereafter. All other teachers and education support professionals of students in early childhood programs through grade three shall be required to complete the autism training at least one time every three (3) years. The autism training shall include a minimum awareness of the characteristics of autistic children, resources available and an introduction to positive behavior supports to challenging behavior. Each adopted program shall allow school counselors to receive at least one-third (1/3) of the hours or credit required each year through programs or courses specifically designed for school counselors.

Districts are authorized to utilize any means for professional development that is not prohibited by law including, but not limited to, professional development provided by the district, any state agency, institution of higher education, or any private entity.

F. One time per year, beginning in the 2020-2021 school year, a dyslexia awareness program shall be offered. Beginning in the 2023-2024 school year, the program shall include information and training in dysgraphia. At a minimum, the program shall include:

1. Training in awareness of dyslexia characteristics in students;

2. Training in effective classroom instruction to meet the needs of students with dyslexia; and

3. Available dyslexia resources for teachers, students and parents.

G. Except as otherwise provided for in this subsection, each certified teacher in this state shall be required by the district board of education to meet the professional development requirements established by the board, or established through the negotiation process. Except as otherwise provided for in this subsection, the professional development requirements established by each board of education shall require every teacher to annually complete a minimum number of the total number of points required to maintain employment; provided, no more than a total of one hundred fifty (150) hours of local, state, or federal professional development or training shall be required for classroom teachers during any five-year period. Failure of any teacher to meet district board of education professional development requirements may be grounds for nonrenewal of such teacher’s contract by the board. Such failure may also be grounds for nonconsideration of salary increments affecting the teacher. Teachers shall maintain written documentation of all their completed professional development.

H. Each district shall annually submit a report to the State Department of Education on the district level professional development needs, activities completed, expenditures, and results achieved for each school year by each goal as provided in subsection C of this section. If a school district elects not to adopt and offer a professional development program as provided for in subsection A of this section, the district shall not be required to submit an annual report as required pursuant to this subsection but shall report to the State Department of Education its election not to offer a program and all professional development activities completed by teachers and administrators of the school district.

I. Subject to the availability of funds, the Department shall develop an online system for reporting as required in subsection H of this section. The Department shall also make such information available on its website.

SECTION 135. REPEALER 70 O.S. 2021, Section 6-194, as last amended by Section 1, Chapter 277, O.S.L. 2025 (70 O.S. Supp. 2025, Section 6-194), is hereby repealed.

SECTION 136. AMENDATORY 70 O.S. 2021, Section 1210.163, as last amended by Section 3, Chapter 260, O.S.L. 2025 (70 O.S. Supp. 2025, Section 1210.163), is amended to read as follows:

Section 1210.163. A. Every school employee having reason to believe that a student under the age of eighteen (18) years is a victim of abuse or neglect shall report the matter immediately to the Department of Human Services and local law enforcement. Reports to the Department shall be made to the hotline provided for in Section 1-2-101 of Title 10A of the Oklahoma Statutes. Any allegation of abuse or neglect reported in any manner to a county office shall immediately be referred to the hotline by the Department.

B. Every school employee having reason to believe that a student age eighteen (18) years or older is a victim of abuse or neglect shall report the matter immediately to local law enforcement.

C. In reports required by subsection A or B of this section, local law enforcement shall keep confidential and redact any information identifying the reporting school employee unless otherwise ordered by the court. A school employee with knowledge of a report required by subsection A or B of this section shall not disclose information identifying the reporting school employee unless otherwise ordered by the court or as part of an investigation by local law enforcement or the Department.

D. Any superintendent or school administrator of a private school or public school district who knowingly and willfully fails to promptly report or interferes with the prompt reporting of abuse or neglect shall be subject to the penalties provided for in Section 2 of this act. As used in this subsection, "school administrator" means a principal, assistant principal, or any other person who serves in a supervisory or administrative capacity in a private school or public school district.

E. Every school employee shall annually sign an attestation acknowledging his or her responsibility to report suspected child abuse or neglect pursuant to this section and Section 1-2-101 of Title 10A of the Oklahoma Statutes.

F. For the purposes of this section, "child abuse and neglect" shall include, but not be limited to:

1. Child abuse as defined in Section 843.5 of Title 21 of the Oklahoma Statutes;

2. Sexual abuse or sexual exploitation as defined in Section 1-1-105 of Title 10A of the Oklahoma Statutes;

3. Contributing to the delinquency of a minor as ~~defined~~ described in Section 856 of Title 21 of the Oklahoma Statutes;

4. Trafficking in children, as defined in Section 866 of Title 21 of the Oklahoma Statutes;

5. Incest as described in Section 885 of Title 21 of the Oklahoma Statutes;

6. Forcible sodomy, as described in Section 888 of Title 21 of the Oklahoma Statutes;

7. Maliciously, forcibly or fraudulently taking or enticing a child away, as described in Section 891 of Title 21 of the Oklahoma Statutes;

8. Soliciting or aiding a minor child to perform or showing, exhibiting, loaning or distributing obscene material or child sexual abuse material, as described in Section 1021 of Title 21 of the Oklahoma Statutes;

9. Procuring or causing the participation of any minor child in any child sexual abuse material or knowingly possessing, procuring or manufacturing child sexual abuse material, as described in Section 1021.2 of Title 21 of the Oklahoma Statutes;

10. Permitting or consenting to the participation of a minor child in any child sexual abuse material, as described in Section 1021.3 of Title 21 of the Oklahoma Statutes;

11. Facilitating, encouraging, offering or soliciting sexual conduct with a minor, as described in Section 1040.13a of Title 21 of the Oklahoma Statutes;

12. Offering or offering to secure a minor child for the purposes of prostitution or any other lewd or indecent act, as described in Section 1087 of Title 21 of the Oklahoma Statutes;

13. Causing, inducing, persuading or encouraging a minor child to engage or continue to engage in prostitution, as described in Section 1088 of Title 21 of the Oklahoma Statutes;

14. Rape or rape by instrumentation, as described in Sections 1111.1 and 1114 of Title 21 of the Oklahoma Statutes;

15. Making any oral, written or electronically or computer-generated lewd or indecent proposals to a minor child under the age of sixteen (16) as described in Section 1123 of Title 21 of the Oklahoma Statutes; and

16. Sexual battery, when committed upon a person who is at least sixteen (16) years of age and is less than twenty (20) years of age and is a student, or in the legal custody or supervision of any public or private elementary or secondary school, or technology center school, by a person who is eighteen (18) years of age or older and is an employee of a private school or public school system.

SECTION 137. REPEALER 70 O.S. 2021, Section 1210.163, as last amended by Section 6, Chapter 101, O.S.L. 2025 (70 O.S. Supp. 2025, Section 1210.163), is hereby repealed.

SECTION 138. AMENDATORY 70 O.S. 2021, Section 2403, as amended by Section 3, Chapter 482, O.S.L. 2025 (70 O.S. Supp. 2025, Section 2403), is amended to read as follows:

Section 2403. A. No person shall be eligible to participate in the Oklahoma Rising Scholars Award Program unless the person:

1. Has complied with all of the rules promulgated by the Oklahoma State Regents for Higher Education pursuant to the provisions of the Oklahoma Rising Scholars Award Act, Section 2401

et seq. of this title, for the award, regulation, and administration of scholarships; and

2. Qualifies as one of the following:

a. an Individual Applicant Qualified Student, which shall mean a student who is a resident of ~~the State of Oklahoma~~ this state whose ~~American College Testing Program score or whose Scholastic Aptitude Test~~ score on a nationally norm-referenced college entrance exam falls within the 99.5 to 100.0 percentile levels as administered in ~~the State of Oklahoma~~ this state and whose grade point average and/or class rank is exceptional, as determined by the State Regents,

b. a Presidential Scholar, which shall mean a student selected by the Commission on Presidential Scholars administered by the United States Department of Education,

c. a National Merit Scholar, which shall mean a student designated as a National Merit Scholar by the National Merit Scholarship Corporation,

d. a National Merit Finalist, which shall mean a student designated as a National Merit Finalist by the National Merit Scholarship Corporation, or

e. after October 1, 1999, an Institutional Nominee, which shall mean a student nominated by an institution in The Oklahoma State System of Higher Education:

(1) whose ~~American College Testing Program or Scholastic Aptitude Test~~ score on a nationally norm-referenced college entrance exam falls within the 95.0 to 99.49 percentile levels, or

(2) who shows exceptional academic achievement as evidenced by factors, including, but not limited to, grade point average, class rank, national awards, scholastic achievements, honors, and who shows exceptional promise based on documentation that may include, but not be limited to, teacher recommendations, extracurricular activities, and evidence of overcoming economic and social obstacles as determined by the State Regents. The State Regents shall ensure that standards of high academic ability are documented. Scholarship awards to Institutional Nominees shall become effective when appropriate documentation is verified by the State Regents.

B. No person shall be eligible to receive a scholarship pursuant to the provisions of the Oklahoma Rising Scholars Award Program unless the person is enrolled as a full-time student at a public or private accredited institution of higher education in Oklahoma.

C. For a student who qualifies pursuant to subparagraphs a through d of paragraph 2 of subsection A of this section and subject to the availability of funds, the Oklahoma Rising Scholars Award Program shall provide a scholarship in an amount not to exceed the costs of all enrollment fees, tuition and other fees, room and board, and all required textbooks or materials for up to five (5) years of undergraduate and/or graduate study at an accredited public or private institution of higher education in Oklahoma. The State Regents may establish separate scholarship award levels for each qualifying category.

1. If the student is attending an institution within The Oklahoma State System of Higher Education, the total funding for the scholarship provided in this subsection, exclusive of any internships, shall not exceed the costs for items specified in this subsection at the institution attended as determined annually by the Oklahoma State Regents for Higher Education.

2. If the student is attending a private institution of higher education, the total funding for the scholarship provided in this subsection, exclusive of any internships, shall not exceed the costs for items specified in this subsection at an institution of The Oklahoma State System of Higher Education of comparable type which has the highest general enrollment fees of its type of institution

in The Oklahoma State System of Higher Education as determined annually by the Oklahoma State Regents for Higher Education.

D. For a student who qualifies pursuant to subparagraph e of paragraph 2 of subsection A of this section and subject to the availability of funds, the Oklahoma Rising Scholars Award Program shall provide a scholarship in an amount not to exceed the average costs of all enrollment fees and other fees, room and board, and all required textbooks or materials for up to five (5) years of undergraduate and/or graduate study at an accredited public or private institution of higher education in Oklahoma. The State Regents may establish separate scholarship award levels for each qualifying category.

1. If the student is attending an institution within The Oklahoma State System of Higher Education, the institution shall provide a tuition waiver not to exceed the average cost of tuition. The total funding for the scholarship and waiver provided for students attending an institution within The Oklahoma State System of Higher Education as provided in this subsection, exclusive of any internships, shall not exceed the costs for items specified in this subsection at the institution attended as determined annually by the Oklahoma State Regents for Higher Education.

2. If the student is attending a private institution of higher education in Oklahoma, the scholarship shall include an amount not to exceed the average cost of tuition. The total funding for

scholarships for students attending a private institution as provided in this subsection, exclusive of any internships, shall not exceed the costs for items specified in this subsection at an institution within The Oklahoma State System of Higher Education of comparable type which has the highest general enrollment fees of its type of institution in The Oklahoma State System of Higher Education as determined annually by the Oklahoma State Regents for Higher Education.

E. If a person identifies himself or herself as a student with a disability and requests consideration for a scholarship under the Oklahoma Rising Scholars Award Program by means other than standard testing procedures, the State Regents shall determine what means of assessment are appropriate and upon the basis of ~~said~~ such assessment results, determine what level of award, if any, shall be made.

SECTION 139. REPEALER 70 O.S. 2021, Section 2403, as amended by Section 6, Chapter 277, O.S.L. 2025 (70 O.S. Supp. 2025, Section 2403), is hereby repealed.

SECTION 140. AMENDATORY 74 O.S. 2021, Section 62.3, as amended by Section 1, Chapter 384, O.S.L. 2025 (74 O.S. Supp. 2025, Section 62.3), is amended to read as follows:

Section 62.3. A. The Director of the Office of Management and Enterprise Services shall promulgate rules for use by state agencies and the Office of Management and Enterprise Services to dispose of surplus property. The rules shall include standards for recordkeeping, methods for removal or disposal of surplus property, and acquisition by state agencies and authorized entities of surplus property, and for Office management of surplus property programs.

B. A state agency selling, trading, redistributing or otherwise disposing of surplus property shall comply with the rules promulgated by the Director.

C. The Office shall make surplus property available to state agencies and authorized entities, which shall include political subdivisions, school districts, and nonprofit entities of this state.

D. The provisions of the Oklahoma Surplus Property Act shall not apply to institutions of higher education in this state, the Oklahoma Historical Society, the University Hospitals Authority or University Hospitals Trust or the Northeast Oklahoma Public Facilities Authority. The Grand River Dam Authority shall be exempt from the provisions of the Oklahoma Surplus Property Act for any surplus property disposed of prior to November 1, 2006. ~~CompSource Oklahoma shall be exempt from the provisions of the Oklahoma Surplus Property Act if CompSource Oklahoma is operating pursuant to a pilot program authorized by Sections 3316 and 3317 of this title.~~

E. Notwithstanding the provisions of the Oklahoma Surplus Property Act, the Oklahoma State Bureau of Investigation may, pursuant to rules promulgated by the Oklahoma State Bureau of

Investigation Commission for that purpose, donate any surplus property, as defined in Section 62.2 of this title, to any law enforcement agency of any political subdivision of the State of Oklahoma. The use of such donated equipment shall be limited to valid and authorized law enforcement efforts by the receiving agency.

F. Notwithstanding the provisions of the Oklahoma Surplus Property Act, the Oklahoma Highway Patrol may, pursuant to rules promulgated by the Director of the Office of Management and Enterprise Services, donate surplus Oklahoma Highway Patrol vehicles driven over ninety thousand (90,000) miles to any law enforcement agency of any political subdivision of the State of Oklahoma in a county with a population of no more than one hundred thousand (100,000) residents. The use of such donated vehicles shall be limited to valid and authorized law enforcement efforts by the receiving agency.

SECTION 141. REPEALER 74 O.S. 2021, Section 62.3, as amended by Section 6, Chapter 199, O.S.L. 2025 (74 O.S. Supp. 2025, Section 62.3), is hereby repealed.

SECTION 142. REPEALER 74 O.S. 2021, Section 85.58A, as amended by Section 4, Chapter 245, O.S.L. 2024 (74 O.S. Supp. 2025, Section 85.58A), is hereby repealed.

SECTION 143. AMENDATORY 74 O.S. 2021, Section 902, as last amended by Section 1, Chapter 139, O.S.L. 2024 (74 O.S. Supp. 2025, Section 902), is amended to read as follows:

Section 902. As used in Section 901 et seq. of this title:

(1) "System" means the Oklahoma Public Employees Retirement System as established by Section 901 et seq. of this title and as it may hereafter be amended;

(2) "Accumulated contributions" means the sum of all contributions by a member to the System which shall be credited to the member's account;

(3) "Act" means Sections 901 to 932, inclusive, of this title;

(4) "Actuarial equivalent" means a deferred income benefit of equal value to the accumulated deposits or benefits when computed upon the basis of the actuarial tables in use by the System;

(5) "Actuarial tables" means the actuarial tables approved and in use by the Board at any given time;

(6) "Actuary" means the actuary or firm of actuaries employed by the Board at any given time;

(7) "Beneficiary" means any person named by a member to receive any benefits as provided for by Section 901 et seq. of this title. If there is no beneficiary living at time of member employee's death, the member's estate shall be the beneficiary;

(8) "Board" means the Oklahoma Public Employees Retirement System Board of Trustees;

(9) "Compensation" means all salary and wages, as defined by the Board of Trustees, including amounts deferred under deferred compensation agreements entered into between a member and a participating employer. Compensation shall not mean payment for overtime, payable to a member of the System for personal services performed for a participating employer, compensation or reimbursement for traveling, moving expenses, or any compensation in excess of the maximum compensation level, provided:

(a) For compensation for service prior to January 1, 1988, the maximum compensation level shall be Twenty-five Thousand Dollars ($25,000.00) per annum.

For compensation for service on or after January 1, 1988, through June 30, 1994, the maximum compensation level shall be Forty Thousand Dollars ($40,000.00) per annum.

For compensation for service on or after July 1, 1994, through June 30, 1995, the maximum compensation level shall be Fifty Thousand Dollars ($50,000.00) per annum; for compensation for service on or after July 1, 1995, through June 30, 1996, the maximum compensation level shall be Sixty Thousand Dollars ($60,000.00) per annum; for compensation for service on or after July 1, 1996, through June 30, 1997, the maximum compensation level shall be Seventy Thousand

Dollars ($70,000.00) per annum; and for compensation for service on or after July 1, 1997, through June 30, 1998, the maximum compensation level shall be Eighty Thousand Dollars ($80,000.00) per annum. For compensation for services on or after July 1, 1998, there shall be no maximum compensation level for retirement purposes.

(b) Compensation for retirement purposes shall include any amount of elective salary reduction under Section 457 of the Internal Revenue Code of 1986 and any amount of nonelective salary reduction under Section 414(h) of the Internal Revenue Code of 1986.

(c) Notwithstanding any provision to the contrary, the compensation taken into account for any employee in determining the contribution or benefit accruals for any plan year is subject to the annual compensation limit under Section 401(a)(17) of the federal Internal Revenue Code.

(d) Current appointed members of the Oklahoma Tax Commission whose salary is constitutionally limited and is less than the highest salary allowed by law for his or her position shall be allowed, within ninety (90) days from March 21, 2001, to make an election to use the highest salary allowed by law for the position to which the member was appointed for the purposes of making contributions and determination of retirement benefits. Such election shall be irrevocable and in writing. Reappointment to the same office shall not permit a new election. Members appointed to the Oklahoma Tax Commission after March 21, 2001, shall make such election, pursuant to this subparagraph, within ninety (90) days of taking office;

(10) "Credited service" means the sum of participating service, prior service and elected service;

(11) "Dependent" means a parent, child, or spouse of a member who is dependent upon the member for at least one-half (1/2) of the member's support;

(12) "Effective date" means the date upon which the System becomes effective by operation of law;

(13) "Eligible employer" means the state and any county, county hospital, city or town, conservation districts, circuit engineering districts and any public or private trust in which a county, city or town participates and is the primary beneficiary, whose employees are covered by Social Security and are not covered by or eligible for another retirement plan authorized under the laws of this state which is in operation on the initial entry date. Emergency medical service districts may join the System upon proper application to the

Board. Provided, affiliation by a county hospital shall be in the form of a resolution adopted by the board of control.

(a) If a class or several classes of employees of any above-defined employers are covered by Social Security and are not covered by or eligible for and will not become eligible for another retirement plan authorized under the laws of this state, which is in operation on the effective date, such employer shall be deemed an eligible employer, but only with respect to that class or those classes of employees as defined in this section.

(b) A class or several classes of employees who are covered by Social Security and are not covered by or eligible for and will not become eligible for another retirement plan authorized under the laws of this state, which is in operation on the effective date, and when the qualifications for employment in such class or classes are set by state law; and when such class or classes of employees are employed by a county or municipal government pursuant to such qualifications; and when the services provided by such employees are of such nature that they qualify for matching by or contributions from state or federal funds administered by an agency of state government which qualifies as a participating employer, then the agency of state government administering the state or federal funds shall be deemed an eligible employer, but only with respect to that class or those classes of employees as defined in this subsection; provided, that the required contributions to the retirement plan may be withheld from the contributions of state or federal funds administered by the state agency and transmitted to the System on the same basis as the employee and employer contributions are transmitted for the direct employees of the state agency. The retirement or eligibility for retirement under the provisions of law providing pensions for service as a volunteer firefighter shall not render any person ineligible for participation in the benefits provided for in Section 901 et seq. of this title. An employee of any public or private trust in which a county, city or town participates and is the primary beneficiary shall be deemed to be an eligible employee for the purpose of Section 901 et seq. of this title only.

(c) All employees of the George Nigh Rehabilitation Institute who elected to retain membership in the System, pursuant to Section 913.7 of this title, shall continue to be eligible employees for the purposes of

Section 901 et seq. of this title. The George Nigh Rehabilitation Institute shall be considered a participating employer only for such employees.

(d) All employees of CompSource Mutual Insurance Company who retain membership in the Oklahoma Public Employees Retirement System pursuant to Section 913.9 of this title shall continue to be eligible employees for the purposes of the Oklahoma Public Employees Retirement System. CompSource Mutual Insurance Company shall be considered a participating employer only for such employees.

(e) All employees of a successor organization, as defined by Section 5-60.12 of Title 2 of the Oklahoma Statutes, who retain membership in the Oklahoma Public Employees Retirement System pursuant to Section 5-60.35 of Title 2 of the Oklahoma Statutes shall continue to be eligible employees for the purposes of the Oklahoma Public Employees Retirement System. A successor organization shall be considered a participating employer only for such employees.

(f) A participating employer of the Teachers' Retirement System of Oklahoma, who has one or more employees who have made an election pursuant to enabling legislation to retain membership in the System as a result of change in administration, shall be considered a participating employer of the Oklahoma Public Employees Retirement System only for such employees;

(14) "Employee" means any officer or employee of a participating employer, whose employment is not seasonal or temporary and whose employment requires at least one thousand (1,000) hours of work per year and whose salary or wage is equal to the hourly rate of the monthly minimum wage for state employees. For those eligible employers outlined in Section 910 of this title, the rate shall be equal to the hourly rate of the monthly minimum wage for that employer. Each employer, whose minimum wage is less than the state's minimum wage, shall inform the System of the minimum wage for that employer. This notification shall be by resolution of the governing body.

(a) Any employee of the county extension agents who is not currently participating in the Teachers' Retirement System of Oklahoma shall be a member of this System.

(b) Eligibility shall not include any employee who is a contributing member of the United States Civil Service Retirement System.

(c) It shall be mandatory for an officer, appointee or employee of the office of district attorney to become a member of this System if he or she is not currently participating in a county retirement system. Provided further, that if an officer, appointee or employee of the office of district attorney is currently participating in such county retirement system, he or she is ineligible for this System as long as he or she is eligible for such county retirement system. Any eligible officer, appointee or employee of the office of district attorney shall be given credit for prior service as defined in this section. The provisions outlined in Section 917 of this title shall apply to those employees who have previously withdrawn their contributions.

(d) Eligibility shall also not include any officer or employee of the Oklahoma Employment Security Commission, except for those officers and employees of the Commission electing to transfer to this System pursuant to the provisions of Section 910.1 of this title or any other class of officers or employees specifically exempted by the laws of this state, unless there be a consolidation as provided by Section 912 of this title. Employees of the Oklahoma Employment Security Commission who are ineligible for enrollment in the Oklahoma Employment Security Commission Retirement Plan, that was in effect on January 1, 1964, shall become members of this System.

(e) Any employee employed by the Legislative Service Bureau, Senate or House of Representatives for the full duration of a regular legislative session shall be eligible for membership in the System regardless of classification as a temporary employee and may participate in the System during the regular legislative session at the option of the employee. For purposes of this subparagraph, the determination of whether an employee is employed for the full duration of a regular legislative session shall be made by the Legislative Service Bureau if such employee is employed by the Legislative Service Bureau, the Senate if such employee is employed by the Senate, or by the House of Representatives if such employee is employed by the House of Representatives. Each regular legislative session during which the legislative employee or an employee of the Legislative Service Bureau participates full time shall be counted as six (6) months of full-time participating service.

(i) Except as otherwise provided by this subparagraph, once a temporary session employee makes a choice to participate or not, the choice shall be binding for all future legislative sessions during which the employee is employed.

(ii) Notwithstanding the provisions of division (i) of this subparagraph, any employee, who is eligible for membership in the System because of the provisions of this subparagraph and who was employed by the Senate or House of Representatives after January 1, 1989, may file an election, in a manner specified by the Board, to participate as a member of the System prior to September 1, 1989.

(iii) Notwithstanding the provisions of division (i) of this subparagraph, a temporary legislative session employee who elected to become a member of the System may withdraw from the System effective the day such employee elected to participate in the System upon written request to the Board. Any such request must be received by the Board prior to October 1, 1990. All employee contributions made by the temporary legislative session employee shall be returned to the employee without interest within four (4) months of receipt of the written request.

(iv) A member of the System who did not initially elect to participate as a member of the System pursuant to this subparagraph shall be able to acquire service performed as a temporary legislative session employee for periods of service performed prior to the date upon which the person became a member of the System if:

a. the member files an election with the System not later than December 31, 2000, to purchase the prior service; and

b. the member makes payment to the System of the actuarial cost of the service credit pursuant to subsection A of Section 913.5 of this title. The provisions of Section 913.5 of this title shall be applicable to the purchase of the service credit, including the provisions for determining service credit in the event of incomplete payment due to cessation of payments, death, termination of employment or retirement, but the payment may extend for a period not to exceed ninety-six (96) months;

(15) “Entry date” means the date on which an eligible employer joins the System. The first entry date pursuant to Section 901 et seq. of this title shall be January 1, 1964;

(16) "Executive Director" means the managing officer of the System employed by the Board under Section 901 et seq. of this title;

(17) "Federal Internal Revenue Code" means the federal Internal Revenue Code of 1954 or 1986, as amended and as applicable to a governmental plan as in effect on July 1, 1999;

(18) "Final average compensation" means the average annual compensation, including amounts deferred under deferred compensation agreements entered into between a member and a participating employer, up to, but not exceeding the maximum compensation levels as provided in paragraph (9) of this section received during the highest three (3) of the last ten (10) years of participating service immediately preceding retirement or termination of employment and with respect to members whose first participating service occurs on or after July 1, 2013, the compensation received during the highest five (5) of the last ten (10) years of participating service immediately preceding retirement or termination of employment. Provided, no member shall retire with a final average compensation unless the member has made the required contributions on such compensation, as defined by the Board of Trustees;

(19) "Fiscal year" means the period commencing July 1 of any year and ending June 30 of the next year. The fiscal year is the plan year for purposes of the federal Internal Revenue Code;

however, the calendar year is the limitation year for purposes of Section 415 of the federal Internal Revenue Code;

(20) "Fund" means the Oklahoma Public Employees Retirement Fund as created by Section 901 et seq. of this title;

(21) "Leave of absence" means a period of absence from employment without pay, authorized and approved by the employer and acknowledged to the Board, and which after the effective date does not exceed two (2) years;

(22) "Member" means an eligible employee or elected official who is in the System and is making the required employee or elected official contributions, or any former employee or elected official who shall have made the required contributions to the System and shall have not received a refund or withdrawal;

(23) "Military service" means service in the Armed Forces of the United States by an honorably discharged person during the following time periods, as reflected on such person's Defense Department Form 214, not to exceed five (5) years for combined participating and/or prior service, as follows:

(a) during the following periods, including the beginning and ending dates, and only for the periods served, from:

(i) April 6, 1917, to November 11, 1918, commonly referred to as World War I,

(ii) September 16, 1940, to December 7, 1941, as a member of the 45th Division,

(iii) December 7, 1941, to December 31, 1946, commonly referred to as World War II,

(iv) June 27, 1950, to January 31, 1955, commonly referred to as the Korean Conflict or the Korean War,

(v) February 28, 1961, to May 7, 1975, commonly referred to as the Vietnam era, except that:

a. for the period from February 28, 1961, to August 4, 1964, military service shall only include service in the Republic of Vietnam during that period, and

b. for purposes of determining eligibility for education and training benefits, such period shall end on December 31, 1976, or

(vi) August 1, 1990, to December 31, 1991, commonly referred to as the Gulf War, the Persian Gulf War, or Operation Desert Storm, but excluding any person who served on active duty for training only, unless discharged from such active duty for a service-connected disability;

(b) during a period of war or combat military operation other than a conflict, war or era listed in subparagraph (a) of this paragraph, beginning on the date of Congressional authorization, Congressional resolution, or Executive Order of the President of the United States, for the use of the Armed Forces of the United States in a war or combat military operation, if such war or combat military operation lasted for a period of ninety (90) days or more, for a person who served, and only for the period served, in the area of responsibility of the war or combat military operation, but excluding a person who served on active duty for training only, unless discharged from such active duty for a service-connected disability, and provided that the burden of proof of military service during this period shall be with the member, who must present appropriate documentation establishing such service.

An eligible member under this paragraph shall include only those persons who shall have served during the times or in the areas prescribed in this paragraph, and only if such person provides appropriate documentation in such time and manner as required by the System to establish such military service prescribed in this paragraph, or for service pursuant to subdivision a of division (v) of subparagraph (a) of this paragraph those persons who were awarded service medals, as authorized by the United States Department of

Defense as reflected in the veteran's Defense Department Form 214, related to the Vietnam Conflict for service prior to August 5, 1964;

(24) "Normal retirement date" means the date on which a member may retire with full retirement benefits as provided in Section 901 et seq. of this title, such date being whichever occurs first:

(a) the first day of the month coinciding with or following a member's:

(1) sixty-second birthday with respect to members whose first participating service occurs prior to November 1, 2011, or

(2) sixty-fifth birthday with respect to members whose first participating service occurs on or after November 1, 2011, or with respect to members whose first participating service occurs on or after November 1, 2011, who reach a minimum age of sixty (60) years and who also reach a normal retirement date pursuant to subparagraph c of this paragraph,

(b) for any person who initially became a member prior to July 1, 1992, and who does not reach a normal retirement date pursuant to division (1) of subparagraph (a) of this paragraph, the first day of the month coinciding with or following the date at which the sum of a member's age and number of years of credited service total eighty (80); such a normal retirement date will also apply to any person who became a member of the sending system as defined in Section 901 et seq. of this title, prior to July 1, 1992, regardless of whether there were breaks in service after July 1, 1992,

(c) for any person who became a member after June 30, 1992, but prior to November 1, 2011, and who does not reach a normal retirement date pursuant to division (1) of subparagraph (a) of this paragraph, the first day of the month coinciding with or following the date at which the sum of a member's age and number of years of credited service total ninety (90),

(d) in addition to subparagraphs (a), (b) and (c) of this paragraph, the first day of the month coinciding with or following a member's completion of at least twenty (20) years of full-time-equivalent employment as:

(i) a correctional or probation and parole officer with the Department of Corrections and at the time of retirement, the member was a correctional or probation and parole officer with the Department of Corrections,

(ii) a correctional officer, probation and parole officer or fugitive apprehension agent with the

Department of Corrections who is in such position on June 30, 2004, or who is hired after June 30, 2004, and who receives a promotion or change in job classification after June 30, 2004, to another position in the Department of Corrections, so long as such officer or agent has at least five (5) years of service as a correctional officer, probation and parole officer or fugitive apprehension agent with the Department, has twenty (20) years of full-time-equivalent employment with the Department and was employed by the Department at the time of retirement,

(iii) a firefighter with the Military Department of the State of Oklahoma either employed for the first time on or after July 1, 2002, or who was employed prior to July 1, 2002, in such position and who makes the election authorized by division (2) of subparagraph b of paragraph (9) of subsection A of Section 915 of this title and at the time of retirement, the member was a firefighter with the Military Department of the State of Oklahoma, and such member has at least twenty (20) years of credited service upon which the two and one-half percent (2 1/2%) multiplier will be used in calculating the retirement benefit,

(iv) a public safety officer employed by the Grand River Dam Authority for the first time on or after July 1, 2016,

(v) a deputy sheriff or jailer employed by any county that is a participating employer in the System for the first time as a deputy sheriff or jailer on or after November 1, 2020, ~~or~~

(vi) licensed emergency medical personnel, as defined pursuant to Section 1-2503 of Title 63 of the Oklahoma Statutes, holding a license issued by the State Department of Health pursuant to Section 1-2505 of Title 63 of the Oklahoma Statutes, including emergency medical responders, emergency medical technicians, intermediate emergency medical technicians, advanced emergency medical technicians, and paramedics employed by any participating employer as a licensed emergency medical personnel for the first time on or after the effective date of this act, or

(vii) beginning November 1, 2024, a deputy sheriff or jailer employed by any county that is a participating employer in the System for the first time as a deputy sheriff or jailer before November 1, 2020, including those who make the election authorized by division (2) of subparagraph b of paragraph (10) of subsection A of Section 915 of this title, and at the time of retirement, if the member was a deputy sheriff or jailer employed by the participating county, and such member has at least twenty (20) years of credited service upon which the two and one-half percent (2 1/2%) multiplier will be used in calculating the retirement benefit,

(e) for those fugitive apprehension agents who retire on or after July 1, 2002, the first day of the month coinciding with or following a member's completion of at least twenty (20) years of full-time-equivalent employment as a fugitive apprehension agent with the Department of Corrections and at the time of retirement, the member was a fugitive apprehension agent with the Department of Corrections, or

(f) for any member who was continuously employed by an entity or institution within The Oklahoma State System of Higher Education and whose initial employment with such entity or institution was prior to July 1, 1992, and who without a break in service of more than thirty (30) days became employed by an employer participating in the Oklahoma Public Employees Retirement System, the first day of the month coinciding with or following the date at which the sum of the member's age and number of years of credited service total eighty (80);

(25) "Participating employer" means an eligible employer who has agreed to make contributions to the System on behalf of its employees;

(26) "Participating service" means the period of employment after the entry date for which credit is granted a member. Provided, on or after the effective date of this act, military service credit purchased under Section 913.8 of this title shall only be considered "participating service" if such service is immediately preceded by a period of employment with a participating employer and followed by a return to service as an employee with the same or another participating employer within ninety (90) days immediately following discharge from such military service;

(27) "Prior service" means the period of employment of a member by an eligible employer prior to the member's entry date for which credit is granted a member under Section 901 et seq. of this title. Provided, on or after the effective date of this act, "prior service" shall also include service purchased under Section 913.8 of

this title which does not meet the requirements of paragraph 26 of this section;

(28) "Retirant" or "retiree" means a member who has retired under the System;

(29) "Retirement benefit" means a monthly income with benefits accruing from the first day of the month coinciding with or following retirement and ending on the last day of the month in which death occurs or the actuarial equivalent thereof paid in such manner as specified by the member pursuant to Section 901 et seq. of this title or as otherwise allowed to be paid at the discretion of the Board;

(30) "Retirement coordinator" means the individual designated by each participating employer through whom System transactions and communication shall be directed;

(31) "Social Security" means the old-age survivors and disability section of the federal Social Security Act;

(32) "Total disability" means a physical or mental disability accepted for disability benefits by the federal Social Security System;

(33) "Service-connected disability benefits" means military service benefits which are for a service-connected disability rated at twenty percent (20%) or more by the Veterans Administration or the Armed Forces of the United States;

(34) "Elected official" means a person elected to a state office in the legislative or executive branch of state government or a person elected to a county office for a definite number of years and shall include an individual who is appointed to fill the unexpired term of an elected state official;

(35) "Elected service" means the period of service as an elected official;

(36) "Limitation year" means the year used in applying the limitations of Section 415 of the Internal Revenue Code of 1986, which year shall be the calendar year; and

(37) "Public safety officers of the Grand River Dam Authority" means those persons hired by the Grand River Dam Authority on or after March 21, 2001, who are certified by the Council on Law Enforcement Education and Training or an equivalent certifying entity for law enforcement personnel training and who perform law enforcement functions as part of their regularly assigned duties and responsibilities on a full-time basis. With respect to any public safety officer hired by the Grand River Dam Authority on or after March 21, 2001, any earned benefits or credits toward retirement benefits from previous participation within the Oklahoma Public Employees Retirement System or the Oklahoma Law Enforcement Retirement System shall remain within that system.

SECTION 144. REPEALER 74 O.S. 2021, Section 902, as last amended by Section 1, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025, Section 902), is hereby repealed.

SECTION 145. AMENDATORY 74 O.S. 2021, Section 915, as amended by Section 2, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025, Section 915), is amended to read as follows:

Section 915. A. (1) Except as otherwise provided in this subsection and as provided for elected officials in Section 913.4 of this title, any member who shall retire on or after the member's normal retirement date shall be entitled to receive an annual retirement benefit equal to two percent (2%) of the member's final average compensation as determined pursuant to paragraph (18) of Section 902 of this title, multiplied by the number of years of credited service that has been credited to the member in accordance with the provisions of Section 913 of this title other than years credited pursuant to paragraph (2) of this subsection.

(2) Effective January 1, 2004, except as otherwise provided for elected officials in Section 913.4 of this title and except for those members making contributions pursuant to paragraphs (c), (d), (e) ~~and~~, (f), (g) and (h) of subsection (1) of Section 919.1 of this title, any member who shall retire shall be entitled to receive an annual retirement benefit equal to two and one-half percent (2 1/2%) of the member's final average compensation as determined pursuant to paragraph (18) of Section 902 of this title, multiplied by the

number of full years of participating service after January 1, 2004, that have been credited to the member in accordance with the provisions of Section 913 of this title and only for those full years of participating service for which contributions have been made pursuant to paragraph (g) of subsection (1) of Section 919.1 of this title. The two and one-half percent (2 1/2%) multiplier shall not apply to purchased service, purchased or granted military service or transferred service. In order to receive the two and one-half percent (2 1/2%) multiplier in computing retirement benefits, an active member shall make an irrevocable written election to pay the contributions pursuant to paragraph (g) of subsection (1) of Section 919.1 of this title. The two and one-half percent (2 1/2%) multiplier pursuant to this paragraph shall not apply to additional years of service credit attributed to sick leave pursuant to paragraph 7 of subsection B of Section 913 of this title and fractional years pursuant to subsection C of Section 913 of this title and shall be attributable only to the participating service credited after the election of the member.

(3) The minimum final average compensation for any person who becomes a member of the Oklahoma Public Employees Retirement System on or after July 1, 1995, and who had:

a. ~~and who had~~ twenty (20) or more years of credited service within the System as of the member's retirement date shall be no less than Thirteen Thousand Eight Hundred Dollars ($13,800.00) per annum,

b. ~~and who had~~ at least fifteen (15) but not more than nineteen (19) years of credited service within the System as of the member's retirement date shall be no less than Six Thousand Nine Hundred Dollars ($6,900.00) per annum,

c. ~~and who had~~ less than fifteen (15) years of credited service within the System as of the member's retirement date shall not be eligible for any minimum amount of final average compensation and the member's final average compensation shall be the final average compensation as defined by paragraph (18) of Section 902 of this title.

(4) Provided, further, any member who has elected a vested benefit pursuant to Section 917 of this title shall be entitled to receive benefits as outlined in this section except the percent factor and the member's maximum compensation level in effect the date the member's employment was terminated with a participating employer shall be applicable.

(5) Any member who is a correctional officer or a probation and parole officer employed by the Department of Corrections at the time of retirement and who retires on or before June 30, 2000, shall be entitled to receive an annual retirement benefit equal to two and

one-half percent (2 1/2%) of the final average compensation of the member not to exceed Twenty-five Thousand Dollars ($25,000.00) and two percent (2%) of the final average salary in excess of Twenty-five Thousand Dollars ($25,000.00) but not exceeding the maximum compensation level as provided in paragraph (9) of Section 902 of this title, multiplied by the number of years of service as a correctional officer or a probation and parole officer; provided, any years accrued prior to July 1, 1990, as a correctional officer or a probation and parole officer by a member who is employed as a correctional officer or a probation and parole officer on July 1, 1990, shall be calculated for retirement purposes at two and one-quarter percent (2 1/4%) of the final average compensation of the member not to exceed Twenty-five Thousand Dollars ($25,000.00) and two percent (2%) of the final average salary in excess of Twenty-five Thousand Dollars ($25,000.00) but not exceeding the maximum compensation level as provided in paragraph (9) of Section 902 of this title, multiplied by the number of years of such service and any years in excess of twenty (20) years as such an officer or years credited to the member in accordance with the provisions of Section 913 of this title shall be calculated for retirement purposes at two percent (2%) of the final average compensation of the member multiplied by the number of years of such service. Any person who contributes to the System as a correctional officer or a probation and parole officer as provided in paragraph (b) or (c) of subsection

(1) of Section 919.1 of this title, on or before June 30, 2000, but who does not make such contributions after June 30, 2000, and who does not qualify for normal retirement under subparagraph (c) of paragraph (24) of Section 902 of this title shall have retirement benefits for each year of full-time-equivalent participating service as a correctional or a probation and parole officer after July 1, 1990, computed on two and one-half percent (2 1/2%) of the final average compensation based upon those years as a correctional officer or a probation and parole officer. Provided, further, any fugitive apprehension agent shall be entitled to receive benefits as outlined in ~~this act~~ Section 901 et seq. of this title for service as a fugitive apprehension agent prior to July 1, 2002, only upon payment to the System of the employee contributions which would have been paid if such fugitive apprehension agent had been covered by this section prior to ~~the effective date of this act~~ July 1, 2002, plus interest of not to exceed ten percent (10%) as determined by the Oklahoma Public Employees Retirement Board of Trustees. The Department of Corrections may make the employee contribution and interest payment on behalf of such member.

(6) Any member who is a correctional officer, a probation and parole officer or a fugitive apprehension agent employed by the Department of Corrections at the time of retirement and who retires on or after July 1, 2002, shall be entitled to receive an annual retirement benefit equal to two and one-half percent (2 1/2%) of the

final average compensation of the member, but not exceeding the maximum compensation level as provided in paragraph (18) of Section 902 of this title, multiplied by the number of years of service as a correctional officer, a probation and parole officer or a fugitive apprehension agent, and any years in excess of twenty (20) years as such an officer or agent, or years credited to the member in accordance with the provisions of Section 913 of this title, shall be calculated for retirement purposes at two percent (2%) of the final average compensation of the member multiplied by the number of years of such service. For purposes of this paragraph, "final average compensation" shall be determined by computing the average annual salary, in the manner prescribed by paragraph (18) of Section 902 of this title, for the highest three (3) years of the last ten (10) years of participating service immediately preceding retirement or termination of employment for all years of service performed by such member, both for years of service performed as a correctional officer, probation and parole officer or fugitive apprehension agent, not in excess of twenty (20) years, and for years of service performed in excess of twenty (20) years, whether as a correctional officer, probation and parole officer, fugitive apprehension agent or other position unless the computation of benefits would result in a lower retirement benefit amount than if final average compensation were to be computed as otherwise provided by this paragraph. ~~"Final average compensation"~~ Final average compensation shall be determined by computing the average annual salary for the highest five (5) of the last ten (10) years of participating service immediately preceding retirement or termination of employment, with respect to members whose first participating service occurs on or after July 1, 2013.

(7) Any member who is a correctional officer, a probation and parole officer or a fugitive apprehension agent who has at least five (5) years of service as a correctional officer, a probation and parole officer or a fugitive apprehension agent who is in such position on June 30, 2004, or who is hired after June 30, 2004, in such position, and who receives a promotion or change in job classification after June 30, 2004, to another position in the Department of Corrections, and who is employed by the Department of Corrections at the time of retirement and who retires on or after July 1, 2004, shall be entitled to receive an annual retirement benefit equal to two and one-half percent (2 1/2%) of the final average compensation of the member, but not exceeding the maximum compensation level as provided in paragraph (18) of Section 902 of this title, multiplied by the number of years of service with the Department of Corrections and any years in excess of twenty (20) years with the Department or years credited to the member in accordance with the provisions of Section 913 of this title, shall be calculated for retirement purposes at two percent (2%) of the final average compensation of the member multiplied by the number of

years of such service. For purposes of this paragraph, "final average compensation" shall be determined by computing the average annual salary, in the manner prescribed by paragraph (18) of Section 902 of this title, for the highest three (3) years of the last ten (10) years of participating service immediately preceding retirement or termination of employment for all years of service performed by such member with the Department. ~~"Final average compensation"~~ Final average compensation shall be determined by computing the average annual salary for the highest five (5) of the last ten (10) years of participating service immediately preceding retirement or termination of employment, with respect to members whose first participating service occurs on or after July 1, 2013.

(8) Any person who contributed to the System as a correctional officer, a probation and parole officer or a fugitive apprehension agent as provided in paragraph (b) or (c) of subsection (1) of Section 919.1 of this title, and who retires under normal retirement or early retirement on or after January 1, 2004, under paragraph (24) of Section 902 of this title, and any public safety officer described by paragraph (37) of Section 902 of this title hired on or after ~~the effective date of this act~~ July 1, 2016, by the Grand River Dam Authority and who retires on or after ~~the effective date of this act~~ July 1, 2016, shall have retirement benefits for each year of full-time-equivalent participating service as a correctional officer, a probation and parole officer or a fugitive apprehension

agent, or Grand River Dam public safety officer computed on two and one-half percent (2 1/2%) of the final average compensation based upon those years as a correctional officer, a probation and parole officer, a fugitive apprehension agent or a Grand River Dam public safety officer. For purposes of this paragraph, "final average compensation" shall be determined by computing the average annual salary, in the manner prescribed by paragraph (18) of Section 902 of this title, for the highest three (3) years of the last ten (10) years of participating service immediately preceding retirement or termination of employment for all years of service performed by such member, both for years of service performed as a correctional officer, probation and parole officer or fugitive apprehension agent, or years of service performed as a Grand River Dam public safety officer, not in excess of twenty (20) years, and for years of service performed in excess of twenty (20) years, whether as a correctional officer, probation and parole officer, fugitive apprehension agent, Grand River Dam public safety officer, or other position unless the computation of benefits would result in a lower retirement benefit amount than if final average compensation were to be computed as otherwise provided by this paragraph. ~~"Final average compensation"~~ Final average compensation shall be determined by computing the average annual salary for the highest five (5) of the last ten (10) years of participating service immediately preceding retirement or termination of employment, with respect to members whose first participating service occurs on or after July 1, 2013, or with respect to Grand River Dam public safety officers whose first participating service occurs on or after ~~the effective date of this act~~ July 1, 2016.

(9) Any member who is:

a. initially on or after July 1, 2002, employed as a firefighter for the ~~Oklahoma~~ Military Department of the State of Oklahoma and who retires on or after the member's normal retirement date shall be entitled to receive an annual retirement benefit equal to two and one-half percent (2 1/2%) of the final average compensation of the member multiplied by the number of years of service in such service,

b. (1) a firefighter who performs firefighting services for the ~~Oklahoma~~ Military Department of the State of Oklahoma prior to July 1, 2002, and who makes an election in writing on a form prescribed for this purpose by the System not later than December 31, 2002, shall be entitled to receive a retirement benefit based upon two and one-half percent (2 1/2%) of the final average compensation of the member multiplied by the number of years of service as a firefighter with the Oklahoma Military Department on or after July

1, 2002. The election authorized by this subdivision shall be irrevocable once the election is filed with the System,

(2) a firefighter who performs firefighting services for the ~~Oklahoma~~ Military Department of the State of Oklahoma prior to July 1, 2002, and who makes the election in division (1) of this subparagraph may also make an election in writing on a form prescribed for this purpose by the System not later than December 31, 2002, to receive a retirement benefit based upon two and one-half percent (2 1/2%) of the final average compensation of the member multiplied by the number of years of service as a firefighter with the ~~Oklahoma~~ Military Department of the State of Oklahoma prior to July 1, 2002. The election authorized by this subdivision shall be irrevocable once the election is filed with the System. Retirement benefits shall be calculated based upon the two and one-half percent (2 1/2%) multiplier upon payment being made pursuant to Section 913.5 of this title.

(10) Any person who contributes to the System as a deputy sheriff or county jailer as provided in paragraph (f) of subsection (1) of Section 919.1 of this title, and who was:

a. employed by a participating employer in the System for the first time as a deputy sheriff or jailer on or after November 1, 2020, and who retires under normal retirement or early retirement under division (v) of subparagraph (d) of paragraph (24) of Section 902 of this title, shall have retirement benefits for each year of full-time-equivalent participating service as a deputy sheriff or county jailer computed on two and one-half percent (2 1/2%) of the final average compensation based upon those years as a deputy sheriff or county jailer, and any years in excess of twenty (20) years as a deputy sheriff or county jailer, or years credited to the member in accordance with the provisions of Section 913 of this title, shall be calculated for retirement purposes at two percent (2%) of the final average compensation of the member multiplied by the number of years of such service, or

b. (1) employed by a participating employer in the System for the first time as a deputy sheriff or county jailer before November 1, 2020, and who retires under the normal retirement or early retirement under division (vi) of subparagraph (d) of paragraph (24) of Section 902 of this title, shall be entitled to receive a retirement benefit based on two and one-half percent (2 1/2%) of the final average compensation of the member multiplied based on the number of years of service as a deputy sheriff or county jailer with any county participating in the System on or after November 1, 2024,

(2) employed by a participating employer in the System for the first time as a deputy sheriff or county jailer before November 1, 2020, and who retires under the normal retirement or early retirement under division (vi) of subparagraph (d) of paragraph (24) of Section 902 of this title, and who makes an election in writing not later than July 1, 2026, on a form prescribed for this purpose by the System, shall be entitled to a retirement benefit based upon two and one-half percent (2 1/2%) of the final average compensation of the member multiplied by the number of years of service prior to November 1, 2024, as a deputy sheriff or county jailer

employed by any county that is a participating employer in the System. The election authorized by this subparagraph shall be irrevocable once the election is filed with the System. Retirement benefits shall be calculated based upon the two and one-half percent (2 1/2%) multiplier upon payment being made pursuant to Section 913.5 of this title. Any person otherwise qualifying under this subparagraph, but who is not employed as a deputy sheriff or county jailer on November 1, 2024, and who is reemployed as a deputy sheriff or county jailer with a county that is a participating employer in the System after November 1, 2024, shall have six (6) months from the initial date of reemployment to make the election authorized in this subparagraph. The actuarial purchase of any service credit accrued prior to November 1, 2024, as a deputy sheriff or county jailer employed by a county that is a participating employer in the System as set forth in this subparagraph shall cancel such corresponding service and shall not be used to compute the retirement benefit under any other provision except as provided in this subparagraph. In no event shall the service purchased under this subparagraph cause the member to receive a retirement benefit for the same service in any other plan. Any purchased service under this subparagraph shall comply with the applicable provisions of the Internal Revenue Code and rules adopted by the Board of Trustees.

c. For purposes of paragraph (10), "final average compensation" shall be determined by computing the average annual salary, in the manner prescribed by paragraph (18) of Section 902 of this title, both for years of service performed as a deputy sheriff or county jailer not in excess of twenty (20) years, and for years of service performed in excess of twenty (20) years, whether as a deputy sheriff or county jailer.

(11) Any person who contributes to the System as an emergency medical service personnel as provided in paragraph (h) of subsection (1) of Section 919.1 of this title, and who retires under normal retirement or early retirement under division (vii) of subparagraph (d) of paragraph (24) of Section 902 of this title, shall have retirement benefits for each year of full-time-equivalent participating service as an emergency medical service personnel computed on two and one-half percent (2 1/2%) of the final average

compensation based upon those years as an emergency medical service personnel. Any years of full-time-equivalent participating service in excess of twenty (20) years as an emergency medical personnel, or years credited to the member in accordance with the provisions of Section 913 of this title, shall be calculated for retirement purposes at two percent (2%) of the final average compensation of the member multiplied by the number of years of such service. For the purposes of this paragraph, “final average compensation” shall be determined by computing the average annual salary, in the manner prescribed by paragraph 18 of Section 902 of this title, both for years of service performed as an emergency medical personnel not in excess of twenty (20) years, and for years of service performed in excess of twenty (20) years, as an emergency medical service personnel.

(12) Upon death of a retiree, there shall be paid to his or her beneficiary an amount equal to the excess, if any, of his or her accumulated contributions over the sum of all retirement benefit payments made.

~~(12)~~ (13) Such annual retirement benefits shall be paid in equal monthly installments, except that the Board may provide for the payment of retirement benefits which total less than Two Hundred Forty Dollars ($240.00) a year on other than a monthly basis.

~~(13)~~ (14) Pursuant to the rules established by the Board, a retiree receiving monthly benefits from the System may authorize warrant deductions for any products currently offered to active state employees through the ~~Employees Benefits Council~~ Oklahoma Employee Insurance and Benefits Board, provided that product is offered to state retirees as a group and has a minimum participation of five hundred state retirees. The System has no responsibility for the marketing, enrolling or administration of such products, but shall retain a processing fee of two percent (2%) of the gross deductions for the products. Retirement benefit deductions shall be made for membership dues for any statewide association for which payroll deductions are authorized pursuant to subsection B of Section 34.70 of Title 62 of the Oklahoma Statutes for retired members of any state-supported retirement system, upon proper authorization given by the member to the board from which the member or beneficiary is currently receiving retirement benefits.

B. A member shall be considered disabled if such member qualifies for the payment of Social Security disability benefits, or the payment of benefits pursuant to the Railroad Retirement Act of 1974, Section 231 et seq. of Title 45 of the United States Code, and shall be eligible for benefits hereunder upon proof of such disability, provided such member is an active regularly scheduled employee with a participating employer at the time of injury or inception of illness or disease resulting in subsequent certification of eligibility for Social Security disability benefits by reason of such injury, illness or disease, providing such disability is certified by the Social Security Administration within one (1) year after the last date physically on the job and after completion of at least eight (8) years of participating service or combined prior and participating service or resulting in subsequent certification of eligibility of disability by the Railroad Retirement Board providing such certification is made by the Railroad Retirement Board within one (1) year after the last date physically on the job and after completion of at least eight (8) years of participating service or combined prior and participating service. The member shall submit to the ~~Retirement~~ System the Social Security Award Notice or the Railroad Retirement Award Notice certifying the date of entitlement for disability benefits, as issued by the Social Security Administration, Department of Health and Human Services or the Railroad Retirement Board. Disability benefits shall become effective on the date of entitlement as established by the Social Security Administration or the Railroad Retirement Board, but not before the first day of the month following removal from the payroll, whichever is later, and final approval by the ~~Retirement~~ System. Benefits shall be based upon length of service and compensation as of the date of disability, without actuarial reduction because of commencement prior to the normal retirement date. The only optional form of benefit payment available for disability benefits is Option A as provided for in Section 918 of this title. Option A must be elected in accordance with the provisions of Section 918 of this title. Benefit payments shall cease upon the member's recovery from disability prior to the normal retirement date. Future benefits, if any, shall be paid based upon length of service and compensation as of the date of disability. In the event that disability ceases and the member returns to employment within the System credited service to the date of disability shall be restored, and future benefits shall be determined accordingly.

C. A member who incurred a disability pursuant to subsection B of this section on or after July 1, 1999, and who has retired from the System with an early retirement benefit pending certification from the Social Security Administration or the Railroad Retirement Board shall receive a retirement benefit not less than the disability retirement benefit provided by subsection B of this section once the System receives a Social Security Award Notice or a Railroad Retirement Award Notice pursuant to subsection B of this section and a completed ~~Application for Disability Benefits~~ application for disability benefits. In addition, such member shall receive the difference, if any, between the early retirement benefit and the disability benefit from the date the Social Security Administration or the Railroad Retirement Board establishes disability entitlement.

D. Any actively participating member of the System on or after July 1, 1998, except for those employees provided in subparagraph

(e) of paragraph (14) of Section 902 of this title, whose employment is less than full-time, shall have his or her final average compensation calculated on an annualized basis using his or her hourly wage subject to the maximum compensation limits; provided, however, any such member whose first participating service occurred before July 1, 2013, and who has at least three (3) years of full-time employment during the last ten (10) years immediately preceding termination or retirement shall not be eligible for the annualization provisions contained herein; and provided further, any such member whose first participating service occurred on or after July 1, 2013, and who has at least five (5) years of full-time employment during the last ten (10) years immediately preceding termination or retirement shall not be eligible for the annualization provisions contained herein. The Board of Trustees shall promulgate such administrative rules as are necessary to implement the provisions of this subsection.

SECTION 146.   REPEALER   74 O.S. 2021, Section 915, as amended by Section 2, Chapter 139, O.S.L. 2024 (74 O.S. Supp. 2025, Section 915), is hereby repealed.

SECTION 147.   AMENDATORY   74 O.S. 2021, Section 916.3, as amended by Section 3, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025, Section 916.3), is amended to read as follows:

Section 916.3. A. Notwithstanding the provisions of Sections 901 through 932 of this title, a monthly pension, as provided in subsection B of this section, shall be paid on behalf of any member who is a:

1. Correctional officer or probation and parole officer of the Department of Corrections and who is killed or mortally wounded on or after January 1, 2000, during the performance of the member's duties for the Department or any employee of the Department of Corrections who is killed or mortally wounded after June 30, 2004, during the performance of the member's duties for the Department;

2. Deputy sheriff or county jailer first hired on or after November 1, 2020, by any county that is a participating member in the System, and who is killed or mortally wounded during the performance of the member's duties as a deputy sheriff or jailer; ~~and~~

3. Deputy sheriff or county jailer first hired before November 1, 2020, by any county that is a participating employer in the System, and who is killed or mortally wounded during the performance of the member's duties for the participating county on or after November 1, 2024; and

4. The monthly pension described in this section shall be paid on behalf of a licensed emergency medical personnel hired by any participating employer for the first time as a licensed emergency medical personnel on or after November 1, 2024, and who is killed or mortally wounded during the performance of the member's duties as an emergency medical personnel.

B. The monthly benefit shall be equal to:

1. Two and one-half percent (2 1/2%);

2. Multiplied by twenty (20) years of service, regardless of the actual number of years of credited service performed by the member prior to death, if the member had performed less than twenty (20) years of credited service, or the actual number of years of credited service of the member if greater than twenty (20) years;

3. Multiplied by the member's final average compensation; and

4. Divided by 12.

C. The pension provided for in subsection A of this section shall be paid:

1. Except as provided in subsection D of this section, to the surviving spouse for life; or

2. If there is no surviving spouse or upon the death of the surviving spouse:

a. to the surviving child or children of said member or legal guardian of such child or children for such time as such child or children are under the age of eighteen (18) years, or

b. to the surviving child or children between the age of eighteen (18) and twenty-two (22) years if the child is enrolled full time in and is regularly attending a public or private school or any institution of higher education.

D. No surviving spouse shall receive benefits from this section, Section 49-113 of Title 11 of the Oklahoma Statutes, Section 50-117 of Title 11 of the Oklahoma Statutes, or Section 2-306 of Title 47 of the Oklahoma Statutes as the surviving spouse of more than one member of the Oklahoma Firefighters Pension and Retirement System, the Oklahoma Police Pension and Retirement System, the Oklahoma Law Enforcement Retirement System, or the Oklahoma Public Employees Retirement System. The surviving spouse of more than one member shall elect which member's benefits he or she will receive.

E. In addition to the pension above provided for, if said member leaves one or more children under the age of eighteen (18) years or under the age of twenty-two (22) years if the child is enrolled full-time in and is regularly attending a public or private school or any institution of higher education, Four Hundred Dollars ($400.00) a month shall be paid to the surviving spouse or to the person having the care and custody of such children if there is no surviving spouse or if the surviving spouse dies and until each child reaches the age of eighteen (18) years or reaches the age of twenty-two (22) years if the child is enrolled full-time in and is regularly attending a public or private school or any institution of higher education.

F. The pension benefit provided in this section shall be made prospectively only from ~~the effective date of this act~~ July 1, 2000.

The benefits shall be payable beginning the later of the first day of the month following the date that such employee was killed or dies from a mortal wound, as provided in this section, or ~~the effective date of this act~~ July 1, 2000.

G. The Board of Trustees of the Oklahoma Public Employees Retirement System shall promulgate such rules as are necessary to implement the provisions of this section.

SECTION 148. REPEALER 74 O.S. 2021, Section 916.3, as amended by Section 3, Chapter 139, O.S.L. 2024 (74 O.S. Supp. 2025, Section 916.3), is hereby repealed.

SECTION 149. AMENDATORY 74 O.S. 2021, Section 919.1, as amended by Section 4, Chapter 139, O.S.L. 2024 (74 O.S. Supp. 2025, Section 919.1), is amended to read as follows:

Section 919.1. (1) Employee contributions to the Oklahoma Public Employees Retirement System shall be:

(a) for employees except as otherwise provided in paragraphs (b), (c), (d), (e), (f), (g), and (h) of this subsection: beginning July 1, 2006, and thereafter, three and one-half percent (3.5%) of allowable annual compensation,

(b) for correctional officers and probation and parole officers employed by the Department of Corrections: beginning July 1, 1998, and thereafter, and for correctional officers or probation and parole officers who are in such position on June 30, 2004, or who are hired after June 30, 2004, and who receive a promotion or change in job classification after June 30, 2004, to another position in the Department of Corrections, so long as such officers have at least five (5) years of service as a correctional officer or probation and parole officer, eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title,

(c) for fugitive apprehension agents who are employed with the Department of Corrections on or after July 1, 2002, and for fugitive apprehension agents who are in such position on June 30, 2004, or who are hired after June 30, 2004, and who receive a promotion or change in job classification after June 30, 2004, to another position in the Department of Corrections, so long as such agents have at least five (5) years of service as a fugitive apprehension agent, eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title,

(d) for firefighters of the Military Department of the State of Oklahoma first employed beginning July 1, 2002, and thereafter, and such firefighters who performed service prior to July 1, 2002, for the

Military Department of the State of Oklahoma and who make the election authorized by division (1) of subparagraph b of paragraph (9) of subsection A of Section 915 of this title who perform service on or after July 1, 2002, in such capacity, eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title,

(e) for all public safety officers of the Grand River Dam Authority as defined by paragraph (37) of Section 902 of this title, eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title,

(f) for deputy sheriffs and county jailers employed by any county that is a participating employer in the System for the first time as a deputy sheriff or jailer on or after November 1, 2020, <u>or beginning November 1, 2024, those deputy sheriffs and county jailers employed by any county that is a participating employer in the System for the first time as a deputy sheriff or county jailer before November 1, 2020,</u> eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title,

(g) for licensed emergency medical personnel employed by any participating employer as a licensed emergency medical personnel for the first time on or after the effective date of this act, eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title, and

(h) for all employees except those who make contributions pursuant to paragraphs (b), (c), (d), (e), (f), and (g) of this subsection who make an irrevocable written election pursuant to paragraph (2) of subsection A of Section 915 of this title: six and forty-one one-hundredths percent (6.41%) of allowable annual compensation.

The contributions required by paragraphs (b), (c), (e), (f), (g), and (h) of this subsection shall be made by a member for not more than twenty (20) years and thereafter shall be as provided in paragraph (a) of this subsection.

(2) Contributions shall be deducted by each state agency by the participating employer for such benefits as the Board is authorized to administer as provided for by law. Employee and employer contributions shall be remitted monthly, or as the Board may otherwise provide, to the Executive Director for deposit in the Oklahoma Public Employees Retirement Fund.

(3) Each participating employer shall pick up under the provisions of Section 414(h)(2) of the Internal Revenue Code of 1986 and pay the contribution which the member is required by law to make

to the System for all compensation earned after December 31, 1988. Although the contributions so picked up are designated as member contributions, such contributions shall be treated as contributions being paid by the participating employer in lieu of contributions by the member in determining tax treatment under the Internal Revenue Code of 1986 and such picked up contributions shall not be includable in the gross income of the member until such amounts are distributed or made available to the member or the beneficiary of the member. The member, by the terms of this System, shall not have any option to choose to receive the contributions so picked up directly and the picked up contributions must be paid by the participating employer to the System.

Member contributions which are picked up shall be treated in the same manner and to the same extent as member contributions made prior to the date on which member contributions were picked up by the participating employer. Member contributions so picked up shall be included in gross salary for purposes of determining benefits and contributions under the System.

The participating employer shall pay the member contributions from the same source of funds used in paying salary to the member, by effecting an equal cash reduction in gross salary of the member.

(4) By September 1, 1989, the System shall refund the accumulated employee contributions of any member who elects to retain the member's membership in the Teachers' Retirement System of

Oklahoma, in accordance with Section 17-104 of Title 70 of the Oklahoma Statutes, to such member. Upon the refund of the accumulated employee contributions referred to in this subsection, all benefits and rights accrued to such member are terminated.

SECTION 150. REPEALER 74 O.S. 2021, Section 919.1, as amended by Section 4, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025, Section 919.1), is hereby repealed.

SECTION 151. AMENDATORY 74 O.S. 2021, Section 1321, as last amended by Section 29, Chapter 379, O.S.L. 2025 (74 O.S. Supp. 2025, Section 1321), is amended to read as follows:

Section 1321. A. The Oklahoma Health Care Authority shall have the authority to determine all rates and life, dental and health benefits <u>for state sponsored plans</u>. All rates shall be compiled in a comprehensive Schedule of Benefits. The Schedule of Benefits shall be available for inspection during regular business hours at the Oklahoma Health Care Authority. The Authority shall have the authority to annually adjust the rates and benefits based on claim experience.

B. The premiums for such insurance plans offered for the next plan year shall be established as follows:

1. For active employees and their dependents, the Authority’s premium determination shall be made no later than the bid submission date for health maintenance organizations set by the Oklahoma

Employees Insurance and Benefits Board, which shall be set in August no later than the third Friday of that month; and

2. For all other covered members and dependents, the Authority's and the health maintenance organizations' premium determinations shall be no later than the fourth Friday of September.

C. The CEO of the Authority shall review for approval all rates and life, dental, and health benefits for the state sponsored plans recommended by the Oklahoma Employees Insurance and Benefits Board. If approved by the CEO of the Authority, those rates and benefits along with the final health maintenance organizations' rates and benefits shall be sent to the Director of the Office of Management and Enterprise Services for final approval.

D. The Office may approve a mid-year adjustment requested by the Authority provided the need for an adjustment is substantiated by an actuarial determination or more current experience rating. The only publication or notice requirements that shall apply to the Schedule of Benefits shall be those requirements provided in the Oklahoma Open Meeting Act and within this section. It is the intent of the Legislature that the benefits provided not include cosmetic dental procedures except for certain orthodontic procedures as adopted by the Chief Executive Officer of the Authority.

SECTION 152. REPEALER 74 O.S. 2021, Section 1321, as amended by Section 5, Chapter 123, O.S.L. 2024 (74 O.S. Supp. 2025, Section 1321), is hereby repealed.

SECTION 153. AMENDATORY 75 O.S. 2021, Section 250.3, as last amended by Section 5, Chapter 258, O.S.L. 2025 (75 O.S. Supp. 2025, Section 250.3), is amended to read as follows:

Section 250.3. As used in the Administrative Procedures Act:

1. "Administrative head" means an official or agency body responsible pursuant to law for issuing final agency orders;

2. "Adopted" means a proposed emergency rule which has been approved by the agency but has not been approved or disapproved by the Governor as an emergency rule as provided by Section 253 of this title, or a proposed permanent rule which has been approved by the agency and not disapproved by the Governor pursuant to paragraph 6 of subsection A of Section 303 of this title, but has not been finally approved or disapproved by the Legislature or the Governor;

3. "Agency" includes, but is not limited to, any constitutionally or statutorily created state agency, board, bureau, commission, office, authority, institution, public trust in which the state is a beneficiary, interstate commission, or any instrumentality thereof, except:

a. the Legislature or any branch, committee, or officer thereof, and

b. the courts;

4. "Emergency rule" means a rule that is made pursuant to Section 253 of this title;

5. "Final rule" or "finally adopted rule" means a rule other than an emergency rule, which has not been published pursuant to Section 255 of this title but is otherwise in compliance with the requirements of the Administrative Procedures Act, and is:

a. ~~approved by the Legislature pursuant to Section 308.3 of this title, provided that any such joint resolution becomes law in accordance with Section 11 of Article VI of the Oklahoma Constitution,~~

~~b. approved by the Governor pursuant to subsection C of Section 308.3 of this title,~~

~~c.~~ approved by a joint resolution pursuant to subsection B of Section 308 of this title, provided that any such resolution becomes law in accordance with Section 11 of Article VI of the Oklahoma Constitution, or

~~d.~~ b. disapproved by a joint resolution pursuant to subsection B of Section 308 of this title ~~or Section 308.3 of this title,~~ which has been vetoed by the Governor in accordance with Section 11 of Article VI of the Oklahoma Constitution and the veto has not been overridden;

6. "Final agency order" means an order that includes findings of fact and conclusions of law pursuant to Section 312 of this

title, is dispositive of an individual proceeding unless there is a request for rehearing, reopening, or reconsideration pursuant to Section 317 of this title, and which is subject to judicial review;

7. "Hearing examiner" means a person meeting the qualifications specified by Article II of the Administrative Procedures Act and who has been duly appointed by an agency to hold hearings and, as required, render orders or proposed orders;

8. "Implementation and compliance costs" means direct costs that are readily ascertainable based upon standard business practices, including, but not limited to, fees, the cost to obtain a license or registration, the cost of equipment required to be installed or used, additional operating costs incurred, the cost of monitoring and reporting, and any other costs to comply with the requirements of the proposed rule;

9. "Individual proceeding" means the formal process employed by an agency having jurisdiction by law to resolve issues of law or fact between parties and which results in the exercise of discretion of a judicial nature;

10. "License" includes the whole or part of any agency permit, certificate, approval, registration, charter, or similar form of permission required by law;

11. "Major rule" means any administrative rule, whether emergency or permanent in nature, that will result in or is likely to result in One Million Dollars ($1,000,000.00) or more over the

initial five-year period in implementation and compliance costs that are reasonably expected to be incurred by or passed along to businesses, state or local government units, and individuals as a result of the proposed rule following the promulgation of such rule;

12. “Nonmajor rule” means any rule that is not a major rule;

13. “Office” means the Office of the Secretary of State;

14. “Order” means all or part of a formal or official decision made by an agency including, but not limited to, final agency orders;

15. “Party” means a person or agency named and participating, or properly seeking and entitled by law to participate, in an individual proceeding;

16. “Permanent rule” means a rule that is made pursuant to Section 303 of this title;

17. “Person” means any individual, partnership, corporation, association, governmental subdivision, or public or private organization of any character other than an agency;

18. “Political subdivision” means a county, city, incorporated town, or school district within this state;

19. “Promulgated” means a finally adopted rule which has been filed and published in accordance with the provisions of the Administrative Procedures Act, or an emergency rule or preemptive rule which has been approved by the Governor;

20. "Rule" means any agency statement or group of related statements of general applicability and future effect that implements, interprets, or prescribes law or policy, or describes the procedure or practice requirements of the agency. The term rule includes the amendment or revocation of an effective rule but does not include:

a. the issuance, renewal, denial, suspension or revocation or other sanction of an individual specific license,

b. the approval, disapproval, or prescription of rates. For purposes of this subparagraph, the term "rates" shall not include fees or charges fixed by an agency for services provided by that agency including, but not limited to, fees charged for licensing, permitting, inspections, or publications,

c. statements and memoranda concerning only the internal management of an agency and not affecting private rights or procedures available to the public,

d. declaratory rulings issued pursuant to Section 307 of this title,

e. orders by an agency, or

f. press releases or "agency news releases", provided such releases are not for the purpose of interpreting, implementing, or prescribing law or agency policy;

21. "Rulemaking" means the process employed by an agency for the formulation of a rule;

22. "Secretary" means the Secretary of State; and

23. "Small business" means a for-profit enterprise consisting of fifty or fewer full-time or part-time employees~~; and~~

~~24. "Technical legal defect" means an error that would otherwise invalidate an action by a court of law~~.

SECTION 154. REPEALER 75 O.S. 2021, Section 250.3, as last amended by Section 1, Chapter 420, O.S.L. 2025 (75 O.S. Supp. 2025, Section 250.3), is hereby repealed.

SECTION 155. AMENDATORY 75 O.S. 2021, Section 303, as amended by Section 7, Chapter 258, O.S.L. 2025 (75 O.S. Supp. 2025, Section 303), is amended to read as follows:

Section 303. A. Prior to the adoption of any rule or amendment or revocation of a rule, the agency shall:

1. Cause notice of any intended action to be published in "The Oklahoma Register" pursuant to subsection B of this section;

2. For at least thirty (30) days after publication of the notice of the intended rulemaking action, afford a comment period for all interested persons to submit data, views, or arguments, orally or in writing. The agency shall consider fully all written and oral submissions respecting the proposed rule;

3. Hold a hearing, if required, as provided by subsection C of this section;

4. Consider the effect its intended action may have on the various types of business and governmental entities. Except where such modification or variance is prohibited by statute or constitutional constraints, if an agency finds that its actions may adversely affect any such entity, the agency may modify its actions to exclude that type of entity, or may “tier” its actions to allow rules, penalties, fines, or reporting procedures and forms to vary according to the size of a business or governmental entity or its ability to comply or both. For business entities, the agency shall include a description of the probable quantitative and qualitative impact of the proposed rule, economic or otherwise, and use quantifiable data to the extent possible, taking into account both short-term and long-term consequences;

5. Consider the effect its intended action may have on the various types of consumer groups. If an agency finds that its actions may adversely affect such groups, the agency may modify its actions to exclude that type of activity; and

6. When an agency provides notice pursuant to paragraph 1 of this subsection, the agency shall provide one electronic copy of the complete text of the proposed rule, amendment or revocation and a copy of the notice to the Governor and to the appropriate cabinet secretary. No agency ~~may~~ shall adopt any proposed rule, amendment or revocation ~~if~~ unless, within thirty (30) days from providing notice to the Governor and the appropriate cabinet secretary, the

agency receives express written ~~disapproval~~ approval from the Governor or the cabinet secretary. If the Governor or the cabinet secretary disapproves a rule, the affected agency shall be notified in writing of the reasons for disapproval. If, after thirty (30) days of providing the notice to the Governor and the cabinet secretary, the agency has not received an express written ~~disapproval~~ approval, the agency ~~may~~ shall not proceed with the rulemaking process.

B. The notice required by paragraph 1 of subsection A of this section shall include, but not be limited to:

1. In simple language, a brief summary of the rule;

2. The proposed action being taken;

3. The circumstances which created the need for the rule;

4. The specific legal authority, including statutory citations, authorizing the proposed rule;

5. The intended effect of the rule;

6. If the agency determines that the rule affects business entities, a request that such entities provide the agency, within the comment period, in dollar amounts if possible, the increase in the level of direct costs such as fees, and indirect costs such as reporting, recordkeeping, equipment, construction, labor, professional services, revenue loss, or other costs expected to be incurred by a particular entity due to compliance with the proposed rule;

7. The time when, the place where, and the manner in which interested persons may present their views thereon pursuant to paragraph 3 of subsection A of this section;

8. Whether or not the agency intends to issue a rule impact statement according to subsection D of this section and where copies of such impact statement may be obtained for review by the public;

9. The time when, the place where, and the manner in which persons may demand a hearing on the proposed rule if the notice does not already provide for a hearing. If the notice provides for a hearing, the time and place of the hearing shall be specified in the notice; and

10. Where copies of the proposed rules may be obtained for review by the public. An agency may charge persons for the actual cost of mailing a copy of the proposed rules to such persons.

The number of copies of such notice as specified by the Secretary of State shall be submitted to the Secretary of State who shall publish the notice in "The Oklahoma Register" pursuant to the provisions of Section 255 of this title.

Prior to or within three (3) days after publication of the notice in "The Oklahoma Register", the agency shall cause a copy of the notice of the proposed rule adoption and the rule impact statement, if available, to be mailed to all persons who have made a timely request of the agency for advance notice of its rulemaking proceedings. Provided, in lieu of mailing copies, an agency may electronically notify interested persons that a copy of the proposed rule and the rule impact statement, if available, may be viewed on the agency's website. If an agency posts a copy of the proposed rule and rule impact statement on its website, the agency shall not charge persons for the cost of downloading or printing the proposed rule or impact statement. Each agency shall maintain a listing of persons or entities requesting such notice.

C. 1. If the published notice does not already provide for a hearing, an agency shall schedule a hearing on a proposed rule if, within thirty (30) days after the published notice of the proposed rule adoption, a written request for a hearing is submitted by:

a. at least ten persons,

b. a political subdivision,

c. an agency, or

d. an association having not less than twenty-five members.

At that hearing persons may present oral argument, data, and views on the proposed rule.

2. A hearing on a proposed rule may not be held earlier than thirty (30) days after notice of the hearing is published pursuant to subsection B of this section.

3. The provisions of this subsection shall not be construed to prevent an agency from holding a hearing or hearings on the proposed rule although not required by the provisions of this subsection;

provided, that notice of such hearing shall be published in "The Oklahoma Register" at least thirty (30) days prior to such hearing.

D. 1. Except as otherwise provided in this subsection, an agency shall issue a rule impact statement of a proposed rule prior to or within fifteen (15) days after the date of publication of the notice of proposed rule adoption. The rule impact statement may be modified after any hearing or comment period afforded pursuant to the provisions of this section.

2. The agency shall consult with counties, municipalities, and school boards, as necessary, when preparing the rule impact statement of a proposed rule which increases or decreases the revenue of counties, cities, or school districts, or imposes functions or responsibilities on such entities which may increase the expenditures or fiscal liability of the entity. The agency shall consult and solicit information from businesses, business associations, local government units, state agencies, or members of the public that may be affected by the proposed rule or that may provide relevant information to the agency.

3. Except as otherwise provided in this subsection, the rule impact statement shall include, but not be limited to:

a. a statement of the need for the rule and legal basis supporting it,

b. a classification of the rule as major or nonmajor, with a justification for the classification, including an estimate of the total annual implementation and compliance costs that are reasonably expected to be incurred by or passed along to businesses, state or local government units, or individuals and a determination of whether those costs will exceed One Million Dollars ($1,000,000.00) over the initial five-year period following the promulgation of the proposed rule. Provided, if the costs exceed One Million Dollars ($1,000,000.00), the agency shall classify the rule as a major rule,

c. a description of the purpose of the proposed rule, including a determination of whether the proposed rule is mandated by federal law, or as a requirement for participation in or implementation of a federally subsidized or assisted program, and whether the proposed rule exceeds the requirements of the applicable federal law,

d. a description of the classes of persons who most likely will be affected by the proposed rule, including classes that will bear the costs of the proposed rule, and any information on cost impacts received by the agency from any private or public entities,

e. a description of the classes of persons who will benefit from the proposed rule,

f. a comprehensive analysis of the rule's economic impact, including any anticipated impacts on the full-time-employee count of the agency, any costs or benefits, and a detailed quantification of implementation and compliance costs on the affected businesses, business sectors, public utility ratepayers, individuals, state or local government units, and on the state economy as a whole. The analysis shall include a listing of all fee changes and, whenever possible, a separate justification for each fee change,

g. a detailed explanation of the methodology and assumptions used to determine the economic impact, including the dollar amounts calculated,

h. a determination of whether implementation of the proposed rule will have an economic impact on any political subdivisions or require their cooperation in implementing or enforcing the rule,

i. a determination of whether implementation of the proposed rule may have an adverse economic effect on small business as provided by the Oklahoma Small Business Regulatory Flexibility Act,

j. any measures taken by the agency to minimize the cost and impact of the proposed rule on business and economic development in this state, local government units of this state, and individuals,

k. a determination of the effect of the proposed rule on the public health, safety, and environment and, if the proposed rule is designed to reduce significant risks to the public health, safety, and environment, an explanation of the nature of the risk and to what extent the proposed rule will reduce the risk,

l. a determination of any detrimental effect on the public health, safety, and environment if the proposed rule is not implemented, ~~and~~

m. the date the rule impact statement was prepared and, if modified, the date modified,

n. an analysis of alternatives to adopting the rule,

o. estimates of the amount of time that would be spent by state employees to develop the rule and of the amount of other resources that would be utilized to develop the rule, and

p. a summary and preliminary comparison of any existing or proposed federal regulations that are intended to address activities to be regulated by the proposed rule.

4. To the extent an agency for good cause finds the preparation of a rule impact statement or the specified contents thereof are unnecessary or contrary to the public interest in the process of adopting a nonmajor rule, the agency may request the Governor to waive such requirement. Such request shall be in writing and shall state the agency's findings and the justification for such findings. Upon request by an agency, the Governor may also waive the rule impact statement requirements for a nonmajor rule if the agency is required to implement a statute or federal requirement that does not require an agency to interpret or describe the requirements, such as federally mandated provisions which afford the agency no discretion to consider less restrictive alternatives. If the Governor fails to waive such requirement, in writing, prior to publication of the notice of the intended rulemaking action, the rule impact statement shall be completed. The determination to waive the rule impact statement shall not be subject to judicial review.

E. Upon completing the requirements of this section, an agency may adopt a proposed rule. No rule is valid unless adopted in substantial compliance with the provisions of this section.

SECTION 156. REPEALER 75 O.S. 2021, Section 303, as amended by Section 1, Chapter 267, O.S.L. 2025 (75 O.S. Supp. 2025, Section 303), is hereby repealed.

SECTION 157. AMENDATORY 75 O.S. 2021, Section 308, as last amended by Section 8, Chapter 258, O.S.L. 2025 (75 O.S. Supp. 2025, Section 308), is amended to read as follows:

Section 308. A. Upon receipt of any proposed permanent rules, the Speaker of the House of Representatives and the President Pro Tempore of the Senate shall assign such rules to the appropriate committees of each house of the Legislature for review. Except as otherwise provided by this section:

1. If such rules are received on or before February 1, the Legislature shall have until the last day of the regular legislative session of that year to review such rules; and

2. If such rules are received after the date established pursuant to paragraph 1 of this subsection, the Legislature shall have until the last day of the regular legislative session of the next year to act on such rules.

B. By the adoption of joint resolutions during the review period specified in subsection A of this section, the Legislature may disapprove or approve any rule and disapprove all or part of a rule or rules. <u>Any rules not acted upon by the adoption of a joint resolution shall be deemed disapproved.</u>

C. Unless otherwise authorized by the Legislature, whenever a rule is disapproved as provided in subsection B of this section, the agency adopting such rules shall not have authority to resubmit an identical rule, except during the first sixty (60) calendar days of the next regular legislative session. Any effective emergency rule which would have been superseded by a disapproved permanent rule shall be deemed null and void on the date the Legislature disapproves the permanent rule. Rules may be disapproved in part or in whole by the Legislature. Upon enactment of any joint resolution disapproving a rule, the agency shall file notice of such legislative disapproval with the Secretary of State for publication in "The Oklahoma Register".

D. Unless otherwise provided by specific vote of the Legislature, joint resolutions introduced for purposes of disapproving or approving a rule ~~or the omnibus joint resolution~~ shall not be subject to regular legislative cutoff dates, shall be limited to such provisions as may be necessary for disapproval or approval of a rule, and any such other direction or mandate regarding the rule deemed necessary by the Legislature. The resolution shall contain no other provisions.

E. A proposed permanent rule shall be deemed finally adopted if:

1. ~~Approved by the Legislature pursuant to Section 308.3 of this title, provided that any such joint resolution becomes law in accordance with Section 11 of Article VI of the Oklahoma Constitution;~~

~~2.~~ Approved by a joint resolution pursuant to subsection B of this section, provided that any such resolution becomes law in accordance with Section 11 of Article VI of the Oklahoma Constitution; or

~~3.~~ 2. Disapproved by a joint resolution pursuant to subsection B of this section ~~or Section 308.3 of this title~~ which has been vetoed by the Governor in accordance with Section 11 of Article VI of the Oklahoma Constitution and the veto has not been overridden.

Provided, major rules shall be addressed in one or more joint resolutions only addressing major rules, regardless of if the joint resolution is to approve or disapprove such rules.

F. Prior to final adoption of a rule, an agency may withdraw a rule from legislative review. Notice of such withdrawal shall be given to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and to the Secretary of State for publication in "The Oklahoma Register".

G. An agency may promulgate an emergency rule only pursuant to Section 253 of this title.

H. Any rights, privileges, or interests gained by any person by operation of an emergency rule shall not be affected by reason of any subsequent disapproval or rejection of such rule by either house of the Legislature.

SECTION 158. REPEALER 75 O.S. 2021, Section 308, as last amended by Section 2, Chapter 420, O.S.L. 2025 (75 O.S. Supp. 2025, Section 308), is hereby repealed.

SECTION 159. AMENDATORY 85A O.S. 2021, Section 2, as amended by Section 1, Chapter 135, O.S.L. 2025 (85A O.S. Supp. 2025, Section 2), is amended to read as follows:

Section 2. As used in the Administrative Workers' Compensation Act:

1. "Actually dependent" means a surviving spouse, a child or any other person who receives one-half (1/2) or more of his or her support from the employee;

2. "Carrier" means any stock company, mutual company, or reciprocal or interinsurance exchange authorized to write or carry on the business of workers' compensation insurance in this state. Whenever required by the context, the term carrier shall be deemed to include duly qualified self-insureds or self-insured groups;

3. "Case management" means the ongoing coordination, by a case manager, of health care services provided to an injured or disabled worker, including but not limited to systematically monitoring the treatment rendered and the medical progress of the injured or disabled worker; ensuring that any treatment plan follows all appropriate treatment protocols, utilization controls and practice parameters; assessing whether alternative health care services are appropriate and delivered in a cost-effective manner based upon acceptable medical standards; and ensuring that the injured or disabled worker is following the prescribed health care plan;

4. “Case manager” means a person who is a registered nurse with a current, active unencumbered license from the Oklahoma Board of Nursing, or possesses one or more of the following certifications which indicate the individual has a minimum number of years of case management experience, has passed a national competency test and regularly obtains continuing education hours to maintain certification:

a. Certified Disability Management Specialist (CDMS),

b. Certified Case Manager (CCM),

c. Certified Rehabilitation Registered Nurse (CRRN),

d. Case Manager - Certified (CMC),

e. Certified Occupational Health Nurse (COHN), or

f. Certified Occupational Health Nurse Specialist (COHN-S);

5. “Certified workplace medical plan” means an organization of health care providers or any other entity, certified by the State Commissioner of Health, that is authorized to enter into a contractual agreement with an employer, a group self-insurance association plan, an employer’s workers’ compensation insurance carrier, a third-party administrator or an insured to provide medical care under the Administrative Workers’ Compensation Act. Certified plans shall only include plans which provide medical services and payment for services on a fee-for-service basis to medical providers;

6. “Child” means a natural or adopted son or daughter of the employee under eighteen (18) years of age; or a natural or adopted son or daughter of an employee eighteen (18) years of age or over who is physically or mentally incapable of self-support; or any natural or adopted son or daughter of an employee eighteen (18) years of age or over who is actually dependent; or any natural or adopted son or daughter of an employee between eighteen (18) and twenty-three (23) years of age who is enrolled as a full-time student in any accredited educational institution. The term child includes a posthumous child, a child legally adopted or one for whom adoption proceedings are pending at the time of death, an actually dependent stepchild or an actually dependent acknowledged child born out of wedlock;

7. “Claimant” means a person who claims benefits for an injury or occupational disease pursuant to the provisions of the Administrative Workers’ Compensation Act;

8. “Commission” means the Oklahoma Workers’ Compensation Commission;

9. a. “Compensable injury” means damage or harm to the physical structure of the body, or damage or harm to prosthetic appliances, including eyeglasses, contact lenses, or hearing aids, of which the major cause is either an accident, cumulative trauma or occupational disease arising out of the course and scope of

employment. An "accident" means an event involving factors external to the employee that:

(1) was unintended, unanticipated, unforeseen, unplanned and unexpected,

(2) occurred at a specifically identifiable time and place,

(3) occurred by chance or from unknown causes, or

(4) was independent of sickness, mental incapacity, bodily infirmity or any other cause.

b. Compensable injury does not include:

(1) injury to any active participant in assaults or combats which, although they may occur in the workplace, are the result of non-employment-related hostility or animus of one, both, or all of the combatants and which assault or combat amounts to a deviation from customary duties; provided, however, injuries caused by horseplay shall not be considered to be compensable injuries, except for innocent victims,

(2) injury incurred while engaging in or performing or as the result of engaging in or performing any recreational or social activities for the employee's personal pleasure,

(3) injury which was inflicted on the employee at a time when employment services were not being performed or before the employee was hired or after the employment relationship was terminated,

(4) injury if the accident was caused by the use of alcohol, illegal drugs, or prescription drugs used in contravention of physician's orders. If a biological specimen is collected within twenty-four (24) hours of the employee being injured or reporting an injury, or if at any time after the injury a biological specimen is collected by the Office of the Chief Medical Examiner if the injured employee does not survive for at least twenty-four (24) hours after the injury and the employee tests positive for intoxication, an illegal controlled substance, or a legal controlled substance used in contravention to a treating physician's orders, or refuses to undergo the drug and alcohol testing, there shall be a rebuttable presumption that the injury was caused by the use of alcohol, illegal drugs, or prescription drugs used in contravention of physician's orders. This presumption may only be overcome if the employee proves by clear and

convincing evidence that his or her state of intoxication had no causal relationship to the injury,

(5) any strain, degeneration, damage or harm to, or disease or condition of, the eye or musculoskeletal structure or other body part resulting from the natural results of aging, osteoarthritis, arthritis, or degenerative process including, but not limited to, degenerative joint disease, degenerative disc disease, degenerative spondylosis/spondylolisthesis and spinal stenosis, or

(6) any preexisting condition except when the treating physician clearly confirms an identifiable and significant aggravation incurred in the course and scope of employment.

c. A compensable injury shall be established by medical evidence supported by objective findings as defined in paragraph 31 of this section.

d. The injured employee shall prove by a preponderance of the evidence that he or she has suffered a compensable injury.

e. Benefits shall not be payable for a condition which results from a non-work-related independent intervening cause following a compensable injury which causes or prolongs disability or aggravation or requires treatment. A non-work-related independent intervening cause does not require negligence or recklessness on the part of a claimant.

f. An employee who suffers a compensable injury shall be entitled to receive compensation as prescribed in the Administrative Workers' Compensation Act. Notwithstanding other provisions of law, if it is determined that a compensable injury did not occur, the employee shall not be entitled to compensation under the Administrative Workers' Compensation Act;

10. "Compensation" means the money allowance payable to the employee or to his or her dependents and includes the medical services and supplies provided for in Section 50 of this title and funeral expenses;

11. "Consequential injury" means injury or harm to a part of the body that is a direct result of the injury or medical treatment to the part of the body originally injured in the claim. The Commission shall not make a finding of a consequential injury unless it is established by objective medical evidence that medical treatment for such part of the body is required;

12. “Continuing medical maintenance” means medical treatment that is reasonable and necessary to maintain a claimant’s condition resulting from the compensable injury or illness after reaching maximum medical improvement. Continuing medical maintenance shall not include diagnostic tests, surgery, injections, counseling, physical therapy, or pain management devices or equipment;

13. “Course and scope of employment” means an activity of any kind or character for which the employee was hired and that relates to and derives from the work, business, trade or profession of an employer, and is performed by an employee in the furtherance of the affairs or business of an employer. The term includes activities conducted on the premises of an employer or at other locations designated by an employer and travel by an employee in furtherance of the affairs of an employer that is specifically directed by the employer. This term does not include:

a. an employee’s transportation to and from his or her place of employment,

b. travel by an employee in furtherance of the affairs of an employer if the travel is also in furtherance of personal or private affairs of the employee,

c. any injury occurring in a parking lot or other common area adjacent to an employer’s place of business before the employee clocks in or otherwise begins work for the employer or after the employee clocks out or otherwise stops work for the employer unless the employer owns or maintains exclusive control over the area, or

d. any injury occurring while an employee is on a work break, unless the injury occurs while the employee is on a work break inside the employer's facility or in an area owned by or exclusively controlled by the employer and the work break is authorized by the employee's supervisor;

14. "Cumulative trauma" means an injury to an employee that is caused by the combined effect of repetitive physical activities extending over a period of time in the course and scope of employment. Cumulative trauma shall not mean fatigue, soreness or general aches and pain that may have been caused, aggravated, exacerbated or accelerated by the employee's course and scope of employment. Cumulative trauma shall have resulted directly and independently of all other causes;

15. "Death" means only death resulting from compensable injury as defined in paragraph 9 of this section;

16. "Disability" means incapacity because of compensable injury to earn, in the same or any other employment, substantially the same amount of wages the employee was receiving at the time of the compensable injury;

17. "Drive-away operations" includes every person engaged in the business of transporting and delivering new or used vehicles by driving, either singly or by towbar, saddle-mount or full-mount method, or any combination thereof, with or without towing a privately owned vehicle;

18. a. "Employee" means any person, including a minor, in the service of an employer under any contract of hire or apprenticeship, written or oral, expressed or implied, but excluding one whose employment is casual and not in the course of the trade, business, profession, or occupation of his or her employer and excluding one who is required to perform work for a municipality or county or the state or federal government on having been convicted of a criminal offense or while incarcerated. Employee shall also include a member of the Oklahoma National Guard while in the performance of duties only while in response to state orders and any authorized voluntary or uncompensated worker, rendering services as a firefighter, law enforcement officer or emergency management worker. Travel by a police officer, fireman, or a member of a first aid or rescue squad, in responding to and returning from an emergency, shall be deemed to be in the course of employment.

b. The term employee shall not include:

(1) any person for whom an employer is liable under any Act of Congress for providing compensation to employees for injuries, disease or death arising out of and in the course of employment including, but not limited to, the Federal Employees' Compensation Act, the Federal Employers' Liability Act, the Longshore and Harbor Workers' Compensation Act and the Jones Act, to the extent his or her employees are subject to such acts,

(2) any person who is employed in agriculture, ranching, or horticulture by an employer who had a gross annual payroll in the preceding calendar year of less than One Hundred Fifty Thousand Dollars ($150,000.00) wages for agricultural, ranching or horticultural workers, or any person who is employed in agriculture, ranching or horticulture who is not engaged in operation of motorized machines. This exemption applies to any period of time for which such employment exists, irrespective of whether or not the person is employed in other activities for which the exemption does not apply. If the person is employed for part of a year in exempt activities

and for part of a year in nonexempt activities, the employer shall be responsible for providing workers' compensation only for the period of time for which the person is employed in nonexempt activities,

(3) any person who is a licensed real estate sales associate or broker, paid on a commission basis,

(4) any person employed by an employer with five or fewer total employees, all of whom are related within the second degree by blood or marriage to the employer, all of whom are dependents living in the household of the employer, or all of whom are a combination of such relatives and dependents. If the employer is not a natural person such relative shall be related within the second degree by blood or marriage to a person who owns fifty percent (50%) or more of the employer, or such dependent shall be in the household of a person who owns fifty percent (50%) or more of the employer,

(5) any person employed by an employer which is a youth sports league which qualifies for exemption from federal income taxation pursuant to federal law,

(6) sole proprietors, members of a partnership, individuals who are party to a franchise agreement as set out by the Federal Trade Commission franchise disclosure rule, 16 CFR 436.1 through 436.11, members of a limited liability company who own at least ten percent (10%) of the capital of the limited liability company or any stockholder-employees of a corporation who own ten percent (10%) or more stock in the corporation, unless they elect to be covered by a policy of insurance covering benefits under the Administrative Workers' Compensation Act,

(7) any person providing or performing voluntary service who receives no wages for the services other than meals, drug or alcohol rehabilitative therapy, transportation, lodging or reimbursement for incidental expenses except for volunteers specifically provided for in subparagraph a of this paragraph,

(8) a person, commonly referred to as an owner-operator, who owns or leases a truck-tractor or truck for hire, if the owner-operator actually operates the truck-tractor or truck and if the

person contracting with the owner-operator is not the lessor of the truck-tractor or truck. Provided, however, an owner-operator shall not be precluded from workers' compensation coverage under the Administrative Workers' Compensation Act if the owner-operator elects to participate as a sole proprietor,

(9) a person referred to as a drive-away owner-operator who privately owns and utilizes a tow vehicle in drive-away operations and operates independently for hire, if the drive-away owner-operator actually utilizes the tow vehicle and if the person contracting with the drive-away owner-operator is not the lessor of the tow vehicle. Provided, however, a drive-away owner-operator shall not be precluded from workers' compensation coverage under the Administrative Workers' Compensation Act if the drive-away owner-operator elects to participate as a sole proprietor,

(10) any person who is employed as a domestic servant or as a casual worker in and about a private home or household, which private home or household had a gross annual payroll in the preceding calendar

year of less than Fifty Thousand Dollars ($50,000.00) for such workers, ~~and~~

(11) any person engaging in a temporary work arrangement that allows the individual to observe a work environment and gain work experience without the expectation of financial compensation, and

(12) any person who is a dependent child of an owner of a farm, ranch, livestock market, or other agricultural business and the dependent child is employed by such;

19. "Employer" means a natural person, partnership, association, limited liability company, corporation, and the legal representatives of a deceased employer, or the receiver or trustee of a person, partnership, association, corporation, or limited liability company, departments, instrumentalities and institutions of this state and divisions thereof, counties and divisions thereof, public trusts, boards of education and incorporated cities or towns and divisions thereof, employing a person included within the term employee as defined in this section. Employer may also mean the employer's workers' compensation insurance carrier, if applicable. Except as provided otherwise, the Administrative Workers' Compensation Act applies to all public and private entities and institutions;

20. “Employment” includes work or labor in a trade, business, occupation or activity carried on by an employer or any authorized voluntary or uncompensated worker rendering services as a firefighter, peace officer or emergency management worker;

21. “Evidence-based” means expert-based, literature-supported and outcomes validated by well-designed randomized trials when such information is available and which uses the best available evidence to support medical decision making;

22. “Gainful employment” means the capacity to perform employment for wages for a period of time that is not part-time, occasional or sporadic;

23. “Impaired self-insurer” means a private self-insurer or group self-insurance association that fails to pay its workers’ compensation obligations, or is financially unable to do so and is the subject of any proceeding under the Federal Bankruptcy Reform Act of 1978, and any subsequent amendments or is the subject of any proceeding in which a receiver, custodian, liquidator, rehabilitator, trustee or similar officer has been appointed by a court of competent jurisdiction to act in lieu of or on behalf of the self-insurer;

24. “Incapacity” means inadequate strength or ability to perform a work-related task;

25. “Insurance Commissioner” means the Insurance Commissioner of this state;

26. “Insurance Department” means the Insurance Department of this state;

27. “Major cause” means more than fifty percent (50%) of the resulting injury, disease or illness. A finding of major cause shall be established by a preponderance of the evidence. A finding that the workplace was not a major cause of the injury, disease or illness shall not adversely affect the exclusive remedy provisions of the Administrative Workers’ Compensation Act and shall not create a separate cause of action outside the Administrative Workers’ Compensation Act;

28. “Maximum medical improvement” means that no further material improvement would reasonably be expected from medical treatment or the passage of time;

29. “Medical services” means those services specified in Section 50 of this title;

30. “Misconduct” shall include the following:

a. unexplained absenteeism or tardiness,

b. willful or wanton indifference to or neglect of the duties required,

c. willful or wanton breach of any duty required by the employer,

d. the mismanagement of a position of employment by action or inaction,

e. actions or omissions that place in jeopardy the health, life, or property of self or others,

f. dishonesty,

g. wrongdoing,

h. violation of a law, or

i. violation of a policy or rule adopted to ensure orderly work or the safety of self or others;

31. a. (1) "Objective findings" are those findings which cannot come under the voluntary control of the patient.

(2) (a) When determining permanent disability, a physician, any other medical provider, an administrative law judge, the Commission or the courts shall not consider complaints of pain.

(b) For the purpose of making permanent disability ratings to the spine, physicians shall use criteria established by the Sixth Edition of the American Medical Association "Guides to the Evaluation of Permanent Impairment".

(3) (a) Objective evidence necessary to prove permanent disability in occupational hearing loss cases may be established by medically

recognized and accepted clinical diagnostic methodologies, including, but not limited to, audiological tests that measure air and bone conduction thresholds and speech discrimination ability.

(b) Any difference in the baseline hearing levels shall be confirmed by subsequent testing; provided, however, such test shall be given within four (4) weeks of the initial baseline hearing level test but not before five (5) days after being adjusted for presbycusis.

b. Medical opinions addressing compensability and permanent disability shall be stated within a reasonable degree of medical certainty;

32. “Official Disability Guidelines” or “ODG” means the current edition of the Official Disability Guidelines and the ODG Treatment in Workers’ Comp as published by the Work Loss Data Institute;

33. “Permanent disability” means the extent, expressed as a percentage, of the loss of a portion of the total physiological capabilities of the human body as established by competent medical evidence and based on the Sixth Edition of the American Medical Association “Guides to the Evaluation of Permanent Impairment”, if the impairment is contained therein;

34. “Permanent partial disability” means a permanent disability or loss of use after maximum medical improvement has been reached which prevents the injured employee, who has been released to return to work by the treating physician, from returning to his or her pre-injury or equivalent job. All evaluations of permanent partial disability must be supported by objective findings;

35. “Permanent total disability” means, based on objective findings, incapacity, based upon accidental injury or occupational disease, to earn wages in any employment for which the employee may become physically suited and reasonably fitted by education, training, experience or vocational rehabilitation provided under the Administrative Workers’ Compensation Act. Loss of both hands, both feet, both legs, or both eyes, or any two thereof, shall constitute permanent total disability;

36. “Preexisting condition” means any illness, injury, disease, or other physical or mental condition, whether or not work-related, for which medical advice, diagnosis, care or treatment was recommended or received preceding the date of injury;

37. “Pre-injury or equivalent job” means the job that the claimant was working for the employer at the time the injury occurred or any other employment offered by the claimant’s employer that pays at least one hundred percent (100%) of the employee’s average weekly wage;

38. "Private self-insurer" means a private employer that has been authorized to self-insure its workers' compensation obligations pursuant to the Administrative Workers' Compensation Act, but does not include group self-insurance associations authorized by the Administrative Workers' Compensation Act, or any public employer that self-insures pursuant to the Administrative Workers' Compensation Act;

39. "Prosthetic" means an artificial device used to replace a part or joint of the body that is lost or injured in an accident or illness covered by the Administrative Workers' Compensation Act;

40. "Scheduled member" or "member" means hands, fingers, arms, legs, feet, toes, and eyes. In addition, for purposes of the Multiple Injury Trust Fund only, scheduled member means hearing impairment;

41. "Scientifically based" involves the application of rigorous, systematic, and objective procedures to obtain reliable and valid knowledge relevant to medical testing, diagnoses and treatment; is adequate to justify the general conclusions drawn; and has been accepted by a peer-review journal or approved by a panel of independent experts through a comparably rigorous, objective, and scientific review;

42. "State average weekly wage" means the state average weekly wage determined by the Oklahoma Employment Security Commission in the preceding calendar year. If such determination is not

available, the Commission shall determine the wage annually after reasonable investigation;

43. “Subcontractor” means a person, firm, corporation or other legal entity hired by the general or prime contractor to perform a specific task for the completion of a work-related activity;

44. “Surgery” does not include an injection, or the forcing of fluids beneath the skin, for treatment or diagnosis;

45. “Surviving spouse” means the employee’s spouse by reason of a legal marriage recognized by this state or under the requirements of a common law marriage in this state, as determined by the Oklahoma Workers’ Compensation Commission;

46. “Temporary partial disability” means an injured employee who is temporarily unable to perform his or her job, but may perform alternative work offered by the employer;

47. “Time of accident” or “date of accident” means the time or date of the occurrence of the accidental incident from which compensable injury, disability, or death results; and

48. “Wages” means money compensation received for employment at the time of the accident, including the reasonable value of board, rent, housing, lodging, or similar advantage received from the employer and includes the amount of tips required to be reported by the employer under Section 6053 of the Internal Revenue Code and the regulations promulgated pursuant thereto or the amount of actual tips reported, whichever amount is greater.

SECTION 160. REPEALER 85A O.S. 2021, Section 2, as amended by Section 1, Chapter 67, O.S.L. 2025 (85A O.S. Supp. 2025, Section 2), is hereby repealed.

SECTION 161. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the Senate the 15th day of April, 2026.

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Presiding Officer of the Senate

Passed the House of Representatives the ____ day of __________, 2026.

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Presiding Officer of the House
of Representatives